

PUBLIC VERSION – CONFIDENTIAL MATERIALS EXCLUDED

Before the

FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

20230930-DK-BUTTERFLY-1, INC. F/K/A BED BATH & BEYOND INC. v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

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Pursuant to Rule 214 of the Federal Maritime Commission’s (the “Commission” or “FMC”) Rules of Practice and Procedure, 46 C.F.R. Section 502.214, Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc., (“Complainant” or “BBBY”) submits the following Proposed Findings of Fact and Conclusions of Law (“FOF/COL”) in support of its Opening Brief:¹

PROPOSED FINDINGS OF FACT

INTRODUCTION

1. On August 23, 2024, pursuant to 46 U.S.C. Section 41301 and the Presiding Officer’s August 23, 2024 Order on Amended Complaint (the “1AC Order”), BBBY filed its Verified First Amended Complaint against Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (together, “OOCL” or “Respondents”). Dep. Ex. 380 (the “Complaint” or “1AC”) [APP- 37-91].

2. As to transportation of cargoes, BBBY’s Complaint alleges that OOCL’s conduct with respect to BBBY and other shippers during the period 2020 through 2023 violated the Shipping Act of 1984, as amended, 46 U.S. Code Sections 40101 *et seq.* (the “Shipping Act”), in five separate counts:

- **COUNT I (“Unjust and unreasonable failure to meet service commitments under the Service Contracts”):** “Respondent’s practice alleged herein of systematically failing to meet its service commitments to Complainant and, upon information and belief, other shippers, seeking to coerce Complainant and, upon information and belief, other shippers, to pay PSS and enter into premium contracts in order to obtain space, constituted failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant and, upon information and belief, other shippers, in violation of 46 U.S.C. Section 41102(c).” 1AC ¶ 161 [APP-44].
- **COUNT II (“Unjust and unreasonable assessment of Detention and Demurrage Charges”):** “Respondent’s assessment of the [Detention & Demurrage] Charges, and the alleged acts or omissions of Respondent that led to the assessment of such Charges, constitute failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainant, in violation of 46 U.S.C. Section 41102(c), 46 C.F.R. Section 545.5, and the FMC’s Interpretive Rule.” 1AC ¶ 163 [APP-83].
- **COUNT III (“Conduct not in accordance with Service Contracts”):** “Respondent’s practices alleged herein of systematically failing to meet its service commitments to

¹ Citations to information in the record are contained in BBBY’s Appendix (“App.” or “APP-___”).

Complainant and seeking to coerce Complainant to pay PSS and enter into premium rate contracts constituted provision of service in the liner trade that was not in accordance with the rules and practices contained in Respondent's Service Contracts with Complainant, for which no exception or exemption applies and that have not been suspended or prohibited by the FMC, in violation of 46 U.S.C. Section 41104(a)(2)." 1AC ¶ 165 [APP-83].

- **COUNT IV ("Retaliation"):** "Respondent's practices and conduct alleged herein in response to Complainant's October 2021 Letter, and Complainant's criticisms of Respondent's unjust and unreasonable detention and demurrage practices and Charges as inconsistent with the Shipping Act and associated FMC regulations, constituted retaliation against Complainant by, inter alia, refusing, or threatening to refuse, cargo space accommodations when available or resorting to other unfair or unjustly discriminatory methods against Complainant in violation of the former 46 U.S.C. Section 41104(a)(3), which is now codified at 46 U.S.C. Section 41102(d)." 1AC ¶ 167 [APP-83].
- **COUNT V ("Unreasonable refusals to deal or negotiate"):** "Respondent's practices alleged herein of systematically failing to meet its service commitments to Complainant, failing to provide contracted space to Complainant without PSS or premium rates, failing to negotiate in good faith future service contracts, and the acts or omissions of Respondent that led to the assessment of the Charges, constituted unreasonable refusals to deal or negotiate with Complainant in violation of 46 U.S.C. Section 41104(a)(10)." 1AC ¶ 169 [APP-84].

3. BBY seeks reparations from OOCL in connection with the above Counts.

4. After fact and expert discovery, BBY's direct damages from its actual injuries for which it seeks an award of reparations was calculated to total \$165,355,872.69.

I. THE PARTIES

A. Bed Bath & Beyond Inc. (Complainant)

5. Complainant 20230930-DK-BUTTERFLY-1, Inc. f/k/a Bed Bath & Beyond Inc. is a corporation existing under the laws of New York with a mailing address: P.O. Box 1596, Union, New Jersey 07083, reachable via telephone via (954) 468-2444, and via its undersigned counsel's telephone numbers and email addresses listed below. *See* 1AC ¶ 16 [APP-42].

6. For purposes of the shipments that are the subject of this action, BBY was a "shipper" as that term is defined by 46 U.S.C. Section 40102(23). 1AC ¶ 16 [APP-43].

7. Prior to filing a change of name certificate to its present name with the New York State Division of Corporations, State Records, and Uniform Commercial Code on September 21, 2023, Complainant's corporate name was Bed Bath & Beyond Inc. 1AC ¶ 16 [APP-42-43].

8. During the time period at issue in this action, OOCL considered BBY to be one of OOCL's major customers. *See* Lam Dep. Tr. 103:2-10 [APP-1364].

9. The below table lists certain BBY personnel and their positions during the Relevant Period (July 1, 2020 – April 30, 2022):

BBY Personnel and Their Positions	
Name	Position and Responsibilities
Rick Cunniff	Senior Director of Financial Analysis , managed cash flow forecasting, ad hoc analyses, and inventory-related month-end close tasks. <i>See</i> Cunniff Dep. Tr. 9:3-24 [APP-274].
Patrick Hackett	Senior Director of International Supply Chain , oversaw booking of shipments on carrier vessels and managed cargo movement from origin ports to U.S. destination ports. <i>See</i> Hackett Dep. Tr. 10:20-11:3, 16:2-17:3 [APP-816-817].
David Kastin	Chief Legal Officer when he joined in December 2022, later became an independent consultant to BBY's bankruptcy plan administrator following its dissolution and entry into Chapter 7 bankruptcy in September 2023. <i>See</i> Kastin Decl. ¶¶ 5-6 [APP-5172].
Reid Klosowsky	Vice President of Global Transportation , oversaw product movement from source to fulfillment locations and reported to BBY's Chief Supply Chain officer—Jeff Macak during part of the pandemic, followed by Juan Guerrero starting around August or September 2020. <i>See</i> Klosowsky Dep. Tr. 11:21-24, 16:4-17:12 [APP-1239-1240].
Paul Pastor	Senior Associate in BBY's International Supply Chain department, supported Patrick Hackett with day-to-day operations. <i>See</i> Pastor Dep. Tr. 14:13-15:8, 17:14-18 [APP-1933].
Ian Pinchuk	Senior Director of Global Logistics , joined in July 2022 and departed on July 26, 2023; facilitated the movement of internationally sourced cargo into the U.S. <i>See</i> Pinchuk Dep. Tr. 8:23-9:14, 10:14-19 [APP-2044-2045].
Melinda Porter	Senior Manager of Import Operations—West Coast , managed warehouses, certain third-party logistics partnerships, and assisted in logistics planning for the West Coast for BBY. <i>See</i> Porter Dep. Tr. 11:10-15, 15:18-16:4 [APP-2122-2123].
Seweryn Soban	Senior Analyst, Customs Compliance Manager , tracked containers starting in January 2022 and later transitioned to International Transportation Manager (assuming additional responsibilities for interacting with carriers) in mid-2022. <i>See</i> Soban Dep. Tr. 10:22-12:18, 14:5-13, 16:16-21, 34:12-36:10 [APP-2433-2433, -2439].
Gisella Stupnik	Import Warehouse Manager , reported to Melinda Porter and managed the acceptance and distribution of containers arriving at West Coast ports, coordinating the delivery of freight to distribution centers or directly to store locations. <i>See</i> Stupnik Dep. Tr. 12:9-22, 13:8-9, 14:8-10 [APP-2637-2638].

B. OOCL (Respondent)

10. Respondent Orient Overseas Container Line Limited is a company existing under the laws of Hong Kong with its principal place of business located at 25 Harbour Road, 31st Floor Harbour Centre, Wanchai, Hong Kong, acting in the United States by and through its agent, OOCL (USA) Inc. (“OOCL (USA)”), a company existing under the laws of the State of New York with its principal place of business located at 10913 South River Front Parkway, Suite 200, South Jordan, UT 84095. *See* 1AC ¶ 17 [APP-43]; Respondent’s Answer to Verified First Amended Complaint, dated September 6, 2024 (“1AC Answer”) ¶ 17 [APP-98].

11. OOCL is a vessel operating “ocean common carrier” as that term is defined by 46 U.S.C. § 40102(7) and (18) with FMC organization number 011398, subject to regulation by the FMC. *See* 1AC ¶ 17 [APP-43]; 1AC Answer ¶¶ 17, 18 [APP-98-99].

12. Respondent Orient Overseas Container Line Limited also is a “controlled carrier” of the People’s Republic of China as that term is defined by 46 U.S.C. Section 40102(9). *See* 1AC ¶ 17 [APP-43]; 1AC Answer ¶ 17 [APP-98].

13. Respondent OOCL (Europe) Limited is a company existing under the laws of the United Kingdom with its principal place of business located at OOCL House, Levington Park, Bridge Road, Levington Suffolk, IP10 0NE, United Kingdom, acting in the United States by and through its agent, OOCL (USA). *See* 1AC ¶ 18 [APP-43]; 1AC Answer ¶ 18 [APP-99].

14. Respondent OOCL (Europe) Limited is an “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 024786. *See* 1AC ¶ 18 [APP-43]; 1AC Answer ¶ 18 [APP-99].

15. Respondent OOCL (Europe) Limited also is a “controlled carrier” of the People’s Republic of China as that term is defined by 46 U.S.C. Section 40102(9). *See* 1AC ¶ 18 [APP-43]; Notice, Controlled Carriers Under the Shipping Act of 1984, 84 Fed. Reg. 18284 (Apr. 30, 2019); *see also* 1AC Answer ¶¶ 17 (“17. Respondents admit the allegations in Amended Complaint paragraph 17.”), 18 (“18. Respondents admit the allegations in Amended Complaint paragraph 17 [sic].”) (presumed typo) [APP-98-99].

16. Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited are both wholly owned subsidiaries of Orient Overseas (International) Limited (“OOIL”), which itself is majority owned and controlled by COSCO SHIPPING Holdings Co. Ltd., which also owns fellow OCEAN Alliance member COSCO SHIPPING Lines Co., Ltd. (“COSCO”). *See* 1AC ¶ 19 [APP-43-44]; About OOIL, OOIL, <https://www.ooilgroup.com/corporate/aboutooil/Pages/default.aspx> (last visited Dec. 10, 2024); OOCL History, OOCL, <https://www.oocl.com/eng/aboutoocl/companyprofile/ooclhistory/Pages/default.aspx> (last visited Dec. 10, 2024); About Us, COSCO SHIPPING Lines, <https://lines.coscoshipping.com/home/About/about/Profile> (last visited Dec. 10, 2024) [APP-5082-5083].

17. COSCO is itself an “ocean common carrier” as that term is defined by 46 U.S.C. Section 40102(18) with FMC organization number 015614. *See* 1AC ¶ 19 [APP-44]; 1AC Answer ¶ 19 [APP-99].

18. COSCO also is a “controlled carrier” of the People’s Republic of China as that term is defined by 46 U.S.C. Section 40102(9). *See* 1AC ¶ 19 [APP-44]; 1AC Answer ¶ 19 [APP-99].

19. During 2020-2022, OOCL had roughly 190 customers in its Northeast Region. *See* Forminio Dep. Tr. 75:10-76:25 [APP-618].

19.1. Among OOCL’s Northeast Region customers, a group of 10 to 15 core customers, including BBY, had direct access to the OOCL employees due to their priority status, volume, and importance to the region. *See* Forminio Dep. Tr. 75:10-76:25 [APP-623].

19.2. OOCL’s core Northeast Region customers usually had contracts for 5,000 TEUs or more, making them crucial for filling large spaces on ships. *See* Forminio Dep. Tr. 77:3-80:13 [APP-624].

20. The below table lists certain OOCL personnel and their positions during the Relevant Period (July 1, 2020 – April 30, 2022):

OOCL Personnel and Positions	
Name	Position and Responsibilities
Jingdong “Marvic” Chen	Trade Director of Transpacific Trade (Eastbound) based in OOCL’s Salt Lake City office, was part of the Trade department responsible for OOCL’s profit and loss (P&L). <i>See</i> Chen Dep. Tr. 44: 23-47:11 [APP-162-163]; Schmiemann Dep. Tr. 176:14-15 [APP-2219].
Vincent Delprete	Vice President of Sales North America , was in charge of sales operations for all regions in North America. <i>See</i> Delprete Dep. Tr. 41:20-42:16 [APP-350-351].
Paul Devine	President of OOCL (USA) Inc. , managed regional administration, cross-functional coordination, compliance, terminal operations, and agency affairs while promoting community involvement. <i>See</i> Devine Dep. Tr. 36:22-37:16 [APP-421].
Andrew Donohue	Vice President of Customer Service , was in charge of export services, import services, documentation, dangerous goods, and detention and demurrage, including invoicing and dispute resolution. <i>See</i> Murdoch Dep. Tr. 49:25-50:16 [APP-1813-1814]; Donohue Dep. Tr. 21:20-24, 24: [APP-539-540].
Donna Forminio	Regional Business Analyst in OOCL’s Sales department, supported regional sales operations. <i>See</i> Forminio Dep. Tr. 49:20-50:16 [APP-616-617]; Schmiemann Dep. Tr. 110:12-111:17 [APP-2203].
Teddy Fung	Director of Trade based in OOCL’s Hong Kong office (<i>see</i> Fung Dep. Tr. 35:20-23, 38:13-19 [APP-769-770]), supervised Karen Lam (<i>see</i> Fung

OOCL Personnel and Positions	
	Dep. Tr. 69:19-21 [APP-777]) and was involved in decision-making regarding the North American ship route, contract direction, shipping space allocation, and pricing (<i>see</i> Fung Dep. Tr. 13:5-11, 39:4-8, 42:17-25 [APP-763; APP-770; APP-771]).
Karen Lam	General Manager of Transpacific Trade based in OOCL's Hong Kong office, was responsible for planning OOCL's Transpacific Trade freight capacity for purposes of entering into service contracts (<i>See</i> Lam Dep. Tr. 45: 11-13 [APP-1349]; Chen Dep. Tr. 54: 5-25, 70: 4-25, 96:11-20, [APP-165; APP-169; APP-175]), setting PSS rates (<i>See</i> Chen Dep. Tr. 106:16-23 [APP-178]), and procuring and establishing the rates for extra loaders (<i>See</i> Chen Dep. Tr. 204:13-205:7 [APP-202]).
Glenn Metzger	Director of Marketing and Sales , oversaw Business Development, Space Control, and Marketing, managing container space across North America and providing performance metrics, strategic insights, and data analysis to support the Sales department. <i>See</i> Metzger Dep. Tr. 7:19-9:24 [APP-1591].
James Mitchell	Account Manager in OOCL's Sales department, reported to Thomas Schmiemann and served as the sales representative for BBY. <i>See</i> Mitchell Dep. Tr. 29:24-30:3, 31:7-11, 47:11-20 [APP-1684-1685; APP-1689]; Chen Dep. Tr. 139: 9-13 [APP-186].
Gavin Murdoch	Vice President of Risk Management and Compliance based in OOCL's Salt Lake City office, oversaw North America's Risk Management programs and coordinated with OOCL's legal teams in Hong Kong and North America on regulatory and business matters. <i>See</i> Murdoch Dep. Tr. 25:25-28:9, 46:8-47:6 [APP-1807-1808; APP-1813].
Thomas Schmiemann	Vice President of Eastern Regional Sales , managed sales across the entire East Coast with a focus on inbound trades. <i>See</i> Schmiemann Dep. Tr. 12:2-7, 38:15-39:9 [APP-2178; APP-2185]; Murdoch Dep. Tr. 50:17-21 [APP-1814].
Tracy Sha	Director of Documentation based in OOCL's Salt Lake City office, managed documentation and invoicing, including demurrage and detention, for North American exports and imports, and oversaw the North America Group Center in Shanghai, which handled documentation and customer services. <i>See</i> Sha Dep. Tr. 31:22-33:23 [APP-2305].
Bess Wong	Assistant General Manager of Transpacific Trade (Eastbound) since September 2023, is based in OOCL's Hong Kong office and previously worked in OOCL's Transpacific Traffic and Analytics departments. <i>See</i> Wong Dep. Tr. 21:2-9, 22:11-23:3 [APP-2707-2708].
Kenny Ye	Chief Operating Officer [REDACTED] [REDACTED]

OOCL Personnel and Positions	
Mike Young	Functional department head for Regulatory Compliance based in OOCL’s Salt Lake City office, engaged in discussions with the FMC and communicated regulatory changes and other issues to OOCL’s global teams. <i>See</i> Murdoch Dep. Tr. 49:25-50:16 [APP-1813-1814]; Young Dep. Tr. 96:2-97:5, 140:25-141:1 [APP-2847, -2858].

C. Yusen Logistics (Third-Party)

21. Yusen Logistics (Americas) Inc. (“Yusen”) is a subsidiary of Yusen Logistics Co., Ltd., a global supply chain logistics company operating 650 distribution centers and offices across 375 cities in 46 countries and regions. *See* About us, Yusen Logistics (2024), https://www.yusen-logistics.com/us_en/about-us/about-us-overview (last visited December 10, 2024) [APP-4420-4421].

21.1. Leveraging its global network and local expertise, Yusen provides tailored supply chain solutions for leading multinational companies such as Target and Procter & Gamble (P&G), ensuring the timely and efficient delivery of products to market. *See* Industries – Retail, Yusen Logistics, https://www.yusen-logistics.com/us_en/industries/retail (last visited December 10, 2024) [APP-4420-4421].

21.2. Yusen has been recognized by *Inbound Logistics*, a leading publication in the industry, as one of the Top 100 third-party logistics providers for its exceptional ability to tackle complex supply chain challenges and deliver outstanding logistics solutions, achieving a gross logistics revenue of approximately \$4.986 billion in 2023. *See* 2024 Top 100 3PLs, Inbound Logistics <https://www.inboundlogistics.com/articles/top-100-3pls/> (last visited December 10, 2024) [APP-5043-5070]; Largest 3PLs Ranked by 2023 Gross Logistics Revenue/Turnover, Armstrong & Associates, <https://www.3plogistics.com/3pl-market-info-resources/3pl-market-information/aas-top-50-global-third-party-logistics-providers-3pls-list/> (last visited December 10, 2024) [APP-5071-5072].

22. During the time period at issue in this action, Yusen served as BBBY’s booking agent and third-party logistics service provider for BBBY with respect to ocean freight transportation. *See* Jacobus Dep. Tr. 156:8-15 (“Q. To your knowledge, during the period 2020 through 2022, what was Yusen’s relationship with Bed Bath & Beyond? A. We were the 3PL, so coordinating their bookings and managing their cargo at port of origin.”) [APP-967]; Hackett Dep. Tr. 11:20-22 (“A. So Yusen Logistics was our overseas forwarder, our booking agent, and our U.S. Customs broker for the entire time.” [APP-816]; McQuade Dep. Tr. 100:4-13 (“A. Mr. McQuade, during the period 2020 through 2022, what was Yusen’s relationship with Bed Bath? We were their origin cargo management company. Q. Would you agree that during that time period Yusen was Bed Bath’s booking agent for ocean freight? A. That was part of our responsibilities.”) [APP-1568]; Shippee Dep. Tr. 89:7-10 (“Yusen was the origin cargo management and freight forwarder for [BBBY].”), 92:2-92:18 (“Yusen acted as the origin cargo management company. They ensured that vendors were booking their purchase orders on time for shipping, that vendors’ purchase

orders were being produced on time as directed by [BBBY] checking with the vendors, and then working with their carrier, [BBBY's] carriers, and NVOs as directed by BBBY to cover . . . the shipments to move to the U.S. in a timely manner.”)[APP-2412, APP-2413].

22.1. During the time period at issue in this action, Yusen had one or more written contracts with BBBY concerning its services, including acting as BBBY's booking agent for ocean freight. *See* McQuade Dep. Tr. 100: 14-25 (Q. And during the period 2020 through 2022, did Yusen have a written contract or contracts with Bed Bath regarding its service as Bed Bath's booking agent for ocean freight? A. I'm not looking at the contract terms right now, but I'd say yes. Q. And would – those contracts would have been the basis for Yusen serving as Bed Bath's booking agent for ocean freight? A. Correct.” [APP-1568].

22.2. During the time period at issue in this action, Yusen charged a management fee for its services and sent statements to BBBY on a regular basis. *See* Jacobus Dep. Tr. 158:6-12 (“Q. To your knowledge, during the period 2020 through 2022, how was Yusen compensated for its services as Bed Bath & Beyond's booking agent or agent or 3PL for ocean freight? A. We had a – we charge a management fee that would be sent in a weekly statement or a monthly statement.”) [APP-968].

22.3. In its capacity as BBBY's booking agent, Yusen performed tasks for BBBY including, but not limited to, ensuring vendors were booking their purchase orders on time for shipping, that vendors' purchase orders were being produced on time as directed by BBBY, checking with the vendors, and then working with BBBY's carriers, including OOCL, and non-vessel operating common carriers (“NVOs” or “NVOCCs”) as directed by BBBY to ensure BBBY's shipments to the U.S. moved in a timely manner. *See* Shippee Dep. Tr. 92:2-93:1 [APP-2413].

22.4. During the time period at issue in this action, Yusen served as a customs broker and assisted with customs brokerage for BBBY with respect to ocean freight transportation. *See* Jacobus Dep. Tr. 84:23-25 (“A. ‘CHB’ is our customs house broker. Yusen Logistics was the broker for Bed Bath & Beyond. ‘ISF’ is an importer security filing.”) [APP-949]; D’Alfonso Dep. Tr. 43:2-9 (“Q. Can you explain what a Customs broker is? A. Yes. So we review all the documents for their purchase orders. You declare them with U.S. customs, classify them to pay the proper duty or the tariffs for the products that they're importing.”) [APP-326].

22.5. During the time period at issue in this action, Yusen provided limited destination management services to BBBY. *See* Jacobus Dep. Tr. 35:6-17 (“A. So, destination management services, we offer a tiered service where they – we help monitor events, to make sure that they're visible in the system, meaning – ‘315’ is an EDI transmission from the steamship line or carrier that tells us when the container is arriving and as it goes through the process. For Bed Bath & Beyond, we only offered the first level of service, which is the most basic, and that's just checking to see what the ETA is at the port and making sure that that date is visible in the system.”) [APP-937]; McQuade Dep. Tr. 21: 24-22: 2 (“A. So we were only

giving them an ETA which was public knowledge shown on steamship line websites.”) [APP-1548-1549].

22.6. During the time period at issue in this action, when acting on behalf of BBBY, Yusen understood that it had an obligation to perform its duties correctly, diligently, and in BBBY’s best interests. *See* Jacobus Dep. Tr. 164:1-22 [APP-969].

22.7. During the time period at issue in this action, when acting on behalf of BBBY, Yusen never failed to do its job for BBBY. *See* McQuade Dep. Tr. 104:25-105:14 (“Q. During the period 2020 through 2022, when acting on Bed Bath’s booking agent, to your awareness, did Yusen ever fail to do its job for Bed Bath? . . . A. We never failed to do our job.”) [APP-1569].

23. During the time period at issue in this action, BBBY provided Yusen with the minimum quantity commitment (“MQC”), the corresponding port pairs subject to that MQC, as outlined in BBBY’s services contracts with ocean carriers. *See* Shippee Dep. Tr. 90:18-24 (“Q. Would Yusen know the MQCs in those service contracts? A. As communicated by Bed Bath & Beyond, yes. Q. Same question for the port pairs covered by those service contracts. A. As provided by Bed Bath & Beyond.”) [APP-2413].

24. During the time period at issue in this action, BBBY provided Yusen with forecasts of its ocean freight needs. *See* Shippee Dep. Tr. 91:4-11 (“Q. For the period of 2021 through 2022, to your knowledge, did Yusen know Bed Bath’s forecasts for its ocean freight needs? A. Yes, as provided by Bed Bath, yes. Q. How often would Bed Bath provide those forecasts? A. It should have been monthly. I cannot guarantee that it was always available monthly.”) [APP-2413].

25. During the time period at issue in this action, when acting on behalf of BBBY, Yusen regularly and diligently attempted to book BBBY’s cargo for carriage by OOCL pursuant to the Service Contracts. *See* McQuade Dep. Tr. 105:15-20 (“Q. And during the period 2020 through 2022, did Yusen regularly and diligently attempted to book Bed Bath cargo for carriage by OOCL pursuant to OOCL’s service contracts with Bed Bath? A. Yes.”) [APP-1569]; Jacobus Dep. Tr. 165:12-19 [APP-969]; Shippee Dep. Tr. 92:19-93:1 [APP-2413].

25.1. In the course of its work for BBBY, particularly during peak seasons and at BBBY’s request, Yusen provided manually prepared booking reports detailing booking acceptances and rejections. *See* Jacobus Dep. Tr. 97:21-98:20 (“A. We do provide reports that show, like, booking and acceptance or space issues. Generally, they’re manually created during peak season. Q. And would this be a report that’s provided upon request or would it be provided in the regular course of your business to your customers? A. Generally, on request.”) [APP-952-953].

25.2. In the course of its work for BBBY, Yusen prepared various reports, including Key Performance Indicators (KPIs) reports, related to the performance of ocean carriers (including OOCL) and suppliers. *See* Jacobus Dep. Tr. 14:10-15:3 (“A. In the United States, we act as – so it’s customer service or client management, essentially, bridging the gap between the operation happening in Hong Kong and at origin, and to the customer. So we’re, you know, facilitating conference calls,

keeping an SOP or standard operation procedure up to date, doing reports, KPIs, and sending e-mails. Q. And by “KPIs,” you mean key performance indicators? A. Yes. Q. And which key performance indicators would you be keeping track of for a particular customer such as Bed Bath? A. Typically, like, carrier performance, vendor performance. Even Yusen performance.”) [APP-932].

26. During the time period at issue in this action, BBBY employed Yusen to assist in booking shipments with OOCL under the Service Contracts.

26.1. During the time period at issue in this action, BBBY provided Yusen with OOCL’s cargo space allocation to BBBY pursuant to the Service Contracts. *See Shippee Dep. Tr. 91:12-17* (“Q. During the period of 2021 [through] 2022, to your knowledge, did Yusen know OOCL’s cargo space allocations to Bed Bath pursuant to Bed Bath and OOCL’s service contract? A. Yes. As communicated by Bed Bath & Beyond, yes.”) [APP-2413].

26.2. During the time period at issue in this action, when acting on behalf of BBBY, Yusen regularly and diligently attempted to book BBBY’s cargo for carriage by OOCL pursuant to the Service Contracts. *See McQuade Dep. Tr. 105:15-20* (“Q. And during the period 2020 through 2022, did Yusen regularly and diligently attempted to book Bed Bath cargo for carriage by OOCL pursuant to OOCL’s service contracts with Bed Bath? A. Yes.”) [APP-1569]; *accord Jacobus Dep. Tr. 165:12-19* [APP-969]; *Shippee Dep. Tr. 92:19-93:1* [APP-2413].

26.3. During the time period at issue in this action, when acting on behalf of BBBY, Yusen booked as much of BBBY’s cargo as it was able to for carriage by OOCL pursuant to the Service Contracts. *See Jacobus Dep. Tr. 165:21-166:3* (“Q. During the period 2020 through 2022, to your knowledge, did Yusen book as much Bed Bath & Beyond cargo as it was able to, for carriage by OOCL, pursuant to Bed Bath & Beyond’s service contracts with OOCL? A. Yes.”) [APP-969-970].

26.4. Yusen diligently performed its duties attempting to make bookings with OOCL on BBBY’s behalf pursuant to BBBY’s Service Contracts. *See Jacobus Dep. Tr. 164:1-165:3, 165:12-166:3* [APP-969-970]; *Pastor Dep. Tr. 283:3-10, 287:14-288:20* [APP-2000-2001].

27. During the time period at issue in this action, Yusen frequently faced difficulties obtaining space from carriers for its customers and regularly followed up with carriers, including OOCL, to push for assistance. *See Jacobus Dep. Tr. 166:14-167:15* (“A. Yes. I’m sure there was instances where we weren’t able to get the space from the carriers and we would have to follow up with Bed Bath & Beyond for support. Q. So when that happened, you were unable to get the space from carriers; is that your recollection? A. Yes. Q. And how often did you feel that occurred? A. During that period, it was frequent across all of my customers, so it’s kind of hard to say how often it happened. I don’t recall how often it happened for Bed Bath & Beyond. Q. It’s fair to say it happened often? A. Yes. Q. And when that would happen, in your experience, what did Yusen do when it was unable to get space pursuant to Bed Bath & Beyond’s service contracts? A. We

would follow up with Bed Bath & Beyond for support, with their carriers, to push their carriers for help, or book with a secondary carrier.”) [APP-970].

28. The below table lists certain Yusen personnel and their positions during the Relevant Period (July 1, 2020 – April 30, 2022):

Yusen Personnel and Positions	
Name	Position and Responsibilities
Pacy Chow	Manager of Control Tower & Operations in the Supply Chain Solutions Group at Yusen Logistics (Hong Kong) Limited, was responsible for the BBBY account. <i>See</i> [REDACTED] Shippee Dep. Tr. 8:14-22 [APP-2392].
Marco D’Alfonso	Senior Entry Writer at Yusen Logistics (Americas), processed customs entries and facilitated their clearance through U.S. customs. <i>See</i> D’Alfonso Dep. Tr. 8:23-9:6 [APP-317].
Amanda Jacobus	Director of Client Management and Operations at Yusen Logistics (Americas), oversaw Client Manager Laurie Staugaitis. <i>See</i> Jacobus Dep. Tr. 8:9-9:9 [APP-930].
Brian McQuade	Director of Business Development at Yusen Logistics (Americas), managed the customer relationship with BBBY. <i>See</i> McQuade Dep. Tr. 10:11-11:3 [APP-1546].
Rita Shippee	Client Management Specialist at Yusen Logistics (Americas), dedicated exclusively to BBBY, was the liaison between BBBY and Yusen’s Hong Kong control tower, managing communications with carriers and vendors and supporting Client Manager Laurie Staugaitis. <i>See</i> Shippee Dep. Tr. 7:11-8:11 [APP-2392]; Jacobus Dep. Tr. 10:20-11:2 [APP-931].

II. The Service Contracts

29. BBBY and OOCL entered into an Ocean Carrier Agreement, with service contract number PE203297 and effective as of July 1, 2020 and initially covering the time period from July 1, 2020 through June 30, 2021 (the “2020 Service Contract”), which was amended on seventeen occasions (the “2020 Amendments”). *See* 1AC ¶ 32.a [APP-8]; 1AC Answer ¶ 32 [APP-46]; [REDACTED]

29.1. [REDACTED]

29.2. The 2020 Service Contract sets a minimum quantity commitment (“MQC”) and service commitment at 2,100 forty-foot equivalent container units (“FEUs”), corresponding to an average monthly allocation of 175 FEUs. 1AC ¶ 33 [APP-47]; 1AC Answer ¶ 33 [APP-100]; [REDACTED]

29.3. [REDACTED]

30. BBY and OOCL entered into an Ocean Carrier Agreement, with service contract number PE213179 and effective as of May 1, 2021 and covering the time period from May 1, 2021 through April 30, 2022 (the “2021 Service Contract”), which was amended on sixteen occasions (the “2021 Amendments”). *See* 1AC ¶ 32.b [APP-47]; 1AC Answer ¶ 32 [APP-100]; Dep. Ex. 163 at P-0000008669 [APP-3274]; [REDACTED]

[REDACTED] Dep. Ex. 356 at OOCL 0000006453 [APP-3505]; Dep. Ex. 357 at P-0000045539 [APP-3543]; [REDACTED]

[REDACTED] Dep. Ex. 364 at P-0000084185 [APP-3608]; [REDACTED]

30.1. The 2021 Service Contract set its MQC and service commitment at 3,796 FEUs. *See* 1AC ¶ 45 [APP-49]; 1AC Answer ¶ 45 [APP-101]; Dep. Ex. 163 at P-0000008673 [APP-3278].

30.2. [REDACTED]

31. [REDACTED]

[REDACTED] P-0000520047 [APP-4415-4417].

31.1. [REDACTED]

31.2. Amendment 1 to the 2022 Service Contract amended the 2022 Service Contract’s “Minimum Quantity Commitment” to 3,125 FEUs. *See* P-0000520047 (-520047) (Service Contract MTT226042, Amendment No. 1 “Amend

Minimum Quantity Commitment to read: 6250 TEU) [APP-4415-4417];
 [REDACTED]

III. Impacts of the COVID-19 Pandemic on the Shipping Industry

32. Carriers reacted to the initial drop in demand during the COVID-19 pandemic by coordinating blank sailings and avoiding direct price competition. *See* Dep. Ex. 416 at 2 [APP-4038] (describing how 11 out of 12 container lines reduced capacity in the first half of the year); Dep. Ex. 415 at 1-2 (Level rates despite steep drop in demand “according to [OOCL’s expert] Lars Jensen . . . could be due to the fact that the shipping lines are consciously deciding not to take cargoes from each other”) [APP-4034-4035]; Young Dep. 194:4-17 (“Q. Okay. And, finally, on this, the point about PCC3 VCE not being fully profiled -- A. Uh-huh. Q. -- how would that -- what is that and how would that impact -- what is profiling of PCC3/VCE? A. ***All right. PCC3 and VCE are two service loops, and if we see that there's not a lot of cargo booked on that service loop, then we may look at either blanking that sailing and moving the cargo to a different loop or a different sailing in order to fully profile the vessel.***”) (emphasis added) [APP-2872]; [REDACTED]

Dep. Ex. 420 at p. 5 (As Jensen has stated, “We have definitely seen the effects of consolidation. At least on the main trades, there is a de facto oligopoly which means the carriers are able to somewhat better prevent the price wars we’ve seen in the past. This is the logical end point of 20 years of gradual consolidation.”) [APP-4064].

33. As of February 21, 2022, OOCL internal documents show that spot market ocean freight rates for cargo space—i.e., rates outside the context of a service contract—were significantly higher than service contract rates for cargo space. *See* [REDACTED] Lam Dep. Tr. 156:2-157:2 (explaining that the “O” rates in Dep. Ex. 62 mean open rates that are not fixed) [APP-3121].

34. During the COVID-19 pandemic (2020-2022), the gap between what OOCL charged under its fixed-rate service contracts versus its contracts more closely tethered to spot market rates soared dramatically given that spot market rates were three to four times higher than the rates secured through fixed-rate service contracts. *See* Forminio Dep. Tr. 105:14-24, 105:25-108:11 [APP-630-631].

34.1. The Drewry World Container Index (“Drewry data”), published weekly by Drewry Shipping Consultant, is a highly regarded and widely recognized spot rate index that measures the level of spot rates in the market. *See* Ex. 381 (McCown Report) at ¶ 98 n.36 [APP-3774]; Ex. 413 (Jensen Report) at 10 [APP-4019].

34.2. Drewry data indicates that the average spot market rate for ocean freight was \$1,446/TEU in 2019. *See* Ex. 381 (McCown Report) Table 7, at 22 [APP-3775].

34.3. Drewry data indicates that the average spot market rate for ocean freight was \$7,724/TEU in 2021. *See* Ex. 381 (McCown Report) Table 7, at 22 [APP-3775].

35. OOCL's expert Lars Jensen, whom OOCL has advanced as an expert in this case, observed during the COVID-19 pandemic that many companies were under severe pressure from freight costs and "could potentially go bankrupt because of the current situation with extremely high freight rates" *See* Dep. Ex. 425 at 1-2 (quoting Lars Jensen) [APP-4087-4088].

36. The global ocean carrier industry is highly consolidated, whereby the top eight carrier groups had a market share of 81.1% of all global shipping capacity in November 2021. *See* Dep. Ex. 420 at 4 [APP-4063].

37. Jensen in a November 10, 2021 article in FreightWaves that the shipping industry has "definitely seen the effects of consolidation. At least on the main trades there is a de facto oligopoly, which means the carriers are able to somewhat better prevent the price wars we've seen in the past. This is the logical end point of 20 years of gradual consolidation." *See* Dep. Ex. 420 at 5 [APP-4064].

37.1. A November 10, 2021 article in FreightWaves noted how the cargo container industry is dominated by Chinese government entities, which control access to containers and pricing. *See* Dep. Ex. 420 at 2 ("The same goes for container equipment factories, virtually all of which are in China. Following recent consolidation, the top three Chinese builders produce 83% of all new boxes. 'They are charging expensive prices for their containers,' said Ghesquiere. 'They have a vested interest in maintaining the high pricing levels, so we really can't see why manufacturing prices would drop. They have no incentives to change behavior.'") [APP-4061].

38. [REDACTED]

39. Jensen recognized that global ocean carrier industry's high level of consolidation and joint ownership, which suggests the common behavior of carriers was well understood during the time of the COVID-19 pandemic within the industry. *See* Dep. Ex. 420 at 5 [APP-4064].

40. During the COVID-19 Pandemic, marine terminals around the world, including those at Los Angeles / Long Beach, experienced severe congestion. *See* Donohue Dep. Tr. 39:13-20 [APP-544].

40.1. Worldwide container volume increased by six million containers in 2021. *See* McCown Dep. Tr. 163:14-17 [APP-1477].

40.2. However, this increase in container volume, equal to about 7.4% worldwide growth, was not unusual for the industry. *See* McCown Dep. Tr. 162:21-163:4 ("[I]n 2021, the worldwide container volume . . . was up 7.4 percent, which

is actually a lower percentage than . . . the entire decade from, I think, '95 to 2005"); 165:12-14 ("7.4 percent annual volume growth is not particularly significant in the container space"; 165:18-166:5 ("6 million containers by themselves is somewhat meaningless. . . . Again, less volume growth than many actual years in the past.") [APP-1477].

41. Port congestion in the United States during the pandemic resulted in part from a rise in online purchases of consumer goods, which led to a corresponding increase in shipping volume and for vessel space, including with OOCL. *See* Donohue Dep. Tr. 39:24-6 [APP-544].

41.1. Port congestion issues arose at the Los Angeles / Long Beach port terminal since at least the latter half of 2021. *See* Donohue Dep. Tr. 43:5-9 [APP-545].

41.2. The Ports of Los Angeles and Long Beach, specifically, which together handle about 40% of the nation's imports, experienced severe congestion throughout 2021 and early 2022. This congestion, driven by high consumer demand, the early Lunar New Year, and ongoing effects of the COVID-19 pandemic, led to significant delays in unloading and moving cargo.

41.3. **August 2021:** The congestion was particularly severe, with ships queuing up to dock at these major ports. The L.A.-Long Beach ship queue stood at a record 44 vessels. *See* Brendan Murray, *U.S. Port Problems Reach Worst of Pandemic Amid Crush of Imports*, Bloomberg at 1-2 (Aug. 28, 2021), <https://www.bloomberg.com/news/articles/2021-08-28/u-s-port-problems-reach-worst-of-pandemic-amid-crush-of-imports> [APP-5084-5086].

41.4. **September 2021:** The congestion persisted, leading to a record numbers of vessels arriving and waiting at Southern California ports. A record 73 ships were stuck outside—almost twice as many as at the same time in August. At the Port of L.A. alone, the amount of cargo handled was up 30% that year thus far, compared with the whole of 2020. *See* Daniel Thomas, *Record Backlog of Cargo Ships at California Ports*, BBC News at 1-2 (Sept. 21 2021), <https://www.bbc.com/news/business-58643717> [APP-5087-5090].

41.5. **October 2021:** The average waiting time for ships to dock at port was about 10 days. Wait times had grown longer for ships to dock and unload cargo at other ports around the country. *See* Chris Isidore, *Everything You're Waiting for Is In These Containers*, CNN Business, at 4 (Oct. 23, 2021), <https://www.cnn.com/2021/10/20/business/la-long-beach-port-congestion-problem-national-impact/index.html> [APP-5091-5099].

41.6. Starting November 16, 2021, boats crossing the Pacific were asked to sit 150 miles offshore as they waited for a slot to unload their cargo, and boats traveling north or south along the coast were asked to sit 50 miles out. The containers witnessed dwell times that were at peak levels, on terminal as well as on the street. *See* Sam Dean, *Is the Ports Logjam Really Getting Better? The Numbers*

Don't Tell the Whole Story, L.A. Times (Dec. 3, 2021), <https://www.latimes.com/business/story/2021-12-03/officials-say-the-ports-logjam-is-easing-but-numbers-dont-tell-the-whole-story> [APP-5100-5107].

41.7. **December 2021:** On December 20, 2021, the Port of LA Operations Report indicated that 24 container vessels were anchored within 40 miles (in-port area) and 67 were loitering or steaming toward the San Pedro Bay. Container vessels were waiting for an average of 19.9 to 33.4 days to reach a terminal to unload their containers. *See* Weekly Vessels Anchored and at Terminals as of 12/24/2021, Western Overseas Corporation, <https://www.westernoverseas.com/port-congestion-update-12-24-21/> [APP-5108-5108].

41.8. **January 2022:** The Port of Los Angeles handled 865,595 TEUs, marking its busiest January. *See Los Angeles Has Record January As Steps Continue to Address Congestion*, The Maritime Executive, at 1-2 (Feb. 17 2022), <https://maritime-executive.com/article/los-angeles-has-record-january-as-steps-continue-to-address-congestion> [APP-5109-5115].

41.9. **January 2022:** a record 109 ships awaited entry into the combined ports of Los Angeles and Long Beach, often stretching to south Orange County. *See* Donna Littlejohn, Los Angeles, *Long Beach Ports Hail Supply Chain Progress*, Transport Topics at 1 (Aug. 15, 2022), <https://www.ttnews.com/articles/los-angeles-long-beach-ports-hail-supply-chain-progress> [APP-5116-5122].

41.10. During the pandemic, the irregular flow of containers created gridlock at port terminals, such as through the buildup of empty containers. *See* McCown Dep. Tr. 197:17-198:19 [APP-1485-1486].

42. Port congestion during the COVID-19 pandemic caused significant delays in OOCL's operations, creating backlogs as vessels missed port calls and cargo had to wait for the next available vessel. *See* Forminio Dep. Tr. 187:19-189:2 [APP-651].

43. Port congestion during the COVID-19 pandemic was compounded by the unpredictability of which ports would be affected each week. *See* Forminio Dep. Tr. 187:19-189:2 [APP-651].

44. Supply chain disruptions happened frequently during the COVID-19 pandemic. *See* Forminio Dep. Tr. 169:13-170:6 [APP-646-647]; Ex. 381 (McCown Report) ¶ 171 [APP-3790-3791].

45. Planned shipping schedules were disrupted during the pandemic, leading to bottlenecks followed by sudden releases of containers, a flow that was difficult to react to and manage. *See* Porter Dep. Tr. 127:23-128:10 [APP-2151]; Ex. 381 (McCown Report) ¶ 171 [APP-3790-3791].

46. [REDACTED]

[REDACTED]

46.1. Import cargo not exiting marine terminals quickly enough to allow for new import cargo delivery from incoming vessels from Asia. *See* Donohue Dep. Tr. 43:10-19 [APP-545]; Young Dep. Tr. 76:5-15 (“But, of course, the consequences of that was that the terminals were then being flooded with imports, and to such a degree that the White House appointed an envoy, and General Lyons, who was the head of that -- he was the envoy -- coordinated meetings with all the participants on the supply chains. So truckers, importers, exporters, shipping lines, railroads all participated in this meeting to try to see how can we get cargo moving more effectively.”) [APP-2842].

46.2. Delays in vessel productivity leading to a backlog of empty containers waiting to be loaded onto vessels. *See* Donohue Dep. Tr. 43:20-23 [APP-545].

46.3. Containers idling at ports. *See* Donohue Dep. Tr. 90:22-91:4 [APP-557]; Young Dep. Tr. 79:10-22 (“A: . . . we rely on return cargo or export cargo or empties to come back to replenish the rail cars within the port. And because there was containers that were just stuck or just sitting because they couldn’t unpack it, the empties weren’t coming back. Exports were lower than normal. And so we had situations where rail cars were all in the wrong place.”) [APP-2843].

46.3.1. OOCL employed so-called “extra loader” vessels to clear empty containers from port terminals. *See* Young Dep. Tr. 81:6-12 (“A: . . . we were getting the port envoy that says, get these empties off the terminal. Ship them out. . . . So we had to also employ extra loaders just to come up and try to clear the empties away so that we would create space for the work to take place at the terminals.”) [APP-2843].

46.4. Containers being buried in stacks at ports. *See* Donohue Dep. Tr. 43:24-44:8 (“Generally speaking, it could involve containers buried in stacks. And in certain circumstances, it could make it difficult for pickup.”) [APP-545]; Young Dep. Tr. 77:12-78:23 (“A: . . . to answer your question directly, there were containers specifically in some other containers in the LA basin that definitely were buried.”), 88:17-23 [APP-2842-2843, -2845].

46.5. Long queues of trucks at terminal gates. *See* 1AC ¶ 88 [APP-60]; *see also* [REDACTED]

46.6. A shortage of chassis. *See* Donohue Dep. Tr. 51:17-22 [APP-547]; Devine Dep. Tr. 100:7-16 (“A: Yeah. I think that it’s general knowledge that this chassis shortage was created due to the large volume of imports that sat idle outside

warehouses and deserts everywhere in southern California. So, yeah, there wasn't enough chassis to handle the volume. And there was no fluidity. They weren't coming back. So there was a chassis shortage from time to time, yes.") [APP-437]; Chen Dep. Tr. 118:3-17 [APP-181].



46.7. A shortage of railcars. *See* Donohue Dep. Tr. 52:13-17 [APP-547]; Young Dep. Tr. 79:10-22 ("A: . . . we rely on return cargo or export cargo or empties to come back to replenish the rail cars within the port. And because there was containers that were just stuck or just sitting because they couldn't unpack it, the empties weren't coming back. Exports were lower than normal. And so we had situations where rail cars were all in the wrong place.") [APP-2843]; Chen Dep. Tr. 118:18-119:2 [APP-181].

46.8. A shortage of appointments for picking up laden containers or dropping off empty containers. *See* Donohue Dep. Tr. 53:18-54:5 [APP-547-548]; Chen Dep. Tr. 115:17-116:14 (acknowledging that during 2020 through 2022 the lack of appointments was "a very common problem across all terminals", including Long Beach, California) [APP-180].

46.9. A shortage of trucks. *See* Donohue Dep. Tr. 56:14-19 [APP-548].

47. During at least part of the pandemic period, OOCL had a "no empty in" / "dual appointment" / "dual transaction" restriction for containers at the port of Los Angeles/Long Beach, meaning if a customer wanted to deliver an empty container it had to pick up a loaded container during the same visit. *See* 1AC ¶ 90 [APP-60]; [REDACTED] Young Dep. Tr. 87:3-21 [APP-2845].

47.1. A "no empty in" / "dual appointment" / "dual transaction" requirement is a requirement imposed by a port terminal in which for each container that a shipper dropped off, that shipper must also arrange the simultaneous pick up of a container. *See* Donohue Dep. Tr. 50:19-51:3 [APP-547]; Delprete Dep. Tr. 98:7-22 [APP-365]; Devine Dep. Tr. 98:11-12 [APP-437].

48. At times during the pandemic, OOCL instituted "no empty in" / "dual appointment" / "dual transaction" requirements for the terminals in which it operated. *See* Devine Dep. Tr. 98:14-99:23 ("Q: Was there ever a dual transaction requirement at terminals OOCL used? A: There may have been. . . . Q: Was LBCT one of them? A: May have been. . . . Q: So you're saying that in order -- you're saying there were needs for empties, and so there would be, at times, a dual

transaction? A: Yes. Exactly. Exactly. Q: And that would be a requirement? A: Uh-huh. May have been.”) [APP-437]; Sha Dep. Tr. 80:3-10 (“Q: So when it comes to the dual transaction, dual volume requirement, what are some of the terminals you know that did have the dual transaction requirement? A: I know in some particular day, LBCT. Q: LBCT? A: Long Beach Container Terminal, they do have this requirement.”) [APP-2317]; [REDACTED]

49. “No empty in” / “dual appointment” / “dual transaction” requirements prevented the return of many empty containers that terminals badly needed. *See* Young Dep. Tr. 79:11-20 (“A: . . . Because another issue was that while there was so much cargo coming in and we were loading them onto rail cars and distributing them on land, we rely on return cargo or export cargo or empties to come back to replenish the rail cars within the port. And because there was containers that were just stuck or just sitting because they couldn’t unpack it, the empties weren’t coming back.”) [APP-2843]; *see also infra* ¶ 734.

49.1. OOCL was aware that dual-appointment requirements contributed to port congestion in instances where OOCL’s customers such as BBY did not have laden containers to pick up or laden containers were inaccessible. *See* Young Dep. Tr. 88:6-23 [APP-2845].

50. OOCL was aware of the port and rail congestion issues that all BCO customers, including BBY, faced from 2020 through 2022. *See* Chen Dep. Tr. 113:3-119:2 [APP-179-181]; Mitchell Dep. Tr. 116: 19-119:5 [APP-1706-1707].

50.1. OOCL participated frequently in industry meetings with envoys tasked by the President of the United States to address port congestion issues. *See* [REDACTED] Young Dep. Tr. 76:5-77:11, 79:23-80:17 (“A: . . . So the president set up what he called the White House Envoy to coordinate meetings with all the stakeholders to try to see what we can do to improve the flow of cargo and ensure that we don’t have a situation -- and it did happen a couple times that we had a vessel that came into one of the LA ports and it couldn’t work because there was nowhere to discharge and put the containers. Q: And were you -- just to be clear, did you participate in these port envoy meetings? A: I attended the port envoy meetings . . .”) [APP-2842-2843].

51. Congestion issues during the pandemic were well known not just to carriers but to everyone involved in the supply chain. *See* McCown Dep. Tr. 274:16-22 [APP-1505].

52. [REDACTED]

53. One catalyst for the situation in southern California—where at one point during the relevant time period over one hundred ships were anchored off the coast, waiting to unload their

loaded containers—was nonperformance of carriers within their terminal spaces. *See* McCown Dep. Tr. 169:4-24 [APP-1478].

IV. OOCL’s Extreme and Unprecedented Profitability during the COVID-19 Pandemic

54. During the three-year period from 2017 through 2019, the net profit as a percentage of revenue for the shipping industry was well below one percent. *See* Ex. 381 (McCown Report) ¶ 26 [APP-3759].

55. During the three-year period from 2017 through 2019, the net profit as a percentage of revenue for OOCL was 2.3%, 1.6%, and 2.8%, respectively. *See* Ex. 381 (McCown Report) Table 1, at 7 [APP-3760].

56. In 2020, OOCL’s net profit as a percentage of revenue was 11.0%. *See* Ex. 381 (McCown Report) Table 1, at 7 [APP-3760].

57. In 2021, OOCL’s net profit as a percentage of revenue was 59.2%. *See* Ex. 381 (McCown Report) ¶ 30 [APP-3760].

58. In 2022, OOCL’s revenues increased to \$19,820,000,000 while its net profit as a percentage of revenue was 36%, much higher than pre-pandemic margins. *See* Ex. 381 (McCown Report) 7 [APP-3760].

59. As OOCL publicly reported, its Container Transport and Logistics business had earnings before interest and taxes (“EBIT”) of \$370 million for 2019. *See* Dep. Ex. 54 at 2 [APP-3095].

60. As OOCL publicly reported, its Container Transport and Logistics business had EBIT of \$1.005 billion for 2020, *nearly triple* its EBIT in the previous year. *See* Lam Dep. Ex. 54 at 1 [APP-3094].

61. As OOCL publicly reported, its Container Transport and Logistics business had EBIT of \$7.387 billion for 2021, *a more than 700% increase* from 2020. *See* Lam Dep. Ex. 54 at 13 [APP-3106].

62. OOCL announced its Container Transport and Logistics business reported EBIT of \$10.1 billion for 2022, *a more than 36% increase* from the prior year, and *a more than 2,700% increase from its pre-pandemic EBIT in 2019*. *See* Lam Dep. Ex. 54 at 20 [APP-3113].

63. In 2021, the shipping industry’s net profit as a percentage of revenue was 36.8%, as compared with less than 1% during the years 2017 through 2019. *See* Ex. 381 (McCown Report) Table 1, at 7 [APP-3760]; Ex. 381 (McCown Report) ¶ 26 [APP-3759].

64. OOCL’s 2021 net profit as a percentage of revenue of 59.2% was extraordinary not only in an absolute sense but also in a relative sense, as it exceeded the overall industry’s net income to revenue margin by 22.4 percentage points. *See* Ex. 381 (McCown Report) ¶ 30 [APP-3760].

66. Jensen stated in August 2020 that “shipping lines have for now clearly said goodbye to the old philosophy about it being exclusively a matter of conquering market shares and volumes at all costs, to it now being a bit more reasonably [*sic*] to focus on how to become profitable.” *See* Dep. Ex. 416 at 4 [APP-4040].

67. Jensen projected in August 2020 that “[u]nless something goes horribly wrong in the second half of the year, the shipping lines altogether will most likely exit 2020 with a profitability that’s better than 2019, despite the crisis.” *See* Dep. Ex. 416 at 5 [APP-4041].

V. Background on Service Commitments by Ocean Carriers

68. Like many shippers, BBY entered into annual service contracts to meet its anticipated needs for freight. *See* Ex. 381 (McCown Report) ¶ 33 [APP-3761].

69. Service contracts that concern maritime commerce involving the United States are governed by the Shipping Act. *See* Ex. 381 (McCown Report) ¶ 34 [APP-3761].

70. Each service contract that BBY had with OOCL contained an MQC, i.e., a minimum quantity of space that OOCL committed to providing at the prices and on the lanes specified in the service contract. *See* Ex. 381 (McCown Report) ¶ 35 [APP-3761-3762].

71. Some shippers, including BBY, prefer service contracts for their ocean freight needs. *See* Ex. 381 (McCown Report) ¶ 42 [APP-3763]; *see also infra* ¶¶ 135-136 (citing OOCL’s expert Lars Jensen’s analysis of benefits of fixed-rate freight contracts to shippers and risks of bankruptcy from increases in ocean freight costs).

72. As recognized by the FMC, there is a distinction between service contracts, which provide a fixed quantity and fixed prices, and spot market carriage, in which a carrier has no obligation to accept any particular shipment, prices can fluctuate widely, and there is no guarantee of space during periods of peak demand or supply chain congestion. *See* Ex. 381 (McCown Report) ¶ 40 [APP-3762-3763]; *OJ Commerce, LLC*, Dkt. No. 21-11, slip. op. at 27 (Fed. Mar. Comm’n Aug. 27, 2024).

73. Service contracts are taken seriously in the shipping industry because they create both contractual and statutory obligations. *See* Ex. 381 (McCown Report) ¶ 36 [APP-3762].

74. In the experience of BBY’s expert, John McCown, ocean carriers are well aware of the importance of honoring their service commitments under service contracts and understand that if they choose not to honor these commitments, they do so at peril of investigations, enforcement proceedings, and penalties. *See* Ex. 381 (McCown Report) ¶ 41 [APP-3763].

75. Beneficial Cargo Owners (“BCOs”) such as BBY expect to, and should be able to, rely on carriers to honor their service commitments. *See* Ex. 381 (McCown Report) ¶ 42 [APP-3763].

76. Steffen admitted that his expectation based on his expertise is that, in industries where there is a distinction between fixed rate agreement and floating spot price purchases, producers would honor their fixed rate agreements. *See* Steffen Dep. Tr. 63:23-64:4 (“Q. In your exposure to industries where there is a distinction between fixed rate agreement and floating spot price purchases, do you expect that producers will honor their fixed rate agreements? A I would expect that.”) [APP-2535].

77. Steffen admitted that in any field he has worked in he would never advise a consumer of a product with a fluctuating price to resort solely to fluctuating spot prices where fixed rate-contracts, like the Service Contracts between BBY and OOCL, are available, including because such a consumer could go bankrupt if it suddenly needed to pay significantly higher prices than those it anticipated paying. Steffen Dep. Tr. 60:7-64:19 [APP-2534-2535].

VI. OOCL’s Employees Acknowledged Its Shipping Act Violations in Internal Communications

[REDACTED]

[REDACTED]

[REDACTED] *See* [REDACTED] Ex. 381 (McCown Report) ¶ 67 [APP-3767-3768]; *see also* [REDACTED]

80.1. The September 2021 presentation summarized a meeting of OOCL’s top management and trade executive, including: OOCL’s Chief Operating Officer, **Kenny Ye**; Director of Trade, **Teddy Fung**; General Manager of Transpacific Trade, **Karen Lam**; Regional Manager, **David Maw**; President of OOCL (USA) Inc., **Paul Devine**; North America Director of Marketing and Sales, **Glenn Metzger**; and regulatory compliance and systems manager, **Mike Young**. *See* [REDACTED] Young Dep. Tr. 144:3-148:25 (“*It was really more the management group that we wanted to address because we felt they were the ones that could do something about the situation we were in.*”) (emphasis added) [APP-2859-2860]; Devine Dep. Tr. at 295:6-22 (“Q. So earlier

we discussed an e-mail where Mike Young indicated that he felt it was important to raise certain issues with management. Do you recall that? A. Yes, I recall some discussion about that. Q. Is this a follow-up from that e-mail, to your knowledge? A. It appears to be. Q. Okay. Is this where your team raised such issues? A. Mike would regularly raise issues in an effort to keep our group aligned with the operating environment, yeah.”) [APP-486].

81.

[REDACTED]

[REDACTED] Ex. 381 (McCown Report)

¶ 68 [APP-3768-3769].

83.

[REDACTED] Ex. 381 (McCown Report) ¶ 127 [APP-3780-3781].

84.

[REDACTED]

85.

[REDACTED]

86.

[REDACTED]

87.

[REDACTED]

88.

[REDACTED]

89.

[REDACTED]

90.

ARGUMENT

I. Count I: Violation of 46 U.S.C. § 41102(c): OOCL’s Failure to Meet its Service Commitments to BBY under the Service Contracts Regarding MQC Commitments Was Unreasonable and Constitutes a Violation of 46 U.S.C. § 41102(c) (“Unjust and unreasonable failure to meet service commitments under the Service Contracts”)

A. Count I, Element 1: OOCL is an ocean common carrier.

91. OOCL is an ocean common carrier.

91.1. This element has been established. *Supra* ¶ 11.

91.2. This element is undisputed.

B. Count I, Element 2: OOCL’s acts or omissions occurred on a normal, customary, and continuous basis.

92. OOCL’s conduct in violation of Count I occurred on a normal, customary, and continuous basis.

92.1. This element has been established. *Infra* FOF.Arg.I.B.

92.2. This element is undisputed.

93. OOCL’s actions throughout the relevant period did not relate to a single discrete incident but rather to a large number of shipments and for extended periods of time. *See* Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs “SY 20”, “20 But For,” and “20 Damages,” SY 21”, “21 But For,” and “21 Damages”) [APP-3359]; Ex. 326 at 9, 10 [APP-3345-3346]; Ex. 381 (McCown Report, Appendices A-1 through C) [APP-3794-3845]; Ex. 381 (McCown Report) ¶ 48 (“OOCL’s strategy was to participate in the spot market through service contracts with NVOCCs.”) [APP-3764].

94. OOCL’s failure to make space available under its Service Contracts with BBY, and service contracts with other customers, resulted in mounting shortages for BBY as well as other shippers.

95. During the term of the 2020 Service Contract, OOCL’s misconduct caused OOCL to carry only 1,475.85 FEUs of the 2,100 contracted FEUs, and BBY had to secure at least 624.15 FEUs on the lanes that were supposed to be covered by OOCL’s 2020 Service Contract via alternative means and to pay \$3,146,072 more for carriage of those FEUs than it would have

pursuant to the 2020 Service Contract. *See* 1AC ¶ 176 [APP-85]; Ex. 381 (McCown Report, Appendices A-1 through A-4) [APP-3794-3809]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs “SY 20”, “20 But For,” and “20 Damages”) [APP-3359]; *see also* Ex. 326 at 9-10 [APP-3345-3346].

96. [REDACTED]

97. OOCL’s November and December 2020 allocations met only about two-thirds of BBBY’s projected space requests. *See* P-0000215635 at P-0000215635 [APP-4394].

98. By January 2021, there were significant backlogs on BBBY’s orders due to “space constraints from the carriers”, including OOCL. *See* Jacobus Dep. Ex. 265 at P-0000224001 [APP-3332]; Jacobus Dep. Tr. 58:8-59:4 [APP-943].

99. By the end of January 2021, OOCL was on track to fulfill only approximately 60 percent of its service commitment to BBBY in the 2020 Service Contract. *See* 1AC ¶ 41 [APP-48]; Ex. 330 (Tabs “SY 20”, “20 But For,” and “20 Damages”) [APP-3359]; *see also* Ex. 326 at 9, 10 [APP-3345-3346].

100. [REDACTED]

101. Despite committing to provide 2,100 FEUs of space to BBBY during the 2020 Service Contract year, OOCL provided only approximately 1,475.85 FEUs of space, or 70.3% of its service commitment. *See* 1AC ¶ 35 [APP-85]; Ex. 381 (McCown Report, Appendices A-1 through A-4) [APP-3794-3809]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs “SY 20”, “20 But For,” and “20 Damages”) [APP-3359]; *see also* Ex. 326 at 9, 10 [APP-3345-3346].

102. As a result of OOCL’s 624.15-FEU shortfall during the 2020 Service Contract year, BBBY was forced to seek carriage from other sources at higher rates, or else forgo shipments entirely. *See* 1AC ¶ 36 [APP-85]; Ex. 381 (McCown Report, Appendices A-1 through A-4) [APP-3794-3809]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; [APP-4414]; Ex. 330 (Tabs “SY 20”, “20 But For,” and “20 Damages”) [APP-3359]; *see also* Ex. 326 at 9, 10 [APP-3345].[APP-3346].

103. Appendices A-1 through A-4 of the McCown Report reflect actual shipments that BBBY had to undertake using NVOs or ocean freight forwarders during the 2020 Service Contract year on lanes that were supposed to be covered by OOCL’s 2020 Service Contract, but for which OOCL failed to meet its service commitments under the 2020 Service Contract. *See* Ex. 381 (McCown Report, Appendices A-1 through A-4) [APP-3794-3809]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 329 [APP-3358].

104. During the term of the 2021 Service Contract, OOCL’s misconduct caused OOCL to carry only 2,432.74 FEUs of the 3,796 contracted FEUs, and BBBY had to secure at least 1,363.26 FEUs on the lanes that were supposed to be covered by OOCL’s 2021 Service Contract via alternative means and to pay at least \$19,563,799.79 more for carriage of those FEUs than it would have pursuant to the 2021 Service Contract. *See* 1AC ¶ 178 [APP-85]; Ex. 381 (McCown

Report, Appendices B-1 through B-4) [APP-3810-3844]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs “SY 21”, “21 But For,” and “21 Damages”) [APP-3359]; *see also* Ex. 326 at 9, 10 [APP-3345-3346].

[REDACTED]

106. In the months of October 2021 through March 2022, OOCL provided just 52.9 percent of contracted space to BBY, if allocated monthly. *See* 1AC ¶ 46 [APP-49]; Ex. 381 (McCown Report, Appendices B-1 through B-4) [APP-3810-3844]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs “SY 21”, “21 But For,” and “21 Damages”) [APP-3359]; *see also* Ex. 326 at 9, 10 [APP-3345-3346].

107. [REDACTED]

[REDACTED]

108.1. BBY’s February 2022 Letter to OOCL stated in part: “[REDACTED]

[REDACTED]

109. Despite agreeing to provide 3,796 FEUs of space to BBY during the 2021 Service Contract year, OOCL provided only approximately 2,432.74 FEUs of space, or 64.1% of its service commitment. *See* 1AC ¶ 47 [APP-49]; Ex. 381 (McCown Report, Appendices B-1 through B-4) [APP-3810-3844]; Dep. Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs “SY 21”, “21 But For,” and “21 Damages”) [APP-3359]; *see also* Dep. Ex. 326 at 9, 10 [APP-3345-3346].

110. Appendices B-1 through B-4 of the McCown Report reflect actual shipments that BBY had to undertake using NVOs or ocean freight forwarders during the 2021 Service Contract year on lanes that were supposed to be covered by OOCL's 2021 Service Contract, but for which OOCL failed to meet its service commitments under the 2021 Service Contract. *See* Ex. 381 (McCown Report Appendices B-1 through B-4) [APP-3810-3844]; Dep. Ex. 328 [APP-3357]; Dep. Ex. 329 [APP-3358].

111. OOCL failed to meet its service commitment on fixed-price BCO service contracts with all customers, including BBY. *See* Mitchell Dep. Tr. 178:24-179:4 ("for all of your BCO customers, MQC was not achieved prior to a drawdown amendment, correct? A Correct.") [APP-1722].

112. It was common for OOCL to experience disputes with its customers as to fulfillment of MQC service commitments, especially during the 2020-2021 shipping year. *See* Forminio Dep. Tr. 138:2-142:7 [APP-639-640].

112.1. Many of OOCL's customers' complaints were related to not receiving enough space to meet their MQC under service contracts, often due to operational issues or human error. *See* Forminio Dep. Tr. 138:2-142:7 [APP-639-640].

112.2.

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

114. [REDACTED]

115. As of August 5, 2021, *only 7 of OOCL's 146 North America East customers were at or were close to their respective MQC* on a pro rata basis. See [REDACTED] see also Young Dep. Tr. 123:15-124:24 [APP-2854].

116. [REDACTED]

[REDACTED] ep. Tr. 307:6-308:13 [APP-228].

116.2. [REDACTED]

117. [REDACTED]

119. Even as OOCL failed to meet North American customers' MQCs, more than 95% of OOCL's trans-pacific trade voyages sailed at full capacity during the 2020 and 2021 Shipping Years, and OOCL's overall annual shipping volume actually grew from 2019 (3,477k FEU/6,954k TEU), to 2020 (3,731k FEU/7,462k TEU) and 2021 (3,793.5k FEU/7,587k TEU), before subsiding modestly in 2022 (3,564.5k FEU/7,129k TEU), demonstrating that a lack of capacity was not the reason for this under-performance. See Lam Dep. Tr. 94:21-95:23 [APP-1362]; Annual Report, Orient Overseas (International) Ltd. (2020) at 17 [APP-4440]; Annual Report, Orient Overseas (International) Ltd. (2021) at 14 [APP-4640]; Annual Report, Orient Overseas (International) Ltd. (2022) at 16 [APP-4845] (The volume for each year, both TEU and FEU, is shown in the thousands).

120. Despite OOCL's failures to meet its service commitments to BBY and other service contract customers, during the 2020 Shipping Year, more than 95% of OOCL's trans-pacific trade voyages sailed at full capacity. See Lam Dep. Tr. 94:21-95:23 [APP-1362].

121. Despite OOCL's failures to meet its service commitments to BBY and other service contract customers, during the 2021 Shipping Year, more than 95% of OOCL's trans-pacific trade voyages sailed at full capacity. *See* Lam Dep. Tr. 94:21-95:23 [APP-1362].

C. Count I, Element 3: OOCL's practices and regulations relate to or are connected with receiving, handling, storing, or delivering property.

122. OOCL's practices and regulations relate to or are connected with receiving, handling, storing, or delivering property.

122.1. This element has been established. *Infra* FOF.I.C.

122.2. This element is undisputed.

D. Count I, Element 4: OOCL's practices and regulations are unjust and unreasonable.

123. Due to OOCL's practices of (1) failing to meet its service commitments as to cargo space under its Service Contracts with BBY, (2) preferring higher-priced freight over meeting its service commitments under its Service Contracts with BBY, and (3) negotiating the Service Contracts without intending to comply with them, OOCL failed to meet its service commitments to BBY under the Service Contracts.

123.1. This element has been established. *Infra* FOF.Arg.I..

123.2. This element is undisputed.

124. OOCL's practices were unreasonable and inconsistent with historical industry practice. *See* Ex. 381 (McCown Report) ¶¶ 86-88 [APP-3772].

125. OOCL's practices were not warranted by any constraints outside of OOCL's control. *See* Ex. 381 (McCown Report) ¶ 89 [APP-3772].

125.1. During the 2020-2021 and 2021-2022 shipping years, OOCL's container ships were running full in the headhaul lanes. *See* Mitchell Dep. Tr. 178:19-22 [APP-1722]; Lam Dep. Tr. 94:21-95:23 [APP-1362]; Chen Dep. Tr. 126:16-127:10, 241:14-16 [APP-183, APP-211]; Ex. 381 (McCown Report) ¶¶ 51, 161 [APP-3765, APP-3789].

125.2. From 2019 (3,477k FEU/6,954k TEU), OOCL's overall annual shipping volume grew in both 2020 (3,731k FEU/7,462k TEU) and 2021 (3,793.5k FEU/7,587k TEU), before subsiding modestly in 2022 (3,564.5k FEU/7,129k TEU). *See* Annual Report, Orient Overseas (International) Ltd. (2020) at 17 [APP-4440]; Annual Report, Orient Overseas (International) Ltd. (2021) at 14 [APP-4640]; Annual Report, Orient Overseas (International) Ltd. (2022) at 16 [APP-4845]; Ex. 381 (McCown Report) ¶¶ 90-91 (Table 3) (The volume for each year, both TEU and FEU, is shown in the thousands) [APP-3773].

126. Steffen admitted that in any field he has worked in he would never advise a consumer of a product with a fluctuating price to resort solely to fluctuating spot prices where fixed rate-contracts, like the Service Contracts between BBY and OOCL, are available, including because such a consumer could go bankrupt if it suddenly needed to pay significantly higher prices than those it anticipated paying. Steffen Dep. Tr. 60:7-64:19 [APP-2534-2535].

1. OOCL's practice of violating its service commitments in favor of systematically favoring higher-priced freight was unreasonable.

127. Throughout the 2020 and 2021 Service Years, OOCL unreasonably failed to meet its service commitments to BBY and other BCO customers, including because (i) OOCL's policies failed to make reasonable accommodations to provide space to BBY under the Service Contracts; (ii) OOCL failed to accurately track booking attempts; and (iii) OOCL otherwise failed to make reasonable accommodations to provide space to BBY and other of its BCO customers.

128. BBY reasonably relied on OOCL to fulfill OOCL's service commitments under the Service Contracts. *See* Ex. 381 (McCown Report) ¶ 43 [APP-3763].

128.1. Steffen admitted that relying solely on spot prices for fluctuating commodities can expose a company to risks, including bankruptcy, and he would never advise a large consumer to rely exclusively on spot prices because "you cannot hedge the risk." *See* Steffen Dep. Tr. 62:13-63:12 [APP-2535].

128.2. BBY sought to enter into service contracts covering 100% of its anticipated needs for the year and no more. *See* Ex. 381 (McCown Report) ¶ 43 [APP-3763]; Hackett Dep. Tr. 234:25-235:15 [APP-872]; Klosowsky Dep. Tr. 239:12-16 [APP-1296]; *See* Pastor Dep. Tr. 43:25-44:12, 98:6-14 [APP-1940; APP-1954].

128.3. Steffen admitted that it is preferable to enforce a fixed-rate agreement rather than paying significantly higher prices elsewhere for the same commodity. *See* Steffen Dep. Tr. 102:3-9 [APP-2545].

128.4. Jensen observed during the COVID-19 pandemic that many companies were under severe pressure from freight costs and "could potentially go bankrupt because of the current situation with extremely high freight rates". *See* Dep. Ex. 425 at 1-2 (quoting Lars Jensen) [APP-4087-4088].

129. BBY complied with its obligations under the Service Contracts.

129.1. BBY diligently sought to ensure that its forecasts to OOCL of its anticipated needs for each service year would be accurate. *See* Klosowsky Dep. Tr. 206:3-209:14 [APP-1288].

129.2. BBY regularly provided updated container forecasts to ocean carriers, including OOCL. *See* Klosowsky Dep. Tr. 208:4-15 [APP-1288].

129.3. BBY regularly reviewed container space provided by OOCL. *See* Klosowsky Dep. Tr. 48:7-49:6 [APP-1248].

130. OOCL knew BBY intended to fulfill the MQC under the Service Contracts. *See* Chen Dep. Tr. 271:5-11. [APP-219].

130.1. BBY made repeated requests for the space to which OOCL had committed in the service contracts. *See* [REDACTED]

[REDACTED] acobus Dep. Tr. 166:5-167:15 [APP-970].

130.2. During the pandemic, BBY attempted to ship products with OOCL 60 days earlier than BBY typically would in order to help ease shipping issues. *See* Klosowsky Dep. Tr. 194:2-4 [APP-1285].

131. BBY's third-party booking agent, Yusen, diligently performed its duties attempting to make bookings with OOCL on BBY's behalf pursuant to BBY's Service Contracts. *See* Jacobus Dep. Tr. 164:1-165:3, 165:12-166:3 [APP-969-970]; Pastor Dep. Tr. 283:3-10, 287:14-288:20 [APP-2000-2001].

132. Steffen admitted that a consumer of container shipping who had a fixed rate agreement at a particular price could face operational or financial problems if that consumer was required to pay multiples of that fixed rate agreement price through spot market purchases. *See* Steffen Dep. Tr. 64:11-20 [APP-2535].

133. Contrary to paragraph 18 of his report, Boris Steffen admitted that the prices OOCL charged BBY for shipping cargo had an effect on BBY's operational performance. *See* Steffen Dep. Tr. 90:18-91:14, 94:15-95:7 [APP-2542-2543].

134. Steffen admitted that rising supply chain costs may have contributed to BBY's negative operating cash flow during the pandemic, and that negative cash flow was a factor in BBY's lack of liquidity. *See* Steffen Dep. Tr. 111:19-25, 112:11-16 ("Q. And increases in supply chain costs, to the extent that they caused cost to exceed revenues, would contribute to negative operating cash flow, correct? A. That could contribute to a negative operating cash flow.") [APP-2547].

135. Jensen published analysis on October 19, 2021 that found having fixed freight contracts had a huge benefit to shippers over use of the spot market due to high freight costs. *See* Dep. Ex. 425 at 1 [APP-4087].

136. Jensen provided analysis published on October 19, 2021 that directly identified shippers' bankruptcy as a likely consequence of the sustained increase in ocean freight costs associated with the COVID-19 pandemic conditions *See* Dep. Ex. 425 at 2 [APP-4088].

137. OOCL failed to meet its service commitments to BBY, including as to fulfilling its MQC obligations.

137.1. OOCL met only 70.3% of the MQC in the 2020 Service Contract. *See* 1AC ¶ 35 [APP-47]; Ex. 381 (McCown Report, Appendices A-1 through A-4) [APP-3794-3809]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs “SY 20”, “20 But For,” and “20 Damages”) [APP-3359]; *see also* Ex. 326 at 9, 10 [APP-3345-3346].

137.2. OOCL met only 64.1% of the MQC in the 2021 Service Contract. *See* 1AC ¶ 47 [APP-49]; Ex. 381 (McCown Report, Appendices B-1 through B-4) [APP-3810-3844]; Dep. Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 330 (Tabs “SY 21”, “21 But For,” and “21 Damages”) [APP-3359]; *see also* Dep. Ex. 326 at 9, 10 [APP-3345-3346].

137.3. OOCL’s “run rates” under its Service Contracts with BBY never even got close to its service commitments under the Service Contracts. *See* Hackett Dep. Tr. 187:3-14 [APP-860].

137.4. OOCL regularly failed to allocate to BBY space that BBY rightfully should have been allocated. *See* Dep. Ex. 276, 278 [APP-3335-3336]; Jacobus Dep. Tr. 132:20-133:13, 146:4-5 [APP-961; APP-965].

137.5. [REDACTED]

137.6. The November and December 2020 allocations met only about two-thirds of BBY’s projected requests. *See* P-0000215635 at P-0000215635 [APP-4394].

137.7. By January 2021, there were significant backlogs on BBY’s orders due to “space constraints from the carriers”, including OOCL. *See* Dep. Ex. 265 [APP-3331-3334]; Jacobus Dep. Tr. 58:8-59:4 [APP-943].

137.8. [REDACTED]

137.10. During the 2020-2021 and 2021-2022 Service Contract years, OOCL never even approached providing space to BBY equaling its service commitments under its Service Contracts with BBY. *See* Klosowsky Dep. Tr. 230:7-230:20; 246:9-10 [APP-1294; APP-1298].

i. OOCL’s policies failed to make reasonable accommodations to provide space to BBBY under the Service Contracts.

138. OOCL failed to make reasonable accommodations to provide space to BBBY under the Service Contracts.

a. Description of OOCL’s allocation scheme.

139. OOCL’s CSAL scheme was complicated and self-servingly crafted to enrich OOCL at the expense of its customers.

140. OOCL used a program called “CSAL” to determine how much space to offer to OOCL’s customers, including BBBY, during the service contract years at issue. *See* Ex. 381 (McCown Report) ¶ 53 (“OOCL states that it used a program called ‘CSAL’ to determine how much space to offer to OOCL’s customers, including BBBY, during the service contract years at issue. CSAL is not described in OOCL’s service contracts, and BBBY did not agree to be bound by CSAL in its service contracts with OOCL.”) [APP-3765].

141. During the time period 2020 through 2022, OOCL’s customers, including customers with service contracts, did not have access to OOCL’s actual space booking system.

141.1. Instead, OOCL maintained a separate external booking request system, “My OOCL Center”, into which customers “could put anything they want in their booking request”. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

141.2. That electronic booking request, however, would merely “create[] a dashboard task for a[n OOCL] Customer Service rep to put the actual booking into . . . [OOCL’s internal] enterprise system”, which was known as IRIS-4, on a manual basis, and only then, after the OOCL employee had manually entered a booking into IRIS-4, would a customer receive a booking acknowledgment generated by OOCLs internal IRIS-4 system. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

142. During the time period of 2020 through 2022, CSAL was also primarily a manual input system. *See* Lam Dep. Tr. 127:2-23 (“Q. Who on OOCL's trade team has involvement with the CSAL for the United States during this time period 2020 through 2022? A. During that period of time CSAL input is still a manual input.”) [APP-1370]; Metzger Dep. Tr. 12:16-20 (“So when I helped build CSAL -- so, originally, CSAL was an Excel spreadsheet that was shared through -- that was done for some time -- with the parties involved.”) [APP-1592].

142.1. Each of OOCL’s “Trade Control Regions” (“TCRs”) assembled space allocation projections into Excel spreadsheets. *See* Lam Dep. Tr. 127:2-14 (“They actually send to space control team, we have a department outside of TPT. We call it STCC is the department name for the space traffic control center. So they gather all the CSAL input and they consolidate into one Excel file during the year 2020 shipping year, so they will share to all the TCR region. TCR is the traffic control region who is responsible to manage the booking.”) [APP-1370].

142.2. OOCL's Space Traffic Control Center ("STCC") consolidated the TCRs' respective space allocation projections into a single Excel spreadsheet, or "CSAL" file. *See* Lam Dep. Tr. 127:2-14 [APP-1370].

142.3. OOCL's STCC is located in Hong Kong. *See* Lam Dep. Tr. 127:24-128:4 ("Q. The STCC that you mentioned, where is the STCC based? A. They're located in Hong Kong. They are the space control team separate out from the trade.") [APP-1370].

143. According to OOCL's U.S.-based employee Glenn Metzger, the CSAL process was performed as follows: (1) OOCL Sales team representatives determined whether an allocation was capable based on prior allocations already set; (2) the sales representative inputs customer commitments into CSAL; (3) the regional business analyst (RBA) goes over this information to make sure there are no gaps; (4) the regional business analyst hands off this information to Metzger's team who do a preliminary review to make sure they are meeting commitments based on the regional allocation; (5) Metzger's team then submits this to the "traffic controller", who makes sure that there is a capability to meet all of that; (6) once TCC approves, that approved CSAL is given to Overseas Booking Team which converts it into another system called "BAL" ("booking allocation list"). *See* Metzger Dep. Tr. 34:14-36:22 [APP-1598].

144. The booking allocation list or "BAL" used the data from CSAL to identify an allocation afforded to the customer, and was used by the booking clerk when a customer made a booking. *See* Metzger Dep. Tr. 36:11-22 [APP-1598]; Forminio Dep. Tr. 246:9-13 ("When we submitted CSAL, somebody at origin, somebody at Traffic at origin would put together a booking allocation list. That's what the booking clerk used when somebody made a booking.") [APP-666].

145. Although OOCL's customers "could put anything they want in their booking request" in OOCL's external "My OOCL Center" system, space would not actually be allocated by OOCL until after an OOCL customer service representative manually input a corresponding booking in OOCL's internal IRIS-4 system. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

146. OOCL's external "My OOCL Center" system did not prevent customers from submitting booking requests that exceeded OOCL's internal CSAL allocation to that customer, or notify customers of such; unless there was further specific back-and-forth between the customer and an OOCL customer service representative regarding the booking request, the customer's booking request simply "would never get input into [OOCL's actual internal booking system,] IRIS-4" Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

147. During the time period of 2020 through 2022, OOCL's trade team had no direct involvement in developing OOCL's central CSAL file. *See* Lam Dep. Tr. 127:18-21 ("So our trade team have no direct involvement for the period during 2020 to 2022 but we can have a real, I mean commercial team for individual region or region.") [APP-1370].

148. [REDACTED]

149. OOCL assesses its shipping capacity each year by knowing the number of service loops, the number of vessels in each loop, and the capacity of those vessels. These assessments are primarily made by OOCL's team in Hong Kong, and the calculated capacity is shared with the sales team to guide their contracts with customers. *See* Forminio Dep. Tr. 83:18-86:4 [APP-625-626].

150. OOCL's Hong Kong headquarters determines regional space allocations annually and makes minor adjustments quarterly. *See* Chen Dep. Tr. 77:6-15 [APP-170].

151. When determining how much space to allocate to BCO customers, OOCL's process begins with assessing total capacity and designing a "model ship", after which ratios are determined for different customers. *See* Wong Dep. Tr. 54:21-57:12 ("...once we know the total capacity we have for coming years and we design the model ship, then we will have the ratio determined, how much we want from different customers.") [APP-2716].

152. The "Model Ship" is the space allocation for a particular region for a contract year, i.e., each region has its own assigned Model Ship. *See* Mitchell Dep. Tr. 56:22-57:2 [APP-1691]; Wong Dep. Tr. 69:2-3 [APP-2719].

152.1. "So, Model Ship is, basically, Trade's perfect-day scenario, where they are detailing what is the space that's afforded to the region[.]" *See* Metzger Dep. Tr. 37:2-5 [APP-1598].

152.2. Model Ship is also called ISC; "the ISC is the rough format and the CSAL is the finalized product." *See* Mitchell Dep. Tr. 54:4-23 [APP-1691].

153. In the U.S., each month, OOCL's sales team and the space control team allocate the space provided by Hong Kong to BCO customers based on the MQC. *See* Chen Dep. Tr. 58:8-59:19, 62:9-63:7, 67:6-16 [APP-166-168].

153.1 [REDACTED]

154. The local sales team and the space control team then send the proposal back to Hong Kong for approval and execution. *See* Chen Dep. Tr. 58:8-59:19, 62:9-63:7 [APP-166-167].

155. Hong Kong's traffic team compiles the regional proposals, breaks them down by traffic origin and customer name, and sends them to the booking origin offices/traffic control regions. *See* Chen Dep. Tr. 63:14-64:18 [APP-167].

156. In late 2020, during the COVID-19 Pandemic, OOCL rolled out the digitized version of CSAL for its North America Group, specifically TPT Eastbound (eastbound transpacific trade from Asia to North America). *See* Metzger Dep. Tr. 170:18-171:12 [APP-1632].

156.1. Glenn Metzger, who ultimately oversaw the team that worked with CSAL, was not familiar with the details of how allocations from OOCL employees

in Hong Kong would be added to CSAL. *See* Metzger Dep. Tr. 218:24-219:16 [APP-1644].

156.2. OOCL began introducing the digital version of CSAL in late 2020, during the pandemic, in a process that necessarily included a process of trial and error that introduced bugs and other errors in the platform. *See* Metzger Dep. Tr. 172:16-173:18 [APP-1632]; Young Dep. Tr. 34:9-11 (“Technology always changes. You’re always going to get bugs. Not even Microsoft can issue a release without having some bugs.”) [APP-2832].

156.3. OOCL employees have taken the position that OOCL’s practice during the relevant time period was to attempt to fill its entire anticipated shipping volume with service contracts at the outset of the shipping year. *See* Lam Dep. Tr. 54:11-16 (“Q. Let’s focus on the United States. What portion of the Trans-Pacific Trade to the United States for 2020 through 2022 was subject to service contracts? A. For United States in terms of the volume is 95 to 97.”) [APP-1352]; Ex. 381 (McCown Report) ¶ 47 (“I understand that OOCL employees have taken the position that OOCL’s practice during the relevant time period was to attempt to fill its entire anticipated shipping volume with service contracts at the outset of the shipping year.”)[APP-3764].

157. OOCL’s strategy was to participate in the spot market for ocean freight through short-term service contracts with NVOCCs that, in practice, effectively floated along with prevailing spot rates. *See* Mitchell Dep. Tr. 64:14-65:25 [APP-1693]; Lam Dep. Tr. 52:2-9 [APP-1351]; Ex. 381 (McCown Report) ¶ 48 [APP-3764].

157.1. OOCL’s contracts with NVOs “reset every two weeks, going with the ebb and flow of the market”, unlike OOCL’s fixed-price BCO contracts. *See* Mitchell Dep. Tr. 183:15-20 [APP-1723]; Ex. 381 (McCown Report) ¶ 48 [APP-3764].

157.2. OOCL was “quite flexible” in its pricing on shorter-term service contracts and looked to the “open market” to reset rates. *See* Lam Dep. Tr. 169:14-170:16 (“Q. I’ll rephrase it. So during the 2020 and 2021 shipping years for customers that didn’t have annual service contracts but had shorter service contracts, for example, quarterly service contracts, how did OOCL go about setting the rates for each period of time within those shipping years? A. So we are quite flexible. For short-term offer we will also have the estimate on how is the rate trend coming to be in open market. As short term we define like as open contract. So under the open contract we usually leave it to the commercial manager to have the estimate based on the customer pattern. Because some customers they fixed for three months and if we offer lower rate at the beginning, of course, they continue to book and then in case when the open rate continue to go up. But then if we set an average rate, they may short ship In the first month but when the open rate increase they come back to us and book. So I also rely on the commercial manager to first analyze which customer and why the customer wants the short-term rate. Or we are not familiar with the customer, then we prefer to offer even shorter than three months’

rate, like a one month or two weeks' rate.") [APP-1380-1381]; Ex. 381 (McCown Report) ¶ 48 [APP-3764].

158. OOCL's practice of filling its entire usable capacity with service contract space is risky and creates an environment in which unanticipated issues could cause OOCL to fall short on its service commitments. *See* Ex. 381 (McCown Report) ¶ 49 ("It is my opinion that OOCL's practice of filling its entire usable capacity with service contract space is risky and creates an environment in which unanticipated issues could cause OOCL to fall short on its service commitments.") [APP-3764]; *see also* Mitchell Dep. Tr. 63:17-64:7, 64:14-66:4, 183:15-20 [APP-1693; APP-1723]; Devine Dep. Tr. 63:4-64:18 [APP-428]; *cf.* McCown Dep. Tr. 46:4-46:15 [APP-1448].

159. Ocean carriers acting reasonably typically reserve some portion of their total capacity outside of service contract commitments. *See* Ex. 381 (McCown Report) ¶ 50 ("In my experience carriers typically reserve some portion of their total capacity outside of service contract commitments. This reserve permits carriers to accommodate all of their contract customers even in the event of significant reductions of service that might be caused by unexpected congestion, delays or other factors. This is similar to developing a vessel deployment schedule which has some slack time built into it in order to stay on schedule even when inevitable weather situations occur at sea. Both are good practices for carriers in a service business.") [APP-3764].

160. [REDACTED]

161. During the pandemic, OOCL did not encounter a significant reduction in total lift capacity or conduct light sailings. *See* Mitchell Dep. Tr. 178:19-22 [APP-1722]; Lam Dep. Tr. 94:21-95:23 [APP-1362]; Ex. 381 (McCown Report) ¶ 51 [APP-3765].

162. Steffen admitted that, pursuant to FMC policy, ocean freight carriers may need to charter additional space or prorate capacity among service contract shippers if the ocean freight carrier's ships are fully booked. *See* Steffen Dep. Tr. 131:11-132:7 [APP-2552] (discussing Letter from the then-Managing Director of the FMC Edward P. Walsh (April 8, 1999) (the "1999 Walsh Letter")) [APP-5029-5032]).

163. Steffen admitted that a booking system which achieves its stated goal only 5% of the time is not a reasonable system. *See* Steffen Dep. Tr. 166:22-167:13 ("Q. Is a booking system that achieves its stated goal only 5 percent of the time reasonable, in your view? A. I would say, no.") [APP-2561]; [REDACTED]

164. There were no capacity constraints that would justify even a fraction of OOCL's large shortfall to BBY *See* Ex. 381 (McCown Report) ¶ 52 [APP-3765].

165. [REDACTED]

[REDACTED] *compare with* Jensen Dep. Tr. 312:18-324:15 (Jensen would not answer if a cargo space allocation scheme that results in less than 5% of customers getting allocations due under the contracts was an efficient, reasonable and effective system and was instructed by OOCL's counsel not to answer) [APP-1074-1077]

165.1. BBY's counsel's questions in the above exchange were proper.

165.2. The above exchange demonstrates that Jensen was coached by OOCL's counsel to evade answering in good faith BBY's counsel's questions.

165.3. OOCL's counsel used frivolous and bad-faith objections in the above exchange in order to obstruct Jensen from answering the questions posed by BBY's counsel.

165.4. OOCL's counsel's obstruction of Jensen's testimony in the above exchange included OOCL's counsel instructing Jensen not to answer BBY's counsel's questions.

165.5. The above conduct by Jensen and OOCL's counsel prejudiced BBY because such conduct obstructed BBY counsel from eliciting deposition testimony on a material issue in this case.

b. OOCL's allocation scheme is flawed.

166. As reflected by the foregoing, and detailed further below, OOCL's CSAL scheme was flawed and incapable of allowing OOCL to meet its commitments to BBY under the Service Contracts, and

167. OOCL did not design CSAL such that OOCL could meet its service commitments to its customers, including BBY.

168. During the period of 2020-2022, OOCL used its CSAL mechanism to restrict the space available to OOCL's customers under those customers' respective service contracts in order to further OOCL's policy of discriminating against fixed-rate BCO service contract cargo, such as BBY's, in favor of higher-priced cargo by freeing up cargo space for such higher-priced cargo. *See* McCown Dep. Tr. 238:19-240:7, 240:17-241:7, 241:17-242:18 [APP-1496-1497].

169. As discussed above, as of August 5, 2021, only 7 of OOCL's 146 North America East customers were at or were close to their respective MQC on a pro rata basis. *See* [REDACTED]

see also Young Dep. Tr. 123:15-124:24 [APP-2854].

170. As OOCL personnel acknowledged, customer needs are not constant over a service contract year, but fluctuate. *See* Schmiemann Dep. Tr. 96:23-97:11 (“And in your 30 years-plus of experience, is it common for customers needs to change over the course of a year from what is put down originally in an ISC plan? A. Yes. Q. And is it common also for customers’ needs to change, even on the month-to-month basis, as you’re putting together a CSAL plan; that is, things -- as that CSAL plan goes into effect for the next year? A. Yes.”) [APP-2199]; Murdoch Dep. 60:13-24 (“You can’t use a -- let’s say MQC simply divide by 12 because that’s not realistic. Customers -- particularly, large retailers -- their shipments that they import usually correspond with the -- their sales -- peak sales, you know, so we have sales that are, let’s say, for back-to-school goods, so that -- they’re going to come in, in July or August, and then you have, you know, Thanksgiving, you know, seasonal holiday shipping. That may come in, you know, August/September.”) [APP-1816]; Ex. 381 (McCown Report) ¶ 64 [APP-3766].

171. BBBY’s service contracts with OOCL did not contain any provisions tying BBBY’s MQCs or OOCL’s corresponding service commitments with OOCL’s internal CSAL system, much less requiring that BBBY ship or OOCL carry any specific quantities per week or month between any specific ports in accordance with CSAL. *See* Devine Dep. Tr. 165:6-13, 166:16-167:13 [APP-453-454]; Ex. 381 (McCown Report) ¶ 53 [APP-3765].

172. BBBY’s service contracts with OOCL did not contain any allocations for periods shorter than one year, such as weekly or monthly MQC. *See* Klosowsky Dep. Tr. 81:10-81:15 [APP-1256]; Pastor Dep. Tr. 111:19-112:13 [APP-1957].

173. Allocations made under CSAL are made entirely at OOCL’s internal discretion regardless of whether the allocations lined up with BBBY’s needs, projections, or requests, or OOCL’s service commitments to BBBY. *See* Ex. 381 (McCown Report) ¶ 54 [APP-3766]; Mitchell Dep. Tr. 91:15-20 [APP-1700]; [REDACTED]

174. OOCL’s Hong Kong-based Trade team unilaterally determined how to allocate space within a particular region between BCO and NVO customers. *See* Mitchell Dep. Tr. 67:6-14 [APP-1694]; Ex. 381 (McCown Report) ¶ 55 [APP-3765].

175. BBBY’s service contracts with OOCL did not permit OOCL to unilaterally determine how its MQC will be delivered by lanes or by week. *See* Mitchell Dep. Tr. 341:15-25 (“...you understand that the CSAL allocation is not the MQC that is agreed to under the contract, correct? A. Well, the CSAL allocation is the contract MQC divided by 52. Q. Yes. But there’s -- and there’s nothing -- is there anything in the Service Contract that allows OOCL to unilaterally determine how the MQC divided by 52 will be delivered to a customer? A. No.”) [APP-1762]; Ex. 381 (McCown Report) ¶ 56 [APP-3765].

176. BBBY’s logistics leaders did not know how, if at all, the rolling forecasts that they provided to OOCL were used in OOCL’s internal CSAL process, such as whether they were entered into CSAL or used to make a comparison. *See* Hackett Dep. Tr. 268:10-14; 268:20-25 [APP-880].

177. BBY's logistics leaders did not know what CSAL was pegged to, such as, for example, MQC divided by 52. *See* Hackett Dep. Tr. 268:10-14; 268:20-25 [APP-880].

178. "OOCL's commitment, I think, at the end of that, *regardless of what we asked for*, was whatever was in CSAL, and then that's when they would commit to move." *See* Hackett Dep. Tr. 268:14-17 (emphasis added) [APP-880].

179. On the occasions when OOCL's North American Group sales team tried to secure space for customers, sometimes the bookings were not added to OOCL's main CSAL file, and by the time the problem was understood it was too late for the customer to use that space. *See* Forminio Dep. Tr. 246:9-248:6 [APP-666]; [REDACTED]

180. Once OOCL has issued its CSAL allocation, there is no flexibility. *See* Mitchell Dep. Tr. 90:21-24 ("if they don't deliver on space that's allocated in a given week, then that allocation is lost if they don't deliver against it") [APP-1700]; [REDACTED]

[REDACTED]; Ex. 381 (McCown Report) ¶ 57 [APP-3765].

181. Importantly, OOCL would not reallocate or make up CSAL allocations at later points within a given service contract term or shipping year if its allocations were provided in a time period that the customer did not or could not actually use the allocated space. *See* DelPrete Dep. Tr. 127:8-128:5, 129:21-131:6 [APP-372-373].

182. The space allocations made unilaterally by OOCL though CSAL is a "use it or lose it" proposition for OOCL's customers. *See* Mitchell Dep. Tr. 93:4-11 ("So in terms of MQC from the lens of a shipper trying to make bookings against CSAL in order to fulfill its MQC, that CSAL space is, kind of, use it or lose it, then, in terms of getting up to its MQC under the shipping -- under the service contract? A. Correct."); [APP-1700]; Ex. 381 (McCown Report) ¶ 58 [APP-3765].

183. During the relevant time period, CSAL allocation often did not align with BBY's actual needs, and OOCL would not adjust its internal CSAL allocations to meet those needs. *See* Hackett Dep. Tr. 271:6-16 [APP-881]; Pastor Dep. Tr. 102:13-20 ("We would provide projections -- a two-month projection report. But they did not align with the CSAL report because it was being created before we would -- it was being created in advance of our projections, and, therefore, they didn't align in many cases of what our needs were and what were on the CSAL.") [APP-1955]; Schmiemann Dep. Tr. 96:23-97:11 [APP-2199]; Ex. 381 (McCown Report) ¶ 63 [APP-3766].

184. When a service contract customer did not—or could not—use its allocated CSAL, OOCL would give the allocated space to another customer. *See* DelPrete Dep. Tr. 127:8-128:5, 129:21-131:6 ("Q: Is your understanding that a customer is able to lose any part of its allocation if it's not used at a particular time? A. If a customer doesn't use their allocation in a given week? Q. Yes. A. Then that they would lose their allocation for that week.") [APP-372].

185. During the relevant time period, OOCL provided extra space allocation to BBY at times when OOCL knew BBY would not be able to use it. *See*, [REDACTED], Murdoch Dep. Tr. 146:20-147:8 ("Q. What is our recollection

of why it was doubtful that BBB would be able to use the extra space that OOCL was offering at this time? A. Yeah, because of the remaining time left on their contract and their shortfall was significant at that point, so it didn't seem realistic that they would be able to just simply avail themselves of all the extra space that we might give them and load up all their shipments at origin and be able to get them on the ship.") [APP-1838].

186. In his Expert Report submitted in this case, Jensen stated that a carrier would be acting unreasonably if it failed to accept a shipping customer's bookings for the first 364 days of a year and then on the final day of the contract told the customer that the carrier could approve all bookings on the final day of the year. *See* Ex. 413 (Jensen Report) at 5 [APP-4014].

187. There were times when OOCL's CSAL allocation was far more than what BBY needed at the specific time for a particular port pair. *See* Hackett Dep. Tr. 270:25-271:16 [APP-881].

188. A "blank" sailing is when an entire voyage is omitted as opposed to a port omission, in which just one port within that voyage is passed over in order to catch up on time. *See* Young Dep. Tr. 191:1-193:9 [APP-2871].

188.1. OOCL did not make up CSAL allocations if a sailing was blanked or otherwise missed. *See* Mitchell Dep. Tr. 88:8-20 ("Q. And if a -- so if a customer failed to ship -- let's say they had -- they had an allocation in CSAL for 10 containers in a given week and they were not able to ship it that week, would there be an opportunity for that customer to get those 10, those 10 containers, at a later time in the year in order to satisfy their MQC? A. No."), 268:16-269:23 [APP-1699]; Forminio Dep. Tr. 250:17-253:23 [APP-667]; Ex. 381 (McCown Report) ¶ 59 [APP-3766].

188.2. Decisions concerning blank sailings and port omissions were made by OOCL's trade team. *See* Young Dep. Tr. 192:5-8; 192:23-25 [APP-2871].

188.3. Blank sailings are sometimes intentionally planned, especially during major holidays, as part of the Ocean Alliance's operations, or due to mechanical issues and lack of available ships, but there is no fixed number planned annually. *See* Wong Dep. Tr. 70:24-71:23 [APP-2720]; Forminio Dep. Tr. 234:6-20 [APP-663].

188.4. Unexpected blank sailings occur when "the ship's engine [is] breaking down" or there are "[v]ery serious delays due to port congestion." *See* Wong Dep. Tr. 72:2-12 [APP-2720].

188.5. Blank sailings increased in the ocean shipping industry during the COVID-19 pandemic due to pandemic-related port congestion and ripples from the Suez Canal grounding incident. *See* Ex. 413 (Jensen Report) at 18 [APP-4027]; Jensen Dep. Tr. 371:23-372:10 [APP-1089]; Forminio Dep. Tr. 233:17-24, 235:16-18 [APP-662-663].

188.6. The increased number of blank sailings in the shipping schedules was partly due to the COVID pandemic and continued into 2021. *See* Forminio Dep. Tr. 233:22-235:23 [APP-662-663].

188.7. OOCL also might order a blank sailing simply to operate more profitably—for instance, when OOCL could not secure an amount of cargo on a particular vessel that would, in OOCL’s eyes, justify the cost of the voyage. *See* Young Dep. Tr. 194:4-195:2 [APP-2872].

188.8. “[W]hen [OOCL] designed the model ship, they [did] not... consider the blank sailing factors.” *See* Wong Dep. Tr. 85:20-86:2 [APP-2723-2724].

189. CSAL was widely derided by OOCL employees as inefficient and unfair, with challenging requirements that made booking difficult. *See* [REDACTED] Hackett Dep. Tr. 177:8-17 [APP-857]; Ex. 381 (McCown Report) ¶ 65 [APP-3766-3767].

190. OOCL rejected bookings that did not comply with CSAL.

191. Even though OOCL’s external, customer-facing booking system, “My OOCL Center”, allowed OOCL’s customers to “put anything they want in their booking request”, that system did not notify customers if a booking request exceeded OOCL’s internal CSAL allocation to that customer, and no space would actually be allocated by OOCL to that customer unless and until an OOCL customer service representative manually input a separate booking in OOCL’s internal IRIS-4 system. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

191.1. When a customer books more space than their allocated amount, the excess is rejected. *See* Young Dep. Tr. 115:4-116:21 [APP-2852].

191.2. Unless there was further specific back-and-forth between the customer and an OOCL customer service representative regarding the booking request, the customer’s booking request simply “would never get input into IRIS-4” Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

192. OOCL’s purported system for adjustments to space allocations, so-called CSAL swaps, was ineffective and flawed.

192.1. CSAL swaps were only allowed two weeks in advance. *See* Forminio Dep. Tr. 272:13-275:5 [APP-672-673].

192.2. CSAL swapping was a “tedious”, “labor-intensive” and “time-consuming” process that involved manually adjusting space allocations for customers on a large spreadsheet. *See* Forminio Dep. Tr. 272:13-275:5, 278:14-281:13 [APP-672-674]; [REDACTED]

192.3. [REDACTED]

[REDACTED] Ex. 381 (McCown Report) ¶¶ 71-72 [APP-3769].

195. “[H]uman error in the CSAL” “at the booking level” prevented customers from receiving enough space to meet their MQC under service contracts. *See* Forminio Dep. Tr. 138:19-25 (“And then sometimes there were just, you know, human error at the booking level, you know, human error in the CSAL. Maybe I put it in the wrong column or something. You know, there was a lot of that as well. You know, it’s just, you know, things happen.”) [APP-639].

196. OOCL’s management of CSAL led to communication issues and delays creating “a lot of misunderstanding and a lot of extra e-mails”. *See* Forminio Dep. Tr. 246:9-247:24 [APP-666].

196.1. One of OOCL’s business analysts in North America who worked directly with regional booking offices to manage bookings recalled that operational and communication issues led to bookings not being accepted or and not being “action[ed]”, particularly in small regional offices like Vietnam where it took a long time for employees to learn and adapt to new CSAL processes. *See* Forminio Dep. Tr. 250:17-254:24 [APP-667-668].

197. There was confusion within OOCL and OOCL’s Space Team, particularly regarding OOCL’s premium contracts. *See* Metzger Dep. Tr. 213:20-215:20; 216:5-217:11 [APP-1642-1643]; [REDACTED]

197.1. For part of the relevant period, the Inbound Space Team consisted of two employees, Stephanie Edginton and Nicolla Thomas, supervised by Bethany Peters, who was the space manager for both the Inbound Space Team and the Outbound Space Team within North America Group, which was organized under Marketing and Sales. *See* Metzger Dep. Tr. 212:13-23 [APP-1642]; Metzger Dep. Tr. 8:4-13 [APP-1591]; [REDACTED]

197.2. Nicolla Thomas, one of two members of the Inbound Space Team in OOCL's North America Group managing CSAL, was constantly confused as to how CSAL worked. *See* Metzger Dep. Tr. 217:6-11 [APP-217].

198. OOCL employee Glenn Metzger, who had responsibility over CSAL for OOCL's North America region, which included BBY, received numerous complaints about CSAL's poor functioning, including OOCL's Hong Kong office's failure to release OOCL's North American customers' booking requests. *See* [REDACTED] Metzger Dep. Tr. 186:6-187:10 [APP-1636].

198.1. [REDACTED] Metzger Dep. Tr. 187:6-188:21 [APP-1636].

199. [REDACTED]

200. CSAL's ineffectiveness was well known within OOCL and documented in materials provided to OOCL's top management. *See* [REDACTED] Metzger Dep. Tr. 161:12-162:3 ("So this was a document or memo that was created using some of the data I provided to Mike Young and Paul Devine for them to raise as a concern to TPT Trade as well as Hong Kong management that there was concerns going on related to performance, but also from a regulatory concern." [APP-1629-1630]; Ex. 381 (McCown Report) ¶ 68 [APP-3768].

201. [REDACTED] Ex. 381 (McCown Report) ¶ 67 [APP-3767-3768].

201.1. Mike Young and Glenn Metzger drafted the executive summary for OOCL's September 2021 Presentation on compliance issues related to bookings and shippers' MQCs. *See* Young Dep. Tr. 149:1-23 [APP-2860]; Metzger Dep. Tr. 161:12-162:3 ("So this was a document or memo that was created using some of the data I provided to Mike Young and Paul Devine for them to raise as a concern to TPT Trade as well as Hong Kong management that there was concerns going on related to performance, but also from a regulatory concern." [APP-1629-1630].

201.2. [REDACTED]

201.3. In OOCL's September 2021 Presentation, OOCL employees including Mike Young presented to OOCL's head office in Hong Kong on the issue of entire bookings being rejected when a shipper tried to book more TEUs than provided in the corresponding allocation under CSAL. *See* Young Dep. Tr. 110:12-111:17 [APP-2851].

201.3.1. Discussing the reasons for presenting the CSAL booking rejection issue to Hong Kong in OOCL's September 2021 Presentation, Mike Young admitted, "we felt it was not the right process to apply, but there were limitations in the system." *See* Young Dep. Tr. 110:16-110:19 [APP-2851].

201.4. [REDACTED]

201.5 [REDACTED]

Ex. 381 (McCown Report)

¶ 68 [APP-3768].

202. The executive summary of OOCL's September 2021 Presentation included "bookings made initially in excess of CSAL" as a subset of the general category of bookings within CSAL not being honored by OOCL. *See* Young Dep. Tr. 162:19-24 (citing the internal OOCL presentation, Dep. Ex. 73) [APP-2864].

203. OOCL's internal CSAL system is not contemplated by OOCL's service contracts, is not reasonably tailored to a customer's needs, does not allow any flexibility in connection with fluctuating needs or blank sailings, and is created by unilateral fiat. *See* Ex. 381 (McCown Report) ¶ 70 [APP-3769].

204. OOCL's CSAL program was not reasonably designed to fulfill OOCL's service commitments, and did not meet OOCL's obligations in practice. *See* Ex. 381 (McCown Report) ¶¶ 69 ("In my opinion, OOCL's CSAL program was not reasonably designed to fulfill OOCL's service commitments, and did not meet OOCL's obligations in practice."), 72 ("I agree with Schmiemann's analysis, and it is striking that even OOCL's own employees understood that OOCL's practices were violating OOCL's service commitments. Schmiemann asked, rhetorically, 'are we delivering on our promise to the customer' by using a 'restrictive and rigid' system designed to 'maximize profits' to the customer's detriment. Plainly, the answer is 'no'."). [APP-3769-3770].

ii. OOCL failed to accurately track booking attempts.

205. OOCL failed to accurately track booking attempts.

206. [REDACTED]

[REDACTED] Schmiemann Dep. Tr. 165:13-23 [APP-2216].

207. CSAL is not integrated into any automated booking acceptance process. *See* Chen Dep. Tr. 312:9-12 [APP-229].

208. During the relevant time period, OOCL maintained two separate booking systems: an external booking request system, “My OOCL Center”, into which customers “could put anything they want in their booking request”, and OOCL’s actual internal booking system, IRIS-4, to which OOCL’s customers did not have access, but which instead required manual input by an OOCL customer service representative. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

209. Without such internal manual entry by OOCL, or specific back-and-forth between the customer and an OOCL customer service representative regarding a booking request, a customer’s booking request simply “would never get input into IRIS-4” Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

210. Bookings denied at origin might not have visibility in OOCL’s system. [REDACTED]

[REDACTED] Mitchell Dep. Tr. 156:14-20 [APP-1716].

211. [REDACTED]

212. Booking rejections were common, with reasons ranging from incorrect contract information to human error. *See* Forminio Dep. Tr. 225:1-226:6 [APP-660-661].

212.1. Booking rejection issues were encountered with TCR offices in other, non-North America countries, often involving miscommunications or delays in processing bookings, leading to frustration as OOCL’s sales teams advocated for customers’ needs. *See* Forminio Dep. Tr. 254:4-256:7 [APP-668].

213. [REDACTED]

[REDACTED] Ex. 381 (McCown Report) ¶ 68 [APP-3768-3769].

214. As of Week 11 of 2022, OOCL’s North America Group had ***declined approximately 24% of total booking activity for that year.*** *See* [REDACTED] Donohue Dep. Tr. 149:21-24 [APP-571].

215. The average percentage of BBBY’s bookings accepted by OOCL was 69.5% from May 2021 through December 2021. *See* Pinchuk Dep. Ex. 235 (“% accept vs. allocation” Tab, Row 14) [APP-3325].

216. Bookings could be declined for many reasons, including because they were not in the CSAL system or the CSAL volumes were incorrect. *See* [REDACTED] Murdoch Dep. Tr. 164:12-15 [APP-1842].

217. [REDACTED]

218. The alarming rate of declined bookings was due to more bookings being rejected than accepted, leading to significant frustration among OOCL’s salespeople and its customers. *See* Forminio Dep. Tr. 285:11-25 [APP-675].

219. OOCL also deliberately overbooked ships, which lead to cancellations. *See* Wong Dep. Tr. 60:4-12 (““As a result of that, OOCL will as a matter of practice accept more bookings than the total shipping volume it can actually provide? . . . A. Yes, because in general . . . the customer won’t totally 100 percent return their booked TEU they will have”); [APP-2717]; Ex. 381 (McCown Report) ¶ 61 [APP-3766].

219.1. OOCL “accept[s] more bookings beyond the total capacity or the allocation they have or are given” to ensure that ships are fully loaded even if some customers do not ship their entire booked volume. *See* Wong Dep. Tr. 58:18- 59:3 [APP-2717].

220. OOCL maintains so-called priority accounts, which are a customer accounts that allow an overbooked ratio (“OBR”) of more than 100 percent or that can rely on their own forecasts for bookings. *See* Wong Dep. Tr. 87:21-88:16 [APP-2724].

220.1. An OBR greater than 100 percent allows an OOCL customer to book more cargo than their allocated space, based on a percentage increase over the initial allocation. *See* Wong Dep. Tr. 91:23-92:24 [APP-2725].

221. The designation of an OOCL priority account is proposed by OOCL’s sales regions based on commercial considerations and is then approved by OOCL’s trade team. *See* Wong Dep. Tr. 89:9-91:22 [APP-2724-2725].

222. [REDACTED]

223. OOCL would reject entire bookings if a booking was for more space than allocated on that particular week/sailing, even if the allocation itself was short of MQC/52. *See* Hackett Dep. Tr. 266:9-267:9 [APP-880]; [REDACTED]

██████████ Delprete Dep. Tr. 72:16-74:5 [APP-358-359]; Forminio Dep. Tr. 226:7-229:20 [APP-661].

224. The protocol of rejecting a booking that exceeded the CSAL allocation was built into OOCL's internal "IRIS4" enterprise software, and was based on the concept that in such a situation, it should be the customer's decision what containers to prioritize for inclusion in that booking allocation. *See* Young Dep. Tr. 111:23-112:7 [APP-2851].

225. OOCL's customer-facing My OOCL Center booking system, however, allowed OOCL's customers to "put anything they want in their booking request". Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

225.1. Neither My OOCL Center nor IRIS-4 would automatically notify customers whether a booking request exceeded OOCL's internal CSAL allocation to that customer. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

225.2. Instead, it was only after an OOCL employee manually entered a booking into IRIS-4 that a customer would receive a booking acknowledgment generated by OOCLs internal IRIS-4 system. Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

225.3. If a customer's booking request exceeded CSAL, unless there was further back-and-forth between the customer and an OOCL customer service representative regarding the request, it simply "would never get input into IRIS-4" Murdoch Dep. Tr. 164:23-180:15 [APP-1842-1846].

226.

227.1. As OOCL employee Donna Forminio admitted in deposition, OOCL's declinations of containers often resulted from a mismatch between where space was allocated and where bookings were made, leading to shortfalls in some locations. *See* Forminio Dep. Tr. 268:22-272:12 (“[E]specially with the volume of bookings [OOCL was] getting,” “making everything match up properly[] was a very difficult task. . . . It wasn’t a question of not having the freight to load.”) [APP-671-672].

228. Having a forecast protected in CSAL does not necessarily increase the likelihood of booking acceptance; it is just part of the preplanning stage. *See* Wong Dep. Tr. 94:5-96:25 [APP-2726].

229. OOCL imposed booking window requirements on its customers that resulted in OOCL's customers being unable to book shipments under their service contracts.

229.1. OOCL would reject booking requests if they were made too close to or after the booking cutoff. *See* Forminio Dep. Tr. 238:8-16 [APP-664].

229.2. OOCL's actual booking windows also did not align with what OOCL defined in its finalized CSAL allocations advised to OOCL's customers. *See*

[REDACTED]

Young Dep. Tr. 184:11-185:21 (“A: . . . Again, it’s situation where, during this period, as you know, there was so much fluidity and so much delays, especially with vessels being anchored off LA/Long Beach, that what was the booking window -- initially when the booking is captured, which could be three or four weeks before the vessel starts to load, the vessel can slide back or, you know, change or whatever. *And so we were saying here there are issues in relation to our acceptance policy as outlined during that discussion relative to changes that may occur based on the customer’s original indicated vessel and the vessel falling back or whatever based on delays encountered in transit.*”) (emphasis added) [APP-2869].

229.3. In many cases, OOCL “pended” bookings—i.e., neither accepting nor rejecting the booking, but instead effectively placing it in limbo—because there was no CSAL file and OOCL had to wait for it to be updated. *See* Metzger Dep. Tr. 223:9-15 [APP-1645].

229.4. A delay in the internal submission of OOCL's CSAL file could result in customers' booking window being reduced. *See* Metzger Dep. Tr. 222:7-15 [APP-1645];

[REDACTED]

Young Dep. Tr. 185:23-187:5 (“Yeah. Again, this is a similar situation -- excuse me -- where we’re talking about if the vessel slides, if there’s a change or if they swap a vessel for a smaller ship or a larger ship, that we do maintain the situation relative to what was it the customer required in order to ship his booking so we don’t lose sight of, you know, oh, it’s booked on the America and the America is now three weeks later, but it’s still booked on the America, which is what the customer asked for, but he asked for one three weeks earlier. So we want to make sure we have a capability to ensure that we do understand or do know or retain the customer’s intent in terms of his booking.”) [APP-2869-2870].

229.5. There were instances where there was not space available close to the end of a booking window, and shipments with a status of pending, *even ones that had CSAL allocations or had to be on that vessel*, would not be able to ship on that vessel. *See* Metzger Dep. Tr. 223:16-224:18 [APP-1645].

229.6. OOCL's booking window policies led to frequent miscommunications, both internally and externally. *See* Forminio Dep. Tr. 242:9-243:11 (“[I]t was quite frustrating at the time that we were trying to move space around” and there “was an occasion where the communication did break down on a booking” within OOCL team and “it was too late to change the booking because the cutoff had passed.”) [APP-665]; [REDACTED]; Young Dep. Tr. 180:21-181:24 (“A: . . . You know, if we don't have the visibility, or whoever manages that vessel, the TCR, doesn't have that visibility, they would not know why certain things were being done. So with what they say here, ECSAL, which is a new development of CSAL, which is not within IRIS2, but does take information from IRIS2, that then when they look at those reports, they can determine the situation more effectively based on the data that's created there for the reasons -- just now it's always like, no space onboard, exceeds allocation, or something like that, which really doesn't say a lot for somebody that's trying to review to see if anything can be done on a particular situation.”) [APP-2868].

230. [REDACTED]

231. Pending status for a booking meant that a booking was with customer service due to a concern about equipment or space. *See* Metzger Dep. Tr. 222:22-223:2 [APP-1645].

232. OOCL knew “some of the North America BCOs [were] not getting sufficient allocation to allow them, based on a prorated basis to meet their MQC at the end of the contract period” and “the number of customers that were potentially going to fall short unless we did something to improve their lifting” because of this practice. *See* Young Dep. Tr. 110:12-112:14, 120:7-121:11 [APP-2851, 2853].

233. OOCL did not consistently provide explanations to BBBY when bookings were canceled. *See* Metzger Dep. Tr. 223:9-15 (In many cases, OOCL “pended” bookings—i.e., neither accepting nor rejecting the booking, but instead effectively placing it in limbo—because there was no CSAL file and OOCL had to wait for it to be updated.) [APP-1645].

234. When bookings with OOCL were canceled, BBBY or its agents had to take the initiative in following up on such cancellations. *See* Shippee Dep. Tr. 95:10-21; 96:9-97:2 [APP-2414].

iii. OOCL otherwise failed to make reasonable accommodations to provide space.

235. OOCL otherwise failed to make reasonable accommodations to provide space to BBBY and other shippers.

236. In his Expert Report submitted in this case, Jensen stated that, “[c]ontracts often only stipulate the annual magnitude of the MQC, but the underlying assumption from both parties is that this is to be applied as a weekly average”. *See* Ex. 413 (Jensen Report) at 4 [APP-4013].

237. In his Expert Report submitted in this case, Jensen stated that a carrier would be acting unreasonably if it failed to accept a shipping customer's bookings for the first 364 days of a year and then on the final day of the contract told the customer that the carrier could approve all bookings on the final day of the year. *See* Ex. 413 (Jensen Report) at 5 [APP-4014].

238. Steffen admitted it would be unreasonable for a carrier to fall significantly short on commitments for most of the year and allocate a large amount of space at the end of the year without considering the shipper's actual needs at that time. *See* Steffen Dep. Tr. 134:20-135:10 [APP-2553].

239. Despite OOCL's own proffered experts acknowledging the unreasonableness of such conduct, over a *two-week period* in March 2022, OOCL offered BBY cargo space equaling approximately *one-third of the entire annual MQC of BBY's 2021-2022 Service Contract* knowing full well that it was "*doubtful BBB will be able to use it.*" [REDACTED]

[REDACTED] Murdoch Dep. Tr. 146:20-147:8 ("it didn't seem that it was realistic that they would be able to just simply avail themselves of all the extra space that we might give them and load up all their shipments at origin and be able to get them on the ship"), 150:10-15("Q. So is it my understanding that, over a two-week period in March 2022, OOCL offered Bed Bath & Beyond space equaling approximately one-third of the annual MQC of the 2021 Service Contract? A Yes.") [APP-1838].

2. OOCL employed an unreasonable policy of preferring higher-priced freight at the expense of its service commitments.

240. OOCL preferred higher-priced freight over meeting its service commitments.

241. OOCL used several methods to implement its policy to discriminate against its fixed-price BCO customers in favor of higher-priced freight: *first*, OOCL auctioned off space to NVOs at premium rates despite lagging well behind in MQC fulfillment with its BCO customers; *second*, OOCL demanded enormous and unusual PSS surcharges from its BCO customers on top of contracted rates; and *third*, by failing to meet service commitments, OOCL freed itself up to sell space to the highest bidder through premium contracts. *See* Ex. 381 (McCown Report) ¶ 77 [APP-3770].

242. OOCL's allocation scheme opened up additional room for other shipments to move at significantly higher rates. *See* Ex. 381 (McCown Report) ¶ 81 ("The impact of the allocation scheme was to open up additional room for other loads to move now at significantly higher rates. This is the exact opposite of what would have happened if OOCL had followed longstanding industry practices (and FMC guidance) of honoring service commitments despite the "opportunity for revenue enhancement" from other sources.") [APP-3771].

243. OOCL's allocation scheme created an environment where contract customers were set against each other and made to believe that in the absence of some additional premium pricing related to their reduced volume, they could face even further reductions from ostensibly equitable allocations. *See* Ex. 381 (McCown Report) ¶ 82 [APP-3771].

244. OOCL's allocation scheme created a vicious cycle where BCOs, despite having relied on carrier commitments in fixed-price service contracts, had no option but to replace the missing volume at market prices. *See* Ex. 381 (McCown Report) ¶ 83 [APP-3771].

245. OOCL's allocation scheme created additional demand from customers who should have been able to rely on receiving their MQCs at contracted rates, which further increased demand and competition for available space, pushed prices even higher, and allowed OOCL to profit. *See* Ex. 381 (McCown Report) ¶ 83 [APP-3771].

i. OOCL unreasonably discriminated against its fixed-price service contract customers, including BBY, in favor of higher-priced freight.

246.

[REDACTED]

[REDACTED] Ex. 381 (McCown Report) ¶ 74 [APP-3770].

248. By August 2021, MQC fulfillment for OOCL's BCO customers on standard service contracts stood at 15% whereas MQC fulfillment for OOCL's NVOCC customers on premium contracts was 118% and 7,598% for BCOs that had agreed to premium rates. *See* Ex. 381 (McCown Report) ¶ 75 [APP-3770]; [REDACTED]

249. OOCL's business with BCOs typically involves fixed rates for an entire contract year (committed basis), whereas OOCL's business with NVOs usually operates with floating rates, which adjust periodically, often every two weeks, to reflect spot market conditions. *See* Wong Dep. Tr. 37:12-39:1, 50:3-52:8 [APP-2711-2712; 2715]; Ex. 381 (McCown Report) ¶ 48 [APP-3764].

250. In 2019, NVOs generally paid higher rates for shipments of cargo with the difference between BCO and NVO rates being around 50% or 70%. *See* Forminio Dep. Tr. 104:18-105:12 ("A: In 2019, before this all started, this craziness, you know, there was a -- there was a premium, but it wasn't that much... If a BCO was paying 1,000, NVO was paying maybe paying 15 or 1,700.") [APP-630].

251. During the COVID-19 pandemic (2020-2022), the gap between what OOCL charged for fixed-rate service contracts versus contracts more closely tethered to spot market rates soared dramatically given that spot market rates were three to four times higher than the rates secured through fixed-rate service contracts. *See* Forminio Dep. Tr. 105:14-108:11 [APP-630-631].

252. OOCL recognized that the rates were mainly driven by supply and demand. *See* [REDACTED] Lam Dep. Tr. 40:15-42:4 [APP-1348-1349].

253. Internal written guidelines promulgated by OOCL's Trade department in Hong Kong ranked OOCL's customers on both letter-grade (A through F) and "VALUE" scales based on their respective "contributions"—i.e., how high their rates were as compared with OOCL's overall fixed service contract rates and "open" (i.e., spot) rates with BCOs and NVOCCs. *See* [REDACTED] Lam Dep. Tr. 154:17-162:9 ("So this is a guideline, the guideline not only just for selecting customer based on priority but also have some guidance on what business at that time we need to control what business that we prefer at that period of time.") [APP-1377-1379]; Ex. 381 (McCown Report) ¶ 76 [APP-3770].

254. During the period 2020 through 2022, OOCL offered space through "extra loaders". *See* Lam Dep. Tr. 174:17-175:20 [APP-1382].

254.1. During the period 2020 through 2022, OOCL demanded high prices for space on extra loaders. *See* [REDACTED]

[REDACTED] Dep. Tr. 67:11-68:21, 86:18-87:16, 90:15-90:21, 221:21-222:5, 232:20-233:3, 239:13-243:24 [APP-1818; APP-1823; APP-1824; APP-1856; APP-1859; APP-1861-1862]; Ex. 381 (McCown Report) ¶ 76 [APP-3770].

255. An OOCL employee confirmed that an "extra loader" space was treated as a premium service and was allocated to the highest bidder. *See* Forminio Dep. Tr. 145:23-147:12 [APP-640-641].

256. The price for shipping cargo on these extra loaders was based on the open or spot market rate, which could be three or four times higher than the rates under standard service contracts. *See* Forminio Dep. Tr. 148:6-151:13 [APP-641-642].

257. Despite repeated questioning, a senior OOCL employee refused to acknowledge or explain *why* OOCL could not or did not use its "extra loader" vessels during the relevant time period to provide cargo space to its customers under regular service contract rates for which OOCL was already behind on its service commitments instead of reserving its "extra loaders" for customers paying premium rates:

258. *Q. Why weren't extra loaders used by OOCL to help customers who were behind on their MQCs make up their MQCs?* A. No. The extra loaders were not to help customers that

were behind on their MQC. It had nothing to do with the MQC under their standard contracts. The extra loaders and the premium contracts were separate; separate service, separate contract, and outside the scope of the standard contracts. And the extra loaders were just provided based on demand from our customers for additional space beyond what was in their standard service contracts and their allocations. Q. My question is *why* were OOCL's extra loaders not used to give space to service contract customers that were behind on their MQCs? MR. LETOURNEAU: Objection. Form. Asked and answered. A. Yeah, I already explained that. It was the extra loaders and the premium contracts were separate, outside the scope of the standard service offering and the standard contracts. They're completely separate transactions. Q. Yes. And my question is *why* were the OOCL extra loaders separate from the regular service contract? MR. LETOURNEAU: Objection. Form. Asked and answered. A. Because -- yeah. Q. You've told me they're separate, but you haven't said *why* they're separate. *That's what I'm asking.* A. They're separate, the extra -- because it's simply by the term "extra loader." Extra loader, premium contract completely separate from the standard service offering and the standard contracts. That is not uncommon in our industry when we are facing high demand and customers looking for extra space beyond the scope of their standard contract and our standard service offering. Q. Could OOCL have deployed the extra loaders that it deployed to customers under regular service contract rates as opposed to premium contract rates? MR. LETOURNEAU: Objection. Form. A. Again, the extra loaders were separate service, separate vessels, separate contracts. They're not -- *they cannot be mixed together with the standard service contracts and the MQCs in the standard service contracts.* Completely separate. I don't know -- Q. *Why* could they not be -- A. I seem to keep repeating myself, but ... Q. *Why* could -- A. I don't know how else to answer your question. Q. -- they not be mixed? The question is *why* could they not be mixed? You just testified they could not be mixed with the regular service offering. *Why* could they not be mixed with the regular service offering? *What prevented OOCL from deploying the extra loader vessels for service under regular service contracts?* MR. LETOURNEAU: Objection. Form. A. Yeah, I think you would have to direct your question to the Trade Department because I can't answer it any better than I already have. Q. What was your understanding of the way in which OOCL got the extra loaders that it got during this time period, 2020 through 2022? A. I have no idea. Q. We saw earlier an e-mail from August 2021 suggesting that 139 out of 146 of OOCL's North America Eastern Region customers were well behind on their MQCs. Do you recall that e-mail? A. I do. Q. *Given that enormous number of customers who were behind on their MQC, why would OOCL not deploy extra loader vessels to make up that space for their service contract customers?* MR. LETOURNEAU: Objection. Form. A. *I -- I don't know.* At the same time, I don't know why the customers were behind on their MQC in their standard service contracts. What were they doing or not doing? I have no idea."

Murdoch Dep. Tr. 239:13 to 243:24 (emphasis added) [APP-1861-1862].

259. Shortly after the 2020 Service Contract was signed, email conversations show that OOCL began deviating from the service due under the contract. *See* Ex. 381 (McCown Report) ¶¶ 120-23 [APP-3779-3780]; [REDACTED]

260. As a result of OOCL's discrimination, BBY was forced to take unprecedented steps simply to get the space it should have received under the Service Contracts. *See* Ex. 381 (McCown Report) ¶¶ 124-25 [APP-3780]; Klosowsky Dep. 177:24-178:5 [APP-1280-1281]; Hackett Dep. 37:19-38:8 [APP-822-823].

261. As a result of OOCL's discrimination, BBY was forced to charter two vessels on its own, at "two to three times the normal rate" because of the pressing need for space. *See* Klosowsky Dep. 177:24-178:5 [APP-1280-1281]; Ex. 381 (McCown Report) ¶ 124 [APP-3780].

262. OOCL knew that giving additional space to a couple of select customers raises concerns about fairness and equity, that OOCL "may be doing a disservice to others." *See* [REDACTED] Young Dep. Tr. 137:17-138:23 [APP-2857-2858].

ii. OOCL unreasonably coerced exorbitant PSS charges.

263. OOCL coerced BBY to pay unreasonable PSS charges.

264. OOCL aimed to use the imposition of PSS to force its customers with fixed-rate service contracts to actually have to pay prices for ocean freight that approached spot market pricing. *See* 1AC ¶¶ 61-77 [APP-52-57].

265. OOCL intended its increased PSS rates to make OOCL's service contract rates closer to the market rates for "extra space". Forminio Dep. Tr. 307:3-4 [APP-681]. OOCL's practices with respect to PSS were not reasonable or consistent with the terms of OOCL's service contracts or historical industry practice concerning PSS. *See* Ex. 381 (McCown Report) ¶¶ 118-19 ("In my opinion, OOCL's practices with respect to PSS were not reasonable or consistent with the terms of OOCL's service contracts or historical industry practice concerning PSS. OOCL's PSS premiums were not charged to compensate the carrier for excess expenses or to secure uncommitted space during periods of peak demand. Instead, OOCL actively discriminated against fixed-price BCO cargo from customers who did not agree to a PSS, and informed customers, including BBY, that they needed to participate in a *quid pro quo* transaction and pay high PSS premiums in order to get space. This is totally inconsistent with my understanding of carrier obligations under service commitments. It is also totally inconsistent with industry practice prior to the high pandemic price environment.") [APP-3779].

266. Prior to the COVID-19 pandemic, OOCL imposed PSS only to offset increased expenses borne by the carrier and only in the summer months. *See* Donohue Dep. Tr. 35:5-37:19 [APP-543]; Devine Dep. Tr. 137:4-6 [APP-446]; *see also* Murdoch Dep. Tr. 60:13-24, 71:15-22, 323:12-324:10 [APP-1816; APP-1819; APP-1882].

267. OOCL employees testified that PSS ordinarily would be imposed only during peak periods of shipping volume, such as the mid-third quarter to fourth quarter of each year. *See* Donohue Dep. Tr. 35:13-17; 36:7-10; 36:12-17 [APP-543]; *see also* Murdoch Dep. Tr. 60:13-24, 71:15-22, 323:12-324:10 [APP-1816; APP-1819; APP-1882].

268. During the pandemic, however, OOCL imposed PSS effectively as a year-round price adjustment to the rates previously agreed to under its service contracts with its BCO customers, including the Service Contracts with BBY. *See* Ex. 381 (McCown Report) ¶¶ 105-119, 126 [APP-3777-3779; APP-3780].

269. OOCL's practice of conditioning fulfillment of its existing service commitment on high PSS charges began in 2020. *See* [REDACTED]

Ex. 381 (McCown Report) ¶¶ 79 [APP-3771].

270. OOCL shifted to a price-gouging orientation in June 2020 and manipulated its CSAL allocation schedule to favor customers who were willing to pay PSS or premium rates Ex. 381 (McCown Report) ¶¶ 105 [APP-3777]. *See*

Ex. 381 (McCown Report) ¶¶ 109-111 [APP-3777-3778].

271. During the pandemic, OOCL engaged in a practice of “trimming” CSAL allocations in favor of customers who were willing to pay exploitative PPS rates. *See*

Ex. 381 (McCown Report) ¶¶ 110-111 [APP-3777-3778].

273. OOCL's imposition of PSS charges during the pandemic was arbitrary due to factors such as "[s]hippers outperforming their forecasted demand, trading conditions that exceeded the physical expectations of a shipping company, extraordinary events". *See* Devine Dep. Tr. 86:17-19 [APP-434].

274. OOCL termed its removal of PSS charges "[b]ased upon a company's own commercial consideration". *See* Devine Dep. Tr. 86:17-19 [APP-434].

275. During the pandemic, OOCL conditioned shipping BBBY's cargo under the Service Contracts on BBBY's payment of extracontractual PSS charges. *See* Hackett Dep. 144:2-14 ("One was they were coming to us with peak season surcharge and they were saying, listen, yeah, I know we have a contract, but if you want to get on a vessel, you're going to have to agree to these peak season surcharges. So, candidly, our hand was kind of forced, as it was with other importers because it was a global phenomenon. And, so, yeah, we did agree to them. Keeping in mind that we are a retailer, right? If we don't have product on the shelves, we don't have business"), 256:5-11 ("And they were coming and saying, well, if you want to basically get space, we can do a peak season. And so I know that we did kind of some dialogue pushback, but when we found that if we didn't do it, we weren't going to get space, we agreed to that."), 258:4-12 ("Q. Do you remember or do you recall how the prices or the rates in those premium contracts were set or negotiated? A. There wasn't much negotiation. It was pretty much, here's the rate, and if you want it -- if you want the space, this is what you're going to have to pay to get it. And that was true of the carriers that went down that path, not just OOCL") [APP-849, -877-878];

[REDACTED] Devine Dep. Tr. 86:5-19 ("Q. How would a -- how would a PSS be announced? A. It would be announced and filed in your -- in your tariff. The Trade would be given 30 days' notice for -- as required by law. Q. And what would lead to a PSS arising? A. Shippers outperforming their forecasted demand, trading conditions that exceeded the physical expectations of a shipping company, extraordinary events. Q. And how would it be removed? A. Based upon a company's own commercial consideration.") [APP-434]; Ex. 381 (McCown Report) ¶¶ 112-13 [APP-3778].

276. OOCL did not present PSS to BBBY as in a typical negotiation, but rather imposed PSS on BBBY on a unilateral basis. *See* Hackett Dep. Tr. 33:4-34:8 ("There wasn't much negotiation. Let's put it that way. It was more one way. And then it was like, if you want to get space on the vessel, you're going to have to do this, and we said all right.") [APP-821-822].

277. OOCL occasionally imposed PSS unilaterally, contrary to the Service Contracts. *See* Klosowsky Dep. Tr. 152:12-153:2 ("Q. Are you familiar with the term PSS -- A. I believe so. Q. -- peak season surcharge? A. Yes. Q. And what does that term mean to you? A. That the charge would be -- there would be some sort of over the agreed, you know, agreed upon rate that would be charged, and in some cases I think unilaterally, although I think if I just read the agreement, there would have been some discussion and mutual agreement to an application of PSS.") [APP-1274].

278. Unless BBY agreed to accept PSS, BBY might be passed over when its contract came up for renewal.

278.1. [REDACTED]

280. BBY had no choice but to agree to OOCL's exploitative PSS pricing in order to put products on BBY's shelves and stay in business. Hackett Dep. Tr. 144:2-14, 256:5-11 ("And they were coming and saying, well, if you want to basically get space, we can do a peak season. And so I know that we did kind of some dialogue pushback, but when we found that if we didn't do it, we weren't going to get space, we agreed to that."), 258:4-12 [APP-849; APP-877]; [REDACTED]

[REDACTED] See Ex. 381 (McCown Report) ¶¶ 112-13 [APP-3778].

281. Steffen admitted that if a fixed-rate contract rate was inclusive of PSS, it would already be reflected in the rate and could not be added as an additional charge. See Steffen Dep. Tr. 141:7-142:21 [APP-2554-2555].

282. Steffen admitted that without products on the shelves, it is difficult for a retail business to stay profitable. Steffen Dep. Tr. 69:21-70:5 ("Q. Without products on the shelves is it difficult for a retail business to stay profitable? A. Yes.") [APP-2536-2537].

283. The total cost differential BBY had to pay under the Service Contracts due to OOCL's PSS pricing policies was approximately \$13.7 million. See P-0000801023 [APP-4418]; Ex. 330 (Tabs "SY 20", "20 But For," "20 Damages", Tabs "SY 21", "21 But For," and "21 Damages") [APP-3359]; see also Ex. 326 at 9, 10 [APP-3345-3346]; 1AC ¶¶ 42,51 [APP-85]; Ex. 381 (McCown Report) ¶ 114 (Table 9) [APP-3778].

284. For the three weeks beginning January 5, 12, and 22 2021, OOCL's PSS policy allowed OOCL to achieve on average 72.9% of the then-prevailing spot market price for each FEU shipped under the 2020 Service Contract. See Ex. 381 (McCown Report) ¶¶ 115-16 (Table 10) [APP-3779].

285. OOCL personnel believed it was appropriate for OOCL to profit from the PSS due to increased demand. *See* Mitchell Dep. Tr. 208:24-209:12 (“Q: And based on your view of how PSS operated based on your decades of experience, was PSS – was it appropriate for OOCL to profit off of PSS? A: Yes.”) [APP-1729].

286. PSS did not guarantee more space. *See* Mitchell Dep. Tr. 190:17-191:16 [APP-1725].

287. Jensen also wrote in a June 2024 LinkedIn post that “some [carriers] hon[or] a slightly larger amount of the contractually committed cargo than others. All carriers are not equal in this matter.” Dep. Ex. 424 at p. 2 [APP-4086].

288. OOCL’s failure to meet MQC requirements under Service Contracts or demanding higher rates than those set forth under Service Contracts is unreasonable. *See* Ex. 381 (McCown Report) ¶¶ 118-19 (“In my opinion, OOCL’s practices with respect to PSS were not reasonable or consistent with the terms of OOCL’s service contracts or historical industry practice concerning PSS. OOCL’s PSS premiums were not charged to compensate the carrier for excess expenses or to secure uncommitted space during periods of peak demand. Instead, OOCL actively discriminated against fixed-price BCO cargo from customers who did not agree to a PSS, and informed customers, including BBY, that they needed to participate in a *quid pro quo* transaction and pay high PSS premiums in order to get space. This is totally inconsistent with my understanding of carrier obligations under service commitments. It is also totally inconsistent with industry practice prior to the high pandemic price environment.”) [APP-3779].

iii. OOCL unreasonably shifted space from its Service Contracts with BBY to premium contracts.

289. [REDACTED];
Fung Dep. Tr. 57:24-58:11 (“Q. Okay. In addition to Service Contract rates, did OOCL assess premium surcharges in the 2020 to 2021 shipping year? A. After get the approval of the corporation, we have increased some specific contracts rate in order to guarantee the capacity -- THE INTERPRETER: Sorry. Let me rephrase. THE WITNESS: After getting the approval from the corporation on increasing higher shipping capacity, we have increased individual and some of the contracts rate.”) [APP-774-775].

290. In 2021, BBY and OOCL entered into two premium service contracts.

290.1. [REDACTED]

290.1.1. [REDACTED]

[REDACTED]

[REDACTED] Ex. 163 at OOCL_0000008673-84 (as amended, 2021 Service Contract, Section 6, “CONTRACT RATES”) [APP-3278-3289].

291.1. [REDACTED]

292. Around January 2021, OOCL began pushing its premium contract program, pressuring BBY into signing a premium rate contract despite having already failed to meet its service commitments to BBY under its existing Service Contract. *See* [REDACTED]

[REDACTED] Mitchell Dep. Tr. 183:22-184:7 (“Q. Did you also enter -- based on the customers who you service, did you also see them entering into premium contracts? A. We had -- at that time, we were just offering extra loaders, and then we introduced, I think, later in -- well, beginning of 2020, the end of 2020, into 2021, we introduced premium contracts, but it was for 1 TEU as the MQC.”) [APP-1723].

293. [REDACTED]

[REDACTED]

294. Under OOCL's internal CSAL guidelines, priority or premium accounts are treated differently from standard accounts in terms of booking acceptance. *See* Wong Dep. Tr. 105:11-106:13 ("Q. I'm just trying to get at what the difference is in the way these CSAL guidelines treat priority or premium accounts as opposed to standard customer accounts. Could you just give an overarching explanation of how premium or priority accounts are treated differently under these guidelines than standard customer accounts? A. I would say at the booking acceptance, for those not under the priority or premium accounts, the OBR is 100 percent. But it doesn't mean -- it isn't equivalent to those accounts not having a chance to load more than their CSAL number. It is subject to the actual loading situation. For example, an account, I would call it a standard account, that means not priority or premium, is assigned 10 TEU on the loop and their OBR is 100 percent. But they come with, say, 12 TEU of bookings. So normally the TCR would confirm the 10 because they are entitled to the 10 TEU, and the 2 TEU, which is beyond the CSAL volume. But in the end, whether this 2 TEU will turn into confirmed bookings or be loaded on board is subject to the overall forecast and the booking situation of the whole vessel at that particular port.") [APP-2728-2729].

295. Priority and premium accounts may have a higher Overbooked Ratio (OBR), allowing them to book more than their assigned space. *See* Wong Dep. Tr. 106:14-107:1 ("Q. Would you say that the booking requests of customers with priority or premium accounts are much more likely to be accepted by OOCL as compared to the booking requests of customers with standard accounts? MR. LETOURNEAU: Objection. Form. You can answer if you know. THE WITNESS: It's not likely or not. It's according to the CSAL, what has been assigned. If it's assigned with OBR more than 100 percent, then the TCR would follow and accept the booking up to 120 percent of their assigned number.") [APP-2729].

296. An OOCL employee confirmed that an "extra loader" space was treated as a premium service and was allocated to the highest bidder. *See* Forminio Dep. Tr. 145:23-147:12 [APP-640-641]; *see also* Murdoch Dep. Tr. 239:13 to 243:24 [APP-1861-1862] (repeatedly stating that "extra loaders" were "completely separate" from OOCL's standard service offering but refusing to acknowledge or explain *why* that was necessarily so).

297. An OOCL employee admitted that OOCL generates more revenue from extra loader space when it is designated for use under premium contracts compared to when the same space is used for standard service contracts. *See* Wong Dep. Tr. 80:16-25 ("Q. Sure. OOCL receives more revenue from the space that it designates as extra loader space to be used pursuant to premium contracts with its customers. It receives more revenue from that space for use under premium contracts than it would if it had designated that same space as standard container space to be used to carry containers pursuant to their standard service contracts with customers? A. For the same slots, definitely.") [APP-2722].

298. BBY needed to agree to premium contracts with OOCL because OOCL refused to book space under the regular Service Contracts. *See* Hackett Dep. Tr. 37:19-38:8 ("I would -- I wouldn't necessarily agree that it was for incremental space above and beyond. To me, and the way that, quite candidly, ***I think it got presented, it was like, if you want to get any space, you're***

going to need to sign these premium contracts and move these goods under these premium rates; otherwise, you're not going to get space on the vessel. And that was kind of a common approach, I think, during that time, once again, not only with OOCL, but with some of our other carriers. Not all carriers, as I recall, had a premium contract, but OOCL was one that did.”) (emphasis added) [APP-822-821]; [REDACTED]

299. OOCL required BBY to book space under the premium rate contracts instead of fulfilling its service commitments under the service contracts. *See* [REDACTED]

300. During the 2020-21 shipping year, OOCL's rates under premium contracts never went down. *See* Mitchell Dep. Tr. 215:14-18 (“Q During the period of 2020 to 2021 Service Contract years, or shipping years, were there times where the premium contract rates went down on certain lanes? A No.”) [APP-1731].

301. [REDACTED]

302. An internal OOCL review conducted in April 2022 of the variance between rates for cargo OOCL moved under its customers' regular service contracts against those customers' premium contracts during the same period showed a variance of over \$56 million. *See* [REDACTED] Delprete Dep. Tr. 66:2-69:15 (“Q. This spreadsheet was sent in April 2022, do you recall if the volumes listed here referred to those shipped during the 2021 to '22 shipping year? A. I believe so since the contracts are PE21, so that would refer to the '21-'22 shipping year? A. I believe so since the contracts are PE21, so that would refer to the '21-'22 shipping year. Q. Did you perform a similar analysis before you created this spreadsheet? A. No. Q. Have you done a similar analysis since creating this spreadsheet? A. With contract performance, yes. Q. In that analysis for contract performance did you compare service contract rates to premium rates? A. No. Q. So have you done this estimated variance analysis other than in this spreadsheet? A. No. Q. Why did you do this estimated variance analysis at this time? A. We wanted to find out what the variance was between the original contract and the premium contract. Q. What was the purpose of finding that difference?

A. To ascertain the amount of premium that was garnered by the volumes on the premium contract.”) [APP-357; APP-359].

303.

[REDACTED]

[REDACTED]

305.

[REDACTED]

306. As of August 30, 2021, twenty-one customers in OOCL’s North American Group (“NAG”) region who had service contracts also had additional premium service contracts for which fulfillment far exceeded the small MQCs set forth in those premium contracts. *See* [REDACTED] Chen Dep. Tr. 237:3-20 (“Q Then below that, we have a bullet point that says ‘21 of Existing SC Holders have additional Premium SCs all far exceeding small MQCs.’ That bullet point regarding premium service contracts, does that mean that these are premium service contracts where the customer has shipped far more containers under that premium contract than the MQC in that premium contract? MR. LETOURNEAU: Objection. Form. THE WITNESS: Yeah, can I answer that, please? MR. LETOURNEAU: Yes, you can. A Yes. That’s the interpretation, yeah, 21 contract exceeding the separate premium contract MQC.”) [APP-210].

307. “And so we were concerned, well, how do you then align the situation with their standard contract if they fall short on MQC, but they’ve achieved sufficient volume on the premium contract that would have taken them above MQC had they been applied, and so we raised that concern.” *See* Young Dep. Tr. 263:19-25 (“And so we were concerned, well, how do you then align the situation with their standard contract if they fall short on MQC, but they’ve achieved

sufficient volume on the premium contract that would have taken them above MQC had they been applied, and so we raised that concern.”) [APP-2889].

308. The “liability” referenced in the executive summary of the internal presentation on compliance issues that OOCL’s North American personnel gave to colleagues in OOCL’s Hong Kong office was a reference to liability for failure to meet contractual obligations to OOCL’s customers. *See* Young Dep. Tr. 177:13-20 (“Q. And it talks about opening OOCL to some liability. What's the liability being discussed here? A. Where are you? Oh, the same line. The liability would be that we're not meeting a contractual obligation with the customer.”); 262:7-9 (“Well, it was basically when we did that presentation to Hong Kong, they raised the issue with these premium contracts”)[APP-2889].

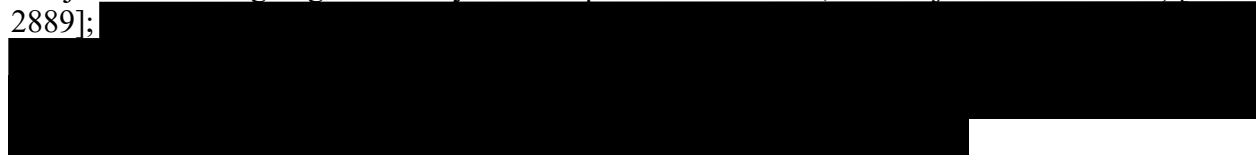
309. OOCL’s employees were aware of situations where a customer had more than one contract, and gave the example of AS America Inc. as a BCO that apparently had two contracts. *See* Young Dep. Tr. 130:7-16 (“I know of cases in my experience where we've had more than one contract with any particular party. I mean, if you look up line 10 and 11, there's AS America Inc., a BCO that has -- showing as two contracts. Now, it may be, as Isra's pointed out, they may be for different periods. But, yeah. I've known situations -- or not known, but I was aware of situations where a customer may have much more than one contract.”)[APP-2856].

310. OOCL employees maintained that there were only a handful of instances of accepting cargo at a premium level on the same ship for which a standard contract was applicable, stating that in most cases the standard contract commitment was filled first and the premium contract was only used to cover additional space over this allocation. *See* Young Dep. Tr. 176:6-16 (“We were just more concerned that if that was happening -- and I think based on the information I'm sure you'll discuss with Glenn during his deposition, we did not find that there were many instances -- there may have been a handful where we were accepting cargo at premium level on the same ship that we had the standard contract, but the standard contract commitment was met, and then, for additional space, it was based on the premium contract to allow to carry the overallocation.”) [APP-2867].

311. However, the failure of OOCL’s internal CSAL system to provide enough useable space to satisfy customers’ service contract MQCs freed up space that could be given to higher-paying customers. *See* McCown Dep. Tr. 241:17-242:18 (“And so, yeah, CSAL, ostensibly, you can say, didn't have anything to do with rates, and yet, in fact, it really had everything to do with rates because it was squeezing -- it was squeezing at both ends. It was pushing -- pushing customers that had a right to expect that the contracted-for volume would be achieved, and that customers who had a right to”) [APP-1496-1497].

311. After OOCL USA employees presented their concerns about OOCL’s premium contract policies to OOCL’s head office in Hong Kong, OOCL abruptly suspended the premium contract program without explanation. *See* Young Dep. Tr. 263:15-264:7 (“A. Well, we were told that there were premium contracts that were used for -- specifically for extra loaders, but it did not pull any MQC from the original or the basic contract. And so we were concerned, well, how do you then align the situation with their standard contract if they fall short on MQC, but they've achieved sufficient volume on the premium contract that would have taken them above MQC had they been applied, and so we raised that concern. And during that time, Karen basically said, well,

we're going to do away with the premium contracts, which she did. Q. Did Karen say why? A. No. She just said we're going to do away with the premium contracts, and we just left it at that.”) [APP-2889];

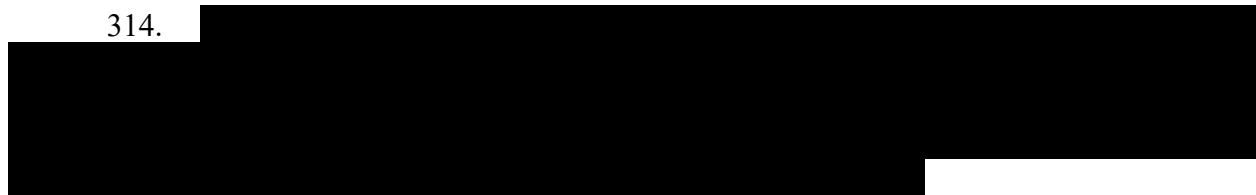


iv. OOCL unreasonably discriminated against its North American BCO customers in the transpacific trade in favor of other routes.

312. OOCL discriminated against its North American BCO customers in the transpacific trade in favor of other routes in order to enrich itself.

313. OOCL redirected space away from North American to Asia-based BCOs. *See* Young Dep. Tr. 165:6-13 (“Q. I see. And so would -- tying to the earlier concern about an emphasis on APG over NAG, there's a concern here that quantities rejected and placed under TCR control would disproportionately go to APG? A. We did see a higher percentage of AP BCOs lifting as opposed to NA BCOs on some of the loops, yes.”) [APP-2864]; Fung Dep. Tr. 87:25-88:4 (“Q. Okay. Did the pandemic conditions change OOCL’s policies with regard to how space is allocated between NVOs and BCOs? A. Yes. During pandemic, we have allocated more spaces to BCO in order to support Chinese exporters.”) [APP-782].

314.



316. OOCL saw a higher percentage of its Asia Pacific BCO customers than its North American BCO customers lifting on certain loops. *See* Young Dep. Tr. 165:11-13 (“We did see a higher percentage of AP BCOs lifting as opposed to NA BCOs on some of the loops, yes.”) [APP-2864].

3. OOCL maintained an unreasonable policy of negotiating service contracts without intending to comply.

317. OOCL failed to meet its service commitments to BBY under the 2020 Service Contract.

317.1. In the 2020 Service Contract, which originally covered the time period from July 1, 2020 through June 30, 2021, OOCL committed to provide BBY with 2,100 FEUs of cargo space. *Supra* ¶ 29.2.

317.2. Over the course of the 2020 Service Contract year, the space OOCL allocated BBY fell short of the MQC in the 2020 Service Contract and BBY's projected needs, resulting in a shortfall of 624.15 FEUs. *Supra* ¶ 96.

317.3. Early into the 2020 Service Contract year, OOCL began deviating from its service commitments in the 2020 Service Contract and under-allocating space to BBY. *Supra* ¶¶ 96-100.

317.4. During the 2020 Service Contract year, OOCL admitted to BBY, [REDACTED]

317.5. BBY repeatedly asked for the space that OOCL had committed to provide under the 2020 Service Contract. *Supra* FOF.Arg.I.D.1.

317.6. [REDACTED]

318. Nevertheless, despite OOCL knowing that it had fallen short of its service commitments to provide a fixed MQC and fixed prices during the 2020 Service Contract year, OOCL entered into the 2021 Service Contract in which it again committed to fixed prices and a fixed MQC. *Supra* FOF.Intro.II.

319. During the 2021 Service Contract, OOCL proceeded to deviate from its service commitments just as it had done in the preceding 2020 Service Contract year.

319.1. Despite agreeing to provide 3,796 FEUs of cargo space to BBY during the 2021 Service Contract year, OOCL provided only approximately 2,432.74 FEUs of space, or 64.1% of its service commitment. *Supra* ¶ 109.

319.2. Despite agreeing to fixed rates for specific lanes under the 2021 Service Contract, OOCL continued to demand high prices for space on extra loaders which OOCL treated as a premium service. *Supra* ¶ 254.1.

320. OOCL's agreement to new fixed prices and a new MQC in the 2021 Service Contract, followed by practices that abandoned any concept of fulfilling its service commitments

in a continuation of its behavior from the 2020 Service Contract year, demonstrates that OOCL never intended to comply with the Service Contracts it negotiated with BBY.

321. OOCL repeatedly presented BBY with take-it-or-leave-it contract amendments, imposing new rates and surcharges, and effectively forcing BBY to accept a reduced minimum quantity commitment for the remainder of the term, in an attempt to address OOCL's systematic failure to meet its service obligations. *See* [REDACTED]

Dep. Ex. 356 [APP-3505-3540]; Dep. Ex. 357 [APP- 3541

Dep.

Ex. 364 [APP-3607-3642]; [REDACTED]

4. OOCL's policies of failing to meet its service commitments to its customers, preferring higher-priced freight over meeting its service commitments, and negotiating service contracts without intending to comply were unwarranted by any constraints outside of OOCL's control.

322. OOCL's allocation scheme was unreasonable and inconsistent with historical industry practice as well as unwarranted by any constraints outside of OOCL's control.

323. From 2019 (3,477k FEU/6,954k TEU), OOCL's overall annual shipping volume grew in both 2020 (3,731k FEU/7,462k TEU) and 2021 (3,793.5k FEU/7,587k TEU), before subsiding modestly in 2022 (3,564.5k FEU/7,129k TEU). *See* Annual Report, Orient Overseas (International) Ltd. (2020) at 17 [APP-4440]; Annual Report, Orient Overseas (International) Ltd. (2021) at 14 [APP-4640]; Annual Report, Orient Overseas (International) Ltd. (2022) at 16 [APP-4845]; Ex. 381 (McCown Report) ¶¶ 90-91 (Table 3) (The volume for each year, both TEU and FEU, is shown in the thousands) [APP-3772-3773].

324. OOCL's decision to charter out space during 2020-2022 rather than dedicate such space to customers with service contracts demonstrates that OOCL was focused on profitability over meeting the service commitments into which it had voluntarily entered. *See* Ex. 381 (McCown Report) ¶¶ 84, 92 (Table 3) ("Far from taking steps to ensure it was meeting its service commitments, OOCL's annual reports show that, at times, OOCL actually *chartered out* some of its ships, rather than using them to meet its service commitments."; "The fact that OOCL chose to charter out space during a period of awful service commitment fulfillment (but record profits) demonstrates tha[t] OOCL was clearly focusing on profitability rather than ensuring it had enough space to meet its service commitments.") (emphasis in original) [APP-3771; 3773]; Annual Report, Orient Overseas (International) Ltd. (2020) at 18 (6 vessels chartered out); [APP-4439]; Annual Report, Orient Overseas (International) Ltd. (2021) at 16 (6 vessels chartered out) [APP-4640];

Annual Report, Orient Overseas (International) Ltd. (2022) at 17 (8 vessels chartered out) [APP-4844].

325. During the period of 2020-2022, OOCL's average revenue per TEU increased dramatically. *See* Ex. 381 (McCown Report) ¶¶ 93-95 (Tables 4-5) [APP-3773-3774].

326. During the period of 2020-2022, the increase in OOCL's average revenue per TEU in the transpacific trade was greater than the increase OOCL's overall revenue per TEU. *See* Ex. 381 (McCown Report) ¶¶ 96-97 (Tables 6) [APP-3774].

327. During the period of 2020-2022, OOCL achieved annual revenue per TEU equivalent to 57% of the concurrent Drewry Shanghai-LA spot rate by 2022. *See* Ex. 381 (McCown Report) ¶¶ 98-100 (Table 7) [APP-3774-3775].

328. During the period of 2020-2022, OOCL's policies of directing volume away from fixed-price contract rates to spot prices allowed it to achieve annual revenue per TEU equivalent to 57% of the concurrent Drewry Shanghai-LA spot rate by 2022. *See* Ex. 381 (McCown Report) ¶ 100 ("Plainly, in light of OOCL's statements that it sought to reserve 100% of its space for service contract customers, for OOCL to achieve annual revenue per TEU of 57% of the Drewry, OOCL's practices must have been very effective at driving a substantial amount of its overall volume away from fixed-price contracts to spot prices, whether those prices were achieved by virtue of floating-rate contracts, premium pricing or PSS.") [APP-3775]; McCown Dep. Tr. 238:19-240:7 ("I don't want to digress into a lengthy discussion about my issues with the credibility of spot versus CTS, but I don't recognize spot rates as necessarily tying into what contracts always renew at. However, when I compare the first quarter of 2022 to the third quarter of 2020, as noted in the last sentence of paragraph 99, OOCL's Trans-Pacific rate increase of 181 percent was 5/6 of the spot increase of 215 percent. Their depositions indicate that OOCL aimed for nearly 100 percent of their capacity to be handled by contract customers and BCOs. If they had adhered strictly to that strategy, it would have been impossible to maintain this 5/6 relationship trailing the Trans-Pacific spot market. I was perplexed by their extraordinary financial performance, particularly given that CSAL, now part of COSCO, was no longer publicly discussed or disclosed. To me, CSAL essentially took an existing business, imposed constraints on it, and then leveraged those constraints to pursue spot business with NVOs. It also introduced a mechanism that created the perception of fairness by having parties bid against each other. This strategy worked well for them, but I see it as an allocation scheme—and I use "scheme" in the pejorative sense.") [APP-1496].

329. OOCL was capable of meeting its service commitments to BBBY because OOCL owns 100 ships, charters more, and has access to shipping space through the OCEAN Alliance. *See* Devine Dep. Tr. 47:8-49:18 ("Q: Do you know how many ships OOCL owns? A: Not specifically. Maybe more than 100. Q: More than 100? A: I'm not sure exactly, Luke. I think it could be more than 100, but then again, you have chartering ships and fully owned ships. I believe it's about 100. Q: Okay. Is it safe to say that a charter is more? A: Excuse me? Q: Is it safe to say that OOCL charters more ships than it owns? A: No, I would not agree with that. I think we have more owned ships. Q: Apologies. My question was unclear. I should have— What I mean to say is does it charter ships in addition to the ones that it owns? A: Yes. Yes, that's correct. Q: Apologies for my unclear question there. Are there other ways that OOCL has access to additional shipping

volume? A: There may be, yes. Q: Maybe? A: Yes. If we would slot charter on your ship, for example. Q: Okay. A: If you owned a ship, we'd buy slots from you, and we then afford it to market with that type of product. Q: Pardon me. Is OOCL a part of a shipping alliance? A: Yes. Q: What alliance is that? A: The OCEAN Alliance. Q: What is your understanding of how the OCEAN Alliance operates? A: The OCEAN Alliance is a pooling of assets to provide a more robust product for the shipping community. I take my 25, join you with your 25, and join the next two parties with 25; now, we have 100 ships. Pretty much like the airlines, so it really improves the scale of our physical operation and the service offerings that we have made available to the public. It's a completely operational arrangement.") [APP-424]; Donohue Dep. Tr. 27:4-20 ("Q. Do you know how many ships OOCL owns? A. Roughly 140. Q. Does OOCL charter any more ships than that? A. I believe we charter, but I don't know the exact number. Q. Approximate? A. I don't know. Q. Are you aware of any other ways that OOCL has access to shipping volume? A. We are in a vessel alliance, and we have allocation on our alliance partners' ships as they do ours. Q. Any other ways that OOCL has access to shipping volume? A. There are slot purchase agreements that take place, but I don't have the specifics.") [APP-541]; *see also* Lam Dep. Tr. 174:14-175:20 (acknowledging that some extra loaders "are vessels chartered from the market, particularly during the COVID period", some were "borrow[ed]", some were shared between OOCL and COSCO, and some were owned by OOCL) [APP-1382].

330. Table 8 of the Expert Report of John D. McCown accurately describes OOCL's fleet of container ships during the period of 2017-2022. *See* Ex. 381 (McCown Report) ¶ 101 (Table 8) [APP-3775-3776].

331. During the period of 2020-2022, OOCL reduced its capacity during 2020-2022 by chartering out certain of its vessels. *See* Ex. 381 (McCown Report) ¶¶ 102-103 ("A striking thing about the data in the table is that OOCL actually reduced its overall vessel capacity in both 2021 and 2022, by reducing the number of leased and chartered vessels, and actively chartering out OOCL vessels to other carriers. Clearly that reduction in capacity was a voluntary choice as part of it required chartering out vessels to other container shipping companies. It is inconsistent with my operating experience as a carrier that at the same time volume was spiking in various trade lanes and certain terminals were becoming congested which had the further effect of reducing capacity, OOCL would elect to charter out container ships to others.") [APP-3776-3777].

332. OOCL's chartering out of certain of its vessels during 2020-2022 had the effect of reducing OOCL's overall shipping capacity. *See* McCown Dep. Tr. 243:6-24 ("Q. Let's talk about those outcharters. So, do you know what service lanes or service loops those vessels that were outchartered were servicing? This is in Table 8 of your report, on page 23. A. I see the report. No, I don't know specifically what lane they were in. Q. Do you know what the circumstances are which led to those outcharters? A. No, I don't. This — but this was data that I got from their annual reports. Q. Did OOCL reserve any space under those charters for its own use? A. I don't know."); 248:7-16 ("Q. And what facts and circumstances do you have that demonstrate that any of these outcharters had anything to do with the Trans-Pacific trade? A. I don't have that specific information. What I do have is that, overall, their capacity was less than it would have been had they not chartered those vessels out, and that's a fact.") [APP-1497].

333. During the period of 2020-2022, OOCL used its CSAL mechanism to restrict OOCL's carrying capacity and drive up rates for the cargo it did ship. *See* McCown Dep. Tr.

238:19-240:7 (“I don't want to digress into a very long discussion of my issues with the credibility of spot versus CTS, but I don't recognize spot as tying into what contracts always renew at. However, what I see from comparing the first quarter of that last sentence in paragraph 99, comparing the first quarter of 2022 to the third quarter of 2020, is that OOCL's Trans-Pacific rate increase of 181 percent was literally 5/6 of the spot increase of 215 percent. Their depositions show that OOCL's strategy is to have 100 percent, effectively, of capacity handled by contract customers and BCOs. If they had stuck with that, it would be impossible to maintain that 5/6 relationship trailing with the Trans-Pacific. I was perplexed by their extraordinary financial performance, especially now that CSAL is no longer a matter of public record or discussed, now that it's part of COSCO. To me, CSAL essentially took an existing business, imposed a constraint, and then entered the market to capture spot business with NVOs. It then created a mechanism that made people believe it was somehow fair and equitable to have them bidding against each other. It all worked very well, but I view it as an allocation scheme—and I mean ‘scheme’ in the pejorative sense of the word.”), 240:15-241:7 (“I don't really think so. I don't think it's anecdotal. Again, I reiterate the numbers that I just went through. I think numbers and results have meaning. There's a rationale for why something occurs. I'm a big believer in comparing metrics within the industry one operates in. You could say it's all anecdotal, but from my perspective, based on 40 years of operating and investment experience in the sector, CSAL was a significant catalyst for this widening gap between itself and the industry.”), 241:17-242:18 (“And so, yes, CSAL, ostensibly, you could say, didn't have anything to do with rates. Yet, in reality, it had everything to do with rates because it was squeezing at both ends. It was pushing customers who had a right to expect that the contracted-for volume would be fulfilled, and those same customers, who had a right to expect preferential treatment during difficult times when they needed it most, were not given that preference over spot NVOs. And yet, that did not occur. It was set up in a way that allowed multiple parties—I don't have specific information, but I've seen anecdotal information in various exhibits—where other customers were experiencing the same issues. This, in turn, freed up space to shift to the spot market. That approach, combined with constraints, was spun as if ‘we're all going through this.’”) [APP-1496-1497].

334. OOCL's practice of chartering out vessels at the same time as it knew it was failing to honor its service commitments to its service contract customers, such as BBY, was inconsistent with industry practice and unreasonable. *See* Ex. 381 (McCown Report) ¶ 104 (“In my opinion, it is inconsistent with reasonable industry practices for a carrier to choose to maximize profits by chartering out its vessels while systematically failing to honor its service commitments to customers. What it is consistent with, however, is a systematic scheme to ratchet up pricing by shifting BBY and other BCOs away from rates committed under service contracts towards spot market pricing. In whatever manner that is accomplished, it is an unreasonable practice outside of industry norms.”) [APP-3777].

5. BBY made *bona fide* and significant efforts to mitigate OOCL's MQC shortfalls and premium/PSS Charges.

335. BBY sought to enter into service contracts covering 100% of its anticipated needs for the year. *See* Hackett Dep. Tr. 234:23-235:15 (“To your knowledge, when Bed Bath & Beyond negotiated its service contracts for an upcoming year with its carriers, was it Bed Bath & Beyond's practice to contract for only the space that it anticipated needing in that upcoming shipping year? A. In totality? Q. Yes. A. Yes. . . . we would look at what we had and divide it up, like four or five

type of carriers, yes. Q. Understood. So when you took the combined MQC between all of the carriers with which Bed Bath entered into a service contract for that upcoming shipping year, that combined MQC would be Bed Bath & Beyond's anticipated shipping needs for that year, correct? A. Correct. Yes.") [APP-872]; Klosowsky Dep. Tr. 239:12-16 ("Q. So Bed Bath's practice was to contract for only what it needed? . . . A. Correct.") [APP-1296]; Pastor Dep. Tr. 44:2-12 ("How does Bed Bath determine its annual MQC-- it's minimum quantity commitment needs? A. Just Bed Bath. Okay. So we -- the -- we would, for the most part just project out what we thought we were going to do for the upcoming season based off of what they were ordering; and then based off of that, determine what our overall MQC we felt that we would need for the upcoming contract season."), 98:10-14 ("[O]ur goal is to contract out what we're projecting in that upcoming year, and then contract that out within the MQCs that we did with our ocean carriers.") [APP-1940]; Ex. 381 (McCown Report) ¶ 43 ("BBBY sought to enter into service contracts covering 100% of its anticipated needs for the year—no more, and no less. In my opinion, it was reasonable for BBBY to expect that OOCL would honor its service commitment.") (internal citation omitted)[APP-3763].

336. OOCL knew BBBY intended to fulfill the MQC in its Service Contracts. [REDACTED]

[REDACTED] [APP-2986]; Chen Dep. Tr. 271:5-11 ("Q. Then he writes, 'BBB[Y] has outwardly declared to us their desire to fulfill their contract MQC.' A. Uh-huh. Yes. Q. To your knowledge, was that statement correct as of this time? A. Correct. Yeah. Correct.") [APP-219].

337. BBBY complied with its obligations under the Service Contracts. *Supra* ¶ 129.

338. OOCL failed to meet its service commitments to BBBY under the Service Contracts.

339. During the 2020 Service Contract year, during which OOCL fell short of its service commitments to BBBY by 624.15 FEUs, BBBY had to undertake using NVOs or ocean freight forwarders on lanes that were supposed to be covered by OOCL's 2020 Service Contract. *See* P-0000801023 [APP-4418]; Dep. Ex. 328 [APP-3357]; Dep. Ex. 329 [APP-3358]; Ex. 381 (McCown Report, Appendices A-1 through A-4) [APP-3794-3809].

340. During the 2021 Service Contract year, during which OOCL fell short of its service commitments to BBBY by 1,363.26 FEUs, BBBY had to undertake using NVOs or ocean freight forwarders on lanes that were supposed to be covered by OOCL's 2021 Service Contract. *See* P-0000801023 [APP-4418]; Dep. Ex. 328 [APP-3357]; Kastin Dep. Ex. 329 [APP-3358]; Ex. 381 (McCown Report Appendices B-1 through B-4) [APP-3810-3844].

341. During the relevant time period in this case, BBBY chartered two vessels at "two to three times the normal rate" simply to get the shipping space it should have received under the Service Contracts. *See* Klosowsky Dep. Tr. 177:12-178:5 ("Q. Mr. Klosowsky, in August of 2021, do you recall that Bed Bath chartered two vessels to carry its goods? A. I recall chartering two vessels. I don't recall the dates exactly. Q. Okay. Do you recall how much cargo, how many containers they carry? A. I know it was a lot. Maybe over a hundred. I don't recall exactly how many. Q. Do you recall the rate that you paid for that vessel charter? A. I do not, but I remember

-- I do recall it being maybe on the order of 4 at least two to three times more than a normal rate, at least.”) [APP-1280-1281]; Hackett Depo. Tr. 138: 6-13 (“Q. And did you also charter two vessels in terms of adding additional capacity? A. Yeah. With, I think it was, Sparks Logistics, I think, was the name, and we did move -- I can’t remember the exact number, but I want to say it was probably at least 200, at least, FEUs on both of those.”), 236:23-237:4 (“[H]istorically, whatever we awarded to carriers, typically, they were moving. I mean, we never really -- in all the years that I was there, it wasn’t until kind of the COVID years that we had to move outside of our contracted carriers and use NVOs or, you know, charters, which is extreme.”) [APP-872]; Ex. 381 (McCown Report) ¶ 124 (“As a result of this discrimination, BBBY was forced to make Herculean efforts simply to get goods in stores. At one point, BBBY took the unprecedented step of chartering two vessels on its own, at ‘two to three times the normal rate’ because of the pressing need for space.”) (citing the Klosowsky Dep. 177:24-178:5) [APP-1280-1281].

342. In August 2021, BBBY arranged to ship approximately 220 FEUs from Yantian to Los Angeles/Long Beach via a charter service. See P-0000296588 (-2966589) (“Pat, [please] find the final PO list on this charter, total 222 FEU (including the extra 22 FEU).”) [APP-4397].

343. For the August shipment of approximately 220 FEUs via the charter service, BBBY incurred additional inland transportation costs to expedite the cargo. See P-0000296588 (-296601) (BBBY wrote to Yusen, “Do everything you can to confirm/move as many of the 34 FEU[]s in the 1st priority ‘Checking’ category, even if BBB[Y] needs to pay for any incremental inland transportation costs. Ideally, we’d still like our vendors to cover 50-100% of these incremental costs but I don’t want that to be a deterrent from moving these high priority PO[]s.”) [APP-4409].

344. For the August shipment of approximately 220 FEUs via the charter service, BBBY paid \$1.5 million upfront to secure necessary space it should have received under its Service Contracts with OOCL. See P-0000296588 (-296601) (BBBY wrote to Yusen, “As we’ve previously discussed, these SO releases are the trigger for me to approve payment of Sparx’s initial payment of \$1.5M that must occur on Monday 7/19.”) [APP-4409].

345. Further, during the relevant time period in this case, BBBY made extracontractual concessions such as paying PSS and entering into premium contracts before OOCL would perform under its existing service contracts. *Supra* FOF.Arg.I.D.2.

346. During the relevant time period in this case, BBBY had no choice but to agree to OOCL’s exploitative PSS pricing in order to put products on BBBY’s shelves and stay in business. See Hackett Dep. Tr. 37:10-38:2 (“Q. [W]as it your understanding that that was a separate contract commitment for additional space over and above what OOCL was obligated to provide in terms of space protection under the service contract? . . . A. Yeah. I would agree that it was a different contract. It had a different contract number. I would – I wouldn’t necessarily agree that it was for incremental space above and beyond. To me, and the way that, quite candidly, I think it got presented, it was like, if you want to get any space, you’re going to need to sign these premium contracts and move these goods under these premium rates; otherwise, you’re not going to get space on the vessel.”), 144:2-14 (“A. One was they were coming to us with peak season surcharge and they were saying, listen yeah, I know we have a contract, but if you want to get on a vessel, you’re going to have to agree to these peak season surcharges. So, candidly, our hand was kind of forced, as it was with other importers because it was a global phenomenon. And, so yeah, we did

agree to them. Keeping in mind that we are a retailer, right? If we don't have product on the shelves, we don't have business.") [APP-822; APP-849].

E. Count I, Element 5: OOCL's practices and regulations are the proximate cause of the losses claimed by BBY.

347. OOCL's practices and regulations are the proximate cause of the losses claimed by BBY under Count I. *Infra* COL.I.E.

II. Count II ("Unjust and unreasonable assessment of Detention and Demurrage Charges"): OOCL's Policy of Imposing Unreasonable Detention & Demurrage Charges Constitutes A Violation of 46 U.S.C. § 41102(c) & 46 C.F.R § 545.5.

A. Count II, Element 1: OOCL is an ocean common carrier.

343. OOCL is an ocean common carrier.

343.1. This element has been established. *Supra* ¶ 11.

343.2. This element is undisputed.

B. Count II, Element 2: OOCL's policies and practices of imposing unreasonable detention and demurrage charges occurred on a normal, customary, and continuous basis.

344. OOCL's acts or omissions in violation of 46 U.S.C. § 41102(c) & 46 C.F.R § 545.5 occurred on a normal, customary, and continuous basis.

344.1. This element has been established. *Infra* FOF.Arg.II.D.1-3.

344.2. This element is undisputed.

345. Between 2020 and 2022, \$1,784,164.88 in demurrage charges ("Demurrage Charges") were assessed for BBY shipments moving under OOCL terms. *See* Ex. 381 (McCown Report Appendix C) [APP-3845-3928]; Ex. 329 (P-0000353819) [APP-3358]; Ex. 381 (McCown Report) ¶ 185 ("Accordingly, it is my opinion that the \$1,784,164.88 in demurrage charges and \$6,036,612.95 in detention charges referenced in the Complaint were unreasonable in light of the circumstances") [APP-3792].

346. Between 2020 and 2022, \$6,306,612.95 in detention charges ("Detention Charges" and, together with Detention Charges, the "Detention and Demurrage Charges" or "D&D Charges") were assessed for BBY shipments moving under OOCL terms. *See* Ex. 381 (McCown Report Appendix C) [APP-3845-3928]; Ex. 329 (P-0000353819) [APP-3358]; Ex. 381 (McCown Report) ¶ 185 ("Accordingly, it is my opinion that the \$1,784,164.88 in demurrage charges and \$6,036,612.95 in detention charges referenced in the Complaint were unreasonable in light of the circumstances") [APP-3792].

C. Count II, Element 3: OOCL's policies and practices of assessing unreasonable detention and demurrage charges relate to and are connected with receiving, handling, storing, or delivering property.

347. OOCL's practices and regulations as to the D&D Charges relate to or are connected with receiving, handling, storing, or delivering property.

347.1. This element has been established. *Infra* FOF.Arg.II.C.

347.2. This element is undisputed.

D. Count II, Element 4: OOCL's policies and practices of assessing unreasonable detention and demurrage charges against BBY are unjust or unreasonable.

348. The Detention & Demurrage Charges OOCL assessed against BBY are unjust and unreasonable because such Charges were based on rates that are unjustified as a means of compensating OOCL for its direct or opportunity costs, the Charges were assessed during a period of severe port congestion in light of the COVID-19 pandemic when such Charges could not incentivize the movement of BBY's cargo, and BBY did all it could to mitigate the Charges.

349. Appendix C of the McCown Report reflects payments made by BBY for D&D Charges charged by OOCL for OOCL shipments. *See* Ex. 381 (McCown Report Appendix C) [APP-3845-3928]; [REDACTED]

1. OOCL's unreasonable detention and demurrage rates are unjustified as a means of compensating OOCL's direct or opportunity costs associated with container movement.

350. The Detention & Demurrage Charges OOCL assessed against BBY were based on rates that are unjustified as a means of compensating OOCL for its direct or opportunity costs.

351. Prior to the pandemic, detention and demurrage charges were anomalies and were seen by carriers more as a minor item rather than as a driver of revenue. *See* Porter Dep. Tr. 126:10-22 ("[Q.] you were not able to do what you did pre-pandemic in terms of evaluating the demurrage and detention charges; correct? . . . THE WITNESS: There was a lot of things I was not able to do pre-pandemic post-pandemic. Just, you know -- but like I had said earlier, per diem and demurrage were anomalies. So when you are talking about one off, of course it's easy to verify. But when you have this much, it takes more time. And I did have people to help me validate ingate and outgate. I never validated computations pre-pandemic or post-pandemic.") [APP-2151]; McCown Dep. Tr. 25:17-23 ("My sense is that all of the other carriers at the time viewed demurrage and detention the same way that U.S. Lines did. You know, it was a minor item, not often billed. And then when it was billed, it was often something that would be negotiated."), 32:20-33:19 ("And so the instance of demurrage and detention all came about there. It was -- even with that, it was -- wasn't too often.") [APP-1442; APP-1444].

352. OOCL, including its senior employees and Hong Kong management team, is well aware that the incentive principle, as a means of promoting freight fluidity, acts as the FMC's

primary guideline for determining when detention and demurrage charges are reasonable to assess on shipping customers, such as OOCL. *See* Young Dep. Tr. 98:21-99:25 (“Q. And once you’ve made your determination as to your -- how to interpret a given rule, how would you -- would you communicate that interpretation throughout elsewhere in OOCL? A. Yeah. Any area, obviously, that’s involved in traffic to or from the United States is subject to the FMC regulations. So, yes, we would communicate with Europe and we would communicate with Asia to say, hey, this rule means this is what you need to do. And we did do presentations and meetings with other offices just so that they would be clear and understood how to interpret those rules. Q. And would these communications include folks at OOCL’s Hong Kong offices? A. Yes, they did. Q. And would those folks include executive management? A. We also communicated with the management team in Hong Kong on -- but we also did separate presentations to the CSU and the frontline teams because they’re the ones that would implement the rule. But, yes, we also did communicate to management in Hong Kong, this is what this rule is going to do, what it intends to do, what it’s -- how it’s interpreted, and then we would communicate with all the teams to let them know what needs to be done.”), 104:20-25 (“But that’s what we tried to say to them. There has to be an incentive. If the customer cannot pick up his container or he cannot return his container, there’s no incentive, and so cannot charge demurrage charges.”) [APP-2849]; *see also* Sha Dep. Tr. 68:21-71:23 (“So the analysis that you were just describing to determine whether a charge is under the customer’s control or OOCL’s control, did that analysis ever take place before the charge was actually issued? A. Yes, that analysis is also taken before the charge is issued. Q: So what kind of review is undertaken before the charge is issued? A. Yes. For example, on the export side, if a container is already returned and intended to load it onto a port vessel, but then that vessel schedule has a delay which resulted to the container has to sit in the container -- sit at the terminal for few more days, then in that situation we will extended the free time or we will mitigate the charge amount our system is calculated because we know the container is returned, and the schedule delay or change happened after that is not customer’s responsibility or it is outside the customer’s control. So we will review those case scenarios, adjusted the free time. If there is charge remained, then we will issue the remaining charge, yeah. Q....[I]n what instances is a customer deemed to have been in control of the circumstances that led to a charge? A. There could be different scenarios talking about customer in control versus they’re not in control. For example, if customer need find truck power, then that’s their responsibility for a merchant move, right? And, for example, customer need to make sure in an original bill situation, they need a return to OBL back to OOCL in an inbound side, then we can release the cargo, then it is customer’s responsibility to make sure they have the OBL returned to OOCL first. Or say customer, they need to clear customs, make the customs clearance at the import side, then they need to completed that, then we can release the cargo in line with the customs rules. So those are some of the examples, typical examples, customer need to complete or fulfill their duties. If they have a delay in complete that and the demurrage charge or detention charge is accruing, then those charge are deemed valid, and the D&D charge calculated serve its incentive purpose as the customer is supposed to have a schedule, finish that, then they can pick up the container, otherwise they also know that the D&D charge will incur and be calculated.”) [APP-2314-2315]; Murdoch Dep. Tr. 128:3-16 (“Q What is your understanding of the FMC’s incentive principle? A The incentive principle is -- encourages the customers to pick up and return equipment within free time, but if there are extenuating circumstances that might prohibit them from doing that, then the carriers may take some action to mitigate the charges. So, in other words, something that would be evidence provided showing that it’s a -- something was beyond the customer’s control, then we can issue them a credit.”), 204:6-18 (“Q What is the FMC

Final Rule being referred to there, to your knowledge? A Basically, referring to that we cannot be invoicing D&D to a customer if the circumstances are beyond the customer's control. That's what he's saying. Q And is what Mr. Young is saying in that email there that I just read consistent with your understanding of OOCL's policy with regard to detention and demurrage at this time? A Yes.") [APP-1833; APP-1852],



353. Table 11 of the Expert Report of John D. McCown accurately describes OOCL's per diem detention and demurrage rates as of August 17, 2023. *See* Ex. 381 (McCown Report) ¶ 130 (Table 11) [APP-3781-3782].

354. As of August 17, 2023, OOCL's per diem detention and demurrage rates are multiples of the direct ownership costs associated with the underlying equipment. *See* Ex. 381 (McCown Report) ¶ 131 ("An initial observation is that the per diem rates are two and even three digit multiples more than the underlying direct ownership cost of a 40' container that can currently be estimated between \$0.80 to \$1.15 per day. Maintenance costs would add an estimated \$0.45 per day. The resulting multiple is so high relative to the underlying cost of owning and maintaining that container that the only conclusion is that direct cost has little if anything to do with the tariff rate.") [APP-3782].

355. As of August 17, 2023, OOCL's per diem detention and demurrage rates are generally the same regardless of the length of the associated container. *See* Ex. 381 (McCown Report) ¶ 132 ("The per diems are typically the same whatever the length of the container. That is an unusual practice and certainly is not the case with basic container rates that will vary considerably based on container length within the same equipment type.") [APP-3782].

356. As of August 17, 2023, OOCL's detention and demurrage per diems are significantly higher than what they were just two decades ago, amounting to "**more than 100 times** the actual daily carrying cost of the containers". *See* Ex. 381 (McCown Report) ¶¶ 133-37 [APP-3783-3784].

357. As of August 17, 2023, "OOCL's average U.S. port per diem of \$179 at the initial tier is **61 times** that total overall cost for demurrage situations and **126 times** the overall cost for detention situations". *See* Ex. 381 (McCown Report) ¶¶ 141-44 [APP-3784-3786].

358. OOCL's detention and demurrage rates constitute a practice of assessing detention and demurrage charges in order to drive profit, rather than to promote freight fluidity or for any other reasonable purpose. *See* Ex. 381 (McCown Report) ¶¶ 131-44 [APP-3782-3786].

359. Trailer Bridge, Inc. ("Trailer Bridge") represents a reasonable comparison for OOCL's per diem detention and demurrage rates. *See* Ex. 381 (McCown Report) ¶ 134-38 [APP-3783-3784].

359.1. Trailer Bridge was an integrated U.S. flag container carrier that, in addition to owning seven vessels, also owned and operated hundreds of over-the-road tractors and provided a complete integrated service to customers using its own assets. *See* Ex. 381 (McCown Report) ¶ 8 [APP-3756].

359.2. Trailer Bridge was the first container carrier to move 48' and 53' equipment on its vessels and built the first vessels in the world configured exclusively for 53' containers. The Puerto Rico trade lane that was the primary market served by Trailer Bridge was and remains the largest volume north-south container trade lane involving the U.S. *See* Ex. 381 (McCown Report) ¶ 9 [APP-3756].

359.3. In a cover article in *American Shipper* in 2006, Trailer Bridge was ranked first in terms of operating income as a percent of revenue in a comparison of more than fifty container shipping companies worldwide for which actual results were known. In that comparison of 2005 annual results, Trailer Bridge's 17.3% margin was slightly above OOCL's margin of 15.9% that had it ranked fourth among all carriers. *See* Ex. 381 (McCown Report) ¶ 11 [APP-3756].

360. If Trailer Bridge's per diem detention and demurrage rates were applied to reduce the detention and demurrage charges charged by OOCL to BBY during 2020-2022, such application would result in a refund to BBY of \$1,409,490.25 in demurrage and \$4,768,924.23 in detention charges. *See* Ex. 381 (McCown Report) ¶ 140 [APP-3784].

361. Detention and demurrage rates assessed solely on the basis of "opportunity cost" are arbitrary. *See* Ex. 381 (McCown Report) ¶ 159 ("The second factor, opportunity costs, appears to be an open-ended explanation that could be anything one needed it to be. Indeed, that factor could be used to justify almost any demurrage level. It is easy to see a carrier making the case that even a one day delay in getting a piece of equipment that somebody else was holding on to would result in losing a load. In that case, the claimed revenue loss could be many more times higher than current per diems, and that was even before rates spiked during the pandemic") [APP-3788-3789].

362. During the 2020-2021 and 2021-2022 shipping years, OOCL's container ships were running full in the headhaul lanes. *See* Mitchell Dep. Tr. 178:19-22 ("[Q] During the 2020 and 2021 shipping years, to your knowledge, were OOCL ships running at full capacity? A Yes.") [APP-1722]; Lam Dep. Tr. 94:21-95:23 ("Q. So Ms. Lam, during the 2020 shipping year what proportion of OOCL's Trans-Pacific Trade eastbound voyages were sailing full? A. 2020, I cannot recall the individual service name. But, in general, on average we have not reached 100 percent. Q. So again, for the 2020 shipping year, Trans-Pacific Trade eastbound voyages, would you say that OOCL shipped more than 95 percent of its capacity on those voyages? A. Yeah, I believe so.

Q. And for the 2021 shipping year, the same question: What proportion of OOCL's Trans-Pacific Trade eastbound voyages sailed full? A. I don't have the average number for vessels sailed full, but we have the overall average. It's very close to 100 percent. Q. Was that average closer to 100 percent in the 2021 shipping year than it was in the 2020 shipping year? A. 2021 shipping year, yes. But not for 2020 shipping year. Q. But for the 2020 shipping year, you'd agree that Trans-Pacific Trade eastbound voyages were more than 95 percent full? A. Yes, I can agree, in average.") [APP-1362]; Chen Dep. Tr. 126:16-127:10 ("Q Do you have any sense of whether, during the shipping years 2020 and 2021, OOCL's vessels were sailing full, essentially, sailing at full capacity? A. Yeah. I think when we see the demand certainly came, our ships were all full. Q Would you say that OOCL actually used more than 90 percent of its available capacity in the 2020 and 2021 shipping years? A I would believe so. Q Would you say that OOCL used close to 100 percent of its total available capacity in the 2020 and 2021 shipping years? A I would think so; otherwise; they would not try to secure additional capacity from outside."), 241:14-16 ("Q OOCL's vessels during this time period, 2021, were sailing full, correct? A Yes.") [APP-183; APP-211]; Ex. 381 (McCown Report) ¶51 [APP-3765].

363. OOCL's detention and demurrage rates assessed during the pandemic are unjustifiable on the basis of opportunity costs. *See* Ex. 381 (McCown Report) ¶ 162 ("Full is full. The opportunity cost argument for enhanced per diem charges therefore does not apply to conditions during the COVID-19 pandemic, when OOCL has admitted it was able to run its ships at full capacity regardless of congestion or delays in container handling") [APP-3789].

364. Steffen admitted that there are no opportunity costs associated with the detention charges levied by OOCL against BBY at issue in this action. *See* Steffen Dep. Tr. 210:24-211:22 ("Q You understand that when detention is being accrued the container is offsite, correct? A Yes. Q So when detention is being accrued, there's no opportunity cost arising from the missing space at the terminal facility, right? A I agree with that. Q So, at least, with respect to detention, since there's no opportunity cost associated with space being taken up at the facility, and assuming the ships are able to run full with sufficient containers to support their operations, you haven't identified any opportunity cost relating to the detention of particular containers, correct? A Well, given those facts and -- . . . A Given those facts and circumstances, if true, correct.") [APP-2572].

365. OOCL sets its detention and demurrage rates not in order to compensate itself for the direct or opportunity costs associated with the use of its containers but as a means of driving revenue. *See* Ex. 381 (McCown Report) ¶¶ 131-44 [APP-3782-3786].

366. Jensen described the shipping industry as a "de facto oligopoly". *See* Dep. Ex. 420 at 5 ("As Vespucci Maritime CEO Lars Jensen told American Shipper in a previous interview, 'We have definitely seen the effects of consolidation. At least on the main trades, there is a de facto oligopoly, which means the carriers are able to somewhat better prevent the price wars we've seen in the past. This is the logical end point of 20 years of gradual consolidation.'") [APP-4064].

2. OOCL assessed unreasonable detention and demurrage charges against BBY.

367. The Detention & Demurrage Charges OOCL assessed against BBY are unjust and unreasonable because such Charges were assessed during a period of severe port congestion in

light of the COVID-19 pandemic when such Charges could not incentivize the movement of BBY's cargo, the Charges were arbitrary, OOCL maintained unreasonable invoicing and collection practices, and OOCL did not have a meaningful dispute resolution practice.

368. OOCL knew that when a detention or demurrage charge was outside of the customer's control, the charge would likely not be appropriate under the incentive principle. *See* Devine Dep. Tr. 113:2-12 ("Q So what was the policy that would distinguish between those types of situations? A I don't know the policy specifics, but my general understanding is that if there's a physical operating issue that impedes the operation and is beyond the control of the customer, we would step in and assist the customer, always.") [APP-440]; Murdoch Dep. Tr. 128:3-16 ("Q. What is your understanding of the FMC's incentive principle? A. The incentive principle is -- encourages the customers to pick up and return equipment within free time, but if there are extenuating circumstances that might prohibit them from doing that, then the carriers may take some action to mitigate the charges. So, in other words, something that would be evidence provided showing that it's a -- something was beyond the customer's control, then we can issue them a credit."), 204:6-18 ("Q. What is the FMC Final Rule being referred to there, to your knowledge? A. Basically, referring to that we cannot be invoicing D&D to a customer if the circumstances are beyond the customer's control. That's what he's saying. Q. And is what Mr. Young is saying in that email there that I just read consistent with your understanding of OOCL's policy with regard to detention and demurrage at this time? A. Yes.") [APP-1833; APP-1852]; [REDACTED]

369. During the pandemic years of 2020-2022, significant issues concerning congestion and shortages of equipment, space and labor combined to create an environment in which detention and demurrage charges skyrocketed. Ex. 381 (McCown Report) ¶ 163 ("It is well known that significant issues concerning congestion and shortages of equipment, space and labor combined to create a pandemic-era environment in which detention and demurrage charges skyrocketed.") [APP-3789].

i. Port congestion and other factors resulting from the COVID-19 pandemic significantly disrupted the flow of containers.

370. OOCL was aware of the congestion impacting ports throughout the world, including in North America. [REDACTED]

OOCL 2020 Annual Report ("As more and more services were introduced, congestion and equipment availability became more and more problematic.") [APP-4434.]; OOCL 2020 Annual Report ("Towards the end of the year, increasing congestion at the key hubs of Los Angeles/Long Beach, as well as inland bottlenecks hindering the flow of empty containers back to port and on to Asia presented operational challenges. These remain unresolved at the time of writing.") [APP-4440.]; OOCL 2021 Annual Report ("Over the course of 2021, we have seen port congestion, bad

weather delays, labour disputes, shortages of truckers, the Suez Canal incident, insufficient rail capacity, empty box shortages in key locations, COVID-19 rules affecting the availability of labour in terminals, depots, yards, quarantining requirements for vessel crew causing operational delays, and a range of other difficulties.”) [App-4635]; OOCL 2022 Annual Report (“Market conditions in container shipping during the first half of 2022 were largely unchanged from the extraordinary conditions seen over the previous 18 to 24 months. In the early part of the year, significant supply chain disruption throughout the network, including port and inland congestion, continued shortages of chassis and of truck drivers, as well as difficulties in repositioning boxes to customers continued to put downward pressure on the levels of effective supply in the market.”) [APP-4844]

371. OOCL was aware at the time that port and rail congestion impacted all of its BCO customers from 2020 through 2022. *See* Chen Dep. Tr. 113:3-119:2 (“Q Generally speaking, in 2020 through 2022, are you aware of the challenges that BCOs faces as a result of port congestion in the United States? A Yes. Not only to BCO, I think. All customers. Q Can you -- can you describe your understanding of what challenges BCOs faced as a result of port congestion during 2020 through 2022? A Our customers could not get the cargo because they are -- you know, because our ships are anchoring outside the terminal after they get the cargoes because our customers’ warehouses just couldn’t have the capacity to process the cargo, so they couldn’t retain the -- our equipment. . . . A Oh, sorry. I said, after they got the cargoes, they -- their warehouses did not have the capacity to handle, to process, the cargoes, so they held our equipment[] at their warehouses. Q Are you aware of situations during 2020 through 2022 where BCO’s containers were loaded off of a vessel but were inaccessible at the terminal in the container yard? A Yes. We heard the report from our operation team. Some ports -- some ports were having a chaotic situation because their port was overutilized. Q Do you recall which particular ports had those issues during 2020 through 2022. A I think that was very common across all ports; however, ports -- the conventional ports were probably having the bigger challenge.”) [APP-179-181]; Mitchell Dep. Tr. 116:19-119:5 (“[Q] Did port congestion, from your experience with your customers, get worse as time went on from 2020 into 2021? A Yes. Q How so? A Well, because you had ships out of rotation, vessel bunching. You had new -- new carriers that weren't in the Trade prior to maybe 2020 coming into the Trade. You had -- there were daily updates on a number of ships out at anchorage and beyond the anchorage that were waiting to come in. So you had all this -- all these ships coming, and just the terminal -- between the volume and building up and the containers dwelling, long-term dwelling, at the terminals, that led to congestions. Q From your experience, during this time period, did shippers experience a lack of chassis, making it difficult to pick up containers from port? A Well, there -- lack of chassis was one. Q Was lack of rail service to get containers to go where they needed to go also an issue leading to port congestion? A Well, if an importer had rail movements, the -- you know, the railroads may have lacked the number of railcars needed to move out containers.”) [APP-1706-1707].

372. OOCL was aware that a lack of chassis availability impacted shippers’ ability to pick up containers from port. *See* Devine Dep. 99:24-101:9 (“Q: Based on your experience during the 2020-2021 shipping year, did shippers experience a lack of chassis for picking up containers from port? MR. LETOURNEAU: Objection. Form. Q: You can answer. A: Yeah. I think that it's general knowledge that this chassis shortage was created due to the large volume of imports that sat idle outside warehouses and deserts everywhere in southern California. So, yeah, there wasn't enough chassis to handle the volume. And there was no fluidity. They weren't coming back. So there was a chassis shortage from time to time, yes. Q: And when you say that there were so many

containers lying in the desert in and around southern California, can you elaborate on that a little bit? A: Yeah. Shippers ran out of space. They ran out of warehouse space. They were parking them anywhere and stacking them on top of each other and parking them in the desert. Q: And then those containers were then unable to be used as chassis for other shippers, leading to the shortage, is your testimony? A: That's correct. That's correct.") [APP-437].

373. OOCL was aware that a lack of rail service impacted shippers' ability to pick up and drop off containers from ports. *See* Devine Dep. 101:13-102:2 ("No, I don't think that we experienced a lack of rail service. I think there was a shortage of railcars because the railcars have to come in to go out, just like the empties have to come in for the ship to sail safely. You can't sail a ship without anything on it to balance the ship. You have to have 10,000 empties or so on your ship. You've got to bring railcars in to put railcars out. That ties into the balanced trade at the time, U.S. exports at the time. It was a very challenging period for the supply chain at all levels.") [APP-437-438].

374. OOCL acknowledged the forces leading to demurrage and detention charges were beyond the customers' control. *See* [REDACTED]

[REDACTED] *see also* Sha Dep. Tr. 56:18-60:19 ("Q. Yes, because of chassis shortages. A. Because of chassis shortage. So I think chassis, if customer has problem in get a chassis, that will impact their ability to pick up the container from the terminal, but one is, the chassis is not provided by OOCL in the merchant move. Get a chassis is customer's responsibility. If customer does -- I mean if customer's not able to get a chassis, which is under their responsibility, then they will have a delay in pickup the container, and that will result to the demurrage charge. So chassis shortage on customer side could result to demurrage charge, but should not be the detention charge...Q. Did drayage providers or trucking companies complain about having to wait to return empty containers at storage yards until an appointment became available? A. Yes. If there is no appointment, for example, they trying to return on Monday, but there is no appointment for Monday, then, yes. If the only appointment is for Tuesday or the only appointment they can get is on Tuesday, then they have to wait Tuesday to return the empty, it could happen. Although we also remind the customer or their trucker when they reach out to us, to frequent check the appointment system, as that -- the appointment system also constantly refreshed when some trucker, they cancel the appointment, and overall, also we see that there is a high no-show ratio for some terminals on appointment side....Q. So speaking about -- we were just talking about a specific type of charge, but speaking about detention and demurrage charges generally, can you provide some examples of the kinds of situations where refunds would be issued? A. I think what we talked that if customer paid first for a detention charge and then later on, I will think that's between customer, their side with their vendor. If they collected more information after they made the review and validation and they have the confirmation the detention charge incur is

because of lack of appointment and they came to OOCL with those detailed information, then, yes, we will issue the credit note and refund the charge to the customer.”) [APP-2311-2312]; Young Dep. Tr. 82:2-83:15 (“Q. And for the empties, that was exacerbated because exports from the United States were much lower, correct? A. Correct. And empties were being returned and just accumulating in the terminal because we were prioritizing moving our cargo rather than moving out empties, and then we were asked to evacuate these empties out.”) [APP-2844]; Chen Dep. Tr. 142:23-143:7 (“Q. Bed Bath & Beyond says in Exhibit 4, “BBB cannot timely obtain its containerized goods or return empty containers, causing these containers to go beyond their free time due to no fault of our own.” At this time, was that a true statement? A. Yes, in some cases.”) [APP-187].

375. OOCL’s U.S.-based Trade team member with authority to grant “commercial mitigation” of detention and demurrage charges during the relevant time period specifically acknowledged that “in some cases” BBY could not “timely obtain its containerized goods or return empty containers, causing th[o]se containers to go beyond their free time due to no fault of [BBY’s] own”. Chen Dep. Tr. at 119:19-25 (“Q. You mentioned commercial mitigation. Was mitigation of detention and demurrage charges something that you and your team were responsible for during this period, 2020 through 2022? A. Yes.”), 123:2-22 (“Q. Can you think of any instances during 2020 through May of 2022 where OOCL did provide commercial mitigation to a customer for detention and demurrage charges? A. I don’t remember the names there because in my team I was not the only one allowed to give commercial mitigation. My commercial managers, they are also authorized to give commercial mitigation based on the commercial merit. Q. What are the limits of their authority and the limits of your authority for commercial mitigation of detention and demurrage charges? A. My commercial managers were allowed to give \$5,000 U.S. dollars per bill. And then my threshold is \$10,000 U.S. dollars. Q. Is that also per bill? A. Per bill.”), 142:23-143:7 (“Q. Bed Bath & Beyond says in Exhibit 4, ‘BBB cannot timely obtain its containerized goods or return empty containers, causing these containers to go beyond their free time due to no fault of our own.’ At this time, was that a true statement? A. Yes, in some cases.”) [APP-181-182; APP-187];

[REDACTED]

376. A significant imbalance between higher detention charges as compared to demurrage charges tends to indicate that a shipper’s failure to return containers is due to factors outside the shipper’s control. *See* Ex. 381 (McCown Report) ¶ 145 (“From my experience, charges to BBY for detention that are more than three times those for demurrage and the imbalance in favor of detention charges indicates a few points. First, an empty container at a shipper facility is of no use and takes up space, potentially leading to congestion that adversely impacts real productivity. Typically, shipper failure to return containers is due to factors outside of the shipper’s control, such as when carrier terminal is jammed up and is not allowing empties to be returned, when there is a shortage of chassis or other equipment, or when terminals are imposing limitations on returns.”) [APP-3786].

377. Due to the disruptions at U.S. ports and associated infrastructure during the pandemic, most, if not all, of the delays incurred by shippers during this period were not reasonably within the shippers’ control. *See* Ex. 381 (McCown Report) ¶ 152 (“In any event, due to the well-

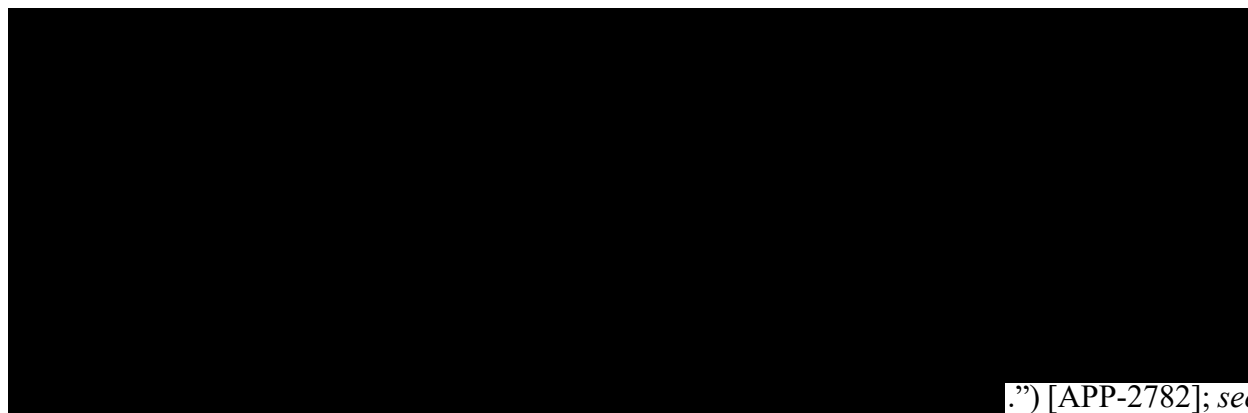
known disruptions at US ports and associated infrastructure during the pandemic, including shortages of equipment and labor as well as poorly managed terminal operations, container brushpiles (where containers without a designated trucker at time of discharge are put in one large stack) and other unusual circumstances, it is my opinion that much, if not all, of the delays incurred by shippers were not reasonably within the shippers' control.") [APP-3787].

ii. OOCL assessed arbitrary and exorbitant detention and demurrage charges against BBY.

378. OOCL personnel believed congestion was not a valid reason to stop carriers from charging detention or demurrage. *See* Chen Dep. Tr. 119:3-119:18 ("Q. Are you aware of instances where OOCL refunded detention or demurrage charges to BCOs during 2020 through 2022 because of port congestion? A. I don't think we refunded because I was in Commercial role, so anything -- any kind of a charge mitigation will be based on Commercial merits, Commercial considerations. So any charge legitimate, you know, based on the FMC rules, then OOCL should collect it. So when you talk about refund, it probably, you know, a wrong billing issue. I don't think congestion is a reason, you know, to stop carrier charging detention or demurrage.") [APP-181].

379. However, OOCL did not waive demurrage and detention charges because "[t]hat delay is not directly caused by OOCL". *See* Sha Dep. Tr. 71:24-74:2 ("Q. I want go back a little bit to when we were discussing chassis. You said that -- well, I'll let you characterize it yourself, so strike that. Are you aware that customers made complaints about a lack of chassis availability leading to delays in pickups or drop-offs? . . . A. I think we earlier talk about customer, if they cannot find the chassis or they have difficulty find the chassis, then in a merchant move, they will have difficulty to pick up the laden container from the terminal, yes. Q. So -- yes. So did you hear complaints about that from customers? A. I think during 2020 to 2022, we hear some of that. I think -- I will think majority customers understand that's their problem -- well, that's their accountability, as OOCL was not offering chassis and that was from long time ago. It was not after COVID or, you know, during COVID, so they understand that's their accountability. So there could be -- when we say customer talk with us, if they're talking about they ask for a demurrage charge waiver because of that, then during 2020 to 2022, our principle and we're clear to them is they need to find chassis. That delay is not directly caused by OOCL, so we're not waiving demurrage or we won't concluded that as demurrage charge is invalid. Q. But if you say if customer talk with us, if they dispute, yes, it could be they talk with us and ask -- may not hundred percent being a D&D team, they could also talk with sales. And on the commercial side -- . . . A. So customer can also talk that chassis shortage in the merchant move with our sales, and that we could also -- or sales could also escalate to our commercial team to review the commercial mitigation or discount. Yes, so I think I'm trying to explain is, chassis is not all sales responsibility. We are not conclude[ing] or we are not determining the demurrage charge is invalid when the customer cannot find the chassis or has a delay to find the chassis, but customer could still talk with us, and on our commercial side, we may still could give them consideration, or I don't know how much, but like on operation side, we can help them look into chassis situation if we have any way on that, yes.") [APP-2315-2316].

380. OOCL policy was to refund demurrage and detention charges only if a customer could prove OOCL's miscalculation or that the charges were not due to the customer's fault. *See*



.”) [APP-2782]; *see also* Sha Dep. Tr. 56:18-60:19 (“A....Get a chassis is customer's responsibility. If customer does -- I mean if customer's not able to get a chassis, which is under their responsibility, then they will have a delay in pickup the container, and that will result to the demurrage charge. So chassis shortage on customer side could result to demurrage charge, but should not be the detention charge. Q. So that could result in demurrage charges, but not detention charges, in your experience. A. Yes. Q. And did customers ever complain about those types of demurrage charges? A. During 2020 to 2022, I think overall there is customer talk about the chassis, but our position is it is customer's responsibility. OOCL was not providing chassis for the merchant move from long time ago, so it is -- was customer's responsibility.”) [APP-2311-2312].

381. Requests for discounts or waivers on unpaid charges are reviewed by sales and then forwarded to OOCL’s Trade Department for consideration. *See* Wong Dep. Tr. 41:17-24 (“Q. If a customer has a large amount of unpaid detention and demurrage invoices, what steps does OOCL particularly take in response? A. If the customers ask for a discount for the detention or demurrage incurred, they will go to sales and then sales will review whether it's justified or not and then present it to trade for consideration.”) [APP-2712].

382. “OOCL has a specific policy and a specific table that shows what amounts of detention and demurrage charges can be waived by various employees”. *See* Wong Dep. Tr. 43:16-45:5 (“Q: So do those three individuals you just mentioned have the authority to refund any amount of detention and demurrage charges in response to a customer request, or is there a set amount they don't have authority to approve a refund of? A: They have a certain amount of approval. I won't say refund, because normally the request is to ask for a discount. Q: What amount of detention and demurrage charges that a customer requests be waived would be large enough that someone in Hong Kong would need to make a decision about that? A: I really cannot recall the exact amount. Q: Would the members of the trade team in Salt Lake City that you mentioned have the authority to waive detention charges in the amount of a hundred thousand dollars, for example? A: Sorry. I cannot recall. I need to refer to a table. Q: Which table? A: The table lists out how much we can waive for the team in the U.S. and for me and for upper levels. Q: So OOCL has a specific policy and a specific table that shows what amounts of detention and demurrage charges can be waived by various employees? A: Yes, yes. Q: And you said you have the authority to waive detention and demurrage charges up to \$10,000; is that correct? A: That's just an example, not exactly the amount. Q: Did your work responsibilities at OOCL involve dealing with billing at all? A: No. Q: No? A: No.”) [APP-2713].

383. To the extent BBY's warehouses or distribution centers were unable to process cargo during the pandemic, such inability arose in part due to OOCL's failure to reasonably coordinate the shipment of such cargo. *See* McCown Dep. Tr. 192:12-193:16 ("Everything's kind of linked to everything else. And to absolutely say, even under your hypothetical, that nonperformance by OOCL — for instance, one of the things on point, specifically, and referenced in our report — was that the normal rhythm of shipping, where everything kind of worked like clockwork, disappeared during the pandemic. That certainly was not Bed Bath & Beyond's fault. OOCL was operating the ship. So that normal rhythm disappeared. I think that's exactly what the vice president, Mr. Klos- — I apologize, I can't pronounce his last name — exactly what he meant when he went to the terminal and was complaining that chassis weren't provided. He referenced, and throughout the depositions Bed Bath & Beyond was saying, that the service we were getting no longer was the regular service we had expected and normally got. It was in bunches. And so, yes, you better believe I feel strongly that that which is squarely at OOCL could, in fact, have a very pronounced effect on your hypothetical."); 210:17-22 ("Well, I was responding and disagreeing with your contention that OOCL could not be, in any way, responsible for that. And I was explaining the --one element that I -- in my view, OOCL was responsible .") [APP-1484; APP-1489].

384. OOCL acknowledged that detention and demurrage charges should not be billed if customers were not responsible for delays in pickup or return. *See* Chen Dep. Tr. 165:3-167:5 ("Q So I'd like to turn to the fourth page, which is Bates 55984, the e-mail from Mike Young on February 16th, 3:46 p.m. Mike Young writes to a number of OOCL recipients, 'Have we even evaluated the DD billed as correct? They seem to imply, but have not provided evidence to qualify, that they were not responsible for delays in pick up or MT return to our facility. If this is the case and can be validated, the DD should not be billed per the FMC final rule.' Do you agree with Mike Young's statement, that if that were the case and could be validated, the detention and demurrage should not be billed, per the FMC final rule? A Yes. So if we have the final rules in place, then we need to make sure our billing are correct before we sent them to our customers. Yeah. Q And do you agree with Mr. Young's statement, that if Bed Bath & Beyond were not responsible for the delays in pickup or empty returns to their facility, Bed Bath should not have been charged detention and demurrage? . . . A We cannot generalize it here. It has to be a -- you know, per specific case to look at that. Q So you see Mr. Young writes, 'If this is the case and can be validated, the DD should not be billed.' Do you see that? A They were not responsible delay in pickup. Q Do you see what I'm referring to? A Yeah. Yeah. Yeah. Yeah. Yeah. So yeah. So if based on the FMC rule about DD, about detention/demurrage, if the customer is not able to pick up the cargo or return the empty and it was just out of their control, we should not be bill -- we should not bill to the customer.") [APP-192-193]; Murdoch Dep. Tr. 128:3-16 ("Q What is your understanding of the FMC's incentive principle? A The incentive principle is -- encourages the customers to pick up and return equipment within free time, but if there are extenuating circumstances that might prohibit them from doing that, then the carriers may take some action to mitigate the charges. So, in other words, something that would be evidence provided showing that it's a -- something was beyond the customer's control, then we can issue them a credit."), 204:6-18 ("Q What is the FMC Final Rule being referred to there, to your knowledge? A Basically, referring to that we cannot be invoicing D&D to a customer if the circumstances are beyond the customer's control. That's what he's saying. Q And is what Mr. Young is saying in that e-mail there that I just read consistent with your understanding of OOCL's policy with regard to detention and demurrage at this time? A Yes.") [APP-1833; APP-1852], [REDACTED]

385. OOCL sought to, and did, profit from demurrage charges in addition to covering its costs. *See* Ex. 381 (McCown Report) ¶ 148-49 (“Prior to the pandemic, even when per diems were at extraordinary three-digit levels, it was unusual for large charges to be billed and, when they were, they were often settled at much smaller amounts. Indeed, from my experience many carriers view such charges as negotiating tools to achieve broader revenue goals with that shipper. With generally excess capacity anyway, using a container a few extra days was not costing a carrier much and any claim of lost opportunity costs was non-existent due to the same excess capacity situation. With the significant change in the supply/demand and congestion dynamic that occurred during the pandemic, carriers realized that the tariff per diems offered a meaningful separate stream of revenue and income. To maximize this revenue and income stream and to minimize the questions they knew would come up related to charges, many carriers established a protocol requiring that payment of all demurrage charges was required prior to being able to pickup the load. This ‘gun to head’ approach, ostensibly done in the name of credit concerns, would short circuit any discussion and as soon as payment was made the shipper was deemed to have ‘agreed’ to the charges. Such a shakedown is little more than ‘cargonapping’ and is a particularly abysmal practice for any company that claims to be in the service business.”) [APP-3786-3787]; Donohue Dep. Tr. 76:6-19 (“Q. In addition to covering its costs for these rates, did OOCL profit off of the demurrage charges it charged its customers? A. Yes. There was an element of profit. Q. Can you describe that element in more detail? A. Actually, I should be specific. I can't speak for all locations around the world. But there were some areas where it was cost plus. So there was a margin on the demurrage rate. So we did experience a profit on the demurrage charge. But there were other areas where we were at a loss, and we had to try and recoup. So it's fluid depending on the location.”) [APP-553].

386. The locations where OOCL profited from demurrage charges included the port of Los Angeles / Long Beach. *See* Donohue Dep. Tr. 76:20-77:5 (“Q. Which areas would there be profit? A. Pacific northwest, Pacific southwest, south Atlantic, sometimes the northeast. Q. What about the region that includes LA/Long Beach? A. So speaking strictly about our tariff rate, yes, there would be profit in LA/Long Beach. But for individual service contracts that have customized demurrage rates or detention rates, it may not be a profit. We could be accepting those terms at a loss.”) [APP-553].

387. OOCL conditioned shipping BBBY and other customer cargo on payment of all demurrage charges. *See* Ex. 381 (McCown Report) ¶ 149 (“With the significant change in the supply/demand and congestion dynamic that occurred during the pandemic, carriers realized that the tariff per diems offered a meaningful separate stream of revenue and income. To maximize this revenue and income stream and to minimize the questions they knew would come up related to charges, many carriers established a protocol requiring that payment of all demurrage charges was required prior to being able to pickup the load. This ‘gun to head’ approach, ostensibly done in the name of credit concerns, would short circuit any discussion and as soon as payment was made the shipper was deemed to have ‘agreed’ to the charges. Such a shakedown is little more

than ‘cargonapping’ and is a particularly abysmal practice for any company that claims to be in the service business.”) [APP-3787].

388. OOCL acknowledged that many shippers were challenging their detention and demurrage invoices. *See* Klosowsky Dep. Tr. 116:17-117:7 (“Q. Okay. So when you were saying you chose to proceed in this manner to allow you to research each claim without overwhelming you, this is going to be a big project for both sides, what did you mean? A. My recollection of that was that they were getting swamped, like my conversation with Dan and Jim and Tom was that many parties like Bed Bath & Beyond were challenging and doing the same thing, and their team, they have a customer service team that would review each individual shipment.”) [APP-1265]; *see also* Chen Dep. Tr. 124:25-125:10 (“Q. Do you have any recollection during 2020 through 2022 of OOCL providing commercial mitigation to a particular customer for detention and demurrage charges that was more than \$50,000 in total? A. I -- again, I don't remember 8 that because every year we have a lot of mitigation cases, you know. I don't really have the recall.”) [APP-182].

389. During the pandemic, OOCL received complaints from customers during about demurrage charges accruing due to a lack of trucks in merchant moves. *See* Sha Dep. Tr. 54:12-55:9 (“Q. Okay. Did customers complain about demurrage based on the lack of trucks to pick up containers? A. They -- so in the merchant move, they may have some shortage, but that's talk about overall industry. OOCL is not helping customer to find a trucking -- truck power when it is a merchant move, and we're not responsible for that. Q. But that is a complaint that you did encounter? A. Opposite to the merchant move, if it is a carrier haulage, which means -- . . . A. If it is a carrier haulage, which means OOCL is responsible for the door delivery to customer's warehouse, then we are responsible for find the truck power, the truck power. And during COVID, there was delay, and we are responsible for that, and we will extend the demurrage free time for that, but customer will experience the delay because of that.”) [APP-2311].

390. OOCL denigrated its own customers as “cornered dogs” desperately “lashing out at whatever is in front of them.” *See* [REDACTED] Donohue Dep. Tr. 162:17-21 (“Q. And in your email here, you state, “Unfortunately, some of our customers are like cornered dogs and they are now lashing out at whatever is in front of them.” Correct? A. Yeah.”) [APP-575].

iii. OOCL maintained unreasonable invoicing and collection practices as to the detention and demurrage charges assessed against BBY.

391. OOCL’s invoicing and collection practices were unreasonable.

392. [REDACTED]

393. OOCL used an antiquated system for accepting payment of demurrage charges that contributed significantly to the escalation of demurrage cost. *See* Soban Dep. Tr. 76:5-82:21 (“Q

How was the process for the payment of demurrage -- how did that process change after EDRA Y came on board? A EDRA Y was -- had the benefit because their primary and sole purpose was final mile has developed and used the various tools. And, again, those are the payment tools to get a container demurrage guaranteed in the most efficient time. Again, different ocean carriers and different ports had different ways of paying. So there was one application that was -- or method that was coming onto -- into place because of some of the issues with the demurrage that was being utilized by some. So paying demurrage or guaranteeing demurrage -- paying demurrage became more efficient because prior to that just the fact -- just the process of paying demurrage would contribute to additional demurrage because some required actual check or wire transfer, and so the Yusen and because of the carrier availability would add to the demurrage.... Q But did that process ease after EDRA Y was onboarded? A Yes. Q And how was it -- how was it eased after EDRA Y was onboarded? A Because EDRA Y had been implementing onboarding the various ways that the different terminals and ports and ocean carriers were accepting the payment for demurrage. Q Okay. And so with EDRA Y's processes in place, then the payment of demurrage was expedited? A Yes. Q How much -- how would you characterize the level of expediting that EDRA Y provided? How many days did they save, would you say, on average? A I cannot say because I don't how that process looked prior to EDRA Y. I mean, I know how it looked like, but I cannot -- I don't remember specific days, but it did become efficient. Q How long would you say the process took before it became efficient after you came on board in January of 2022? A I don't know.") [APP-2449-2451].

393.1. OOCL required actual payment of demurrage charges and would not accept guarantees, which led to delays due to the processing required for payments via check or wire transfer. *See* Soban Dep. Tr. 76:5-82:21 ("Q How was the process for the payment of demurrage -- how did that process change after EDRA Y came on board? A EDRA Y was - - had the benefit because their primary and sole purpose was final mile has developed and used the various tools. And, again, those are the payment tools to get a container demurrage guaranteed in the most efficient time. Again, different ocean carriers and different ports had different ways of paying. So there was one application that was -- or method that was coming onto -- into place because of some of the issues with the demurrage that was being utilized by some. So paying demurrage or guaranteeing demurrage -- paying demurrage became more efficient because prior to that just the fact -- just the process of paying demurrage would contribute to additional demurrage because some required actual check or wire transfer, and so the Yusen and because of the carrier availability would add to the demurrage. So, you know, either -- yes. Q So what do you mean that the Yusen or the carrier would add the -- to the demurrage? A The process of payment for the demurrage was adding to the demurrage cost. Q And why is that? A Because the antiquated processes that required, you know, checks or wires, for example. That takes time. Because of that, you need to make sure that you have reserved the dray carrier's driver to be able to pick up, and then execute payment to guarantee and pay that demurrage until the day for the scheduled pickup. Q So if -- for example, if the demurrage hadn't been paid for a particular terminal facility, would it be a fair statement that Bed Bath's drayage carriers would not be permitted to pick up their containers? A No. Some of the dray carriers were able to pick -- or pay the demurrage so that we can get that container out. Q Okay. I just want to make sure I understand when you say that the antiquated systems for payment contributed to the -- to the demurrage. How so? A So some terminals and ocean carriers require additional -- required actual payment. There was no guarantee. And there was cases where the container

was sitting at a port for a long time, and it incurred thousands of dollars in demurrage, so the ocean carrier and the terminal could not accept, or did not want to accept, a guarantee, and they would require actual physical payment. And that would be a -- you know, a credit card, you know, or actual check or a wire. And, again, when I came on board, ED RAY was then tasked with that, so I had very limited -- well, not understanding, but understanding of how it was paid prior to ED RAY, I should say.”) [APP-2449-2451].

394. OOCL did not offer a simple way to pay detention and demurrage charges across various ports. *See* Klosowsky Dep. Tr. 183:23-184:3 (“OOCL was making the suggestion, well, use this service provider, PAY CARGO, but what we -- if I recall again, that it wasn't -- all terminals didn't accept PAY CARGO”) [APP-1282].

395. OOCL instead suggested a platform called PAY CARGO that was not accepted at many terminals. *See* Klosowsky Dep. Tr. 183:23-184:3 (“OOCL was making the suggestion, well, use this service provider, PAY CARGO, but what we -- if I recall again, that it wasn't -- all terminals didn't accept PAY CARGO”) [APP-1282].

iv. OOCL did not have meaningful dispute resolution policies or practices as to the detention and demurrage charges assessed against BBY.

396. OOCL’s Equipment Management Centre Detention & Demurrage team (“EMCDD”), which is based in OOCL’s headquarters team in Hong Kong, oversees global D&D handling in general. *See* Sha Dep. Tr. 167:14-168:3 (“Q. Have you ever heard of the email address EMCDD@OOCL.com? A. Yes. So EMCDD, as previously when we talk about the D&D management guideline, so they are the headquarter team over -- . . . 20 A. So EMCDD, they are the headquarter team in Hong Kong oversees the D&D handling for all regions. So, yeah, they are our headquarter group team. Q. And EMCDD stands for equipment management center detention and demurrage? A. Yes. So I think EMCDD is under EMC, and EMC is equipment management center. Equipment management center, yes.”) [APP-2339].

397. In May 2020, following FMC interpretive rules on demurrage and detention, OOCL set up a web page on OOCL.com to “guide[] customer[s] [o]n how to handle a dispute.” *See* Sha Dep. Tr. 229:6-230:4 (“Q. The one question I had for you with respect to the web pages that you have -- the email boxes, I should say, for NADISPPD and NAGDD, those two email boxes, how long has OOCL had those email boxes available for submitting emails to your team to inquire about DD charges? A. Yeah, if I -- I remember the NADICDD email box was set up back to 2015, which is when the D&D centralized team is established for North America or under North America group. The NAGDD email box was established even earlier than 2015, but initially meaning handle more like the internal communication. So the box was established and is handling -- directly handling customer, so internal and external, queries and dispute, and on top of that, then in May 2020, after the FMC interpretive rules on demurrage and detention, we also set up a web page under OOCL.com. It is to guiding customer in how to handle a dispute. So we call it a dispute resolution process. So we also on OOCL.com particularly mentioned these two are the email box to direct handling customers' queries or dispute on the D&D charge.”) [APP-2354-2355].

398. OOCL does not have a written policy to determine issuance of a refund. *See* Fung Dep. Tr. 120:23-121:6 (“Q. So is there a written policy to determine when a refund should be issued? A. Okay. So in order to answer your question, can you clarify within let's say 30-day or 60-day, what's the timeframe? Q. In any timeframe for detention and demurrage refunds .A. We don't have such policy with limitation or with things specific such time for any refund.”) [APP-790]

399. Instead of implementing a uniform procedure based on the FMC interpretative rules on demurrage and detention, OOCL has established an internal process that is not accessible to its customers. *See* Sha Dep. Tr. 112:15-21 (“Q. So is the definition of operational adjustment laid out in the D&D guideline? A. It is laid out on the D&D management guideline, and under our regional dispute handling principle -- a regional dispute handling guideline, we also talk about the scenarios.”) [APP-2325].

400. [REDACTED]

401. As to operational adjustments, when a customer disputes D&D charges, OOCL requires the customer to either demonstrate that they are totally not liable for the charge due to either OOCL's internal mistake or provide validated information that a demurrage or detention claim should be excused under the FMC rules. *See* Lam Dep. Tr. 204:11-205:2 (“What's the distinction between DD mitigation and these other two categories? A. I cannot exactly know -- remember the framework, but the BNC is the usual criteria that when the customer liable for the DD charge. So it's purely a commercial decision to offer any adjustment. So this is definitely the usual stuff we have. The customer is totally not liable for the DD charge that's under operational adjustment because when there's internal mistake, for example, customers service, you know, have the information late, or whatever, create the DD charges. So eventually all sales still needs to absolve those charges, and that will be...operational adjustment to be considered.”) [APP-1389]; Donohue Dep. Tr. 61:9-62:4 (“Q. Just to pause here, are you familiar with the term also "operational adjustment"? A. Yes. Q. Are you familiar with the term "commercial adjustment"? A. Yes. Q. Are those two terms the same thing? A. No. Q. How are they different? A. A commercial adjustment is determined by our commercial department. They have their own methodology for determining what constitutes a commercial adjustment. An operational adjustment could be determined by the detention and demurrage department for OOCL and certain factors and requirements would be taken into consideration. Primarily using the FMC's final rule and guiding principles is our avenue to determine if a charge was valid and justified. If not, we would issue a refund, and that would be classified as an operational adjustment, refund or credit.”) [APP-549-550]; Chen Dep. Tr. 295:13-296:10 (“Q. And does the operational mitigation require a validation of each container and how it was treated on a case-by-case basis? A. Correct. We have a dedicated email box where we receive customers' disputes for any charges, particularly for detention and demurrage. Whenever a customer disputes any charges, we have a dedicated team to investigate the case and coordinate with the customer for any details we need to justify the dispute. Q. So what is OOCL's position if it hasn't received validated information that a demurrage or detention claim

should be excused under the FMC's rules? A. If the customer is not able to provide any supportive information, then the operational adjustment cannot move on.”) [APP-225].

402. OOCL claimed that many customers fail to meet the criteria for operational adjustment, which leads to customers submitting a commercial adjustment request through their sales contact in which OOCL’s Trade Department considers only waivers of D&D Charges for commercial adjustments without evaluating the “validity” or appropriateness of the charges. *See* Sha Dep. Tr. 127:2-10 (“A. Yeah. My main area is operational adjustment review and adjustment handling. If we view the charge is valid, then we will go back, explain that to the case requestor. And the commercial side, if customer has the need, the standard way to handle that is customer explain that to their sales contact, and the sales contact will review the case and ask later to the trade commercial team.”) [APP-2329]; Donohue Dep. Tr. 65:23-66:6 (“Q. And once a determination has been made to not issue a refund under operational adjustment, would the next step be to enter into a commercial adjustment consideration? A. Unless the requesting party could come back with some level of evidence to substantiate their claim, then it would fall back to operational adjustment. But if not, then the next step could be a commercial adjustment request.”) [APP-550-551]; Lam Dep. Tr. 204:11-205:2 (“What's the distinction between DD mitigation and these other two categories? A. I cannot exactly know -- remember the framework, but the BNC is the usual criteria that when the customer liable for the DD charge. So it's purely a commercial decision to offer any adjustment. So this is definitely the usual stuff we have. The customer is totally not liable for the DD charge that's under operational adjustment because when there's internal mistake, for example, customers service, you know, have the information late, or whatever, create the DD charges. So eventually all sales still needs to absolve those charges, and that will be...operational adjustment to be considered”) [APP-1389].

403. The Incentive Principle does not factor into OOCL’s decision to waive detention or demurrage charges under commercial adjustment, because that process is “purely a commercial decision”. Lam Dep. Tr. 204:11-205:2 (“What's the distinction between DD mitigation and these other two categories? A. I cannot exactly know -- remember the framework, but the BNC is the usual criteria that when the customer liable for the DD charge. So it's purely a commercial decision to offer any adjustment. So this is definitely the usual stuff we have. The customer is totally not liable for the DD charge that's under operational adjustment because when there's internal mistake, for example, customers service, you know, have the information late, or whatever, create the DD charges. So eventually all sales still needs to absolve those charges, and that will be operational adjustment to be considered”) [APP-1389]; *see also* Chen Dep. Tr. 124:22-24 (“So we basically just look at the value of the customer to OOCL before we decide any commercial mitigation there.”); [APP-182].

404. During the relevant time period, “commercial mitigation was very tight.” *See* Chen Dep. Tr. 121:24-122:25 (“Q. Again, looking at 2020 through, let's say, May of 2022, can you think of any instances where you or your team provided commercial mitigation to a customer for detention and demurrage charges? A. We received multiple requests from our customer base and from our sales representatives. But during the congestion period, commercial mitigation was very tight. We held our hands very tight because we didn't want containers sitting at the port and equipment sitting at customers' warehouses. We wanted them to come back. We believed that speeding up the turnaround time would help ease the congestion. So we were very strict with any

commercial mitigation. I don't have specific names in mind, but for any commercial mitigation, we were very careful and prudent.”) [APP-181-182].

405. A commercial adjustment request would only be escalated to Hong Kong for endorsement of refunds exceeding local authority limits if it received support from the local Trade Department. *See* Chen Dep. Tr. 127:11-128:22 (“Q. Turning back to what we were talking about a moment ago on detention and demurrage, were there situations where anyone at OOCL Hong Kong got involved in commercial mitigation of detention and demurrage charges for a U.S. customer of OOCL? A. Yes. That's possible. Q. Do you recall whether anyone at OOCL Hong Kong ever got involved in any commercial mitigation or requested commercial mitigation for detention and demurrage charges to Bed Bath? A. I don't think there's any commercial mitigation endorsed by Hong Kong for Bed Bath & Beyond. Q. Do you know if anyone from OOCL Hong Kong was involved in considering commercial mitigation for Bed Bath or deciding on commercial mitigation for Bed Bath? A. The internal protocol here is, if the local Commercial Team does not support that mitigation request, it will not be escalated to Hong Kong. Q. Is there a certain dollar amount that would require someone at OOCL Hong Kong to approve it in order to provide commercial mitigation for detention and demurrage charges? A. Yes. If the local Commercial Team supports the mitigation, then that local Commercial Team would escalate it to Hong Kong for endorsement because the dollar amount is higher than the local authority.”) [APP-183].

406. [REDACTED]

407. In an extreme example, BBY sent letters from its employee Pat Hackett to OOCL in October 2021 and February 2022 which, in addition to prompting OOCL to retaliate against BBY, included *inter alia* BBY's dispute of certain D&D Charges, which letters OOCL used as a basis to maintain the complained-of Charges while the dispute was ongoing. *See* [REDACTED]

[REDACTED] Devine Dep. Tr. 277:14-279:13 (“Q. And you – when you said, ‘These are the same folks behind the threatening DD letter dated 18 October,’ what letter were you referring to? A. Obviously, I’m referring to a letter that came from Bed Bath & Beyond dated October 18th. We’d have to pull that from the records. Q. What did you mean by ‘threatening’? A. Apparently, the letter must have been threatening; threatening support, threatening complaint, threatening by some nature. Threatening nonpayment. Threatening. . . . Q. Why was that letter relevant to this discussion? A. The letter – again, we don’t have the letter to refer to specifically. But from my general understanding here, the threatening tone of the letter, they might have been threatening support, they might have been threatening nonpayment, they might have been threatening some kind of complaint, they might have been threatening some type

of legal action. And this is an e-mail from me, basically, warning our people to be very careful.”) [APP-481-482].

408. OOCL’s dispute resolution process required the shipper to meet onerous documentation standards. *See* Klosowsky Dep. Tr. 117:13-14 (“to substantiate our claim, and so the burden of proof I think was on us”) [APP-1265].

409. From 2020 to 2022, for lack of appointments to return empty containers in Long Beach and Los Angeles to serve as the basis for a charge adjustment on detention or demurrage, OOCL required customers to provide screenshots or email records showing specific issues like dual transactions, lack of container availability, or terminal pickup appointment problems. *See* Sha Dep. Tr. 77:24-81:8 (“Q. So who else is on the team that helps you make these determinations? A. Yeah, so we have -- currently we have six team members in demurrage and detention team in North America. We have five D&D analysts and one D&D team manager. They are located in Salt Lake City, Chicago, and New York. That is in North America. And we also have four people in Shanghai under North America Group Center team under customer service, and we have three reps and one supervisor. They are also supporting the demurrage and detention handling. Q. So when it comes to OOCL's decision to adjust the charge, what type of evidence do customers typically submit? A. It could be like we talk about the detention side, the screenshots, or in the email, they speak about dual transaction, as they don't have laden container at a particular terminal, or they could provide the email record they have with our vendor, for example, the terminal talking about the container is not available or there is no terminal pickup appointment. So in general, the email communication which prove a statement customer give to us, and in certain time, the screenshot, as well, mailing from the terminal website. Q. So, for instance, when they're submitting -- apologies for that word salad. When a customer would submit a request to have a waiver, and if they did not have screenshots, would that generally be an unsuccessful request? A. During 2020 to 2022, we do require the screenshots. We do trying to clarify with the customer as they need to book appointment first and constantly check the appointment if possible and then give us the screenshot. So in 2023, we do consider if there is a live case, customer is talking to us, no appointment, but this is like realtime talking a case, and reduce some of the administrative effort from customer on their trucking side, we did drop that request, but that is after 2022. So overall, the screenshot of appointment is a requirement during 2020 to 2022. Q. Were there other requirements? A. If talk about inbound detention, that's the main requirement. We don't need them provide anything to prove they don't have dual volume. Q. So when it comes to the dual transaction, dual volume requirement, what are some of the terminals you know that did have the dual transaction requirement? A. I know in some particular day, LBCT. Q. LBCT? A. Long Beach Container Terminal, they do have this requirement. But overall, I think I can supplement on that is, the dual transaction, like for 2021, the days that requiring the dual transaction and we're charging a detention for that day is like less than 5 percent in Long Beach and the Los Angeles terminals area. And Long Beach and the Los Angeles area, those are the areas commonly has more restriction -- I should say commonly that we publish which terminal accept the empty, and then we know in certain time of day, in certain time of the year, so certain days, the dual is a requirement. So I just want to supplement dual transaction is a well-known restriction or requirement for Long Beach and LA terminals, but the overall restriction in the time of year in 2021 is less than 5 percent. The other majority states, the terminal -- at least there's one terminals available to accept empty without a dual restriction, and it could be also more than one terminal accept empty return.”), 84:14-88:13 (“Q. So can you help me understand which types of issues would require a screenshot

and what are the types of issues that would not? A. Yeah. In general is -- well, if -- basically we're talking two scenario. If it is lack of appointment and we know in Long Beach and the Los Angeles area, they do require appointment to return the empty, if they don't have a dual volume, then we require screenshot during 2020 to 2022, the screenshot of no appointment. If there is a separate reason that is dual transaction, so customer, they come to us, let us know on a particular day they don't have dual transaction volume and it matched to our record, yes, on that day, the terminal -- that only terminal open to accept empty return require a dual transaction volume, then based on the email, we will give customer the mitigation. We don't need any screenshot.") [APP-2316-2319].

410. OOCL conditioned the release of unrelated containers on payment of disputed D&D charges for other containers. *See* Klosowsky Dep. Tr. 88:23-89:4 ("but Pat Hackett and Paul Pastor would review these charges, and in some cases, I think they were compelled to go ahead and pay them and then argue after payment simply because, you know, services would be denied.") [APP-1258].

411. 

3. Factors outside of BBY's control interfered with BBY's *bona fide* and significant efforts to mitigate OOCL's unreasonable detention and demurrage charges.

412. Numerous Factors Outside of BBY's Control Interfered with BBY's *Bona Fide* and Significant Efforts to Mitigate D&D Charges.

413. BBY did everything it could to minimize demurrage and get containers out of port in a timely manner. *See* Soban Dep. Tr. 17:12-18:14 ("Q Okay. When you were tracking and tracing the containers, what exactly did you do? A So the containers, which were the backlog of containers at the port, my responsibility was to minimize the demurrage charge and per-diem charge. DCs had a list of purchase orders, and those purchase orders were associated with containers. And those purchase orders represented certain merchandise that was requested by the allocation team to be delivered to the stores. So my job was, essentially, to balance minimizing the demurrage, getting containers out of the port in a timely manner, and getting the containers that the DC needed to fulfill the purchase orders or the allocations. Q Did you ever do any type of look-back analysis for the time that preceded your work in January of '22 regarding demurrage or detention? A No."), 68:5-72:14 ("Q Would it be a fair statement to say, before you brought on EDRA, that the process of tracking and tracing the containers was decentralized and managed through Bed Bath's personnel at its various DCs throughout the country? . . . A So each import DC distribution center manager would manage that task working with the carrier, looking at the -- working with the carrier, essentially, and having the carrier deliver -- pick up containers from the port and then deliver to the DC.") [APP-2434-2435; APP-2447-2448]; Porter Dep. Tr. 136:1-13

(“A. To your knowledge, during the periods between 2020 and 2022, did Bed Bath take steps to reduce the overall number of containers they had which were incurring detention and demurrage charges? . . . *During the time we all strived -- myself, to look outside the box to try to minimize what we could, whether it was, you know, adding space or shipping containers around to help flow out to stores. You know, we -- gosh, we were trying to do everything we could to mitigate any of our exposure. But, you know, it was a challenge during that time period.*”) (emphasis added) [APP-2153].

413.1. BBY transshipped containers to inland facilities for processing in order to move long-dwelling freight. *See* Klosowsky Dep. Tr. 105:7-19 (“But eventually, we did secure a train, got those containers moved off the port, put on a train, and then transported them via container service to Dallas, where we ultimately worked all of the freight off those containers. That was a response to trying to move the containers that were essentially locked at the port because there wasn't adequate service locally in Southern California to get those containers out.”) [APP-1262].

413.2. BBY was willing to take on extra drayage costs to move containers to locations with available space. *See* Ex. 381 (McCown Report) ¶ 170 (“BBY sought to move containers to locations with space, incurring additional drayage expense in doing so.”) [APP-3790]; Stupnik Dep. Tr. 187:14-188:3 (“Q: To your knowledge, did Bed Bath during the period between 2020 and 2022 seek to move containers to places where they did have warehouse space? KEITH LETOURNEAU: Objection. Form. THE WITNESS: Yes. BY JAMES FRIBLEY: Q: And did they work with the drayage providers to do that? A: Yes.”) [APP-2681].

413.3. BBY utilized additional distribution centers in order to process freight more quickly. *See* Soban Dep. Tr. 232:11-233:8 (“Q. Okay. So, before, you stated that backlog, equipment shortages inside the port and outside, you had become creative. Could you clarify what you meant by this? And could you give us more examples about this? A. . . . At one point, we utilized additional [distribution centers]s to process and handle the freight.”) [APP-2488].

413.4. BBY made efforts to clear backlog by hiring and utilizing an additional storage provider at the distribution centers and warehouses and pooling points. *See* Soban Dep. Tr. 97:256-98:206 (“Q. Where did you hire that additional space? A. Beginning of 2022. Q. Where? A. There was a lot of other stuff that was going on before I came on board, but when I came on board, we did hire, like, ITS to help. So the containers were prioritized by free time. Q. So let's talk about ITS for just a second. So ITS was a drayage carrier? A. Drayage, storage, transportation logistics provider. Q. And they provided additional storage beyond that which was available to you at the distribution centers and warehouses and pooling points? A. Yes.”) [APP-2454-2455].

413.5. BBY brought in additional carriers to help address shipping backlogs. *See* Soban Dep. Tr. 232:11-233:8 (“Q. Okay. So, before, you stated that backlog, equipment shortages inside the port and outside, you had become creative. Could you clarify what you meant by this? And could you give us more examples about this? A. ITS is an example, you know, creating additional space to get those containers out of the port to arrest the

demurrage. Bringing in additional carriers. At one point, we utilized additional DCs to process and handle the freight.”) [APP-2488].

413.6. BBY pre-pulled containers to arrange storage so as to minimize demurrage charges. *See* Soban Dep. Tr. 159:6-163:22 (“Q And it says, ‘Hi, Nicole. I just left you a voicemail regarding the below 10 containers that are destined for our DC Zenith. They have a long wait to make deliveries and we would like to understand what's the cost to pre-pull per-day storage.’ Did I read that correctly? A Yes. Q When you say ‘DC Zenith’ -- when you say ‘our DC Zenith,’ what do you mean? A I mean DC. That's just the way I speak. And Nicole is just the carrier. I don't know. Our DC, the one that we use. Q I understand that, but you say, ‘our DC Zenith.’ Is Zenith a Bed Bath distribution center, or is it a third-party receiver? A Third -- 3PL. Q Okay. And what you're talking about is they were destined for the distribution center, which would then ultimately deliver it to Zenith, correct? A The carrier, OOCL, is advising us that the -- you know, if you -- if you want to have the containers pre-pulled, I believe that you can, and they need to speak to MDS and Nicole, and so that -- I believe that's what's happening. Q Okay. And when it says ‘pre-pull,’ did you, when you came on board in January of 2022, inquire about the ability to pre-pull all of the long-dwell containers in the marine terminals in southern California in order to stop the accrual of demurrage? A Majority of the containers were pre-pulled. Q So is that a yes? A Inquired? No. Because all of the containers were pre-pulled, or a majority of the containers were pre-pulled. Q And when you say -- when you say ‘pre-pulled,’ explain that again, what that means to you. A So I guess I was assuming when you say ‘pre-pull.’ In this case, pre-pull is bringing it to the carrier's yard. And then subsequently, because we have a delivery, there were cases when we were pre-pulling containers that the carrier on the west coast had room. If they didn't, it would then go to the pool yard, and then it would be directed and then managed to deliver to the DC when the DC had the allocations and -- to process that container. So in this case -- Q Yes, but -- no. Go ahead. A Yeah. So, in this case, pre-pull -- because I'm getting involved in this because, you know, I, or as the shipper, is working directly with the -- I believe OOCL carrier, which is not our carrier.”) [APP-2470-2471].

413.6.1. This process was out of the ordinary and involved approving additional costs. *See* Soban Dep. Tr. 163:24-164:24 (“And I am asking them for a favor to pre-pull all those containers and then store them. Because this is not our carrier — this is OOCL's carrier — I worked with the Chicago import manager and asked if there was a way for us to do something. He said if we need to, we can bring it to one of our warehouses or DCs and then do a cross-dock, offload those containers so that we can free them up. This way, the carrier doesn't have to hold them because the carrier said they couldn't do the pre-pull, or whatever. So we wanted to do that as a means of alleviating the demurrage. We were working out of the box. This is not a normal time. But “pre-pull,” generally speaking, means the carrier has to pick up the container early from the port or railhead because they will not make the delivery at the time that was the window given to them by the DC. Then we need to approve that cost because it's an additional cost.”) [APP-2471].

413.7. BBY brought in EDRAY to streamline the demurrage payment process. *See* Ex. 381 (McCown Report) ¶ 172 (“BBY incurred significant expense trying to deal

with these challenging extrinsic conditions. BBY hired new employees and brought on a new drayage vendor, EDRAI, to manage the load. BBY employee Seweryn Soban testified that he was tasked specifically with managing delivery of containers from ports to distribution centers and serve as a liaison to EDRAI and dray carriers to try to deal with these conditions.”) [APP-3791]; Soban Dep. Tr. 76:5-82:21 (“Q How was the process for the payment of demurrage -- how did that process change after EDRAI came on board? A EDRAI was -- had the benefit because their primary and sole purpose was final mile has developed and used the various tools. And, again, those are the payment tools to get a container demurrage guaranteed in the most efficient time. Again, different ocean carriers and different ports had different ways of paying. So there was one application that was -- or method that was coming onto -- into place because of some of the issues with the demurrage that was being utilized by some. So paying demurrage or guaranteeing demurrage -- paying demurrage became more efficient because prior to that just the fact -- just the process of paying demurrage would contribute to additional demurrage because some required actual check or wire transfer, and so the Yusen and because of the carrier availability would add to the demurrage. So, you know, either -- yes. Q So what do you mean that the Yusen or the carrier would add the -- to the demurrage? A The process of payment for the demurrage was adding to the demurrage cost. Q And why is that? A Because the antiquated processes that required, you know, checks or wires, for example. That takes time. Because of that, you need to make sure that you have reserved the dray carrier's driver to be able to pick up, and then execute payment to guarantee and pay that demurrage until the day for the scheduled pickup. Q So if -- for example, if the demurrage hadn't been paid for a particular terminal facility, would it be a fair statement that Bed Bath's drayage carriers would not be permitted to pick up their containers? A No. Some of the dray carriers were able to pick -- or pay the demurrage so that we can get that container out. Q Okay.”), 233:2-3 (“in EDRAI, for example, as streamlining the demurrage payment process.”) [APP-2449-2451; APP-2488].

413.8. BBY paid a 2 percent fee on the total demurrage paid for that service *See* Soban Dep. Tr. 181:18-182:17 (“A. Dray carriers move freight from the marine terminal to a DC, distribution center, warehouse, or off-yard dock. "Off-yard dock" is what I refer to as a pool storage point for containers. It's the same thing — off-dock yard, pool point, or pool storage area for containers. The carriers are domestic carriers that handle freight movement inland after the freight has been received and processed. Q. Right. And when we're referring to those inland carriers, we're not referring to the ocean carriers, correct? A. Correct. Q. Okay. And that's because the ocean carrier's moves are CY moves. Basically, their services end when the containers land at the marine terminals, correct? A. Correct.”) [APP-2475-2476].

413.9. BBY organized calls that included carriers, distribution centers, and BBY's drayage vendor, EDRAI, in order to help coordinate solutions to port congestion and shipping backlog issues. *See* Soban Dep. Tr. 232:11-233:8 (“Q. Okay. So, before, you stated that backlog, equipment shortages inside the port and outside, you had become creative. Could you clarify what you meant by this? And could you give us more examples about this? A. . . . Organizing and bringing the carriers, the [distribution centers], and EDRAI onto the same call.”) [APP-2488].

312. BBY never deliberately failed to pick up containers, because demurrage charges were more expensive than warehousing goods. *See* Ex. 381 (McCown Report) ¶ 169 (“BBY never deliberately failed to pick up containers, because demurrage charges were more expensive than warehousing goods.”) [APP-3790]; Klosowsky Dep. Tr. 147:17-148:3 (“Q. Was it cheaper to accrue demurrage at the marine terminals than it was to pay warehouse storage fees? A. I don’t have the numbers in front of me, but I do not believe it was cheaper. It was more expensive is my recollection to store or have any container at -- racking up or having detention or demurrage fees as opposed to having it in the warehouse is my recollection.”) [APP-1273]; Stupnik Dep. Tr. 83:15-18 (“To my knowledge, container was to be picked up as soon as it became available for pickup.”) [APP-2655]; McCown Dep. Tr. 206:10-15 (“Q. So your assessment is the 11 storage costs, the cost of storing it locally, the -- in order to incentivize the pickup, the demurrage charge needs to exceed the cost of local storage. A. Most definitely, yes.”), 232:24-233:3 (“So I disagree with your characterization of shippers holding on to hundreds of thousands of containers. That wasn’t in their interest.”) [APP-1488].

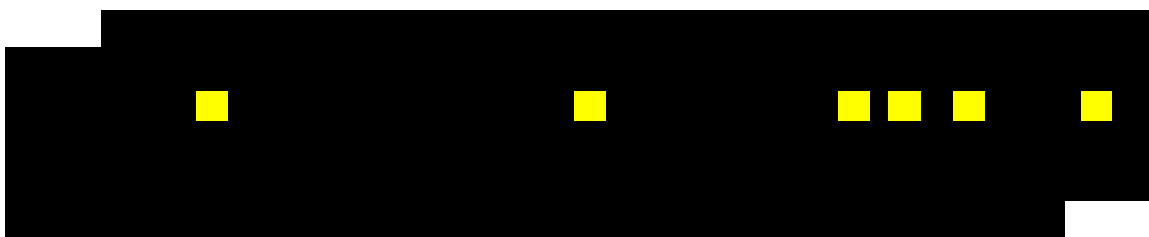
413.10. Detention charges apply when a container is under a shipper’s control, thus requiring the shipper to pay both the charges and storage costs, effectively doubling BBY’s costs. *See* McCown Dep. Tr. 275:24-278:13 (“Q. Detention applies to empty containers that are still within the shipper’s control, correct? A. Yes. Q. So would a shipper have to pay storage cost for an empty container that it continues to hold? A. Yes. Q. And would a shipper also have to pay detention charges on top of the shipping cost that it is already incurring to hold that container? A. Yes, they would. Q. Understanding, then, that detention adds on to a shipping cost and does not replace it, as demurrage costs may replace storage costs for a shipper, does that affect your analysis of whether detention needs to be higher than a shipper’s own storage cost in order to incent the prompt return of empty containers? A. Yes. It definitely needs to be. Q. And what would your analysis be, understanding that hypothetical? A. Well, the detention cost, it’s somewhat puzzling that they’re the same as demurrage because the one tangible cost that a carrier can point to that they have with demurrage is the land rental and the space that it takes up. You don’t have that with detention. So, in many respects, detention is even more unreasonable at the levels that it’s shown at. And, again, my overriding view with the whole -- I certainly agree with the concept of having a cajole to move it along. I believe my former company, Trailer Bridge, which now has its 53-foot containers, I think it’s 30, 35 dollars a day, more than does that. That’s why I use that as the minimum benchmark for something reasonable. But, in general, the whole argument of the reason for detention and demurrage during the pandemic -- or the justification falls apart because it literally was situations that no amount would incent a different behavior. The shippers were constrained in what they wanted to do. So it just became that much more pernicious. It struck me that the carriers would have done all quite well by just the increase in rates from supply and demand. And I take no issue with that. But the layering on of these demurrage and detention charges, which really were, to my way of looking at it, a form of double-dipping, so it -- this was pretty egregious.”) [APP-1505-1506].

413.11. Because detention charges add to shipping costs, a detention charge must be higher than the shipper’s storage cost in order to incentivize the shipper to move the container *See* McCown Dep. Tr. 276:13-22 (“Q. Understanding, then, that detention adds on to a shipping cost and does not replace it, as demurrage costs may replace storage

costs for a shipper, does that affect your analysis of whether detention needs to be higher than a shipper's own storage cost in order to incent the prompt return of empty containers? A. Yes. It definitely needs to be.”) [APP-1505].

414. In addition to macro conditions, several other factors interfered with BBY's ability to mitigate the detention and demurrage charges assessed against it by OOCL. *See* Ex. 381 (McCown Report) ¶ 163-72 (“It is well known that significant issues concerning congestion and shortages of equipment, space and labor combined to create a pandemic-era environment in which detention and demurrage charges skyrocketed. In addition to these macro conditions, which affected many shippers, the evidence available to me shows that several other factors interfered with BBY's ability to mitigate detention and demurrage charges. For example, BBY encountered issues with ‘long dwell’ containers at the LA/Long Beach ports in late 2021 due to large batches arriving at once, causing chassis and dray carrier shortages. (Klosowsky Dep. Ex. 166.) BBY senior logistics employee Reid Klosowsky visited the OOCL terminal and personally witnessed that conditions arising from the glut of containers had basically slowed the flow of containers from the terminal to a halt, despite BBY (and other shippers’) best efforts to move cargo. (Klosowsky Dep. 101:15-103:14: ‘So this is towards the end of December, early January of 2022. So about a month prior, maybe two months prior, November, I had visited the OOCL terminal that -- in Long Beach that the product was moving through and I met with the terminal operator there and I think there were some OOCL employees on that trip as well, but what we noticed and this is where we got the idea of trying to take these containers that were on port for which we were having difficulty moving because there weren't chassis available, and the way it normally happens, I mean, we have a predictable flow, these containers were landing in big batches because they were being delayed at origin, and so big groups of containers were getting onto one ship and they weren't coming in on a nice even pattern, and then, of course, the ships being anchored at that time, freight would arrive in big chunks and then there weren't, you know, dray carriers or chassis available, and then at the beginning of the e-mail string, what reminded me was that when I was at the port of Long Beach terminals, I visited a number -- I don't remember each individual terminal that I visited, I saw that there wasn't a lot of freight coming off the ports universally, not just for Bed Bath, but for everyone, there were a lot of containers stacking up at the port, and one thing that I noticed or that we discussed in that meeting was that a lot of the containers that normally would ship with an intermodal rail service in land had stopped and there were a few very large shippers who had I guess decided to -- because of the delays, to -- instead of railing the product inland to places like Chicago and Dallas where they would work it at their DCs, they decided to take those containers locally. So we saw trains positioned at the ports that were empty, that were nothing.’) [APP-3789-3790]. At times, BBY went to extreme effort and expense to move long-dwelling freight, including transshipping containers to inland facilities for processing because there was not adequate service in the vicinity of OOCL's terminals to move the containers any other way. (Klosowsky Dep 105:7-19: ‘eventually, we did secure a train, we got those containers moved off the port, put on a train and then moved on a train, on a container service to Dallas where ultimately we worked all of the freight off of those containers, but that was -- we were -- that was a response to trying to move the containers that were essentially locked at the port because there wasn't adequate service locally in southern California to get those containers out.’) The congestion issue was not unique to BBY. In fact, other large importers were also dealing with a glut of containers that eliminated capacity to obtain chassis and dray carriers. (Klosowsky Dep. Tr. 105:20-106:15.) BBY never deliberately failed to pick up containers, because demurrage charges were more expensive than warehousing goods. Klosowsky Dep.

147:17-148:3 ('Q. Was it cheaper to accrue demurrage at the marine terminals than it was to pay warehouse storage fees? A. I don't have the numbers in front of me, but I do not believe it was cheaper. It was more expensive is my recollection to store or have any container at -- racking up or having detention or demurrage fees as opposed to having it in the warehouse is my recollection.'). BBY's policy was to pick up containers as soon as possible. (Stupnik Dep. 83:15-18: 'To my knowledge, container was to be picked up as soon as it became available for pickup.') BBY sought to move containers to locations with space, incurring additional drayage expense in doing so. (Stupnik Dep. 187:14-188:3.) Supply chain disruptions happened frequently during the pandemic. Planned shipping schedules for imports were disrupted. There were bottlenecks followed by sudden release of containers, causing significant challenges in managing the flow and reacting to the timing. BBY logistics employee Melinda Porter recalled that 'the containers didn't off-ship according to their, you know, their plan from the import team. So instead of everything kind of flowing in consistently, there was many times where everything just got bottlenecked and then everything got released at once. So instead of having a flow, it was more like a stoppage, like truly, like a plumbing stoppage. It opens, stuff came out. It got packed up. So it was not a consistent flow. And every time you have that, no matter how great the plan and preparations are, you know, it's a challenge to react when it flows that way.' (Porter Dep. 127:23-128:10.) OOCL employee Mike Young recalled of the impacts of the pandemic that 'it was a really strange time. I mean, we -- none of us in the industry had ever encountered anything like the situation that evolved based on the pandemic.' (Young Dep. 70:17-21). Mr. Young added: 'Because another issue was that while there was so much cargo coming in and we were loading them onto rail cars and distributing them on land, we rely on return cargo or export cargo or empties to come back to replenish the rail cars within the port. And because there was containers that were just stuck or just sitting because they couldn't unpack it, the empties weren't coming back. Exports were lower than normal. And so we had situations where rail cars were all in the wrong place. So the president set up what he called the White House Envoy to coordinate meetings with all the stakeholders to try to see what we can do to improve the flow of cargo and ensure that we don't have a situation -- and it did happen a couple times that we had a vessel that came into one of the LA ports and it couldn't work because there was nowhere to discharge and put the containers. So she sat there waiting for the containers to move so they could discharge the vessel. It was a very, very fraught time and I've never known anything like that in my life.' (Young Dep. 79:11-80:12)") (paragraph numbers omitted) [APP-2843].



415. In November 2021, BBY went to extreme effort and expense to move long-dwelling freight, including transshipping containers to inland facilities for processing because there was not adequate service in the vicinity of OOCL's terminal to move the containers any other way. *See* Ex. 381 (McCown Report) ¶ 167 ("At times, BBY went to extreme effort and expense to move long-dwelling freight, including transshipping containers to inland facilities for processing because there was not adequate service in the vicinity of OOCL's terminals to move the containers any other way.") [APP-3790]; Klosowsky Dep. Tr. 105:7-19 ("eventually, we did

secure a train, we got those containers moved off the port, put on a train and then moved on a train, on a container service to Dallas where ultimately we worked all of the freight off of those containers, but that was -- we were -- that was a response to trying to move the containers that were essentially locked at the port because there wasn't adequate service locally in southern California to get those containers out.") [APP-1262].

416. To address over 100 containers stuck at the Long Beach port due to a lack of chassis, BBY wrote to OOCL, asking if OOCL [REDACTED]

[REDACTED] Klosowsky Dep. Tr. 109:21-111:9 ("Q. And in terms of evaluating this issue with respect to these 49 or 60 containers, depending on where you read in this e-mail string, OOCL was also going to assist you with moving those containers out of the terminals and arranging with this, I guess, domestic inland carrier to transport them eastbound; correct? MR. HILL: Objection to form. A. Yeah, I think — again, my recollection was they helped us do a full train earlier than this at significant cost to us, by the way, additional, and, again, I don't remember what those charges were, but in addition to what we would have planned if we had taken the containers locally. I don't — I think that Jim at some point had said to do this as a one-time, but not again, and that's why we enlisted Sherry from Odyssey to try to help us take this smaller quantity of containers and do a similar thing, dray them out of the local terminal and move them with local intermodal service with the railroad, with the BNSF railroad or the UP, one of the two. Q. Would you agree with me that the charges you were assessed related to the transportation by rail, for which OOCL has no involvement, at least with respect to the transportation aspect of it; correct? MR. HILL: Objection to form. A. I don't think — I wouldn't agree with that.") [APP-1263-1264]; Klosowsky Dep. Ex. 166 [APP-3293-3306]; Young Dep. Tr. 70:14-71:9 ("Q. Mr. Young, what's your understanding of how the pandemic impacted OOCL's business? A. Interesting question. I think it was a really strange time. I mean, none of us in the industry had ever encountered anything like the situation that evolved based on the pandemic. People were panicking, and because there was a situation where people were confined to home, they weren't allowed to socialize or anything, that meant a lot more people were purchasing goods online. And so it created a huge demand to move certain commodities to various areas, depending on where the demand may be. A lot of that created some of the congestion that occurred, particularly in the LA/Long Beach basin where, as I'm sure you know, there was a period where there were over 100 ships sitting out in the water at anchor waiting to get to berth.") [APP-2841]

416.1. OOCL flatly rejected this proposal, stating that "this option will not work", and denied BBY's request to waive charges, asserting that [REDACTED]

[REDACTED] losowsky Dep. Tr. 109:21-111:9 ("Q. And in terms of evaluating this issue with respect to these 49 or 60 containers, depending on where you read in this e-mail string, OOCL was also going to assist you with moving those containers out of the terminals and arranging with this, I guess, domestic inland carrier to transport them eastbound; correct? MR. HILL: Objection to form. A. Yeah, I think — again, my recollection was they helped us do a full train earlier than this at significant cost to us, by the way, additional, and, again, I don't remember what those charges were, but in addition to what we would have planned if we had taken the containers locally. I don't — I think that Jim at some point had said to do this as a one-time, but not again, and that's why we enlisted Sherry from Odyssey to try to help us take this smaller quantity of containers and

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417. Ultimately, OOCL threatened to suspend all bookings unless BBBY moved the containers at significant additional cost, [REDACTED]

[REDACTED] Klosowsky Dep. Tr. 109:21-111:9 (“Q. And in terms of evaluating this issue with respect to these containers, depending on where you read in this email string, OOCL was also going to assist you with moving those containers out of the terminals and arranging with this domestic inland carrier to transport them eastbound; correct? MR. HILL: Objection to form. A. Yeah, I think -- again, my recollection was they helped us do a full train earlier than this at significant cost to us, by the way, additional, and, again, I don't remember what those charges were, but in addition to what we would have planned if we had taken the containers locally. I don't -- I think that Jim at some point had said to do this as a one time, but not again, and that's why we enlisted Sherry from Odyssey to try to help us take this smaller quantity of containers and do a similar thing, dray them out of the local terminal and move them with local intermodal service with the railroad, with the BNSF railroad or the UP, one of the two. Q. Would you agree with me that the charges that you were assessed related to the transportation by rail for which OOCL has no involvement, at least with respect to the transportation aspect of it; correct? MR. HILL: Objection to form. A. I don't think -- I wouldn't agree with that.”) [APP-1263-1264]; Klosowsky Dep. Ex. 166 [APP-3293-3306]; Young Dep. Tr. 70:14-71:9 (“Q. Mr. Young, what's your understanding of how the pandemic impacted OOCL's business? A. Interesting question. I think it was a really strange time. I mean, none of us in the industry had ever encountered anything like the situation that evolved based on the pandemic. People were panicking, and because there was a situation where people were confined to home, they weren't allowed to socialize or anything, that meant a lot more people were purchasing goods online. And so it created a huge demand to move certain commodities to various areas, depending on where the demand may be. A lot of that created some of the congestion that occurred, particularly in the LA/Long Beach basin where, as I'm sure you know, there was a period where there were over 100 ships sitting out in the water at anchor waiting to get to berth.”) [APP-2841]; See Ex. 381 (McCown Report) ¶ 167 (“At times, BBBY went to extreme effort and expense to move long-dwelling freight, including transshipping containers to inland facilities for processing

because there was not adequate service in the vicinity of OOCL's terminals to move the containers any other way.") [APP-3790].

418. In late 2021/early 2022, BBY's senior logistics employee Reid Klosowsky took an unusual step of visiting OOCL's LA/LB terminal and personally witnessed that conditions arising from the glut of containers had basically slowed the flow of containers from the terminal to a halt. *See* Ex. 381 (McCown Report) ¶ 166 ("BBY senior logistics employee Reid Klosowsky visited the OOCL terminal and personally witnessed that conditions arising from the glut of containers had basically slowed the flow of containers from the terminal to a halt, despite BBY (and other shippers') best efforts to move cargo") [APP-3789-3790]; Klosowsky Dep. 101:15-103:14 ("So this is towards the end of December, early January of 2022. So about a month prior, maybe two months prior, November, I had visited the OOCL terminal that -- in Long Beach that the product was moving through and I met with the terminal operator there and I think there were some OOCL employees on that trip as well, but what we noticed and this is where we got the idea of trying to take these containers that were on port for which we were having difficulty moving because there weren't chassis available, and the way it normally happens, I mean, we have a predictable flow, these containers were landing in big batches because they were being delayed at origin, and so big groups of containers were getting onto one ship and they weren't coming in on a nice even pattern, and then, of course, the ships being anchored at that time, freight would arrive in big chunks and then there weren't, you know, dray carriers or chassis available, and then at the beginning of the e-mail string, what reminded me was that when I was at the port of Long Beach terminals, I visited a number -- I don't remember each individual terminal that I visited, I saw that there wasn't a lot of freight coming off the ports universally, not just for Bed Bath, but for everyone, there were a lot of containers stacking up at the port, and one thing that I noticed or that we discussed in that meeting was that a lot of the containers that normally would ship with an intermodal rail service in land had stopped and there were a few very large shippers who had I guess decided to -- because of the delays, to -- instead of railing the product inland to places like Chicago and Dallas where they would work it at their DCs, they decided to take those containers locally. So we saw trains positioned at the ports that were empty, that were nothing.") [APP-1261-1262]; McCown Dep. Tr. 271:18-272:18 ("Yeah, you know, I don't have specific information on every communication that Bed Bath & Beyond had. I reject completely the notion that there wasn't communication. I point to a vice president of BBY showing up at the Long Beach Terminal walking around. That's not something that you usually have a shipper doing. I mean, that's somebody that was screaming, you know, this isn't working for us. I just -- so I reject the notion that there was not -- I even reject the notion that there was not daily communication on each one of these things. I do not have documents to show that. You know, we have e-mails at the top of the chain that kind of suggest what sort of verbal communication was going on, but I'm highly confident from everything else that I read that there was no -- nobody at OOCL could say, wow, we never heard any -- we thought everything was just going swimmingly for Bed Bath & Beyond. That's a -- that's a ridiculous supposition.") [APP-1504].

419. BBY provided to OOCL documentation and justifications for disputed detention and demurrage charges. *See* Klosowsky Dep. Tr. 91:10-92:5 ("Q. Okay. Examples. But my question to you is a little bit more specific, and that is, as to each one of these containers, and we're talking about an amount that's in excess of a thousand containers for detention charges and obviously a multitude of containers with respect to demurrage charges, for each of those containers, did Bed Bath ever provide any documentation or evidence to OOCL showing why the detention

and demurrage charges should be reversed? MR. HILL: Objection to form. A. My recollection is we did. Maybe not for every last container on that list — I don't know, I'm not in a position to comment on that — but my recollection is we did submit reasons for the feeling that it was being egregiously or overcharged.”) [APP-1259].

420. An OOCL employee admitted that they “tend not to give them extra space that’s going to cost a lot of money when they already owe you so much.” *See* Forminio Dep. Tr. 200:20 - 201:18 (“Service contract space, no. But if a customer owes a significant amount for a significant amount of time, you would tend not to give them extra space that's going to cost a lot of money when they already owe you so much. Get your account current, and then we'll give you extra space. That's the only thing. You know, it was a question of outstanding charges. Whatever the charges were—freight, ocean freight—I have no idea what it was. But for extra space, when you're talking about large volumes at high rates, you're just going to add more on the outstanding funds that are owed. So there might be a step taken back until the account is brought current, their finances are brought current, and then everything's fine. But it would certainly not affect the contracted space that we gave them under their regular contract.”) [APP-654].

421. On October 18, 2021, Patrick M. Hackett, BBY’s Director of International Supply Chain, acting on behalf of BBY to mitigate damages, sent a letter to OOCL (the “October 2021 Letter”), explicitly putting OOCL on notice regarding OOCL’s misalignments with the FMC guidance on reasonable demurrage and detention practices, stating in part:

[REDACTED]

See 1AC ¶ 139 [APP-74]; [REDACTED]

422. On February 9, 2022, Mr. Hackett followed up with OOCL to reiterate OOCL’s failure to meet its service commitments and their outrageous charges, stating:

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

425. OOCL was aware that BBY was experiencing issues moving cargo shipped by OOCL during the pandemic in part due to port congestion issues. *See* McCown Dep. Tr. 271:18-272:18 (“Yeah, you know, I don't have specific information on every communication that Bed Bath & Beyond had. I reject completely the notion that there wasn't communication. I point to a vice president of BBY showing up at the Long Beach Terminal walking around. That's not something that you usually have a shipper doing. I mean, that's somebody that was screaming, you know, this isn't working for us. I just -- so I reject the notion that there was not -- I even reject the notion that there was not daily communication on each one of these things. I do not have documents to show that. You know, we have e-mails at the top of the chain that kind of suggest what sort of verbal communication was going on, but I'm highly confident from everything else that I read that there was no -- nobody at OOCL could say, wow, we never heard any -- we thought everything was just going swimmingly for Bed Bath & Beyond. That's a -- that's a ridiculous supposition.”), 274:16-19 (“Were these congestion issues well known to everyone involved in the supply chain, including the ocean carriers?”); 274:22 (“Yes, most definitely.”) [APP-1504-1505].

426. The impacts of the pandemic were unprecedented. *See* Ex. 381 (McCown Report) ¶ 171 (“Supply chain disruptions happened frequently during the pandemic. Planned shipping schedules for imports were disrupted. There were bottlenecks followed by sudden release of containers, causing significant challenges in managing the flow and reacting to the timing.”) [APP-3790-3791]; Young Dep. Tr. 79:11-80:12 (“Because another issue was that while there was so much cargo coming in and we were loading them onto rail cars and distributing them on land, we rely on return cargo or export cargo or empties to come back to replenish the rail cars within the port. And because there was containers that were just stuck or just sitting because they couldn't unpack it, the empties weren't coming back. Exports were lower than normal. And so we had situations where rail cars were all in the wrong place. So the president set up what he called the White House Envoy to coordinate meetings with all the stakeholders to try to see what we can do to improve the flow of cargo and ensure that we don't have a situation -- and it did happen a couple times that we had a vessel that came into one of the LA ports and it couldn't work because there was nowhere to discharge and put the containers. So she sat there waiting for the containers to move so they could discharge the vessel. It was a very, very fraught time and I've never known

anything like that in my life.”) [APP-2843]; Devine Dep. Tr. 126:12-14 (“Q. Is it fair to say the congestion issues arose at ports during the pandemic? A. It's fair to say that.”) [APP-444]; Forminio Dep. Tr. 167:19-170:17 (“Q: What were the effects of COVID in China before the major shutdowns in the U.S. in March of 2020? A: We knew about COVID prior to it coming here. We knew it was a factor in China probably November. Q: Yes. And what effects did COVID have on OOCL's operations in China? A: At first, it really wasn't anything. I mean, it had happened before. There was SARS. There were all different kinds of things that had happened previously. It wasn't anything initially that was too concerning until it started to gain a little traction. At first, it was small shutdowns or, you know -- but nothing really happened, probably, until early 2020, where things started to get a little tight. Things were being shut down, ports were being shut down, cities were being shut down. Truckers couldn't get from one city to another. It started getting a little crazy after the first of the year. But we knew that something was going on prior to that, but nobody had any idea it was going to turn into what it turned into. Q: And what effect did that have on OOCL's ability to ship the cargo worldwide? MR. LETOURNEAU: Objection to form. OOCL doesn't ship cargo. Q: What effect did that have on OOCL's ability to meet the minimum quantity commitments it had negotiated under its service contracts with BCOs? A: When a port was shut down or a terminal was shut down or a vessel had a crew that was infected with COVID, they couldn't make the calls. So despite the fact that there was cargo booked, they couldn't load. A trucker might have the cargo somewhere in a province, and they couldn't get into the port because that province was closed down. If the vessel had somebody on board with COVID, they wouldn't let them in the port. Longshoremen to work the port, ships wouldn't call. So it affected absolutely everything. There was no aspect of the supply chain that wasn't affected. Warehousing—there was nobody to load. At the customers' level, they had warehouses that couldn't open. It was just something that we had never seen before. I had never seen before. You just couldn't plan because you didn't know what was going to happen the next day. It was quite difficult.”), 171:24-172:17 (“Q: So how did OOCL's experience with the COVID shutdowns in 2020 affect its service contract negotiations for the 2021 shipping year? MR. LETOURNEAU: Objection. Form. You can answer if you know. A: I think everybody was shellshocked. By that time, they were talking about rates at a different level because of the market. And everybody was worried about space, and so were we. Nobody knew what was going to happen. We were still in the midst of this situation that we had no control over. So it was a little bit difficult. It was a difficult negotiation year that year.”) [APP-646-647].

427. BBY encountered long dwell containers at LA/LB ports in late 2021 due to large batches arriving at once. *See* Ex. 381 (McCown Report) ¶ 165 (“For example, BBY encountered issues with "long dwell" containers at the LA/Long Beach ports in late 2021 due to large batches arriving at once, causing chassis and dray carrier shortages.”), ¶ 171 (“Supply chain disruptions happened frequently during the pandemic. Planned shipping schedules for imports were disrupted. There were bottlenecks followed by sudden release of containers, causing significant challenges in managing the flow and reacting to the timing.”) [APP-3789; APP-3790-3791]; Dep. Ex. 166 [APP-3293-3306]; Porter Dep. Tr. 127:23-128:10 (“Like, the containers didn't off-ship according to their, you know, their plan from the import team. So instead of everything kind of flowing in consistently, there was many times where everything just got bottlenecked and then everything got released at once. So instead of having a flow, it was more like a stoppage, like truly, like a plumbing stoppage. It opens, stuff came out. It got packed up. So it was not a consistent flow. And every time you have that, no matter how great the plan and preparations are, you know, it's a challenge to react when it flows that way.”) [APP-2151]; D’Alfonso Dep. Tr. 30:2-7 (“Do you recall during

this time frame, in October/November of 2021, an issue of long-dwell containers on the west coast involving Bed Bath? A I believe that's when it started to originate.”) [APP-323].

428. The glut of containers had basically slowed the flow of containers from the terminal to a halt. *See* Klosowsky Dep. Tr. 101:15-103:14 (“[In November 2022] I had visited the OOCL terminal that -- in Long Beach that the product was moving through and I met with the terminal operator there and I think there were some OOCL employees on that trip as well, but what we noticed and this is where we got the idea of trying to take these containers that were on port for which we were having difficulty moving because there weren't chassis available, and the way it normally happens, I mean, we have a predictable flow, these containers were landing in big batches because they were being delayed at origin, and so big groups of containers were getting onto one ship and they weren't coming in on a nice even pattern, and then, of course, the ships being anchored at that time, freight would arrive in big chunks and then there weren't, you know, dray carriers or chassis available, and then at the beginning of the e-mail string, what reminded me was that when I was at the port of Long Beach terminals, I visited a number -- I don't remember each individual terminal that I visited, I saw that there wasn't a lot of freight coming off the ports universally, not just for Bed Bath, but for everyone, there were a lot of containers stacking up at the port, and one thing that I noticed or that we discussed in that meeting was that a lot of the containers that normally would ship with an intermodal rail service in land had stopped and there were a few very large shippers who had I guess decided to -- because of the delays, to -- instead of railing the product inland to places like Chicago and Dallas where they would work it at their DCs, they decided to take those containers locally. So we saw trains positioned at the ports that were empty, that were nothing.”), 105:20-106:15 (“I was actually quite shocked to see during that peak period how little was coming off the ports like the, you know, the highways in and out were almost empty when I visited in that kind of late October, early November is what I recall.”) [APP-1261-1263]; Soban Dep. Tr. 18:15-24:20 (“And because of the backlog and . . . equipment shortages, because of the driver shortages, and all the backlog, not only in the -- at the port -- inside the port, but outside, you had to become creative.”) [APP-2435-2436]; Ex. 381 (McCown Report) ¶ 166 [APP-3789-3790].

429. This issue was not unique to BBY. *See* Ex. 381 (McCown Report) ¶ 168 (“The congestion issue was not unique to BBY. In fact, other large importers were also dealing with a glut of containers that eliminated capacity to obtain chassis and dray carriers.”) [APP-3790]; Klosowsky Dep. Tr. 101:15-103:14 (“I saw that there wasn't a lot of freight coming off the ports universally, not just for Bed Bath, but for everyone, there were a lot of containers stacking up at the port”), 105:20-106:15 (“Now, again, this was the conversation I had I believe with representatives of OOCL there where they were showing me that some of their larger shippers who normally use container service on the rail to move their products inland had stopped that practice and were receiving those containers, which represented many thousands of containers, I believe. In my view, that took away capacity for chassis, local dray carriers, and other shippers like Bed Bath and others. I think there was a universal issue there.”) [APP-1261-1263]; Devine Dep. Tr. 104:10-105:10 (“Q Okay. So were there complaints about demurrage based on a lack of appointments to pick up containers? A. I don't know of a specific right now that I can refer to at this point, in this moment in time. But were there complaints made? No doubt.”) [APP-438]; Soban Dep. Tr. 188:15-20 (“The reason why we did that was not because Bed Bath decided, but it is related to all of the factors that were around that time that not only Bed Bath, but many and all of the importers were experiencing.”) [APP-2477].

430. Port congestion issues worsened through the pandemic years 2020-2022. *See* Young Dep. Tr. 85:17-86:8 (“Q. Do you recall whether these port congestion issues got worse over time during this time period of the pandemic — 2020 through 2022? A. Yes. Q. How did they get worse? A. They got worse until the port envoy started putting pressure on people, even to the degree that General Lyons called importers and said, ‘You’ve got to get these containers off the terminal because they’re causing congestion.’ Like you mentioned earlier, because they had containers sitting there, they were having to store containers around, which buried some of the containers and caused other problems as well.”) [APP-2844-2845].

431. Port congestion led to containers being unable to be picked up. *See* Young Dep. Tr. 85:17-86:8 (“Q. Do you recall whether these port congestion issues got worse over time during this time period of the pandemic — 2020 through 2022? A. Yes. Q. How did they get worse? A. They got worse until the port envoy started putting pressure on people, even to the degree that General Lyons called importers and said, ‘You’ve got to get these containers off the terminal because they’re causing congestion.’ Like you mentioned earlier, because they had containers sitting there, they were having to store containers around, which buried some of the containers and caused other problems as well.”) [APP-2844-2845].

432. A lack of space in distribution centers, caused by unneeded merchandise and processing delays, contributed to the problem. *See* Soban Dep. Tr. 231:5-232:10 (“Q From your experience, was there a lack of space in distribution centers? A At times, yes. Q What caused such a lack of space in distribution centers? A Merchandise that was not needed at the time it arrived. Procurement—I’m not entirely sure. But yes, there were delays in processing the freight at the DCs. Q Was it about containers that could not be returned, to some extent? A To an extent, yes, because the DC was running out of space, and the containers were creating a jam in the parking lot. Maneuvering the containers around contributed to this issue. A lack of allocations, a lack of personnel or labor at the DC, and sometimes just processing delays were the primary reasons. Space was not necessarily the main issue; it was more about processing delays. The DC was making changes to create additional racking space. I actually just remembered that. So the space not -- was not necessarily called out as an issue; it was more of processing that was creating delays.”) [APP-2488]; Porter Dep. Tr. 130:4-15 (“Q. Ms. Porter, do you recall any time period during the year 2021 when Bed Bath’s container yards and some of its warehouses were at full capacity? A. Yes -- as far as I remember, yes. Q. And what portion of the 2021 year would you say that some of Bed Bath's container yards and its warehouses were at full capacity? A. As far as I remember, it was probably September on.”) [APP-2152].

433. Seasonal merchandise would be delivered late and also items would be only partially delivered and could not be shipped out until the entire item came in. *See* Soban Dep. Tr. 28:11-30:23 (“Q. In January of 2022, when you came on board for this project, were the warehouses in Southern California full? A. They were at capacity. Not 100 percent, but they were at capacity, and it just... Q. So when you say "they were at capacity," does that mean that a full container that's delivered to the warehouse or distribution center can't be unloaded because there's not enough space within the warehouse or distribution center? A. The containers were offloaded, and the merchandise was then put into the supply chain. What I described earlier, the whole process of mitigating the cost and getting the correct product delivered to the DC — the DCs were full of product that the stores and the merchandising team did not want because it was seasonal or whatever the case may be.”) [APP-2437-2438].

434. Ocean carriers did not allow empty containers to be terminated at the East Coast destination, necessitating their return to the West Coast, which was costly and impractical. *See* Soban Dep. Tr. 187:25-188:13 (“Bath & Beyond to terminate empty containers at destination. What that means -- and I am sure you are aware -- when a container landed at the east coast seaport, it was then outgated. And when the decision was made to rail that container to the east coast, the ocean carrier said, yeah, Bed Bath, too bad. It was your decision, and you have to bring those containers back to west coast, empty containers, and then terminate them at the seaport you outgated them”) [APP-2477].

435. BBY faced many challenges in loading cargo, particularly due to frequent operational issues such as dropped port calls, that often led to significant amounts of cargo being left unshipped, despite having sufficient freight to meet allocations. *See* Forminio Dep. Tr. 275:14-278:12 (“Q: So, Ms. Forminio, you wrote in this email, ‘All we do is discuss and hit a brick wall every way we turn. I would love some suggestions on how to improve what is out of our control, Raphael. We have the data and it's the same every week. We have enough cargo to fill our allocation twice over and we can't get it loaded.’ You continue, ‘We drop ports every two minutes and throw off what we do have booked. We waste hours on CSAL swaps which no one pays attention to because it's too late or too difficult.’ It sounds like you're very frustrated in this email. A: You think? Q: So is it fair to say that this was a common problem during this time period? A: It was, yes. Q: Yes. A: As I said, it was very, very frustrating. And what I'm saying about dropping ports, it's in my little notes. On the one service, the Vietnam service—going back to the Vietnam situation—we had two places we called, Ho Chi Minh and Hai Phong, and they were always dropping the Hai Phong call, and we had all this cargo and we couldn't load it. So it was very frustrating to be called out and saying you're not making your number, but this is why we're not making our number. And we have the freight; it's just frustrating not to load it. It's frustrating not to take care of the customer. It's frustrating to be questioned on your ability to do your job. So I was frustrated in this particular case.”) [APP-673-674].

436. BBY incurred significant expense and invested significant resources into trying to deal with the challenging extrinsic conditions that resulted from the pandemic. *See* [REDACTED]

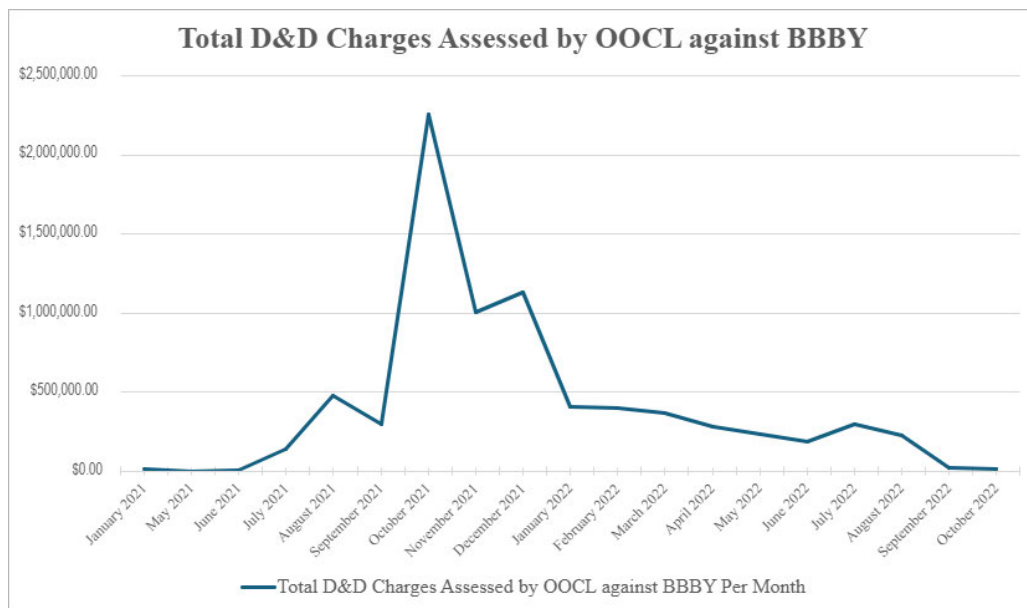
[REDACTED] Dep. Ex. 166 at P-0000637228 (BBY encountered issues with “long dwell” containers at the LA/Long Beach ports in late 2021 due to large batches arriving at once, causing chassis and dray carrier shortages) [APP-3302]; Klosowsky Dep. Tr. 105:7-19 (“eventually, we did secure a train, we got those containers moved off the port, put on a train and then moved on a train, on a container service to Dallas where ultimately we worked all of the freight off of those containers, but that was -- we were -- that was a response to trying to move the containers that were essentially locked at the port because there wasn't adequate service locally in southern California to get those containers out” [APP-1262] ; Porter Dep. Tr. 128:11-16; 136:15-137:16 (during the pandemic BBY added a new warehouse facility to make room for containers) [APP-2151, -2153]; Soban Dep. Tr. 186:8-189:13 (BBY incurred significant costs in transshipping cargo to open distribution centers) [APP-2477].

437. The chart below illustrates that a significant portion of the detention and demurrage charges OOCL assessed against BBY during the relevant time period occurred in periods when port congestion issues were spiking. Ex. 381 (McCown Report, Appendix C) [APP-3845-3928],

Ex. 329 [APP-3358]; Donohue Dep. Tr. 43:5-10 (“Q. When did port congestion issues arise at the port of Long Beach? A. Around October 2021. Q. Is that the same for port of Los Angeles? A. Yes”) [APP-545]; Young Dep. Tr. 75:9-12 (“Q. Do you recall the time period in which the port congestion issues began? A. During COVID, basically. During the whole COVID period.”) [APP-2842], 85:17-22 (“Q. Do you recall whether these port congestion issues got worse over time during this time period of the pandemic -- A. Yes. Q. -- 2020 through 2022? A. Yeah, they did get worse.”) [APP-2844].

437.1. The Total D&D Charges Assessed by OOCL against BBY chart (“Chart 1”) is based on Ex. 381 (McCown Report, Appendix C) [APP-3845-3928], [REDACTED]

Chart 1:



E. Count II, Element 5: OOCL’s policies and practices of assessing unreasonable detention and demurrage charges against BBY are the proximate cause of BBY’s claimed losses.

438. OOCL’s practices and regulations are the proximate cause of the losses claimed by BBY.

438.1. This element has been established. *Infra* FOF.Arg.II.E.

438.2. This element is undisputed.

III. Count III (“Conduct not in accordance with Service Contracts”): OOCL’s Provision of Service to BBY under the Service Contracts was not in Accordance with the Rates, Charges, Classifications, Rules, and Practices Contained in the Service Contracts and Constitutes a Violation of 46 U.S.C. § 41104(a)(2).

A. OOCL’s actions of “systematically failing to meet its service commitments” were not in accordance with the rates, charges, classifications, rules, and practices contained in the parties’ Service Contracts with BBY.

439. The 2020 Service Contract, as originally agreed to by BBY in good faith, required a minimum quantity commitment of 2,100 FEUs during the 2020 Service Contract year. *Supra* ¶ 29.2; *see also* [REDACTED]

440. [Intentionally left blank]

441. The 2021 Service Contract, as originally agreed to by BBY in good faith, required a minimum quantity commitment of 3,796 FEUs during the 2021 Service Contract year. *Supra* ¶ 30.1; *see also* Ex. 163 at P-0000008673 (2021 Service Contract, Section 3, “MINIMUM QUANTITY COMMITMENT(S): 7592 TEU”) [APP-3278].

441.1. BBY attempted to book this amount by diligently providing OOCL and other ocean carriers updated container forecasts; generally seeking to ship products with OOCL 60 days earlier than BBY’s regular practice to alleviate bottlenecks; and engaging third-party agents to make handle bookings on its behalf. *Supra* ¶¶ 22, 129.2, 130.2 .

442. OOCL refused to meet its service commitments to BBY under the Service Contracts.

442.1. OOCL ultimately only carried approximately 1,475 of the obliged FEUs during the 2021 Service Contract year, and approximately 2,432 of the obliged FEUs during the 2021 Service Contract year. *Supra* ¶¶ 95, 104.

B. OOCL’s actions of “seeking to coerce BBY to pay PSS and enter into premium rate contracts” were not in accordance with the rates, charges, classifications, rules, and practices contained in its Service Contracts with BBY.

443. [REDACTED]

444. The 2021 Service Contract, as originally agreed to by BBY in good faith, provided contract rates that BBY would pay OOCL for the services provided thereunder. *See* Ex. 163 at P-0000008673-84 (as amended, 2021 Service Contract, Section 6, “CONTRACT RATES”) [APP-3278-3279].

445. [REDACTED]

446. The total cost differential BBBY had to pay under the Service Contracts due to OOCL's PSS pricing policies was approximately \$13.7 million. *See* P-0000801023 [APP-4418]; Ex. 330 (Tabs "SY 20", "20 But For," "20 Damages", Tabs "SY 21", "21 But For," and "21 Damages") [APP-3359]; 1AC ¶¶ 42,51 [APP-49, 50]; Ex. 381 (McCown Report) ¶ 114 (Table 9) [APP-3778].

447. Around January 2021, OOCL began pushing its premium contract program, pressuring BBBY into signing premium rate contracts despite having already failed to meet its service commitments. *Supra* ¶ 291.

448. BBBY had no choice but to agree to pay PSS. *Supra* ¶¶ 288, 298.

449. OOCL threatened to sell BBBY's contracted space on the open market. *Supra* ¶ 288.

450. OOCL threatened that BBBY would be shut out of contracted space if it failed to agree to premium rate contracts. *Supra* ¶¶ 288, 298.

IV. Count IV ("Retaliation"): OOCL's Actions and Omissions Constitute Retaliation against BBBY and a Violation of the Former 46 U.S.C. § 41104(a)(3) (Now Codified At 46 U.S.C. § 41102(d)).

A. Count IV, Element 1: BBBY is a shipper.

451. BBBY is a shipper. *Infra* ¶ 6.

B. Count IV, Element 2: BBBY engaged in protected activity.

452. On October 18, 2021, BBBY conveyed a threat to file a complaint with the FMC to OOCL (the "October 2021 Letter"). *See* 1AC ¶ 139 [APP-74]; [REDACTED]

453. The October 2021 Letter explicitly asserted that OOCL's practices, in particular its D&D Charges assessed to BBBY, violated the Shipping Act, as Patrick M. Hackett, BBBY's Director of International Supply Chain, emailed the first demand letter to OOCL, wrote: "[REDACTED]"

[REDACTED] hereby explicitly putting OOCL on notice regarding OOCL's misalignments with the FMC guidance on reasonable demurrage and detention practices. *See* 1AC ¶ 139 [APP-74]; [REDACTED]

1. BBY's October 2021 Letter and other complaints are "protected activity".

454. BBY threatened to file a petition with the FMC, as indicated in the October 2021 Letter.

455. The October 2021 Letter explicitly mentioned challenging OOCL's detention and demurrage charges because OOCL did not satisfy the guidelines issued by the FMC. See 1AC ¶ 139 [APP-74];

[APP-2936].

2. OOCL's employees interpreted BBY's October 2021 Letter as a threat to file a complaint with the FMC.

456. Both BBY and OOCL considered BBY's October 2021 Letter to be a threat to OOCL that BBY may file a complaint with the FMC.

456.1. OOCL's employees considered OOCL's conduct to be retaliation against BBY. *See*

Devine Dep. Tr. 277:14-279:13 (Q. And you – when you said, 'These are the same folks behind the threatening DD letter dated 18 October,' what letter were you referring to? A. Obviously, I'm referring to a letter that came from Bed Bath & Beyond dated October 18th. We'd have to pull that from the records. Q. What did you mean by 'threatening'? A. Apparently, the letter must have been threatening; threatening support, threatening complaint, threatening by some nature. Threatening nonpayment. Threatening. . . . Q. Why was that letter relevant to this

discussion? A. The letter – again, we don’t have the letter to refer to specifically. But from my general understanding here, the threatening tone of the letter, they might have been threatening support, they might have been threatening nonpayment, they might have been threatening some kind of complaint, they might have been threatening some type of legal action. And this is an e-mail from me, basically, warning our people to be very careful.”) [APP-481-482].

C. Count IV, Element 3: OOCL is an ocean common carrier.

457. OOCL is an ocean common carrier. *Supra* ¶ 11.

457.1. This element has been established. *Infra* FOF.Arg.IV.C.

457.2. This element is undisputed.

D. Count IV, Element 4: OOCL engaged in prohibited conduct.

1. OOCL engaged in retaliation by refusing to accept BBY’s bookings during the 2021 Shipping Year and assessing punitive D&D Charges.

458. Two days after receiving BBY’s October 21 letter, OOCL discussed reducing bookings and potential “[REDACTED]”, with employee Vincent Delprete suggesting a [REDACTED] among customers. *See* 1AC ¶ 140 [APP-74]; [REDACTED]

459. On May 17, 2023, OOCL employee Mike Young internally acknowledged that they didn’t always meet CSAL or allow booking under it from 2020 to 2022. *See* [REDACTED] DelPrete Dep. Tr. 141:20-142:10 (“Q. What is deselection? A. Deselection means when it comes time to issue another contract, we don’t actively engage for renewal.”) [APP-375-376].

460. OOCL failed to allocate sufficient space to BBY under the 2021 Service Contract as a means of retaliation.

461. Of the 2432.74 (out of 3,796) FEUs that OOCL did carry for BBY under the 2021 Service Contract, OOCL carried only 958.875 subsequent to October 18, 2021, or approximately 40% of the total. *See* Ex. 381 (McCown Report, Appendices B-1 through B-4) [APP-3810-3844]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358].

462. Of the \$7,820,777.83 in D&D Charges complained of by BBY under Count II, OOCL assessed \$5,093,099.34 (65%) after October 18, 2021. *See* Ex. 381 (McCown Report, Appendix C) at 25-84 [APP- 3869-3928]; Ex. 329 [APP-3358].

2. OOCL engaged in retaliation by offering rates to BBY significantly higher than those offered to other shippers with similar service contracts for the 2022 Shipping Year.

463. BBY requested a 2022 contract maintaining the level of MQC from 2021 and with lower rates, which OOCL verbally agreed to and then recanted. See [REDACTED] 1AC ¶ 143 [APP-76].

464. On January 28, 2022, BBY bid for a service contract with OOCL to govern the May 2022 to April 2023 shipping year. See 1AC ¶ 143 [APP-75]; [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

470. [REDACTED]

3. OOCL engaged in retaliation by discriminatorily reducing BBY's MQC as a precondition to entering into a service contract for the 2022-23 shipping year.

471. OOCL discriminated against BBY by reneging BBY's offer of 2022 MQC from the previously-agreed upon level and reducing that MQC by 17% as a precondition to entering into a service contract for the 2022-23 shipping year.

472. [REDACTED] with Dep. Ex. 163 at P-000008673 ("MINIMUM QUANTITY COMMITMENTS(S): 7592 TEU") [APP-3278].

473. [REDACTED] P-0000129201 (cover email to OOCL_0000077725) [APP-2353-2354]; P-0000520047 (-520047) (Service Contract MTT226042, Amendment No. 1 "Amend Minimum Quantity Commitment to read: 6250 TEU) [APP-4415]; [REDACTED]

474. The 671 FEU difference between the MQC in the 2021 Service Contract and the ultimate MQC commitment included in the service contract for the 2022-23 shipping year between OOCL and BBY was intended by OOCL as retaliation against BBY in response to BBY's threats to OOCL of bringing FMC litigation based on OOCL's unlawful practices and policies.

475. OOCL determined internally that it was comfortable reducing MQC to shippers who complained that OOCL was not living up to FMC guidelines. *See* Devine Dep. Tr. 273:18-274:8 ("Q. So would sending communications claiming that OOCL's conduct was not in line with FMC guidance make a shipper a problem customer? A. Not necessarily. . . . Q. You said not 'not necessarily,' so in some instances it might; is that correct? A. They might. They might. They might not. Depends upon the type of customer.") [APP-480-481]; [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

486. As a result of BBY's protected activity, OOCL offered BBY 671 fewer FEUs for the 2022-2023 service contract than it had previously agreed.

4. OOCL engaged in retaliation by refusing any rate reductions requested by BBY.

[REDACTED]

488. OOCL admitted internally that OOCL offered rates above the rates quoted by other shippers with similar MQC

[REDACTED]

Devine Dep. Tr. 185:8-16 (“Q. What do you understand it to mean? A. We offered rates around a 1,000 or \$1,500 above rates quoted to other shippers.” [APP-458].

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

499. [REDACTED]

5. There is no lawful justification for OOCL's conduct.

500. There is no justification for OOCL's policies/actions.

501. BBY internally discussed letters from OOCL that they considered "threatening" when deciding on services to offer them. *See* [REDACTED]

[REDACTED] Devine Dep. Tr. 277:14-279:13 (Q. And you – when you said, 'These are the same folks behind the threatening DD letter dated 18 October,' what letter were you referring to? A. Obviously, I'm referring to a letter that came from Bed Bath & Beyond dated October 18th. We'd have to pull that from the records. Q. What did you mean by 'threatening'? A. Apparently, the letter must have been threatening; threatening support, threatening complaint, threatening by some nature. Threatening nonpayment. Threatening. . . . Q. Why was that letter relevant to this discussion? A. The letter – again, we don't have the letter to refer to specifically. But from my general understanding here, the threatening tone of the letter, they might have been threatening support, they might have been threatening nonpayment, they might have been threatening some kind of complaint, they might have been threatening some type of legal action. And this is an e-mail from me, basically, warning our people to be very careful.") [APP-481-482].

502. [REDACTED]

6. OOCL considered its conduct to be retaliation against BBY.

503. OOCL's employees considered OOCL's conduct to be retaliation against BBY. *See* [REDACTED]

[REDACTED] Devine Dep. Tr. 277:14-279:13 (Q. And you – when you said, “These are the same folks behind the threatening DD letter dated 18 October,” what letter were you referring to? A. Obviously, I’m referring to a letter that came from Bed Bath & Beyond dated October 18th. We’d have to pull that from the records. Q. What did you mean by ‘threatening’? A. Apparently, the letter must have been threatening; threatening support, threatening complaint, threatening by some nature. Threatening nonpayment. Threatening. . . . Q. Why was that letter relevant to this discussion? A. The letter – again, we don’t have the letter to refer to specifically. But from my general understanding here, the threatening tone of the letter, they might have been threatening support, they might have been threatening nonpayment, they might have been threatening some kind of complaint, they might have been threatening some type of legal action. And this is an e-mail from me, basically, warning our people to be very careful.”) [APP-481-482].

V. Count V (“Unreasonable refusals to deal or negotiate”): OOCL Unreasonably Refused to Deal or Negotiate with BBBY in Violation of 46 U.S.C. § 41104(a)(10).

A. Count V, Element 1: OOCL is an ocean common carrier.

504. OOCL is an ocean common carrier. *Supra* ¶ 11.

504.1. This element has been established. *Infra* FOF.Arg.V.A.

504.2. This element is undisputed.

B. Count V, Element 2: OOCL refused to deal or negotiate with BBBY.

505. OOCL refused to deal or negotiate with BBBY.

505.1. This element has been established. *Infra* FOF.Arg.V.B.

505.2. This element is undisputed.

1. OOCL failed to accept bookings or make space available to fulfill its MQC service commitments to BBBY.

506. OOCL failed to accept bookings or make space available to fulfill its MQC service commitment to BBBY.

507. [REDACTED]



2. OOCL failed to provide contracted space to BBY without PSS or premium rates.

508. OOCL failed to provide contracted space to BBY without PSS or premium rates. *Infra* ¶ 776.

3. OOCL failed to assess D&D charges in a reasonable manner.

509. OOCL failed to assess D&D charges in a reasonable manner.

510. Effectively, OOCL refused to address disputed invoices or provide necessary or requested information in response to BBY's requests.

4. OOCL failed to engage in negotiations for the 2022-2023 shipping year in a reasonable manner.

511. OOCL failed to engage in negotiations for the 2022-2023 shipping year in a reasonable manner. *Infra* ¶ 778.

C. Count V, Element 3: OOCL's refusals were unreasonable.

512. OOCL's refusals were unreasonable. *Infra* ¶¶ 779-781.

512.1. This element has been established.

512.2. This element is undisputed.

VI. Reparations

513. For the reasons set forth herein, BBY has established that it is entitled to recover reparations in the amounts set forth in Table 1 below, in addition to interest and attorneys' fees.

Table 1:

Count (Reparation Type):	Reparations Amounts:
Count I: MQC Shortfalls (2020 Service Contract)	\$3,146,072.00
Count I: MQC Shortfalls (2021 Service Contract)	\$19,563,799.79
Count I: PSS/Premium Contract Charges (2020 Service Contract)	\$7,109,296.00
Count I: PSS/Premium Contract Charges (2021 Service Contract)	\$6,623,453.00
Count II: Demurrage Charges	\$1,784,164.88
Count II: Detention Charges	\$6,036,612.95
Count III: Conduct not in accordance with Service Contracts	(Additional basis for Counts I & II damages)
Count V: Refusal to Deal	(Additional basis for Counts I & II damages)
Subtotal:	\$44,263,398.62
Count IV: Retaliation Doubles statutory reparations (MQC Shortfalls (2021 Service Contract); PSS/premium charges (2021 Service Contract); D&D Charges post-October 18, 2021)	\$31,280,352.13
Subtotal:	\$75,543,750.75
Count V: Refusal to Deal (2022-2023 Shipping Year Lost Profits)	\$44,906,060.97
Count IV: Retaliation Doubles 2022-2023 Shipping Year Lost Profits	\$44,906,060.97
Grand Total:	\$165,355,872.69

A. Count I (“Unjust and unreasonable failure to meet service commitments under the Service Contracts”)

514. As to Count I, BBY is entitled to reparations from OOCL in the amount of \$36,442,620.79. *Infra* COL.XI.A.

515. Appendices A-1 through A-4 of the McCown Report reflect actual shipments undertaken by BBY during the 2021 Service Contract Year on lanes covered by the 2020 Service Contract, using NVOs or ocean freight forwarders, which BBY was forced to undertake due to OOCL’s failure to meet its service commitments under the 2020 Service Contract. See Ex. 381 (McCown Report, Appendices A-1 through A-4) [APP-3794-3809]; Dep. Ex. 328 [APP-3357]; Dep. Ex. 329 [APP-3358].

516. Appendices B-1 through B-4 of the McCown Report reflect actual shipments undertaken by BBY during the 2021 Service Contract Year on lanes covered by the 2021 Service Contract, using NVOs or ocean freight forwarders, which BBY was forced to undertake due to

OOCL's failure to meet its service commitments under the 2021 Service Contract. *See* Ex. 381 (McCown Report, Appendices B-1 through B-4) [APP-3810-3844]; Dep. Ex. 328 [APP-3357]; Dep. Ex. 329 [APP-3358].

517. There is no error in BBBY's calculation of shortfall damages as to Count I.

518. Steffen is not aware of any industry standards for calculating shortfall damages. *See* Steffen Dep. Tr. 256:2-6 ("Q. Are you aware of any standards that are recognized in the industry relating to the calculation of shortfall damages specifically? A. No.") [APP-2583].

519. There is no error in BBBY's calculation of PSS/premium rate damages as to Count I.

520. Steffen testified that he would calculate damages related to BBBY's claims for PSS/premium charges by subtracting the "but-for" amount from the actual amount paid, consistent with the formula BBBY used for PSS/premium damages. *See* Steffen Dep. Tr. 85:9-22 ("Q. So you've said you would gather reliable data, but can you structure for me a mathematical operation that would allow you to determine the damages from surcharges or fees? A. It would be -- damages are the difference between actual and but-for. Q. All right. So just to break that apart: If you knew the actual amount that Bed Bath paid OOCL for the freight that OOC carried, that would be one component of your analysis, right? A. Yes."), 87:10-14 ("Q. What did you mean by "but-for"? A. What Bed Bath & Beyond would have paid but for its having to pay peak-season surcharges and premium charges."), 87:16-24 ("Q. And if you had those two numbers – what Bed Bath actually paid OOCL and what Bed Bath would have paid but for those charges – what operation would you undertake mathematically to size the damages? A. I would calculate the difference between the but-for amounts and the actual amounts.") [APP-2540].

B. Count II ("Unjust and unreasonable assessment of Detention and Demurrage Charges")

521. As to Count II, BBBY is entitled to reparations from OOCL in the amount of \$6,178,515.48. *Infra* COL.XI.B.

522. Appendix C of the McCown Report reflects payments made by BBBY for detention and demurrage charges charged by OOCL for OOCL shipments. *See* Ex. 381 (McCown Report Appendix C) [APP-3845-3928]; Ex. 329 (P-0000353819) [APP-3358].

523. Consistent with the allegations in the Complaint, Appendix C reflects that OOCL charged BBBY \$1,784,164.88 in demurrage charges and \$6,036,612.95 in detention charges, for a total of \$7,820,777.83 in detention and demurrage charges. *See* Ex. 381 (McCown Report, Appendix C) [APP-3845-3928]; Ex. 329 (P-0000353819) [APP-3358].

523.1. The total amount of \$7,820,777.83 in detention and demurrage charges was excessive.

523.1.1. OOCL suffered no opportunity cost in relation to the containers underlying the total amount of \$7,820,777.83 in detention and demurrage charges. *Supra* ¶¶ 361, 363-65.

523.1.2. The total amount of \$7,820,777.83 in detention and demurrage charges are unreasonable. *Infra* ¶¶ 793-98.

523.1.3. Port congestion issues and other factors made it impossible for BBY to move the containers underlying the total amount of \$7,820,777.83 in detention and demurrage charges. *Supra* FOF.Arg.II.2-3; *infra* COL. (discussing the “incentive principle”).

523.2. Even if any of OOCL’s determinations are correct as to the validity of any of the total amount of \$7,820,777.83 in detention and demurrage charges, OOCL’s rates were grossly excessive. *Supra* FOF Section VIII.D.1; *compare with infra* ¶ 796 (showing Trailer Bridge rates by carriers such as Trailer Bridge as approximately 21% of OOCL rates) (citing Ex. 381 (McCown Report) ¶ 183 [APP-3792]).

524. The imposition of Detention and Demurrage Charges was unreasonable in that there was no basis for imposing such Charges.

524.1. Steffen is not aware of any industry standards for calculating detention and demurrage damages. *See* Steffen Dep. Tr. 256:7-12 (“Are you aware of any standards that are published or recognized in the industry that were linked to the calculation of detention and demurrage damages specifically? A No.”) [APP-2583].

524.2. *See* Ex. 381 (McCown Report) ¶ 162 (“Full is full. The opportunity cost argument for enhanced per diem charges therefore does not apply to conditions during the COVID-19 pandemic, when OOCL has admitted it was able to run its ships at full capacity regardless of congestion or delays in container handling”) [APP-3789].

524.3. OOCL’s own designated expert admitted that there are no opportunity costs associated with the detention charges levied by OOCL against BBY at issue in this action. *See* Steffen Dep. Tr. 210:24-211:22 (“Q You understand that when detention is being accrued the container is offsite, correct? A Yes. Q So when detention is being accrued, there's no opportunity cost arising from the missing space at the terminal facility, right? A I agree with that. Q So, at least, with respect to detention, since there's no opportunity cost associated with space being taken up at the facility, and assuming the ships are able to run full with sufficient containers to support their operations, you haven't identified any opportunity cost relating to the detention of particular containers, correct? A Well, given those facts and -- . . . A Given those facts and circumstances, if true, correct.”) [APP-2572].

525. There is no error in BBY’s calculation of detention and demurrage damages as to Count II.

C. Count IV (“Retaliation”)

526. As to Count IV, BBY is entitled to reparations from OOCL in the amount of \$31,280,352.13 for OOCL’s violations in Counts I through III and, as described further below, an additional reparations of \$44,906,060.97 for OOCL’s Count V unreasonable refusal to deal as it relates to the 2022-2023 shipping year. *See infra* COL.XI.E.

D. Count V (“Unreasonable refusals to deal or negotiate”)

527. OOCL’s unreasonable refusals to deal or negotiate with BBY during the 2020, 2021, and 2022 shipping years caused BBY to incur the same losses alleged under Counts I and II. *Supra* FOF.Arg.I-II.

528. OOCL’s knowingly improper decision to rescind, during negotiations, MQC for the 2022-2023 shipping year in the amount of 671 FEUs following protected conduct by BBY caused BBY losses of \$44,906,060.97. *Infra* ¶¶ 809, 812.

528.1. OOCL’s knowingly improper decision to rescind, during negotiations, MQC for the 2022-2023 shipping year in the amount of 671 FEUs following protected conduct by BBY was part of OOCL’s retaliatory conduct. *Supra* ¶ 486.

E. Lost Profits

529. As to Lost Profits, BBY is entitled to reparations from OOCL in the amount of \$133,055,566 as to the OOCL’s failure to honor service commitments during the 2020 and 2021 Service Years and \$44,906,060.97 as to OOCL’s retaliatory and unreasonable refusal to deal related to the 2022-23 shipping year. *Infra* COL.XI.F.

530. BBY’s calculations of lost profits are based on actual shipments and profits recorded from May 1, 2020, around the time that the parties’ 2020 Service Contract began, to April 30, 2022, when the 2021 Service Contract concluded. *See* Dep. Ex. 401 at Tab “Container Receipts with Expenses” [APP-4008]; Cunniff Dep. Tr. 21:4-16 (“Q. What did you do to prepare this worksheet? A There were a lot of steps because it was not a simplistic approach. I needed to get information from multiple sources; one of which was the actual containers that were shipped over that window of time, what was on those containers from a product standpoint, what the markup was of those goods with the information that was in the system, and how much those goods sold for over a reasonable window of time.”) [APP-277].

531. Rick Cunniff, BBY’s former Senior Director of Financial Analysis, gathered data from multiple sources, including detailed records of shipped containers, product markups, and sales figures, and created a spreadsheet detailing container profitability during the relevant time. *See* Dep. Ex. 401, at Tab “Container Receipts with Expenses” [APP-4008]; Cunniff Dep. Tr. 9:3-12 (“Q. What was your position when you left Bed Bath’s employ? A. I was the senior director of financial analysis. . . . Q. And how long had you held that position? A. That specific role? Q. Yes, sir. A. Maybe three or four years.”), 20:9-12 (“Q. And what was the task? A. It was to determine the relative profitability of a container over a window of time.”) [APP-274; APP-277].

532. Mr. Cunniff verified the Lost Profits Analysis spreadsheet’s accuracy to a reasonable extent by cross-referencing the quantity of goods shipped over time against financial reports on imports. *See* Cunniff Dep. Tr. 22:18-23:2 (Q. Did you verify the accuracy of the information in each tab? A. To a reasonable extent, yes. Q. And what does that mean? A. The amount of goods that were shipped over a window of time, I validated in terms of some of the financial reporting that we had that tells me how much we’ve imported.”) [APP-278].

533. [REDACTED]

534. BBY provided OOCL with detailed data point [REDACTED]

535. Cunniff explained his methodology for calculating average profit per container, starting with an FOB log file from BBY's Logistics Team. *See* Dep. Ex. 402 at Tab "Steps," Row 21, Columns A-B ("STEP 1. Match FOB and POMRCH files based on PO# to isolate PO's received during window in question.") [APP-4009]; Cunniff Dep. Tr. 87:22-88:3 ("A. Step 1, FOB log file was a table that was provided as a source document from the Logistics Team that lists out the containers . . . that were shipped".) [APP-294].

536. Cunniff matched this data to a JDA table using purchase order numbers to identify containers received within a specific timeframe. *See* Dep. Ex. 402 at Tab "Steps," Row 21, Columns A-B ("STEP 1. Match FOB and POMRCH files based on PO# to isolate PO's received during window in question.") [APP-4009]; Cunniff Dep. Tr. 88:9-89:2 ("Step 1. So that aforementioned FOB table is matched up against a JDA table . . . that has, by PO number, the receipt information . . . So this is getting us the containers in question that were received during that window of time.") [APP-294].

537. Cunniff then pulled shipment details, including containers and SKU information, from the PO shipment report. *See* Dep. Ex. 402 at Tab "Steps," Row 64, Columns A-B ("STEP 2. Match QryShippedPO's with Container PO Shipment Rpt.") [APP-4009]; Cunniff Dep. Tr. 89:5-:19 ("[S]o, now, we've got a listing of POs that were shipped in that window of time, and it's running off the PO shipment report that . . . give[s] me the shipment details, so that has the SKU information in it".) [APP-294].

538. Cunniff then matched shipment details with receiver information. *See* Dep. Ex. 402 at Tab "Steps," Row 100, Columns A-B ("STEP 3. Match QryContainerShipmentDetails with TBL_RECEIVER_DETAILS on PO & SKU."); [APP-4009]; Cunniff Dep. Tr. 89:20-90:2 ("And then step 3 -- oh, there we go. Sorry. There's the receiver details, so we've got the receiver quantity. And then the receiver details has the item costs and the items on it. I-number is the SKU number.") [APP-294-295].

539. Cunniff then attached container costs and categorized the data into two groups: items received within 60 days and those received after 60 days, to more accurately approximate BBY's profits per container. *See* Dep. Ex. 402 at Tab "Steps," Row 145, Columns A-B ("STEP 4. Match QryContainerReceiptDetails with QryContainerCost.") [APP-4009]; Cunniff Dep. Tr. 90:3-91:11 ("And then step 4 is, then, attaching the container cost for those items. So we basically

go through and say, identify the containers, when they were received. In that window of time, get the SKU information that's on those containers, and then take those containers and identify what the cost was. And then it dumps out the detail. And then I think that's where we bifurcated the detail into received within 60 days, received greater than 60 days.") [APP-295].

540. Mr. Cunniff also subtracted the landed cost of goods sold, which covered both purchase costs and freight expenses. *See* Dep. Ex. 401 at Tabs "CONTAINER SUMMARY," [APP-4008]; Cunniff Dep. Tr. 34:3-34:14 ("Q And if we look at column O, the second highlighted acronym, COS, can you tell us what that means? A Cost of sales. Q Okay. All right. And so does the cost of sales -- what costs are included in the cost of sales? A It is the landed cost of the good -- of the item that was sold. So it's the loaded freight and the cost to buy the goods.") [APP-281].

541. Steffen, who was not tasked with forming any opinions about BBBY's lost profits claim, addressed lost profits in his report independently. *See* Steffen Dep. Tr. 212:23-213:6 ("Q. And is it accurate to say that this section is not a response to anything that Mr. McCown said, but rather your own analysis that affects a category of damages that were alleged in the Complaint but not addressed in Mr. McCown's report? A. That's correct.") [APP-2572].

542. Steffen, relying on documents selected by OOCL's counsel, testified that he had not seen evidence of profit margins for BBBY's goods in specific containers. *See* Steffen Dep. Tr. 9:19-10:6 ("Q And other than the documents that you were given by Blank Rome, did you have access to any other documents that were produced by the parties in the case? A No. Q So your analysis, other than what you could glean from your own expertise and publicly available information, was limited to the selected group of exhibits that you were given by lawyers for OOCL; is that correct? A That is correct."); 271:3-10 ("Q. But my question to you, sir, is what is the profit margin of each of these projects -- or products, if you've seen any evidence that demonstrates what they are? MR. HUTH: Objection to form. A I've not seen any of that type of analysis or evidence.") [APP-2521-2522; APP-2587].

543. During his deposition in this case, BBBY counsel walked Steffen through the Lost Profits Analysis spreadsheet during which questioning Steffen conceded that the information necessary to calculate BBBY's lost profits was reflected in Cunniff's Lost Profits Analysis spreadsheet. *See* Ex. 401 (P-0000810431) (Tab "Container Receipts with Expense") [APP-4008]; Steffen Dep. Tr. 294:13-295:6, 295: 21-299-18 ("And you testified briefly, in response to Mr. Letourneau's questions, that you had not seen any evidence relating to the *actual profitability of Bed Bath merchandise, to the actual cost, to the actual revenue associated with products, or to the containers that they were shipped in*. Did I get all that right? MR. LETOURNEAU: I object. It misstates his testimony. A Well, I think that when we referred to particular documents, it was - my responses were tied to those particular documents. Q. This document, as you click through the tabs, does include that information, doesn't it? . . . Q. So because you, as you say, know nothing about this spreadsheet, you have no reason to believe that the data in it is not accurate, correct? MR. LETOURNEAU: Objection. Form. A. Well, that would be correct. And I have no reason to believe it is accurate. Q. *Let's click on the second tab, entitled "Container Receipts with Expense." If we look in column A, do you see that there is a port of delivery here? A. I see that. Q. If we look in column B, do we see that there is a port of discharge? A. I see that. Q. In column C, do you see that there is a carrier associated with these? A. I see that. Q. In columns F, G, H, and J, do you see that there are dates associated with the shipment? A. I see that. Q. Column L*

*contains bill-of-lading numbers, correct? Is that a yes? A. Oh, that's a yes. Q. Column M contains container numbers, correct? A. I see that. Q. Column O contains a description of the products that were inside those containers, right? A. I see that. Q. Column S states the retail cost for those items, right? A. Well, it says, "item retail." What that means exactly, it's not provided. Q. Okay. Column R reflects the quantity of those items that were inside the container, right? A. Yes, it does. Q. Column T reflects the item cost for the items that were inside the container, correct? A. Oh, yes, it does. Uh-huh. Q. And then columns U and V and multiple out, the retail revenue and the external cost of those items calculated for the total number that were inside the container, right? A. You know, could you -- could you scroll down to the formulas because I see -- I see the numbers, but I don't see if there's a calculation in there. MR. HUTH: Mr. Mitchell, maybe if you click on the cell at the top -- I don't know where the formulas are. THE WITNESS: Yes, yes. Uh-huh. MR. HUTH: If you click on a cell, it will usually show. THE WITNESS: Okay. So it's a hard-pasted, hard-coded number. There's no calculation. So I know what the label says. I don't know exactly what was -- what is in that cell. . . . Q. **And that is data that would be useful in determining the profitability of goods carried in specific containers, correct?** MR. LETOURNEAU: Objection. Form. A. **I would say that that appears to be the case.**") (emphasis added) [APP-2593-2594].*

544. Steffen lacks experience or expertise regarding the FMC rules, guidance, or actions concerning lost profits claims. *See* Steffen Dep. Tr. 44:8-13 ("Q And other than your review of the OJ Commerce and MCS cases, which you reviewed for your work in this case, do you have any experience with how the FMC addresses lost profits claims? A I do not.") [APP-2530].

545. While Steffen states that BBBY cannot claim lost profits because it "did not have any profits to lose", he concedes that companies with operating losses prior to bankruptcy can still pursue lost profits claims. *See* Steffen Dep. Tr. 214:10-23 ("A. So, typically, there's a presumption when a party brings a lost profits claim that it had profits to lose, and Bed Bath & Beyond had -- did not have any profits to lose."), 220:6-23 ("Q. And when you're looking at a company's overall profit and loss, that's a sum of the profit and loss of all the operating segments, correct? A. That is correct. Q. If one of your operating segments has a loss of \$500 million and another has a profit within the operating segment of \$200 million, the result is a net loss of \$300 million, correct? A. That is correct. Q. If that operating segment that made \$200 million would have made \$400 million had its counterparties honored their contracts with it, would you agree with me that the company has lost \$200 million in profits? A I would agree.") , 230:20-231:16 ("Q. Is it your position that the fact that those companies all had operating losses prior to their bankruptcy means that none of those companies could ever recover lost profits from any other party, regardless of what that party did to the entity? A. Well, no. I know -- I think there's a -- there's a possibility of bringing a claim, you know, depending upon -- you know, if there -- if there's, like, a litigation trust set up, you know, that claim could go into the litigation trust. Q. Okay. And do you have any reason to believe that Bed Bath would be exempt from that same rule; that a bankrupt entity can pursue lost profits, even though it had operating losses? A. I don't have that opinion.") [APP-2573, -2574, -2577].

VII. Experts

A. Boris Steffen

1. Experience

546. Steffen admits that BBY's expert, John D. McCown, has more experience in the container shipping industry than the entire staff of Boris Steffen's firm, Province Capital. *See* Steffen Dep. Tr. 80:13-81:2 ("Q. Do Mr. Jin Dong or Sebastian Fernandez have any container shipping industry experience? A. No. Q. Does anybody at Province have any container shipping industry experience? A. Not that I am aware of. Q. All right. So, to the best of your knowledge, Mr. McCown has more container shipping industry than the entire staff of Province, correct? A. I believe so.") [APP-2539].

547. Steffen has no experience in container shipping outside of his report in this case. *See* Steffen Dep. Tr. 36:9-12 ("Q. But outside of your report in this case, do you have any expertise in the field of container shipping? A. I do not."), 56:6-10 ("Q. So fair to say that, until you were hired for this case, you had no experience in the container-shipping field; is that right? A. That is correct."), 67:23-68:14 ("Q. But none of those areas, at least in any of your publications to date, relate to container shipping, right? A. They do not.") [APP-2528, -2533, -2536].

548. No one employed at Boris Steffen's firm (Province Capital) has any experience in container shipping outside of his report in this case. *See* Steffen Dep. Tr. 80:13-81:2 [APP-2539].

549. Steffen has no experience in the container shipping industry or related facilities like marine terminals, rail terminals, or distribution centers. *See* Steffen Dep. Tr. 52:24-53:15 ("Q. In your work for any of those entities, did you have anything to do with the container-shipping field? A. I did not. Q. Okay. In any of your professional activities, have you ever been to a marine container terminal? A. I have not. Q. Have you ever been to a rail intermodal terminal? A. I don't believe so. Q. Have you ever been to a distribution facility or a center where containers are loaded or unloaded? A. I have not.") [APP-2532].

550. Steffen has no experience in detention and demurrage charges outside of his report in this case. *See* Steffen Dep. Tr. 37:18-38:3 ("Q. Fair to say you don't have any experience in detention or demurrage at all, outside of your work on this case; is that right? A. That is correct.") [APP-2528-2529].

551. Except his report in this case, Steffen is not familiar with the Shipping Act. Steffen Dep. Tr. 39:10-12 ("Q. Are you familiar with the U.S. Shipping Act? A. I am not.") [APP-2529].

552. Steffen has no experience or understanding of whether the Shipping Act or FMC guidelines require considering incremental revenues in addition to incremental costs when calculating damages. *See* Steffen Dep. Tr. 89:8-22 ("Q. And you don't have any experience in the application of the Shipping Act to state whether the Shipping Act requires a consideration of incremental revenues, in addition to incremental costs, do you? A. I do not. Q. You don't have any understanding of the Federal Maritime Commission's guidelines or procedures that would allow you to determine whether the Federal Maritime Commission requires a consideration of incremental revenues as well as costs, do you? A. I'm not aware.") [APP-2541].

553. Steffen does not know what the term “peak shipping season” refers to. *See* Steffen Dep. Tr. 40:12-14 (“Q. What are the peak shipping seasons? A. I do not know.”) [APP-2529].

554. Steffen’s understanding of how the FMC addresses reparations is based solely on two opinions he read for this case: the *OJ Commerce* and the *MCS Industries* cases. *See* Steffen Dep. Tr. 41:5-24 (“Q. Do you have any experience in connection with how the Federal Maritime Commission addresses reparations? A. Other than what has been described in the two opinions I have read, no. Q. Okay. So your entire experience on how the Federal Maritime Commission addresses reparations is based on two opinions that you read for your work in this case; is that right? A. That is correct. Q. Which two opinions were those? A. One was OJ. And I don’t recall the name right now, but both of the cases are addressed in my report, I believe. Q. Was the other case the MCS Industries case? A. Yes.”) [APP-2529].

555. Steffen has no experience or expertise regarding the FMC rules, guidance, or actions concerning refusals to deal, retaliation, D&D charges, premium charges, shortfall claims, or lost profits claims, beyond reading the *OJ Commerce* and *MCS Industries* cases. *See* Steffen Dep. Tr. 42:8-44:13 (“Q. Are you familiar with the Federal Maritime Commission’s rules concerning unreasonable or unlawful refusals to deal? A. I am not. Q. Do you have any experience in applying the maritime or shipping laws to unreasonable refusals to deal? A. I do not. Q. Are you familiar with the Federal Maritime Commission’s administrative actions and releases concerning retaliation? A. I am not. Q. Do you have any professional experience in the maritime or shipping fields concerning retaliatory activity? A. I do not. Q. Other than your work for this report, do you have any familiarity with the Federal Maritime Commission’s actions or guidance concerning detention or demurrage charges? A. I do not. Q. Do you have any experience whatsoever concerning the Federal Maritime Commission’s guidance or actions concerning premium charges? A. No. Q. Other than the two opinions that you reviewed for your work in this case, the OJ Commerce decision and the MCS Industries decision, do you have any expertise or experience concerning how the FMC addresses shortfall claims? A. I do not. Q. Other than your review of those two opinions for this case, do you have any experience concerning how the FMC addresses retaliation claims? A. I do not. Q. Other than those two opinions, OJ and MCS, which you reviewed in connection with your work in this case, do you have any expertise in how the Federal Maritime Commission addresses detention or demurrage claims? A. I do not. Q. And other than your review of the OJ Commerce and MCS cases, which you reviewed for your work in this case, do you have any experience with how the FMC addresses lost profits claims? A. I do not.”) [APP-2530].

556. Steffen does not understand what an ocean alliance is in the container trade industry. *See* Steffen Dep. Tr. 121:19-22 (“Q. Do you have any understanding of what an ocean alliance is in the container trade industry? A I do not.”) [APP-2549].

557. Other than the service contract he reviewed in preparation of his opinions in this action, Steffen has never seen a service contract with an ocean carrier. *See* Steffen Dep. Tr. 142:22-143:7 (“Q. Other than the service contract that you reviewed in connection with the preparation of your opinions in this case, have you ever seen a service contract with an ocean carrier before? A. I had not.”) [APP-2555].

558. Steffen has no expertise in how ocean freight contracts are negotiated or structured. *See* Steffen Dep. Tr. 143:4-7 (“Q. Do you have any expertise in how service contracts are negotiated or structured? A I do not.”) [APP-2555].

559. Outside of his report in this case, Steffen has no prior involvement in FMC proceedings. *See* Steffen Dep. Tr. 39:13-22 (“Q. Other than the current engagement that we’re having this deposition about, have you ever been involved in any proceedings of the Federal Maritime Commission? A. I have not. Q. Have you ever been accepted as an expert by the Federal Maritime Commission? A. I have not.”) [APP-2529].

560. Although his report discusses BBY’s share repurchase history, Steffen is not an expert in share repurchase transactions. *See* Steffen Dep. Tr. 103:10-12 (“Q. Do you consider yourself an expert in share repurchase transactions? A. No.”) [APP-2545].

561. Steffen lacks experience or expertise regarding the FMC rules, guidance, or actions concerning lost profits claims. *See* Steffen Dep. Tr. 44:8-13 [APP-2530].

562. As of October 29, 2024, the date of his deposition in this case, Steffen’s firm, Province Capital, had billed approximately \$300,000 in connection with its engagement in this case. *See* Steffen Dep. Tr. 77:24-78:13 (“Q. And a ballpark estimate is fine, but do you have an understanding of how much in total dollars Province has billed in connection with your engagement on this case? A. I’m going to have to, sort of, make a guesstimate because, again, I hadn’t paid attention to it specifically. Maybe 300,000. Q. So that’s your best estimate -- understanding it will depend on the actual bills -- that 300,000 is how much Province has incurred? A. I think so.”) [APP-2538-2539].

2. Credibility

563. As to BBY’s lost profits claim, Steffen failed to consider evidence regarding the profit margin of goods in the specific containers reflected in Mr. Richard Cunniff’s excel spreadsheet. *See* Steffen Dep. Tr. 271:3-10, 293:22-294:12, 298:22-299:18 [APP-2587, -2592-2593, -2594]; Dep. Ex. 401 at Tab “Container Receipts with Expenses” [APP-4008].

564. In preparing this report, Steffen failed to apply Generally Applicable Accounting Principles (GAAP) or any officially promulgated accounting standards. *See* Steffen Dep. Tr. 32:19-33:17 17 (“Q. Did you apply Generally Accepted Accounting Practices in connection with your report in this case? A. It was not a part of the assignment or something which I needed to do with respect to what I was asked to perform. Q. Okay. So in connection with what you were asked to perform, were there any standards that were set by any professional agencies that you applied in the course of your work? A. You know, there are -- it is possible to read, doing research in the literature, that there are quite a few articles written about how to -- how to calculate damages. And so while you may not -- they may not be officially promulgated standards by any organization, there was a lot of literature on the topic as to how one should go about calculating damages.”) [APP-2527].

565. Steffen has never been accepted as an expert by the FMC. *See* Steffen Dep. Tr. 39:19-22 (“Q. Have you ever been accepted as an expert by the Federal Maritime Commission? A. I have not.”) [APP-2529].

566. Steffen has not done any independent analysis of whether BBY acted reasonably in attempting to book its freight against the MQC in its Service Contracts with OOCL. *See* Steffen Dep. Tr. 154:6-11 (“Q. Have you made any independent analysis of whether Bed Bath & Beyond acted reasonably in connection with attempting to booking its freight against MQC? A. I have not.”) [APP-2558].

567. Steffen did not analyze in his report in this action the percentage of BBY’s merchandise supply costs related to transportation. *See* Steffen Dep. Tr. 72:14-20 (“Q. Do you have an understanding of what percentage of the supply cost of Bed Bath’s merchandise related to the price of transporting those goods from where they were manufactured to Bed Bath stores? A I do not.”) [APP-2537].

568. Steffen did not analyze in his report in this action the impact of increased shipping costs on the profitability of BBY’s products. *See* Steffen Dep. Tr. 72:21-25 (Q. You haven’t conducted any analysis of the effect that increased shipping costs had on the profitability of Bed Bath’s products, did you? A. I have not.”) [APP-2537].

569. Steffen did not analyze in his report in this action the impact of container shipping costs on BBY’s profitability. *See* Steffen Dep. Tr. 73:17-23 (“Q. Have you done any analysis to determine the size of the effect of Bed Bath’s container shipping prices on its profitability during this period that you look at in your report, from 2020 to the present? A I have not.”) [APP-2537].

570. Steffen did not analyze in his report in this action BBY’s supply chain costs. *See* Steffen Dep. Tr. 73:24-74:5 (“Q. Have you been asked to use any assumptions concerning the supply chain costs that Bed Bath was subject to in -- in connection with any of the opinions in your report? A. I have not.”) [APP-2537-2538].

571. Steffen did not analyze in his report in this action how increased supply chain costs directly impacted BBY’s bankruptcy. *See* Steffen Dep. Tr. 75:22-76: 3 (“Q. To answer my question, you do not have any understanding of the direct impact of the increase in supply chain costs on Bed Bath’s descent into bankruptcy, right? A. Correct.”) [APP-2537-2538].

572. Steffen did not analyze in his report incremental revenues associated with BBY’s MQC shortfall claims in this action. *See* Steffen Dep. Tr. 81:3-22 (“Q. In the second bullet point in paragraph 17, where you’re discussing Mr. McCown’s shortfall damages calculation, you opine that Mr. McCown failed to identify and take into account the matching offset of incremental revenues. Can you explain what you mean by ‘the offset of incremental revenues.’ A. Mr. McCown states that he focuses on incremental costs. To calculate damages properly, incremental costs much be matched with incremental revenues. Q Okay. Do you attempt to make any calculation, in your opinion, of what those incremental revenues would actually be? A I do not.”) [APP-2539].

573. Steffen was unable to identify a reason for BBY choosing higher-priced transactions for the same freight identified in the appendices to John. D. McCown’s Report other than BBY being unable to secure lower-priced freight through OOCL. *See* Steffen Dep. Tr. 100:21-101:7 (“Q. Can you think of a single rational reason, other than that Bed Bath was unable to get that freight at lower price through OOCL, why Bed Bath might have entered into these

significantly higher transactions for the same freight it should have been able to get under its OOCL agreement? . . . A I don't have a reason.") [APP-2544].

574. Steffen admitted that BBBY's decline in EBITDA from Q3 FY 2020 through Q1 FY 2022 was unrelated to BBBY's debt-related interest obligations. *See* Steffen Dep. Tr. 113:22-114:10 ("Q. You note in your report that Bed Bath & Beyond's EBITDA, excluding the effective interest, plummeted during the period from the third quarter of 2020 through the first quarter of fiscal year 2022. Do you see that? A. I do see that. Q. And that didn't have anything to do with Bed Bath's interest load because of its debt obligations because this is EBITDA we're looking at, right? A. That is correct.") [APP-2547-2548].

575. Steffen attributed the decline in BBBY's EBITDA to operating profit losses caused by an imbalance between revenue and operating costs. *See* Steffen Dep. Tr. 114:11-22 ("Q. In your opinion, what was responsible for Bed Bath's EBITDA declining as substantially as you indicate it did here in your report? A. I would say its operating profit losses. Q. Those operating profit losses were, as we discussed, an inability to match revenue to cost structure, correct? A. Well, that would be the operating costs, you know, out of balance revenue versus operating cost.") [APP-2548].

576. Steffen admitted that the goods in the containers shipped under the OOCL Service Contract with BBBY would likely be the same as those shipped by alternative shippers. *See* Steffen Dep. Tr. 186:7-187:10 ("Q. So with all that understood, I just want to clarify that you don't have any basis to opine that the stuff that was in those boxes, that was actually shipped on those lanes that were covered by the OOCL service contract, is any different than the stuff that would have been shipped by OOCL if Bed Bath had been able to ship it all, all the way up to the MQC in the OOCL service contract; is that right? . . . A. Well, offhand, I would expect the items or the goods, specific goods in the container, to be the same.") [APP-2566].

577. Steffen admitted that the incremental revenues for the goods in the containers shipped under the OOCL Service Contract with BBBY, assuming they arrived at the same place and were sold in the same manner, would not be materially different from the goods BBBY shipped by alternative shippers but otherwise would have shipped with OOCL. *See* Steffen Dep. Tr. 185:22-187:10 ("Q We've established that's if it's the same stuff that comes from the same place at the same time, the incremental revenues are identical between the two shipments, right, whether it's carried by -- A Yes. Q -- OOCL or somebody else? A Correct. . . . Q. And because those specific goods in each container would be the same, the incremental revenue of those goods, assuming they arrived in the same place and were sold in the same way, would not be materially different, in your view, correct? A Given the qualifications that I have testified to previously. Q You would agree with me given those qualifications? A Yes.") [APP-2565-2566].

578. Steffen did not analyze whether the detention and demurrage charges OOCL assessed to BBBY during the relevant period were reasonable. *See* Steffen Dep. Tr. 206:19-207:11 ("Q. Just so I understand: To the extent you performed any analysis of detention and demurrage, that analysis was limited to identifying the published rates of the other carriers you identify here and comparing those to OOCL's rates, right? A. Yeah. Well, that would be the other comp- -- the other carriers that I identified as being competitors, and then doing a -- you know, a comparison

of rates, yes. Q. You didn't do any analysis that goes to whether any of these rates by any of these carriers were reasonable in light of all the circumstances, did you? A I did not.") [APP-2571].

579. Steffen spent time working at U.S. Generating, an independent power producer, and has testified before FERC, and noted that in the electric generation and electric utility sectors, utilities that were customers of generation plants often entered into long-term rate agreements to lock in costs, even though there was also a spot market for energy. *See* Steffen Dep. Tr. 56:11-20, 58:9-13, 59:8-61:18 ("[I]n my experience working in the electric utility industry . . . various independent power producers that took market rates that went bankrupt.") [APP-2533-2534].

580. Steffen admitted that his expectation based on his expertise is that, in industries where there is a distinction between fixed rate agreement and floating spot price purchases, producers would honor their fixed rate agreements. *See* Steffen Dep. Tr. 63:23-64:4 ("Q. In your exposure to industries where there is a distinction between fixed rate agreement and floating spot price purchases, do you expect that producers will honor their fixed rate agreements? A I would expect that.") [APP-2535].

581. Steffen conceded that decreased profitability and excess costs caused by supply chain dislocations resulting from the pandemic was a factor in BBY's spiral into bankruptcy. Steffen Dep. Tr. 74:25-75:6 ("Q: Could decreased profitability and excess costs caused by the supply chain dislocation be one factor in Bed Bath's spiral to bankruptcy, in your opinion? A: Yes. Yes.") [APP-2538].

582. Steffen admitted that in any field he has worked in he would never advise a consumer of a product with a fluctuating price to resort solely to fluctuating spot prices where fixed rate-contracts, like the Service Contracts between BBY and OOCL, are available, including because such a consumer could go bankrupt if it suddenly needed to pay significantly higher prices than those it anticipated paying. Steffen Dep. Tr. 61:14-18 ("Q. A company can go bankrupt if it's suddenly forced to pay significantly higher rates than the rates it anticipated paying, correct? A. That's correct."), 62:25-63:12 ("Q. In your experience, in every field that you've worked in where there's been a distinction between fixed rate agreements and floating spot prices, would you ever advise a large consumer of a product with a fluctuating price to resort solely to fluctuating spot prices to acquire that commodity? A. I would not. Q. Why not? A Because you cannot hedge the risk.") [APP-2534, -2535].

583. Steffen admitted that relying solely on spot prices for fluctuating commodities can expose a company to risks, including bankruptcy, and he would never advise a large consumer to rely exclusively on spot prices because "you cannot hedge the risk." *See* Steffen Dep. Tr. 62:13-24 ("Q. My question is, in general, for a company that has to acquire any product and has -- that has a price that fluctuates and has the opportunity to enter into a fixed-price rate agreement versus taking the market spot price wherever it stands when they need the product, having to take the spot price may expose that company to risks, including bankruptcy, if the price goes too high, doesn't it? A. That may be the case.") [APP-2535].

584. Steffen admitted that it is preferable to enforce a fixed-rate agreement rather than paying significantly higher prices elsewhere for the same commodity. *See* Steffen Dep. Tr. 102:3-9 ("Q. When you have a fixed rate agreement, is it not always preferable to enforce that fixed rate

agreement, rather than paying multiple times that price for the same commodity elsewhere? A. If that, in fact, is consistent with the fact pattern, yes.”) [APP-2545].

585. Steffen admitted that a consumer of container shipping who had a fixed rate agreement at a particular price could face operational or financial problems if that consumer was required to pay multiples of that fixed rate agreement price through spot market purchases. *See* Steffen Dep. Tr. 64:11-20 (“Q. In the field of container shipping, for example, if a consumer of container shipping has a fixed rate agreement at a particular price and is, instead, forced to resort to spot market purchases at five to ten times that price, would that pose an operational or financial problem for the purchaser of container shipping? A I believe so.”) [APP-2535].

586. Contrary to paragraph 18 of his report, Boris Steffen admitted that the prices OOCL charged BBY for shipping cargo had an effect on BBY’s operational performance. *See* Steffen Dep. Tr. 90:18-91:14 (“Q. The first sentence is a summary of paragraph 18. You say, ‘As for the reasons underlying BBY’s eventual liquidation, BBY’s fall from its position atop its industry was the result of deteriorating operational performance, debt-financed share repurchases, and burdensome debt obligations, all of which were the product of management mistakes and not attributable to OOCL in any way, shape, or form.’ Do you see that? A. I do see that. Q. Is it your position, Mr. Steffen, that the prices that OOCL charged Bed Bath for shipping don’t play any role in the operational performance of Bed Bath & Beyond? A I do believe that they have an effect on the operational performance of Bed Bath & Beyond.”), 94:15-95:7 (“Q. Given everything we’ve just discussed, would you agree with me, that it is an overstatement to say that OOCL’s pricing did not, in any way, shape, or form, affect Bed Bath’s operational performance? . . . A Well, I think to the extent that the costs of OOCL were reflected in the calculation of the operating profit of Bed Bath & Beyond, there certainly is an effect there. How soon do they get that, that effect, is with respect to the ultimate failure of Bed Bath & Beyond. I don’t believe that that is a major factor whatsoever.”) [APP-2542].

587. Steffen admitted that rising supply chain costs may have driven BBY’s negative operating cash flow during the pandemic, contributing to BBY’s lack of liquidity. *See* Steffen Dep. Tr. 111:19-16 (“Q. And what factors, in your view, contributed to Bed Bath’s lack of liquidity? A. I think taking out a tremendous amount of debt to repurchase shares while, at the same time, their cash flow was negative and declining. Q. What causes a negative cash flow? A Well, you know, one factor is, you know, negative -- negative earnings, negative operating profit. Q. And negative earnings would be caused by having costs that exceed revenues, correct? A. Yes. That’s one factor. Q. And increases in supply chain costs, to the extent that they caused cost to exceed revenues, would contribute to negative operating cash flow, correct? A. That could contribute to a negative operating cash flow.”) [APP-2547].

588. Steffen admitted that ocean freight carriers may need to charter additional space or prorate capacity among service contract shippers if the ocean freight carrier’s ships are fully booked. *See* Steffen Dep. Tr. 131:11-132:7 [APP-2552] (discussing 1999 Walsh Letter [APP-5029-5032]).

589. Steffen admitted that a booking system which achieves its stated goal only 5% of the time is not a reasonable system. *See* Steffen Dep. Tr. 166:22-167:167:13 13 (“Q. If you look at this e-mail, Mr. Schmiemann discusses the NAE customer MQC shortfall. It states: ‘We have

146 customers and only seven are at or close to their respective MQC on a prorated basis. At this juncture, customers should be between 33 and 35 percent of their MQ. Less than 5 percent fall into that category.’ Do you see that? A. I do see that. Q. Is a booking system that achieves its stated goal only 5 percent of the time reasonable, in your view? A I would say, no.”) [APP-2561];

[REDACTED]

590. Steffen admitted it would be unreasonable for a carrier to fall significantly short on commitments for most of the year and allocate a large amount of space at the end of the year without considering the shipper’s actual needs at that time. *See* Steffen Dep. Tr. 134:20-135:10 (“Q. And in the container shipping field, if a carrier were to fall terribly short on its commitments throughout most of a shipping year, and then suddenly award an enormous amount of space near the end of the year, without regard to whether the shipper actually needed that space at that time, would you agree that would be an unreasonable method of allocating space to achieve a service commitment? . . . A. Well, I guess in that -- in that hypothetical, I think that would be unreasonable.”) [APP-2553].

591. Steffen admitted that without products on the shelves, it is difficult for a retail business to stay profitable. Steffen Dep. Tr. 69:21-70:5 (“Q. And, in terms of product, is it important that a product actually be on the shelves for consumers to spend money at that retail establishment? A. That’s my understanding. Q. Without products on the shelves, is it difficult for a retail business to stay profitable? A. Yes.”) [APP-2536-2537].

592. Steffen admitted that if a PSS was included in a fixed-rate contract, it would already be reflected in the rate and could not be added as an additional charge. *See* Steffen Dep. Tr. 141:7-142:21 [APP-2554-2555].

593. Steffen admitted that there are no opportunity costs associated with the detention charges levied by OOCL against BBY at issue in this action. *See* Steffen Dep. Tr. 210:24-211:22 (“Q. You understand that when detention is being accrued the container is offsite, correct? A. Yes. Q. So when detention is being accrued, there’s no opportunity cost arising from the missing space at the terminal facility, right? A. I agree with that.”) [APP-2572].

594. Steffen is not aware of any industry standards for calculating shortfall damages. *See* Steffen Dep. Tr. 256:2-24 [APP-2583].

595. Steffen is not aware of any industry standards for calculating PSS damages. *See* Steffen Dep. Tr. 256:2-24 [APP-2583].

596. Steffen is not aware of any industry standards for calculating detention and demurrage damages. *See* Steffen Dep. Tr. 256:2-24 [APP-2583].

597. Steffen, who was not tasked with forming any opinions about BBY’s lost profits claim, addressed lost profits in his report independently. *See* Steffen Dep. Tr. 212:23-213:6 (“Q. And is it accurate to say that this section is not a response to anything that Mr. McCown said, but rather your own analysis that affects a category of damages that were alleged in the Complaint but not addressed in Mr. McCown’s report? A. That’s correct.”) [APP-2572].

598. Steffen relying on documents selected by OOCL's counsel, testified that he had not seen evidence of profit margins for BBBY's goods in specific containers. *See* Steffen Dep. Tr. 271:3-10 [APP-2587].

599. During his deposition in this case, BBBY counsel walked Steffen through the Lost Profits Analysis spreadsheet during which questioning Steffen conceded that the information necessary to calculate BBBY's lost profits was reflected in Cunniff's Lost Profits Analysis spreadsheet. *See* Ex. 401 (P-0000810431) (Tab "Container Receipts with Expense") [APP-4008]; Steffen Dep. Tr. 294:13-295:6, 295:21-299:18 ("And you testified briefly, in response to Mr. Letourneau's questions, that you had not seen any evidence relating to the **actual profitability of Bed Bath merchandise, to the actual cost, to the actual revenue associated with products, or to the containers that they were shipped in.** Did I get all that right? MR. LETOURNEAU: I object. It misstates his testimony. A Well, I think that when we referred to particular documents, it was - - my responses were tied to those particular documents. Q. This document, as you click through the tabs, does include that information, doesn't it? . . . Q. So because you, as you say, know nothing about this spreadsheet, you have no reason to believe that the data in it is not accurate, correct? MR. LETOURNEAU: Objection. Form. A. Well, that would be correct. And I have no reason to believe it is accurate. Q. *Let's click on the second tab, entitled "Container Receipts with Expense." If we look in column A, do you see that there is a port of delivery here? A. I see that. Q. If we look in column B, do we see that there is a port of discharge? A. I see that. Q. In column C, do you see that there is a carrier associated with these? A. I see that. Q. In columns F, G, H, and J, do you see that there are dates associated with the shipment? A. I see that. Q. Column L contains bill-of-lading numbers, correct? Is that a yes? A. Oh, that's a yes. Q. Column M contains container numbers, correct? A. I see that. Q. Column O contains a description of the products that were inside those containers, right? A. I see that. Q. Column S states the retail cost for those items, right? A. Well, it says, "item retail." What that means exactly, it's not provided. Q. Okay. Column R reflects the quantity of those items that were inside the container, right? A. Yes, it does. Q. Column T reflects the item cost for the items that were inside the container, correct? A. Oh, yes, it does. Uh-huh. Q. And then columns U and V and multiple out, the retail revenue and the external cost of those items calculated for the total number that were inside the container, right? A. You know, could you -- could you scroll down to the formulas because I see -- I see the numbers, but I don't see if there's a calculation in there. MR. HUTH: Mr. Mitchell, maybe if you click on the cell at the top -- I don't know where the formulas are. THE WITNESS: Yes, yes. Uh-huh. MR. HUTH: If you click on a cell, it will usually show. THE WITNESS: Okay. So it's a hard-pasted, hard-coded number. There's no calculation. So I know what the label says. I don't know exactly what was -- what is in that cell. . . . Q. **And that is data that would be useful in determining the profitability of goods carried in specific containers, correct?** MR. LETOURNEAU: Objection. Form. A. **I would say that that appears to be the case.**") (emphasis added) [APP-2593-2594].*

600. While Steffen states that BBBY cannot claim lost profits because it "did not have any profits to lose", he concedes that companies with operating losses prior to bankruptcy can still pursue lost profits claims. *See* Steffen Dep. Tr. 213:25-214:23, 220:6-23, 230:20-231:16 [APP-2572-2573, -2574, -2577].

601. Steffen testified that he would calculate damages related to BBBY's claims for PSS/premium charges by subtracting the "but-for" amount from the actual amount paid, consistent

with the formula BBY used for PSS/premium damages. See Steffen Dep. Tr. 85:9-22 (“Q. So you've said you would gather reliable data, but can you structure for me a mathematical operation that would allow you to determine the damages from surcharges or fees? A. It would be -- damages are the difference between actual and but-for. Q. All right. So just to break that apart: If you knew the actual amount that Bed Bath paid OOCL for the freight that OOC carried, that would be one component of your analysis, right? A. Yes.”), 87:10-14 (“Q. What did you mean by “but-for”? A. What Bed Bath & Beyond would have paid but for its having to pay peak-season surcharges and premium charges.”), 87:16-24 (“Q. And if you had those two numbers – what Bed Bath actually paid OOCL and what Bed Bath would have paid but for those charges – what operation would you undertake mathematically to size the damages? A. I would calculate the difference between the but-for amounts and the actual amounts.”) [APP-2540-2541].

3. Bias

602. As to Steffen, Steffen’s opinions should be discounted because his firm (Province Capital) pitched itself to assist the unsecured creditors of BBY, and members of Province Capital who were involved in that pitch contributed to Steffen’s report.

602.1. Because a consultant seeking employment by BBY’s creditors’ committee obviously has an incentive to put as much blame as possible on BBY and its former management, this undisclosed conflict demonstrates bias and undermines the credibility of Steffen’s opinions. See Steffen Dep. Tr. 8:2-14 (“A. So Jin and Sebastian did initial drafts of the portion that dealt with the demise of Bed Bath & Beyond. I wrote all of the damages portion myself. And I also, then, went back and revised the work of Jin and Sebastian with respect to the Bed Bath & Beyond analysis. Q. All right. And both of those individuals, Jin Dong and Sebastian Fernandez, they are both employed by Province, your consulting firm; is that right? A. Well, that is correct.”), 12:10-15 (“Q. What is the primary business activity of the Province firm? A. Well, Province is a corporate restructuring firm. I would say the firm is best known for advising unsecured creditors in corporate bankruptcy filings.”), 15:6-11 (Q. In any case, it's certainly the goal of the unsecured creditors' committees to maximize their own recovery, right? A. The members themselves have that goal.”), 16:3-15 (“Q Have you made any effort to check to see whether Province might be -- might have any conflicts in connection with Bed Bath's restructuring or bankruptcy? A There are no conflicts. You know, my recollection would be that, at some point, Province made a pitch to be involved in the case, but I don't -- I don't know the result of that, or I should -- I'm not sure of the result of that. I know that I was not involved in it in any way.”), 19:5-22 (“Q So how did you come by the understanding that you have, that Province may have pitched to become involved in the Bed Bath bankruptcy proceeding? A Well, I believe that Jin Dong told me that at one point there was a pitch deck. Q And when you say, "a pitch deck," do you mean a deck of slides that Province had prepared in connection with attempting to gain some mandate in the Bed Bath bankruptcy proceedings? A Yes. Q Have you seen that deck? A I have not. Q But Mr. Dong has that deck? A I don't know whether he has it. I know that he mentioned it.”), 237:15-21 (“Q. Was Mr. Dong involved in that pitch document? A. I believe so. Q. Do you know he used any of the work that he generated for that pitch in any way in your report? A. I do not know.”) [APP-2521-2524, -2578].

602.2. During Steffen’s deposition in this case, BBY’s counsel requested that OOCL produce a deck of slides that Province Capital prepared in connection with attempting to gain a mandate in the BBY bankruptcy proceedings (the “Province BBY Pitch Deck”). *See* Steffen Dep. Tr. 19:4-20:8 [APP-2524]

602.3. OOCL refused to produce the Province BBY Pitch Deck.

B. Lars Jensen

1. Credibility

603. Jensen observed during the COVID-19 pandemic that many companies were under severe pressure from freight costs and “could potentially go bankrupt because of the current situation with extremely high freight rates”. *See* Dep. Ex. 425 at 1-2 [APP-4087-4088].

604. Jensen stated in a November 10, 2021 article in FreightWaves that the shipping industry has “definitely seen the effects of consolidation. At least on the main trades, there is a de facto oligopoly, which means the carriers are able to somewhat better prevent the price wars we’ve seen in the past. This is the logical end point of 20 years of gradual consolidation.” *See* Dep. Ex. 420 at 5 [APP-4064]

605. Jensen recognized that global ocean carrier industry’s high level of consolidation and joint ownership suggests the common behavior of carriers was well understood during the time of the COVID-19 pandemic within the industry. *See* Dep. Ex. 420 at 5 [APP-4064]

606. Jensen stated in August 2020 that “shipping lines have for now clearly said goodbye to the old philosophy about it being exclusively a matter of conquering market shares and volumes at all costs, to it now being a bit more reasonably to focus on how to become profitable”. *See* Dep. Ex. 416 at 4 [APP-4040].

607. Jensen projected in August 2020 that “[u]nless something goes horribly wrong in the second half of the year, the shipping lines altogether will most likely exit 2020 with a profitability that’s better than 2019, despite the crisis.” *See* Dep. Ex. 416 at 5 [APP-4041].

2. Bias

608. In June 2024, roughly around the same time he was hired by OOCL as an expert in this case, Jensen posted on LinkedIn his position that it is “not the case” that service contracts are binding in the container shipping industry. *See* Dep. Ex. 424 [APP-4085]; Jensen Dep. Tr. 291:15-24 [APP-1069].

608.1. This LinkedIn post, mirroring OOCL’s arguments in this case, contradicted Jensen’s previous public statements in the media that fixed price contracts are vitally important for shippers. *See* Dep. Ex. 425 at 2 (“[A]ccording to Jensen . . . having fixed freight contracts has huge benefits for major shippers”) [APP-4088].

VIII. OOCL Employees

A. Karen Lam

609. Karen Lam served as the General Manager of Trans-Pacific Trade at OOCL during the relevant time period. *See* Lam Dep. Tr. 45:11-13 [APP-1349].

610. Karen Lam was deposed in this case on July 3, 2024. *See* Lam Dep. Tr. at 1 [APP-1338].

611. Karen Lam’s testimony during her deposition in this case is not credible and should be discounted.

612. During her deposition in this case, Karen Lam was asked questions by OOCL’s attorneys designed to elicit self-serving testimony in favor of OOCL. *See* Lam Dep. Tr. 234:19-22, 235:23-236:2 (“Q. As trade director what is your assessment as to whether or not OOCL retaliated against Bed Bath & Beyond between 2020 and the present day?” or “Q. As trade director what is your assessment as to whether or not OOCL discriminated against Bed Bath & Beyond between 2020 and the present day?”) [APP-1397].

613. On direct-examination, Karen Lam testified as to Exhibit 39, “it’s the review from these two years regular contract from two different points of view based on the information available. So we have request our information services department to produce based on the basic data that’s available in the system, and also the CSAL information even though it’s offline, but got the original document upload by STCC at that time and then combined with the information to show individuals’ parties booking situations and also the fulfilment.” *See* Lam Dep. Tr. 187:10-22 [APP-1385]; [REDACTED]

614. During Karen Lam’s deposition in this case, OOCL’s attorneys exhibited a number of self-serving documents, including Exhibits 66 and 67. *See* Lam Dep. Tr. 214:25-215:9, 227:22-228:8, 233:23-234:11 [APP-1392; APP-1395; APP-1369-1397].

614.1. Exhibit 39 includes two slides: one purporting to be a “2020-2021 regular contract summary for Trans-Pacific Trade eastbound” and the other purporting to be a “2021-2022 regular contract summary for that same Trans-Pacific Trade eastbound”. *See* Lam Dep. Tr. 214:25-215:9 [APP-1392]; [REDACTED]

614.2. Exhibit 66 contains 23 graphs that were specifically prepared for this litigation. *See* Lam Dep. Tr. 227:22-228:8 [APP-1395]; [REDACTED]

614.3. Exhibit 67 contains 22 graphs that were specifically prepared for this litigation. *See* Lam Dep. Tr. 233:23-234:11 [APP-1396-1397]; [REDACTED]

614.4. On cross-examination, Karen Lam testified as to Exhibit 66, “it shows that at the beginning of the contract, despite the customers didn’t put any CSAL or the CSAL

not in place yet, we also confirm the capture or the booking despite we cannot cater to whatever they come and then we accept. And then throughout the years we can see the line sometimes drop to zero. There's a case that there can be a zero CSAL or this is under a blind sailing. So that we also see the gray column with a lot of cases accepted confirmed the booking, accepted over the purple line which represent the CSAL." *See* Lam Dep. Tr. 230:9-21 [APP-1396]; [REDACTED]

614.5. On cross-examination, Karen Lam testified as to Exhibit 67, "We repeatedly cross-checked and verified the data to ensure the accuracy for the data to generate this graph." *See* Lam Dep. Tr. 234:15-17 [APP-1397]; [REDACTED]

615. During her deposition, Ms. Lam admitted that she had no personal involvement in the preparation of Exhibits 39, 66, or 67, or the underlying data, nor did she perform the calculations of such data. *See* Lam Dep. Tr. 240:6-8 ("Q. Ms. Lam, did you personally prepare Exhibit 66? A. No."), 240:23-25 ("Q. Ms. Lam, you did not personally prepare Exhibit 67, did you? A. I did not."), 240:23-241:14 ("Q. You do not personally have firsthand knowledge of the data that is in Exhibit 67, do you? A. I do not. And you did not personally review the data sources that went into Exhibit 67, did you? A. I did not. Q. And you didn't perform any of the calculations for Exhibit 66 or Exhibit 67, did you? . . . A. I did not involve in the calculations."), Lam Dep. 241:16-242:6 (Q. Ms. Lam, you didn't personally prepare the charts in Exhibit 39, did you? A. I did not. Q. . . . [Y]ou don't have any firsthand knowledge of the data or numbers that went into Exhibit 39, do you? . . . A. I don't have the firsthand knowledge . . .") [APP-1398].

616. During her deposition, Ms. Lam admitted that OOCL never conducted analyses as reflected in Exhibits 39, 66, or 67 for any other of OOCL's BCO customers. *See* Lam Dep. Tr. 244:10-13 ("Q. Has OOCL done any other analyses like Exhibit 39 for other BCOs with respect to the 2020 or 2021 shipping years. A. Not to my knowledge.") [APP-1399].

617. During her deposition, on cross-examination, OOCL's lawyers walked Karen Lam step-by-step through documents, including Exhibits 39 and 66, OOCL's lawyers prepared for purposes of this litigation by asking Mrs. Lam repetitive and leading questions designed to align her testimony with OOCL's legal theories in this case. *See* Lam Dep. Tr. 215:24-216:3 ("Q. So I'd like to walk through each of the bullet points that you've referenced in here and ask you to explain to us what each of those mean.") [APP-1392].

618. OOCL asked repeated questions to make sure their prepared theories are on the record:

- "Q. What does that mean to you? A. The space provided during the contract year for BBB." *See* Lam Dep. Tr. 216:5-8 [APP-1392]; Dep. Ex. 39, at 2 [APP-3040].
- "Q. What does that mean to you? A. Because we check the CSAL file as mentioned those data upload to the system, and then we also check through how many blank sailings that incur so we can identify for the respective week with those with the sailing to identify how much CSAL supposed to be given to this contract number." *See* Lam Dep. Tr. 216:18-25 [APP-1392]; Dep. Ex. 39, at 2 [APP-3040].

- “Q. What does that mean to you? A. This is the booking accept and confirm by OOCL with the booking number exceeding the CSAL number given in the same sailing. So the total 1648 TEU those TEU come above the CSAL or equivalent to 427 cases that we overaccommodating customer booking.” *See* Lam Dep. Tr. 217:4-10 [APP-1392]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. [W]hat does that mean to you? A. This is the math adding the first item 5095 plus 1658. And there’s no duplication because the booking we did not count with CSAL but only count booking over the CSAL plus supposed to the CSAL we offered. So this is the overall capacity we provided.” *See* Lam Dep. Tr. 217:22-218:4 [APP-1392-1393]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. What does that mean to you? A. We also take into account those bookings rejected below CSAL, there’s 104 TEU or there are 22 cases for this 104 TEU. So we also declare all the information that appear in the data.” *See* Lam Dep. Tr. 218:9-14 [APP-1393]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. What does this mean to you? A. The total space provided by OOCL from the certain item 6753 minus the rejected CSAL 104, despite we also not agree a hundred percent the rejected TEU below CSAL was under OOCL because there’s many different cases and reasons. However, at the calculation we still consider we did not accept the booking as per CSAL so total space then indicated here is with the 6753 minus 104 equals to 6649 TEU.” *See* Lam Dep. Tr. 218:19-219:4 [APP-1393]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. So what does that mean to you? A. That’s the clear accuracy noted from the agreement particular for TPT eastbound at 7072 TEU.” *See* Lam Dep. Tr. 219:9-12 [APP-1393]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. What does that mean to you? A. This is the number in item 5, total space provided by OOCL 6649 divided by 7072 TEU equals to 94 percent.” *See* Lam Dep. Tr. 219:19-22 [APP-1393]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. [W]hat does that mean to you? A. This is the review on the customer fulfillment in terms of the booking numbers versus the MQC.” *See* Lam Dep. Tr. 219:24-220:3. [APP-1393]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. What does that mean to you? A. This is the total booking OOCL received and confirmed by BBB so adding to 5556 TEU.” *See* Lam Dep. Tr. 220:13-16 [APP-1393]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. What does that mean to you? A. So this is the status after OOCL confirm the booking, that bookings under canceled, initiated by the customer. And secondly, under terminated is the customer already picked the empty container, but did not ship on boat. And 7 is no-show bookings means customer did not take any actions after they got the confirmed bookings. So three status adding together equals to 1308 TEU.” *See* Lam Dep. Tr. 220:21-221:6 [APP-1393]; Dep. Ex. 39, at 2 [APP-3040].

- “Q. What does that mean to you? A. So the loaded booking means after we confirm the booking in the first item at 5556, but after that some booking being canceled, terminated and also no show. So minus 1308 that equals to final loaded bookings which is 4248 TEU.” *See* Lam Dep. Tr. 221:11-16 [APP-1393]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. What does that mean to you? A. This is we identify the unfulfilled TEU after OOCL provide the space. So in the period section we summarize OOCL provides space in a total 6649 TEU, but the total confirmed booking in the second section I think at 5556. So there’s 1093 TEU, despite we have provide but they did not show up not even to book. So this is the unfulfilled numbers.” *See* Lam Dep. Tr. 221:21-222:5 [APP-1393-1394]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. What does that mean to you? A. So this is the percentage comparing the customer confirmed placed the booking and confirmed by OOCL compared to the MQC. So the calculation is 5556 over the MQC 7072 TEU equals to 78.6 percent.” *See* Lam Dep. Tr. 222:14-19 [APP-1394]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. [W]hat does that mean to you? A. This is the loaded booking compared to the MQC. So from the previous item three loaded bookings at 4248 over MQC 7072 TEU equals to 60 percent.” *See* Lam Dep. Tr. 222:24-223:4 [APP-1394]; Dep. Ex. 39, at 2 [APP-3040].
- “Q. What does that mean to you? A. So the overall loaded bookings compared to the MQC I would say pro rata MQC is only at 58.5 percent so that’s the customer fulfillment.” *See* Lam Dep. Tr. 226:7-11 [APP-1395]; Dep. Ex. 39, at 1 [APP-3039].
- “Q. What is your understanding of the accuracy of the information in these two slides? A. Yes, we did have a long, long caring in verifying it from a different angel. We have Sharon also getting the result verified with different angle and repeat the same for the ISD team to reconfirm the accuracy. So that we after that we also split the dry and reefer settlement to ensure that the information given is more clear position. Because the concern and the premium offer mainly on the dry so we have to make sure everything in order.” *See* Lam Dep. Tr. 215:10-21 [APP-1392] Dep. Ex. 39, at 1-2 [APP-3039-3040].
- “Q. What is your understanding of the accuracy of the information in these graphs? A. We have repeatedly review also verify by Sharon in my team repeatedly on the data”; *See* Lam Dep. Tr. 233:18-22 [APP-1396]; [REDACTED]
- “Q. What is your understanding of the accuracy of the information contained in these graphs? A. We repeatedly cross-checked and verified the data to ensure the accuracy for the data to ensure the accuracy for the data to generate this graph.” *See* Lam Dep. Tr. 234:12-17 [APP-1397]. [REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

[REDACTED]

B. Glenn Metzger

621. Other than a Bachelor of Science from New York University from 1998, Glenn Metzger does not hold any educational degrees. *See Metzger Dep. Tr. 163:19-164:4 [APP-1630].*

622. Glenn Metzger does not hold any professional licenses. *See Metzger Dep. Tr. 164:5-7 [APP-1630].*

623. Glenn Metzger's only employment subsequent to completion of his studies at New York University in 1998 has been with OOCL. *See Metzger Dep. Tr. 164:8-13 [APP-1630].*

624. Glenn Metzger draws an annual salary from OOCL, which is supplemented by a yearly discretionary management bonus. *See Metzger Dep. Tr. 164:14-165:12 ("Q. And are you compensated by OOCL for your work? A. Yes. I'm a salaried worker. . . . Q. Do you receive any other compensation from OOCL? A. We do have a DMB program, so we receive a discretionary management bonus every year.") [APP-1630].*

625. Glenn Metzger's yearly discretionary management bonus depends in part on Metzger's personal performance. *See Metzger Dep. Tr. 165:13-166:6 ("Q. And is that [bonus] dependent on your personal performance? A. That's dependent on personal performance, but also performance of the company.") [APP-1630-1631].*

626. Other than from OOCL, Glenn Metzger does not generate income from any other source. *See Metzger Dep. Tr. 166:9-11 [APP-1631].*

627. Glenn Metzger has never served as an expert witness in any litigation. *See Metzger Dep. Tr. 168:6-8 [APP-1631].*

628. Glenn Metzger has never been recognized as an expert by a court or any other tribunal. *See Metzger Dep. Tr. 168:9-12 [APP-1631].*

629. In preparing his analyses produced in this litigation, Glenn Metzger's methodology relied solely on Metzger's experience to look at data within OOCL. *See* Metzger Dep. Tr. 168:13-169:20 ("Q. What did you base that methodology on? A. My experience to look at data within OOCL.") [APP-1631].

PROPOSED CONCLUSIONS OF LAW

LEGAL FRAMEWORK

I. Count I: Violation of 46 U.S.C. § 41102(c) (“Unjust and Unreasonable Failure to Meet Service Commitments under the Service Contracts”)

637. Section 41102(c) provides: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

638. To establish a successful claim for reparations under section 41102(c), the claimant must demonstrate that: “(a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property; (d) The practice or regulation is unjust or unreasonable; and (e) The practice or regulation is the proximate cause of the claimed loss.” 46 C.F.R. § 545.4; *Ports Am. Chesapeake, LLC v. APS E. Coast*, FMC Docket No. 23-04, 2023 WL 5375588, at *9 (ALJ Aug. 16, 2023).

639. “*Unreasonable* means ocean common carrier conduct that unduly restricts the ability of shippers to meaningfully access ocean carriage services from that ocean common carrier”. 46 C.F.R. § 542.1.

640. Section 542.1 provides examples of conduct that would be unreasonable when linked to a refusal to provide cargo space accommodations, including: “(1) Blank sailings or schedule changes with no advance notice or with insufficient advance notice; (2) Vessel capacity limitations not justified by legitimate transportation factors; (3) Failing to alert or notify shippers with confirmed bookings of any other changes to the sailing that will affect when their cargo arrives at its destination port; (4) Scheduling insufficient time for cargo tendering or vessel loading so that cargo is constructively refused; (5) Providing inaccurate or unreliable vessel information; or (6) The de facto, absolute, or systematic exclusion of exports in providing cargo space accommodations.” 46 C.F.R. § 542.1.

641. The FMC’s then-Managing Director, Edward Walsh, stated in an April 1999 letter that, under FMC jurisprudence “a common carrier’s treatment of shippers must be based on reasonableness, equity and fairness irrespective of whether a carrier’s operation is progressing normally or is experiencing strain due to external conditions such as increased demand for space, acts of God, or labor strikes.” 1999 Walsh Letter at 1 (emphasis added) [APP-5029].

642. The FMC’s then-Managing Director, Edward Walsh, stated in an April 1999 letter that the obligation of a “common carrier to accept and transport all commodities that are tendered to it which it holds itself out as engaged in carrying and allow access to competitive markets on relatively equal terms.” 1999 Walsh Letter at 2-3 (quoting *Harp v. Choctaw, O. & G. R. Co.*, 125 F. 445, 449 (8th Cir. 1903)) (emphasis added) [APP-5030-5031].

643. The FMC’s then-Managing Director, Edward Walsh, stated in an April 1999 letter that reasonableness under the Shipping Act is considered according to a “*standard of fairness which disallows a common carrier from refusing to furnish service to shippers solely on the grounds that to continue to provide the service would be inconvenient or less profitable*”. 1999 Walsh Letter at 3 (quoting *Ethan Allen v. Maine Cent. R.R. Co.*, 431 F. Supp. 740, 743 (D. Vt. 1977)) (emphasis added) [APP-5031].

644. The FMC’s then-Managing Director, Edward Walsh, stated in an April 1999 letter that *external factors that may be affecting the carrier’s performance*” do not relieve a “*common carrier’s duty to the public*”. 1999 Walsh Letter at 3 (emphasis added) [APP-5031].

645. The FMC’s then-Managing Director, Edward Walsh, stated in an April 1999 letter that, under FMC precedents in times of shortage, the proper method for a common carrier to allocate space is by “employing *a standard of equity that would lead to apportionment that is ‘just and reasonable’ rather than one that would result in the greatest amount of space going to the highest bidder*”. 1999 Walsh Letter at 3 (quoting *Banana Distributors v. Grace Line*, 5 F.M.B. 615, 622 (1959) (emphasis added) [APP-5031].

646. Evidence establishing a Respondent “failing to maintain or provide booking reports to customers, systematically preferring higher-priced cargo over performing on its service contracts, [or] deliberately coercing surcharges including [peak season surcharges (“PSS”)] as a precondition to carry previously contracted cargo” will support a claim of unreasonable practices under 46 U.S.C. § 41102(c). *MCS Industries v. Mediterranean Shipping Company*, Docket No. 21-05, Order on Motion to Amend Complaint and Motion to Dismiss, 2022 WL 458569, at *4, 6 (ALJ Feb. 4, 2022) (“MCS Motion to Dismiss Order”).

II. Count II: Violation of 46 U.S.C. § 41102(c) & 46 C.F.R § 545.5 (“Unjust and Unreasonable Assessment of Detention and Demurrage Charges”)

647. Section 41102(c) provides: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

648. To establish a successful claim for reparations under section 41102(c), the claimant must demonstrate that: “(a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property; (d) The practice or regulation is unjust or unreasonable; and (e) The practice or regulation is the proximate cause of the claimed loss.” 46 C.F.R. § 545.4; *Ports Am. Chesapeake, LLC v. APS E. Coast*, FMC Docket No. 23-04, 2023 WL 5375588, at *9 (ALJ Aug. 16, 2023).

III. Count III: Violation of 46 U.S.C. § 41104(a)(2) (“Conduct Not in Accordance with Service Contracts”)

649. Section 41104(a)(2) provides that: “A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . provide service in the liner

trade that is . . . (A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title, unless excepted or exempted under section 40103 or 40501(a)(2) of this title; or (B) under a tariff or service contract that has been suspended or prohibited by the Federal Maritime Commission under chapter 407 or 423 of this title”. 46 U.S.C. § 41104(a)(2).

650. A common carrier disregarding service contracts in favor of higher-priced freight and attempting to coerce extra-contractual surcharges from service contract counter-party violates Section 41104(a)(2). *See MCS Industries v. COSCO Shipping Lines Co., Ltd.*, Docket No. 21-05, 2022 WL 458569, at *7 (ALJ Feb. 4, 2022).

IV. Count IV: Violation of 46 U.S.C. § 41104(a)(3) (Now Codified at 46 U.S.C. § 41102(d)) (“Retaliation”)

651. Section 41104(a)(3) provides that: “A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” 46 U.S.C. § 41104(3).

652. To establish a violation of section 41104(a)(3), the Complainant must prove that “(a) each Respondent is a common carrier, (b) Respondents engaged in prohibited conduct by refusing, or threatening to refuse, cargo space accommodations when available, or resorting to other unfair or unjustly discriminatory methods, (c) Complainant is a shipper, and (d) Complainant engaged in protected activity by patronizing another carrier, or filing a complaint, or for any other reason.” *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG and Hamburg Sud North America, Inc.*, Dkt. No. 21-11, 2023 WL 3969857, at *33 (Fed. Mar. Comm’n ALJ June 7, 2023).

653. The Commission’s Statement on Retaliation clarifies that “it will interpret 46 U.S.C. § 41104(A)(3) - the anti-retaliation provision - broadly to effectuate Congress’s intent that shippers feel free to air their grievances to the Commission, and to address new shipping practices and new forms of retaliation.” *Statement of the Commission on Retaliation*, Dkt No. 21-15, 3 F.M.C.2d 201, 201, 2021 WL 9204128, at *1 (Fed. Mar. Comm’n Dec. 28, 2021).

654. Commission precedent has not attempted to “address every possible scenario” in which an activity by a shipper may constitute a “protected activity” under 46 U.S.C. § 41104(a)(3), but will apply the statute to each case in a manner based on the logical and practical requirements of the statute’s intent to protect shippers. *OJ Commerce, LLC v. Hamburg Sud*, Docket No. 21-11 (Order Affirming Initial Decision), slip op. at 31, August 27, 2024 (emphasis added).

V. Count V: Violation of 46 U.S.C. § 41104(a)(10) (“Unreasonable Refusals to Deal or Negotiate”)

655. “A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier”. 46 U.S.C. § 41104(a)(10).

656. Section 542.1 provides the following examples of conduct that would be unreasonable when linked to a refusal to deal or negotiate: “(1) Quoting rates that are so far above current market rates they cannot be considered a good faith offer or an attempt at engaging in good faith negotiations; or (2) The de facto, absolute, or systematic exclusion of exports in providing vessel space accommodations.” 46 C.F.R. § 542.1.

657. Evidence demonstrating a Respondent knew it was failing to meet contractual commitments to a customer and in that context “refus[ed] to renew or expand” the Respondent’s relationship with the customer supports a finding of unreasonableness under 46 U.S.C. § 41104(a)(10). *OJ Commerce, LLC v. Hamburg Sud*, Docket No. 21-11 (Order Affirming Initial Decision), slip op. at 21-22, August 27, 2024.

658. “The Commission has found that a common carrier should ‘refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.’ *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, Docket No. 00-11, 29 S.R.R. 1066, 1070, 2002 WL 33836158 (FMC June 28, 2002), *aff’d sub nom. New Orleans Stevedoring Co. v. FMC*, 80 Fed. Appx. 681 (D.C. Cir. 2003).” *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG and Hamburg Sud North America, Inc.*, Dkt. No. 21-11, 2023 WL 3969857, at *22 (Fed. Mar. Comm’n ALJ June 7, 2023).

JURISDICTION

659. The FMC has subject matter jurisdiction over each of BBBY’s claims in this action pursuant to the Shipping Act and, in particular, 46 U.S.C. §§ 41301-41309.

660. Each of the claims in this action sounds in the Shipping Act and is not breach of contract claims. *See [BBBY] v. Evergreen Line Joint Service Agreement*, Docket No. 24-12, 2024 WL 3317830, at *6-7 (ALJ June 26, 2024) (Order Denying Motion for Partial Dismissal of the Complaint); *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, Docket No. 21-11, slip op. at 15 (FMC Aug. 27, 2024) (Order Affirming Initial Decision) (“The Commission has a duty to consider Shipping Act claims because they are distinct from breach of contract claims and entail a different analysis.”) (citing *MCS Industries, Inc., v. MSC Mediterranean Shipping Co.*, Docket No. 21-05, 2024 WL 95383, at *7 (FMC Jan. 3, 2024)).

661. The Commission has jurisdiction over a complaint alleging that a respondent committed an act prohibited by the Shipping Act. *See Cargo One, Inc. v. COSCO Container Lines Co.*, Docket No. 99-24, 28 S.R.R. 1635, 1645, 2000 WL 1648961, at *15 (FMC Oct. 31, 2000); *see also* 46 U.S.C. § 41301(a) (“A person may file with the Federal Maritime Commission a sworn complaint alleging a violation of this part”).

662. The Commission must address allegations of violations of the Shipping Act, which are “exclusively within the Commission’s jurisdiction”; no common law remedy exists for such violations. *See Cargo One*, 2000 WL 1648961, at *15.

663. The Commission’s obligation to hear Shipping Act claims extends even to cases where the relevant facts may give rise to other claims between the parties, and even where the parties have already obtained relief for those claims in another forum. *See MCS Industries*, 2024 WL 95383, at *7; *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, Docket No. 02-

04, 30 S.R.R. 991, 998, 2006 WL 2007808, at *10-11 (FMC May 10, 2006) (Order Vacating ALJ's Dismissal Order and Remanding Proceeding for Further Adjudication).

664. “Shipping Act claims are distinct from breach of contract claims, entailing a different analysis of statutory standards that includes review of the carrier’s broader practices beyond those directly affecting the complainant.” *MCS Industries*, 2024 WL 95383, at *7.

665. Even if certain of BBY’s claims may state a claim for breach of contract in another forum, since they also state a claim for violations of the Shipping Act, the Commission has jurisdiction over the claim. *See* Order at 5-8, *Bed Bath & Beyond Inc., v. Orient Overseas Container Line Limited et un*, FMC No. 23-02 (Fed. Mar. Comm’n ALJ Sept. 28, 2023) (Wirth, CALJ) (Order on Complainant’s Motion for Partial Decision on the Pleadings and Respondents’ Motion for Entry of A Protective Order) (the “Partial Decision Order”) (explaining that the FMC has jurisdiction over claims brought under the Shipping Act that are not purely breach of contract claims and “[involve] elements particular to the Shipping Act”) (discussing cases) [APP-136-139]; *see also* [BBY] *v. Evergreen*, 2024 WL 3317830, at *7-10 (analyzing substantially similar claims under Section 41104(a)(2); discussing cases (*e.g.*, *Cargo One*, 2000 WL 1648961; *MCS Industries v. COSCO Shipping Lines Co., Ltd.*, Docket No. 21-05, 2022 WL 458569 (ALJ Feb. 4, 2022)); and finding that claims were well-pled Shipping Act claims and “the Commission in fact has an obligation to hear well-pleaded Shipping Act claims, over which it has exclusive jurisdiction”).

666. The FMC has personal jurisdiction over OOCL as “ocean common carriers”, *supra* ¶ 11, as that term is defined by 46 U.S.C. § 40102(18), that have entered into a “service contract”, as that term is defined by 46 U.S.C. § 40102(21), with BBY. *See* 1AC ¶ 22 [APP-44]; 1AC Answer ¶ 22 APP-94].

ARGUMENT

VI. Count I (“Unjust and Unreasonable Failure to Meet Service Commitments under the Service Contracts”): OOCL’s Failure to Meet its Service Commitments to BBY under the Service Contracts Regarding MQC Commitments Was Unreasonable and Constitutes a Violation of 46 U.S.C. § 41102(c).

667. Section 41102(c) provides: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

668. To establish a successful claim for reparations under section 41102(c), the claimant must demonstrate that: “(a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property; (d) The practice or regulation is unjust or unreasonable; and (e) The practice or regulation is the proximate cause of the claimed loss.” 46 C.F.R. § 545.4; *Ports Am. Chesapeake, LLC v. APS E. Coast, Inc.*, Docket No. 23-04, 2023 WL 5375588, at *9 (ALJ Aug. 16, 2023).

669. The FMC has encountered addressed what constitutes unreasonable conduct in two recent cases, *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, Docket No. 21-11, slip op. at 15 (FMC Aug. 27, 2024) and *MCS Industries, Inc. v. Mediterranean Shipping Co.*, Docket No. 21-05, 2024 WL 95383 (FMC Jan. 3, 2024).

669.1. *OJ Commerce* involved a shipper’s 2020-2021 service contract with carrier Hamburg Sud and subsequent application for a new contract for the following year. *See OJ Commerce*, slip op. at 3-7.

669.1.1. The shipper, OJ Commerce, complained and threatened legal action over Hamburg Sud’s failure to provide all the contracted space under the service contract, and in response Hamburg Sud ended negotiations for the following year’s contract and stopped providing space under the existing contract. *See id.* at 3-7, 17.

669.1.2. Analyzing the reasonableness prong of OJ Commerce’s refusal to deal claim, the FMC emphasized that Hamburg Sud’s employees knew and admitted they were not meeting their contractual commitments and offered pretextual excuses for the refusal to renew or expand the relationship. *Id.* at 21-22.

669.1.3. Hamburg Sud acted unreasonably by refusing to consider OJ Commerce’s proposal for a new contract and refusing to make good faith efforts to negotiate. *Id.* at 21.

669.1.4. No external factors justified this refusal to even hold a hearing to evaluate OJ Commerce’s application for a new contract. *See id.* at 21-22.

669.1.5. Lastly, Hamburg Sud was not justified in refusing to deal on the basis of threatened litigation that it knew was not frivolous. *See id.* at 23.

669.2. *MCS Industries* similarly involved claims of unreasonable conduct by a carrier. The complainant shipper alleged, among other things, that it and Mediterranean Shipping Company entered into service contracts but that Mediterranean Shipping Company refused to provide all of the contracted-for space, discriminated against the shipper in favor of higher-priced customers, and demanded extracontractual concession such as Peak Season Surcharge (“PSS”) before it would perform under the contracts. *See MCS Industries v. Mediterranean Shipping Company*, Docket No. 21-05, 2021 WL 6926682, at *5-11 (Verified Amended Complaint).

669.2.1. While the case ultimately ended in a default judgment that did not reach the merits due to Mediterranean Shipping Company’s refusal to comply with multiple discovery orders, *see MCS Industries v. Mediterranean Shipping Company*, Docket No. 21-05, 2024 WL 3514613, at *1 (FMC July 16, 2022) (Order Affirming Initial Decision on Remand), the FMC denied MSC’s motion to dismiss for failure to state a claim because MCS alleged “plausible violations of the Shipping Act in the receiving, handling, storing, or delivering of property”. *See MCS Industries v. Mediterranean Shipping Company*, Docket No.

21-05, 2022 WL 458569, at *6 (ALJ Feb. 4, 2022) (Order on Motion to Amend Complaint and Motion to Dismiss) (“MCS Motion to Dismiss Order”).

669.2.2. Specifically, the FMC found that the complaint alleged facts sufficient to state a claim of unreasonable practices under 46 U.S.C. Section 41102(c), including “failing to maintain or provide booking reports to customers, systematically preferring higher-priced cargo over performing on its service contracts, and deliberately coercing surcharges including [peak season surcharges (“PSS”)] as a precondition to carry previously contracted cargo”. *Id.* at *4, *6 (brackets in original).

670. In addition to these cases, a 1999 letter from Edward P. Walsh, then Managing Director of the FMC, and the new FMC rule on unreasonable refusal of cargo space accommodations and unreasonable refusal to deal provide persuasive authority on what constitutes unreasonable conduct under the Shipping Act and FMC practice.

670.1. The 1999 Walsh letter confirms that a common carrier’s treatment of shippers must be based on reasonableness, equity, and fairness. Letter from Edward P. Walsh, Managing Dir. Fed. Mar. Comm’n., to John W. Butler (Apr. 8, 1999) (the “FMC Letter”) at 1 [APP-5029].

670.2. The letter highlighted the obligation of a common carrier to accept and transport *all* commodities that are tendered to it which it holds itself out as engaged in carrying and allow access to competitive markets on relatively equal terms. *Id.* at 1-2 [APP-5029-2030].

670.3. Carriers have a duty “to serve similarly situated shippers alike”. *Id.* at 3 (quoting *Banana Distributors v. Grace Line*, 5 F.M.B. 615, 622 (1959)) [APP-5031].

670.4. The letter linked the concept of reasonableness with a “standard of fairness which disallows a common carrier from refusing to furnish service to shippers solely on the grounds that to continue to provide the service would be inconvenient or less profitable”. *Id.* (internal quotations omitted) [APP-5031].

670.5. The letter rejects the contention that factors external to the carrier, such as an increased demand for space that strains the carrier’s operations, relieve the carrier of its duty to the serve the shipping public “fairly and equitably”. *See id.* at 3-4 [APP-5031-5032].

670.6. This recitation of shippers’ obligations suggests that a failure to accept all commodities that it holds itself out as carrying, discriminating among customers, and treating similarly situated shippers differently, are all examples of conduct that would be unreasonable and inconsistent with the carrier’s obligation to provide the public with “reasonable . . . accommodations”. *Id.* at 3 (quoting *Banana Distributors*, 5 F.M.B. at 622) [APP-5031].

671. The recent FMC rulemaking on unreasonable refusals to deal sheds further light on the reasonableness standard.

671.1. While the rule was promulgated pursuant to 2022 amendments to the Shipping Act, its definition of “unreasonable” provides an accurate statement of pre-2022 law and accords with the principles in the Wash letter: “*Unreasonable* means ocean common carrier conduct that unduly restricts the ability of shippers to meaningfully access ocean carriage services from that ocean common carrier”. 46 C.F.R. § 542.1.

671.2. The rule provides examples of conduct that would be unreasonable when linked to a refusal to provide cargo space accommodations, including: (1) Blank sailings or schedule changes with no advance notice or with insufficient advance notice; (2) Vessel capacity limitations not justified by legitimate transportation factors; (3) Failing to alert or notify shippers with confirmed bookings of any other changes to the sailing that will affect when their cargo arrives at its destination port; (4) Scheduling insufficient time for cargo tendering or vessel loading so that cargo is constructively refused; (5) Providing inaccurate or unreliable vessel information; or (6) The de facto, absolute, or systematic exclusion of exports in providing cargo space accommodations. *Id.*

671.3. The rule provides the following examples of conduct that would be unreasonable when linked to a refusal to deal or negotiate: (1) Quoting rates that are so far above current market rates they cannot be considered a good faith offer or an attempt at engaging in good faith negotiations; or (2) The de facto, absolute, or systematic exclusion of exports in providing vessel space accommodations. *Id.*

672. OOCL’s practice of systematically failing to meet its service commitments to BBBY and other shippers constitutes a failure by OOCL to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of BBBY and, upon information and belief, other shippers, in violation of 46 U.S.C. § 41102(c). *See* 1AC ¶ 23 [APP-44].

673. OOCL’s actions as to coercing premium pricing from BBBY by inducing BBBY to enter into premium rate contracts while failing to meet its existing service commitments to BBBY constitute failures by OOCL to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of BBBY and, upon information and belief, other shippers, in violation of 46 U.S.C. § 41102(c). *See* 1AC ¶ 28 [APP-45].

A. Count I, Element 1: OOCL is an ocean common carrier.

674. This element has been established. *Supra* ¶ 11.

B. Count I, Element 2: The claimed acts or omissions of OOCL occurred on a normal, customary, and continuous basis.

675. OOCL’s failure to meet its service contracts commitments to BBBY and other of OOCL’s North America BCO customers occurred on a normal, customary, and continuous basis. *Supra* FOF.Arg.I.B.

676. OOCL’s unreasonable practices or regulations were the “normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which [OOCL] was conducting business.” Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018).

C. Count I, Element 3: OOCL’s practices and regulations relate to or are connected with receiving, handling, storing, or delivering property.

677. The practices or regulations complained of relate to or are connected with receiving, handling, storing, or delivering property. *Supra* FOF.Arg..I..C.

678. BBY’s 41102(c) claims as to OOCL’s “systematically failing to meet its service commitments” under the Service Contracts and failure to accept bookings “relates to or is connected with receiving, handling, storing, or delivering property.” *See* Order at 14, *Bed Bath & Beyond Inc., v. Orient Overseas Container Line Limited et un*, FMC No. 23-02 (Fed. Mar. Comm’n ALJ Sept. 28, 2023) (Wirth, CALJ) (“the Commission has authority to regulate the reasonableness of cargo space accommodations in service contracts, or any refusal thereof, for the time period covered by the complaint.”) [APP-145].

679. “In reviewing the pre-2022 OSRA section 41104 applicable here, it is clear that both service contracts and cargo space accommodations are regulated, as they are explicitly mentioned. . . . If Congress wanted to prohibit sections 41102(c), 41104(a)(2), or 41104(a)(10) from applying to service contracts or to cargo space accommodations, it could have done so.” Partial Decision Order at 14 [APP-145].

680. Chief ALJ Wirth previously also cast doubt on OOCL’s arguments that BBY’s 41102(c) claims relate to “transportation” as opposed to “receiving, handling, storing, or delivering property”, and observed that precedence establishes that claims as to shipping rates “relates to . . . receiving, handling, storing, or delivering property.” Partial Decision Order at 10-12 (“although there may have originally been some question about whether section 41102(c) extended to rates, that question has been resolved by the D.C. Circuit, relying on Supreme Court precedent. Therefore, shipping rates may be considered part of receiving, handling, storing, or delivering property”; discussing *Nat’l Customs Brokers & Forwarders Ass’n of Am., Inc. v. United States*, 883 F.2d 93, 98-99 (D.C. Cir. 1989) (Ruth B. Ginsburg)) [APP-141-143]; Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638, 29644 (May 18, 2020) (codified at 46 C.F.R. § 545.5); *see also* Partial Decision Order at 11 (“In 1989, the D.C. Circuit addressed the scope of 10(d)(1) (now 41102(c)) and rejected the argument that section 17 applied only to physical services performed at the terminal”).

D. Count I, Element 4: OOCL’s practices and regulations are unjust and unreasonable.

681. OOCL’s failure to meet its service commitments to BBY under the Service Contracts was unjust and unreasonable. *Infra* FOF.Arg.I.D.

682. Section 41102(c) was derived from section 17 of the 1916 Shipping Act, and carried through in Section 10(d)(1) of the Shipping Act of 1984, and extensive FMC and judicial precedents thereunder, as requiring a regulation or practice to be reasonable.

682.1. “Reasonable” may mean or imply “just, proper,” “ordinary or usual,” “not immoderate or excessive,” “equitable,” or “fit and appropriate to the end in view.” *Reasonable*, *Black’s Law Dictionary* (4th ed. 1951).

682.2. “In order to pass muster under section 10(d)(1), a regulation or practice must be tailored to meet its intended purpose. A regulation or practice may have a valid purpose and yet be unreasonable because it goes beyond what is necessary to achieve that purpose. As we stated in *San Diego*, it must be ‘fit and appropriate to the end in view.’” *Distrib. Servs., Ltd. v. Trans-Pac. Freight Conf. of Japan & Its Member Lines*, 24 S.R.R. 714, 1988 WL 340659, at *7 (FMC Jan 6, 1988) (emphasis added).

682.3. “The proper inquiry under [section] 17 is, in a word, whether the charge levied is reasonably related to the service rendered.” *Volkswagenwerk Aktiengesellschaft v. Fed. Mar. Comm’n*, 390 U.S. 261, 282 (1968).

683. Failure to meet MQC requirements under Service Contracts or demanding higher rates than those set forth under Service Contracts is unreasonable.

683.1. “As to the next element [of Section 41102(c)], whether the acts are unjust or unreasonable, the complaint alleges that Respondents systematically failed to make cargo space available under their service contracts with Complainants, in favor of carrying higher-priced freight, although they were fully able to meet their commitments under the service contracts. The aim of this practice was to force shippers who had agreed-to space onto the spot market, and to pay higher prices. Or to extract concessions from shippers in the form of extracontractual “Peak Season Surcharges” (which Respondents sought to disguise) in order to carry Complainant’s cargo, at which point the situation devolved into outright auctioning of contracted space. . . . On its face, this is sufficient to state a claim for unreasonable conduct.” [*BBBY*] *v. Evergreen*, 2024 WL 3317830, at *5 (citing MCS Motion to Dismiss Order, 2022 WL 458569, at *4 (complaint alleging failure to maintain or provide booking reports, preferring higher-priced cargo over performing on its service contracts, and coercing peak season surcharges as a precondition to carry contracted cargo was sufficient to allege Shipping Act claim distinct from any breach of contract claim)).

683.2. The Commission’s Bureau of Enforcement (“BOE”) “will continue to pursue the possibility of enforcement action against certain ocean common carriers which have been identified by their own documents, as well as by a limited number of shippers, as refusing space or service or demanding rates higher than those set forth in existing service contracts.” Fact Finding Investigation No. 23 – Ocean Common Carrier Practices in the Transpacific Trades, Order Discontinuing Proceeding, 1999 WL 1294886, at *3 (Fed. Mar. Comm’n Dec. 29, 1999) (“Fact Finding Investigation No. 23”).

683.3. “The existence of the ocean common carrier service contracts with shippers does not alter the status of the common carrier or its obligations to provide space fairly and equitably to the shipping public. If anything, it would appear that the contractual obligation to provide service in exchange for favorable rates may reinforce the carrier’s obligation to the service contract signatory. *See*, for example, *California Shipping Line v. Yang Ming Marine Transport Corp.*, 25 S.S.R. 1213, 1235 (1990), in which the Commission addressed

a situation in which the ocean common carrier respondent had refused to enter into a ‘me-too’ contract with an NVOCC, and discussed the carrier’s argument that there was no sufficient space for the ‘me-too’ shipper: If a carrier is booked 100 percent with contract cargo, barring other reasonable accommodations, it may have to charter other space or prorate its capacity among all its service contract shippers.” FMC Letter at 4 [APP-5032].

684. The circumstances of the COVID-19 pandemic do not render OOCL’s behavior reasonable.

684.1. “In situations where increased demand for space is straining a common carrier’s operation, the duty to serve the public fairly and equitably does not become secondary to a carrier’s desire and opportunity for revenue enhancement. Therefore, a common carrier’s duty to the public remains constant regardless of the external factors that may be affecting the carrier’s performance. In fact, ‘any spurious obligation to refuse to serve one shipper, or consignee of goods in the hands of the carrier, while holding itself out to serve the public, and all shippers, *upon equal terms*, is void by definition. This is true whether greed, fear or the dictates of the government motivate the refusal. . . . The interest of the public, not that of the parties, is transcendent.’ *Montgomery Ward & Co.*, 128 F. Supp. At 490 (emphasis added).” FMC Letter at 3 [APP-5031].

684.2. In the course of the FMC’s Fact Finding Investigation No. 23, Commissioner Delmond Won found “that carriers in the eastbound Transpacific trades, faced with shortages of space during the peak 1998 holiday shipping season, refused to carry low rated cargo at applicable contract rates, targeted the cargo of non-vessel-operating common carriers (‘NVOCCs’) for rate and space discrimination, and imposed significant and sudden increases in rates and charges.” Fact Finding Investigation No. 23 at *1.

684.3. Upon the conclusion of the fact finding process, the FMC stated that it would continue to pursue possible “enforcement action against certain ocean common carriers which have been identified by their own documents, as well as by a limited number of shippers, as refusing space or service or demanding rates higher than those set forth in existing service contracts.” *Id.* at *3.

684.4. “For cases concerning proper space allocation aboard vessels of ocean common carriers initially developed under the Shipping Act of 1916, see *Patrick Lumber v. Calmar Steamship Corp.*, 2 U.S.M.C. 494, 499 (1941), in which the Commission delineated a method of space allocation, applicable to periods of shortage, by employing a standard of equity that would lead to apportionment that is ‘just and reasonable’ rather than one that would result in the greatest amount of space going to the higher bidder”. FMC Letter at 3 [APP-5031].

1. OOCL’s practice of violating its service commitments in favor of systematically favoring higher-priced freight was unreasonable.

685. Throughout the 2020 and 2021 Service Years, Respondent unreasonably failed to meet its service commitments to Complainant and other BCO customers, including because (i)

Respondent's policies failed to make reasonable accommodations to provide space to Complainant under the Service Contracts; (ii) Respondent failed to accurately track booking attempts; and (iii) Respondent otherwise failed to make reasonable accommodations to provide space to Complainant and other of its BCO customers.

686. BBY reasonably relied on OOCL to fulfill OOCL's service commitments under the Service Contracts. *See* Ex. 381 (McCown Report) ¶ 43 [APP-3763].

687. OOCL unjustly and unreasonably failed to meet its service commitments to BBY.

688. OOCL failed to make reasonable accommodations to provide BBY space under the Service Contracts.

2. OOCL employed an unreasonable policy of preferring higher-priced freight at the expense of its service commitments.

689. The Commission has affirmed that, "offering higher spot market rates does not ameliorate the problems caused by not having a predictable, year-long service contract" in part because spot market rates do not allow shippers the long-term planning, "as prices may fluctuate to an extent that products are not profitable to ship, and space may simply not be available." *OJ Commerce, LLC v. Hamburg Sud*, Docket No. 21-11 (Order Affirming Initial Decision), slip op. at 20, August 27, 2024; *see also id.* at 27 ("spot market rates can . . . fluctuate wildly over a one-year period. . . . A carrier has no obligation to accept cargo pursuant to the spot market. And when a shipper may need guaranteed space the most, for instance during periods of peak demand or supply chain congestion, the spot market offers neither certainty the cargo will ship nor certainty the price will be palatable.").

i. OOCL unreasonably discriminated against its fixed-price service contract customers, including BBY, in favor of higher-priced freight.

690. OOCL failed to make reasonable accommodations to provide space.

691. OOCL's policies and practices of discriminating against its fixed-price service commitments in favor of spot or premium rates were unreasonable.

ii. OOCL unreasonably coerced exorbitant PSS charges.

692. OOCL's policies and practices of coercing PSS charges from BBY and other of OOCL's customers were unreasonable.

iii. OOCL unreasonably shifted space from its Service Contracts with BBY to premium contracts.

693. OOCL's premium contract program was an unreasonable policy OOCL employed in order to enrich itself in contravention of the Shipping Act.

iv. **OOCL unreasonably discriminated against its North American BCO customers in the transpacific trade in favor of other routes.**

694. OOCL's policies and practices of discrimination against North American BCO customers in the transpacific trade in favor of other routes were unreasonable.

695. OOCL's conduct of re-directing space from routes to North America in favor of Asia-based BCOs and routes to other world regions represents a violation of 46 U.S.C. § 41104(a)(5), which prohibits ocean carriers from "engag[ing] in any unfair or unjustly discriminatory practice against any commodity group or type of shipment or in the matter of rates or charges with respect to any port". 46 U.S.C. § 41104(a)(5).

3. **OOCL maintained an unreasonable policy of negotiating service contracts without intending to comply.**

696. As to the 2021 Service Contract, which was negotiated during the pandemic when OOCL was aware of the market conditions facing BBY, the evidence discussed above demonstrates that OOCL effectively instituted and pursued an unreasonable policy of entering into service contracts with its BCO customers, including the 2021 Service Contract with BBY, without intending to comply with OOCL's service commitments therein.

4. **OOCL's policies of failing to meet its service commitments to its customers, preferring higher-priced freight over meeting its service commitments, and negotiating service contracts without intending to comply were unwarranted by any constraints outside of OOCL's control.**

697. The circumstances of the COVID-19 pandemic do not render OOCL's behavior reasonable.

698. "In situations where increased demand for space is straining a common carrier's operation, the duty to serve the public fairly and equitably does not become secondary to a carrier's desire and opportunity for revenue enhancement. Therefore, a common carrier's duty to the public remains constant regardless of the external factors that may be affecting the carrier's performance. In fact, 'any spurious obligation to refuse to serve one shipper, or consignee of goods in the hands of the carrier, while holding itself out to serve the public, and all shippers, *upon equal terms*, is void by definition. This is true whether greed, fear or the dictates of the government motivate the refusal. . . . The interest of the public, not that of the parties, is transcendent.' *Montgomery Ward & Co.*, 128 F. Supp. At 490 (emphasis added)." 1999 Walsh Letter [APP-5031].

699. "In the course of the FMC's Fact Finding Investigation No. 23, Commissioner Delmond Won found "that carriers in the eastbound Transpacific trades, faced with shortages of space during the peak 1998 holiday shipping season, refused to carry low rated cargo at applicable contract rates, targeted the cargo of non-vessel-operating common carriers ('NVOCCs') for rate and space discrimination, and imposed significant and sudden increases in rates and charges." Fact-Finding Investigation No. 23 - Ocean Common Carrier Practices in the Transpacific Trades, 1999 WL 1294886, at *1 (Fed. Mar. Comm'n Apr. 21, 1999).

699.1. Upon the conclusion of the fact finding process, the FMC stated that it would continue to pursue possible “enforcement action against certain ocean common carriers which have been identified by their own documents, as well as by a limited number of shippers, as refusing space or service or demanding rates higher than those set forth in existing service contracts.” *Id.* at *3.

700. “For cases concerning proper space allocation aboard vessels of ocean common carriers initially developed under the Shipping Act of 1916, see *Patrick Lumber v. Calmar Steamship Corp.*, 2 U.S.M.C. 494, 499 (1941), in which the Commission delineated a method of space allocation, applicable to periods of shortage, by employing a standard of equity that would lead to apportionment that is ‘just and reasonable’ rather than one that would result in the greatest amount of space going to the higher bidder”. 1999 Walsh Letter [APP-5031]; *see also* Dep. Ex. 420 at 5 (“As Vespucci Maritime CEO Lars Jensen told American Shipper in a previous interview, ‘We have definitely seen the effects of consolidation. At least on the main trades, there is a de facto oligopoly, which means the carriers are able to somewhat better prevent the price wars we’ve seen in the past. This is the logical end point of 20 years of gradual consolidation.’”) [APP-4064].

701. OOCL’s practices are inconsistent with industry practice and unreasonable, particularly in the context of OOCL’s failure to honor its service commitments to its customers, such as BBY.

E. Count I, Element 5: OOCL’s practices and regulations are the proximate cause of the losses claimed by BBY.

702. OOCL’s practices and regulations are the proximate cause of the losses claimed by BBY.

703. “[A] party must show that it is entitled, i.e., that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty.’” *Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 2001 WL 865708 at *80 n.75, (FMC 2001); *see also William R. Adair v. Penn-Nordic Lines, Inc.*, Docket No. 1695(F), 26 S.R.R. 11, 1991 WL 383091 (ALJ Sept. 24, 1991) (“proof of injury or damages must rest on reliable evidence that shows that the violation of law was the proximate cause of the damages.”).

VII. Count II (“Unjust and unreasonable assessment of Detention and Demurrage Charges”): OOCL’s Policy of Imposing Unreasonable Detention & Demurrage Charges Constitutes A Violation of 46 U.S.C. § 41102(c) & 46 C.F.R § 545.5.

704. Section 41102(c) provides: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

705. To establish a successful claim for reparations under section 41102(c), the claimant must demonstrate that: (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary; (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis; (c) The practice or regulation relates to

or is connected with receiving, handling, storing, or delivering property; (d) The practice or regulation is unjust or unreasonable; and (e) The practice or regulation is the proximate cause of the claimed loss.” 46 C.F.R. § 545.4; *Ports Am. Chesapeake, LLC v. APS E. Coast*, FMC Docket No. 23-04, 2023 WL 5375588, at *9 (ALJ Aug. 16, 2023).

706. OOCL’s assessment of the D&D Charges or a substantial majority thereof and the acts or omissions of OOCL that led to the assessment of such D&D Charges constitute failures by OOCL to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of BBBY, in violation of 46 U.S.C. Section 41102(c) and the FMC’s Interpretive Rule on Demurrage and Detention under the Shipping Act, 85 Fed. Reg. 29,638 (May 18, 2020) (partially codified at 46 C.F.R. Section 545.5) (the “Interpretive Rule”), and in particular the Incentive Principle articulated in the Interpretive Rule. *See* 1AC ¶ 26 [APP-45].

A. Count II, Element 1: OOCL is an ocean common carrier.

707. OOCL is an ocean common carrier. *Supra* ¶ 11.

708. This element is established.

B. Count II, Element 2: OOCL’s policies and practices of imposing unreasonable detention and demurrage charges occurred on a normal, customary, and continuous basis.

709. Throughout the 2020 and 2021 Service Years, OOCL undertook a policy and practice of overcharging OOCL D&D Charges that was the “normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which [OOCL] was conducting business.” Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64479 (Dec. 17, 2018).

710. This element is established.

C. Count II, Element 3: OOCL’s policies and practices of assessing unreasonable detention and demurrage charges relate to and are connected with receiving, handling, storing, or delivering property.

711. “[S]ection 41102(c) concerns ocean carrier, marine operator, and ocean transportation intermediary practices and regulations ‘relating to or connected with receiving, handling, storing, or delivering property.’” *Final Rule, Interpretive Rule*, Shipping Act of 1984, 85 Fed. Reg. 29638, 29650 (Fed. Mar. Comm’n May 18, 2020).

712. “Ocean carrier demurrage and detention practices are subject to section 41102(c) and Commission oversight, regardless of whether the practices relate to conduct at ports or inland, with some caveats.” *Final Rule, Interpretive Rule*, Shipping Act of 1984, 85 Fed. Reg. 29638, 29650 (Fed. Mar. Comm’n May 18, 2020).

713. The D&D Charges at issue arise directly from OOCL’s handling of BBBY cargo and providing transportations services.

714. OOCL’s practices, policies, and procedures related to the assessment of D&D Charges against BBY are thus directly related to the movement of cargo in ocean shipping.

715. This element is established.

D. Count II, Element 4: OOCL’s policies and practices of assessing unreasonable detention and demurrage charges against BBY are unjust or unreasonable.

716. As to reasonableness generally, *see supra* COL.I.

717. As specifically applicable to OOCL’s practices regarding the D&D Charges, 46 C.F.R. § 545.5(c)(1) states “in assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.” 46 C.F.R. § 545.5(c)(1).

718. The reasonableness of OOCL’s D&D Charges to BBY are analyzed in accordance with the “incentive principle”. *See Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm’n*, 106 F.4th 1113, 1115 (D.C. Cir. 2024) (the incentive principle “provides the ‘reasonableness’ of detention charges will be judged by ‘the extent to which . . . [they] are serving their intended primary purposes as financial incentives to promote freight fluidity.’ § 545.5(c)(1).”).

719. The D.C. Circuit has pushed back on any “bright line” rules for determining whether complained-of D&D charges are just or reasonable, including as to the “incentive principle”, and has insisted the analysis requires consideration of the complete circumstances and specific facts on a case-by-case basis. *See Evergreen Shipping Agency (Am.) Corp. v. Fed. Mar. Comm’n*, 106 F.4th 1113, 1117-18 (D.C. Cir. 2024) (“[A]n interpretative rule does not create any legal obligations; ‘terms such as ‘incentive principle’ do not replace ‘reasonableness’ which is the underpinning of the Shipping Act.’ . . . whether the Port of Savannah had communicated its closure to TCW is relevant to the reasonableness of the fees. It was arbitrary and capricious for the FMC to commit to making a circumstantial, fact-bound inquiry in the interpretive rule and then, when it came time to apply the rule, to jettison all but its favorite factor.”)

720. 46 C.F.R. § 545.5(c)(2) lists particular applications of incentive principle: “(i) Cargo availability. The Commission may consider in the reasonableness analysis the extent to which demurrage practices and regulations relate demurrage or free time to cargo availability for retrieval. (ii) Empty container return. Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable. (iii) Notice of cargo availability. In assessing the reasonableness of demurrage practices and regulations, the Commission may consider whether and how regulated entities provide notice to cargo interests that cargo is available for retrieval. The Commission may consider the type of notice, to whom notice is provided, the format of notice, method of distribution of notice, the timing of notice, and the effect of the notice.” 46 C.F.R. § 545.5(c)(2)(i)-(iii).

721. 46 C.F.R. § 545.5(d) states, “The Commission may consider in the reasonableness analysis the existence, accessibility, content, and clarity of policies implementing demurrage and

detention practices and regulations, including dispute resolution policies and practices and regulations regarding demurrage and detention billing. In assessing dispute resolution policies, the Commission may further consider the extent to which they contain information about points of contact, timeframes, and corroboration requirements.” 46 C.F.R. § 545.5(d).

722. As to opportunity costs, OOCL’s practice of assessing detention and demurrage charges during the pandemic based on its high detention and demurrage rates is also inconsistent with the FMC’s incentive principle.

723. OOCL’s detention and demurrage rates are not reasonably calculated either to compensate OOCL for the actual cost of container delays or to incentivize customers to move freight, and thus violate the incentive principle. *See* Ex. 381 (McCown Report) ¶ 137 (“In my opinion, OOCL’s per diem rates, which amount to more than 100 times the actual daily carrying cost of the containers, are not reasonably calculated either to compensate OOCL for the actual cost of container delays or to incentivize customers to move freight. Instead, these per diem rates act as a windfall to OOCL when, as happened during the pandemic, infrastructure problems and congestion cause long dwell or return times, despite a customer’s best efforts to keep freight moving.”)[APP-3784].

724. There is no justification for detention or demurrage charges that cannot incentivize moves that shippers cannot make. *See* Ex. 381 (McCown Report) ¶ 153 (“In a circumstance where a shipper is unable to move containers because of extrinsic forces, there is no justification for an inflated per diem charge designed to “incentivize” moves that cannot be made. Accordingly, during times of such disruptions, carriers should expect to recover only enough to compensate them for their actual expenses associated with the carrying costs of equipment, which I have estimated to be approximately 1 percent of OOCL’s actual per diem rates.”)[APP-3787].

725. Shippers should expect only to recover enough of such charges to compensate them for their actual expenses associated with the carrying costs of equipment. *See* Ex. 381 (McCown Report) ¶ 153 (“In a circumstance where a shipper is unable to move containers because of extrinsic forces, there is no justification for an inflated per diem charge designed to “incentivize” moves that cannot be made. Accordingly, during times of such disruptions, carriers should expect to recover only enough to compensate them for their actual expenses associated with the carrying costs of equipment, which I have estimated to be approximately 1 percent of OOCL’s actual per diem rates.”)[APP-3787].

726. The detention and demurrage charges reflected in Appendix C of the McCown Report are unreasonable. *See* Ex. 329 (P-0000353819) [APP-3358]; Ex. 381 (McCown Report) ¶ 185 (“Accordingly, it is my opinion that the \$1,784,164.88 in demurrage charges and \$6,036,612.95 in detention charges referenced in the Complaint were unreasonable in light of the circumstances.”)[APP-3792].

727. It is incumbent on the carrier to have the assets in place to perform the service they have committed to with its customers. *See* Ex. 381 (McCown Report) ¶ 146 (“It is incumbent on OOCL and any container carrier to have the assets in place to perform the service they have committed to with customers.”)[APP-3786]; McCown Dep. Tr. 171:8-14 (“Well, the shippers are responsible for their business, and part of their business was moving cargo, you know, to some --

you know, the responsibility of what happens with container volume, in my view, resides with the carriers.”); 173:3-11 (“They’re in the business of making sure they have all the assets to provide the service that they’ve committed to. And they, in my view, collectively dropped the ball on that, came up with all sorts of creative – it’s not my fault, and this notion that you just went through, that somehow it’s the shipper’s fault”); 174:6-175:2 (“But the imbalance would not have -- and it was -- it was the -- by the way, the reason they had to get those ships, because they weren’t taking containers that were turned back. Those containers were clogging up their terminals. The problem in the ships waiting was not getting the -- getting them alongside and the container cranes not working fast enough. They could have cleared that up. It was the jammed-up terminals. And you got into a situation where you were six and seven containers high, where you’re at the limit of what they can do. And you got gridlock with the -- the causation of that. And so, yes, there was higher volume, but, in my view, the gap between supply and demand, the very large majority of it, was related to capacity situations”); 175:5-6 (“lies squarely at the feet of OOCL and the carriers.”); 177:6-178:3 (“I -- well, I certainly was -- it was well reported in the news accounts during the pandemic, you know, of the use of the so-called sweeper ships. It was a very significant issue. You know, at one time, that seemed to be, kind of, the big issue, and it grew as the container stacks got higher, and they finally realized that we need to get these empties out. And, in my view, the only way you have that occur is when you have -- you’re not practicing, you know, what I call Terminal 101. So I don’t recall if there were, you know, any news reports that specifically mentioned OOCL, but that was a big -- seemed to be a big issue. And there were certainly significant sweeper reports. I think it was -- there were reports issued by the Port of Los Angeles and, you know -- but that -- that’s where I got that. That’s where I got that information.”) [APP-1479-1481].

728. In 2018, FMC Commissioner Rebecca Dye launched Fact Finding Investigation No. 28 to examine ocean carriers’ and marine terminals’ demurrage and detention practices, and her December 2018 findings, approved by the FMC in December 2019, stated in relevant part:

313. [A] carrier is obligated, as part of its contract of carriage, to tender for delivery cargo to a consignee. Tender requires more than depositing cargo on a ‘reasonable pier.’ To tender for delivery, unless the Customs or regulations of the port require otherwise, a carrier must: (1) unload cargo onto a dock or pier, (2) **place it at a location where it is accessible to the consignee**, (3) segregate it by bill of lading and count, (4) give the notice to the consignee, and (5) **afford the consignee a reasonable opportunity to come and get it**. In discharging this duty, the carrier is also required to provide, directly or through an agent, adequate terminal facilities.

314. This reasonable opportunity to pick up cargo is what the industry refers to as free time for demurrage. ***Because it is part of a carrier’s transportation obligation, free time is not a gratuity***; the carrier or its agents or contractors (e.g. terminals) must provide it. Thus tender and demurrage are related: a carrier cannot charge demurrage unless it has tendered cargo for delivery. *Fact-Finding Investigation No. 28 - Conditions and Practices Relating To Detention, Demurrage, and Free Time In International Oceanborne Commerce*, 2018 WL 6791232, at *17 (Fed. Mar. Comm’n Dec. 3, 2018) (emphasis added).

729. The FMC Interpretive Rule on Demurrage and Detention Under the Shipping Act, which became a final rule in May 2020, stated: “as part of its transportation obligation, an ocean carrier must allow a shipper a ‘reasonable opportunity to retrieve its cargo,’ i.e., free time. Free time is ‘free’ because during this time period, an ocean carrier cannot assess any demurrage.”

Interpretive Rule on Demurrage and Detention Under the Shipping Act, 85 Fed. Reg. 29638, 29652 (Fed. Mar. Comm’n May 18, 2020).

730. Generally speaking, the ocean carrier is responsible for coordinating all aspects of cargo shipments under service contracts. See Ex. 381 (McCown Report) ¶ 147 (“The burden of documenting who is responsible when equipment goes beyond free time is clearly on the carrier who is the conductor on everything that is occurring related to a container movement. The carrier should constantly be in communication with the shipper and documenting who did or did not perform and who is responsible.”) [APP-3786]; McCown Dep. Tr. 106:13-25 (“You know, here, I guess we’re getting into semantics, but I believe and know that the carrier, whoever that is, and whatever framework that they’re getting terminal services, they’re not a -- they’re not a bystander, you know. They’re involved in every aspect of that. So I -- you know, I -- and most particularly when it’s -- when it’s their own dedicated terminal, you know, they’re the ones that are controlling the shots. That’s my experience.”) [APP-1463].

731. Generally speaking, the ocean carrier should be in regular communication with its customers in order to make arrangements to meet the carrier’s service commitments under the service contracts with such customers. See McCown Dep. Tr. 265:5-6 (“Again, I would expect that there would be constant communication”); 267:6-17 (“Q. But for a CY movement, once that container is off the terminal, all of that is not within OOCL’s knowledge, correct? A. I would -- I would expect, in terms of the ideal situation, and certainly our experience at Trailer Bridge, you have your customer service people in constant contact and -- yeah, that -- I don’t see the -- I don’t see the wall that you seem to be creating between, you know, once it’s a port-to-port load and what happens beyond that”) [APP-1502; APP-1503].

732. Pursuant to Clause 38 of BBY and OOCL’s 2020 Service Contract and standard industry practice, OOCL was expected to provide chassis to BBY in order to facilitate the movement of BBY’s cargo. See [REDACTED] 53:3 (“Q. And so, in this particular clause of the contract between Bed Bath and OOCL, the parties agreed that OOCL would provide no chassis, correct? A. Well, [...] Again, this is all -- this all resulted from the shared chassis pool. It’s doesn’t -- it’s really more, kind of, a financing mechanism. It doesn’t really change, in my view, the fundamental requirement of the carrier to orchestrate, you know, everything.”); 154:2-16 (“‘To the extent that the carrier has agreed to absorb the cost of the chassis,’ you know, that’s the preamble to what is the typical situation. Typical shipper isn’t going out hunting for chassis. They’re not in that business, you know ... You know, the chassis -- this language related to the chassis pools that were developed, that have an overall efficiency that, hopefully, the shipper gets part of, but it wasn’t meant to throw, you know, all of the chassis securing, you know, onto shippers”), 154:20-155:3 (“Yeah. Yes. It’s my -- it’s my view that, under the contract that -- service contract that Bed Bath & Beyond, a retailer, had with OOCL, a container shipping company, they were going to have their service provided, and that there would be chassis available for them, you know, to move containers.”); 156:4-14 (“Q. So despite what this language is in this, Clause 38, it’s your testimony that OOCL had an obligation to provide chassis to Bed Bath during the 2021-2022 service contract year? A. No, I’m not saying that. I’m saying that, under the service contract, I -- under the service contract, Bed Bath & Beyond wasn’t sitting there, kind of, alone, figuring out where to -- where to get chassis.”), 160:8-25 (“So when I take -- take that understanding and I take what I know the shipping -- what service agreements mean and the very notion of service agreements and statutory authority that, kind of, means that sometimes, you know,

the -- what's in a contract isn't as applicable as it is. And the FMC -- I think appropriately -- puts that stronger interpretation on a service contract for the very importance of shipments. We all saw that firsthand during the pandemic. You know, as bad as it is for shippers in the shipping industry, the cost to the economy is even more. So it's all a continuum. And, no, I do not think that clause at all somehow frees OOCL of the chassis issue.”) [APP-1474-1476].

733. Pursuant to Clause 38 of BBY and OOCL’s 2021 Service Contract and standard industry practice, OOCL was expected to provide chassis to BBY in order to facilitate the movement of BBY’s cargo. *See* Klosowsky Dep. Ex. 163 at 11 [APP-3271]; McCown Dep. Tr. 152:10-153:3 (“Q. And so, in this particular clause of the contract between Bed Bath and OOCL, the parties agreed that OOCL would provide no chassis, correct? A. Well, [...] Again, this is all - - this all resulted from the shared chassis pool. It's doesn't -- it's really more, kind of, a financing mechanism. It doesn't really change, in my view, the fundamental requirement of the carrier to orchestrate, you know, everything.”); 154:2-16 (““To the extent that the carrier has agreed to absorb the cost of the chassis," you know, that's the preamble to what is the typical situation. Typical shipper isn't going out hunting for chassis. They're not in that business ... You know, the chassis -- this language related to the chassis pools that were developed, that have an overall efficiency that, hopefully, the shipper gets part of, but it wasn't meant to throw, you know, all of the chassis securing, you know, onto shippers”), 154:20-155:3 (“Yeah. Yes. It's my -- it's my view that, under the contract that -- service contract that Bed Bath & Beyond, a retailer, had with OOCL, a container shipping company, they were going to have their service provided, and that there would be chassis available for them, you know, to move containers.”); 156:4-14 (“Q. So despite what this language is in this, Clause 38, it's your testimony that OOCL had an obligation to provide chassis to Bed Bath during the 2021-2022 service contract year? A. No, I'm not saying that. I'm saying that, under the service contract, I -- under the service contract, Bed Bath & Beyond wasn't sitting there, kind of, alone, figuring out where to -- where to get chassis.”), 160:8-25 (“So when I take -- take that understanding and I take what I know the shipping -- what service agreements mean and the very notion of service agreements and statutory authority that, kind of, means that sometimes, you know, the -- what's in a contract isn't as applicable as it is. And the FMC -- I think appropriately -- puts that stronger interpretation on a service contract for the very importance of shipments. We all saw that firsthand during the pandemic. You know, as bad as it is for shippers in the shipping industry, the cost to the economy is even more. So it's all a continuum. And, no, I do not think that clause at all somehow frees OOCL of the chassis issue.”) [APP-1474-1476].

734. Charges assessed by ocean carriers against customers based on days when terminals imposed “no empty in” / “dual appointment” / “dual transaction” requirements are inconsistent with FMC precedents because such charges are on days that the customers cannot move their cargo. *See Hapag-Lloyd, A.G. et un.-Possible Violations of 46 U.S.C. S 41102(c)*, Dkt. No. 21-09, 2022 WL 1239377, at *33 (FMC April 22, 2022) (Initial Decision) (finding Element 4 of 46 U.S.C. § 41102(c) violation met where Complainant established ocean freight carrier failed to waive detention charges assessed on days when appointments to pick up containers were unavailable).

E. Count II, Element 5: OOCL’s policies and practices of assessing unreasonable detention and demurrage charges against BBY are the proximate cause of BBY’s claimed losses.

735. Between 2020 and 2022, OOCL imposed exorbitant D&D Charges on BBY, resulting in \$10 million in incurred and paid fees, making OOCL’s unjust and unreasonable regulations and practices the proximate cause of the loss. *See Rose Int’l, Inc. v. Overseas Moving Network Int’l, Ltd.*, 29 S.R.R. 119, 2001 WL 865708, at *80, n.75 (Fed. Mar. Comm’n 2001) (“[A] party must show that it is entitled to a specific reparation, i.e., that it sustained actual loss or injury and that the violation of law was the proximate cause of that loss or injury with ‘reasonable certainty.’”); *see also OJ Commerce, LLC*, Order Affirming Initial Decision, *slip op.* at 37-42 (approving damages calculation on basis of detailed spreadsheet submitted by Complainant reflecting actual shipments); *William R. Adair v. Penn-Nordic Lines, Inc.*, Dkt No. 1695(F), 26 S.R.R. 11, 1991 WL 383091, at *23 (ALJ Sep. 24, 1991) (“proof of injury or damages must rest on reliable evidence that shows that the violation of law was the proximate cause of the damages.”).

736. The Commission has held that payment of D&D charges is sufficient. *See Hapag-Lloyd, A.G.*, 2022 WL 1239377 at *34; *A Customs Brokerage, Inc. v. Cargocare Logistics USA, Inc. et.al.*, Dkt No. 1987(I), at 14 (ALJ Jul. 17, 2023) (Served Initial Decision) (Claimant “demonstrates that it incurred damages in the amount of \$20,970 (FF 36), the amount it seeks as reparations, because of the double payments it was forced to make to obtain its shipments due to Respondents’ conduct.”).

VIII. Count III (“Conduct not in accordance with Service Contracts”): OOCL’s Provision of Service to BBY under the Service Contracts was not in Accordance with the Rates, Charges, Classifications, Rules, and Practices Contained in the Service Contracts and Constitutes a Violation of 46 U.S.C. § 41104(a)(2).

737. Section 41104(a)(2) provides that: “A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . provide service in the liner trade that is . . . (A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title, unless excepted or exempted under section 40103 or 40501(a)(2) of this title; or (B) under a tariff or service contract that has been suspended or prohibited by the Federal Maritime Commission under chapter 407 or 423 of this title”. 46 U.S.C. § 41104(a)(2)(A)-(B).

738. “The Shipping Act requires common carriers to abide by the terms of their published tariffs.” *Santa Fe Discount Cruise Parking, Inc. et al. v. The Board of Trustees of the Galveston Wharves et al.*, Dkt No. 14-06, 2021 WL 1575018, at *23, n.15 (Fed. Mar. Comm’n Apr. 16, 2021) (Order on Initial Decision on Remand).

739. “The parties do not assert that the service contract has been suspended or prohibited, so section 41102(a)(2)(B) does not apply. The amended complaint alleges that Respondent’s actions were not in accordance with the rates, charges, classifications, rules, and practices contained in the parties’ service contract. The complaint does not allege a breach of the service contract but rather that Respondent’s rules and practices violated the Shipping Act. Moreover, this section specifically and explicitly applies to service contracts. Therefore, the amended complaint

properly alleges a plausible violation of section 41102(a)(2)(A).” *MCS Industries v. COSCO Shipping Lines Co., Ltd.*, Dkt No. 21-05, 2022 WL 458569, at *7 (ALJ Feb. 4, 2022).

740. A common carrier “[disregarding] service contracts in favor [of] higher-priced freight and attempting to coerce extra-contractual surcharges from [a service contract counterparty]” violates Section 41104(a)(2). *See MCS Industries v. COSCO Shipping Lines Co., Ltd.*, Dkt No. 21-05, 2022 WL 458569, at *7 (ALJ Feb. 4, 2022).

741. OOCL’s actions or omissions are the proximate cause of the losses claimed by BBY.

A. OOCL’s actions of “systematically failing to meet its service commitments” were not in accordance with the rates, charges, classifications, rules, and practices contained in the parties’ Service Contracts.

742. OOCL’s practice of systematically failing to meet its service commitments to BBY constitutes the provision of service in the liner trade that was not in accordance with the rules and practices contained in its service contracts with BBY, in violation of 46 U.S.C. § 41104(a)(2). *See* 1AC ¶ 24 [APP-46]; *see also supra* FOF.Arg.III.A.

B. OOCL’s actions of “seeking to coerce BBY to pay PSS and enter into premium rate contracts” were not in accordance with the rates, charges, classifications, rules, and practices contained in its Service Contracts with BBY.

743. OOCL’s actions as to coercing premium pricing from BBY by pressuring BBY to pay PSS and inducing BBY to enter into premium rate contracts while failing to meet its existing service commitments to BBY constitute the provision of service in the liner trade that was not in accordance with the rules and practices contained in its service contracts with BBY, in violation of 46 U.S.C. § 41104(a)(2). *See* 1AC ¶ 29 [APP-46]; *see also supra* FOF.Arg.III.B .

IX. Count IV (“Retaliation”): OOCL’s Actions and Omissions Constitute Retaliation against BBY and a Violation of the Former 46 U.S.C. § 41104(a)(3) (Now Codified At 46 U.S.C. § 41102(d)).

744. Section 41104(a)(3) provides that: “A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not . . . retaliate against a shipper by refusing, or threatening to refuse, cargo space accommodations when available, or resort to other unfair or unjustly discriminatory methods because the shipper has patronized another carrier, or has filed a complaint, or for any other reason.” 46 U.S.C. § 41104(3).

745. To establish a violation of 46 U.S.C. § 41104(a)(3), the claimant must prove that “(a) each Respondent is a common carrier, (b) Respondents engaged in prohibited conduct by refusing, or threatening to refuse, cargo space accommodations when available, or resorting to other unfair or unjustly discriminatory methods, (c) Complainant is a shipper, and (d) Complainant engaged in protected activity by patronizing another carrier, or filing a complaint, or for any other reason.” *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S*

& Co. *KG and Hamburg Sud North America, Inc.*, Dkt. No. 21-11, 2023 WL 3969857, at *33 (ALJ Jun. 7, 2023).

746. The Commission’s Statement on Retaliation clarifies that “it will interpret 46 U.S.C. § 41104(A)(3) - the anti-retaliation provision - broadly to effectuate Congress’s intent that shippers feel free to air their grievances to the Commission, and to address new shipping practices and new forms of retaliation.” *Statement of the Commission on Retaliation*, Dkt No. 21-15, 3 F.M.C.2d 201, 201, 2021 WL 9204128, at *1 (Fed. Mar. Comm’n Dec. 28, 2021).

747. Chairman Daniel B. Maffei stated in a press release on December 15, 2022, “The Ocean Shipping Reform Act made it clear that it is absolutely illegal for ocean carriers to discriminate or retaliate against a shipper for filing a complaint or challenging a charge. The FMC will thoroughly investigate any allegation of illegal behavior and prosecute aggressively when warranted. This is something that everyone in a company, from the newest sales associate to the CEO, must understand and that is why the VOCC Audit Team is carrying this message directly to ocean carriers serving the United States. Even a simple verbal threat to a shipper from an ocean carrier employee could undermine U.S. law and will not be tolerated.” FMC Probes Shipping Lines’ Compliance with Anti-Retaliation Rules, *The Maritime Executive*, <https://maritime-executive.com/article/fmc-probes-shipping-lines-compliance-with-anti-retaliation-rules> [APP-5023-5028].

748. 46 C.F.R. § 542.1 states in relevant part, “[t]he following are examples of the kinds of conduct that may be considered unreasonable . . . [q]uoting rates that are so far above current market rates they cannot be considered a good faith offer or an attempt at engaging in good faith negotiations.” 46 C.F.R. § 542.1.

749. OOCL’s practices and conduct of retaliating against BBBY’s criticisms of OOCL’s unjust and unreasonable detention and demurrage practices as inconsistent with the Shipping Act and associated FMC regulations and demanding refunds of inappropriate D&D Charges, by systematically failing to meet its remaining service commitments to BBBY, refusing to engage in good-faith negotiations over the parties’ service contract for the 2022-23 shipping year, and other conduct, constitute unlawful retaliation against BBBY in violation of the former 46 U.S.C. § 41104(a)(3), now codified at 46 U.S.C. § 41102(d). *See* 1AC ¶ 31 [APP-46].

A. Count IV, Element 1: BBBY is a shipper.

750. BBBY is a shipper.

751. The Commission has clarified that shipper is defined broadly for purpose of retaliation: “Unless amended by Congress, § 41104(a)(3) applies only to prohibited conduct directed at a ‘shipper.’ But this term protects entities other than just the cargo owner. The term ‘shipper’ means a cargo owner, the person for whose account the ocean transportation of cargo is provided, the person to whom delivery is to be made, a shippers’ association, or a non-vessel-operating common carrier that accepts responsibility for payment of all charges applicable under the tariff or service contract. In contrast, passengers on a vessel, unless they otherwise fall within the definition of shipper, are not protected entities under § 41104(a)(3).” *Statement of the*

Commission on Retaliation, Docket No. 21-15, 3 F.M.C.2d 201, 207, 2021 WL 9204128, at *4 (Fed. Mar. Comm’n Dec. 28, 2021).

B. Count IV, Element 2: BBY engaged in protected activity.

752. “Section 41104(a)(3) contains two types of shipper activity that are specifically protected: patronizing another carrier and filing a complaint. Filing a complaint refers to filing a sworn complaint alleging a violation under 46 U.S.C. § 41301(a). The statute also, however, protects shippers from being retaliated against ‘for any other reason.’ The Commission interprets ‘any other reason’ to mean that protected activity under § 41104(a)(3) includes other ways that shipper may bring allegations of unlawful activity to the Commission, such as participating in Commission investigatory or enforcement efforts, commenting on a rulemaking, or using CADRS’ dispute resolution procedures. This interpretation is consistent with congressional intent as set forth in the Alexander Report and with the important role shippers serve in assisting the Commission with its mission. Further, providing information to Commission investigators and enforcement attorneys, seeking assistance from CADRS, and commenting on Commission rules and notices fall within same class of conduct as filing a complaint.” *Statement of the Commission on Retaliation*, Dkt No. 21-15, 3 F.M.C.2d 201, 207, 2021 WL 9204128, at *5 (Fed. Mar. Comm’n Dec. 28, 2021).

753. In *OJ Commerce*, the Chief Administrative Law Judge (“Chief ALJ”) found that threats to file a complaint with the Commission, while not expressly included in the Commission’s statement on retaliation, were part of the category encompassed in “any other reason”: “Ideally, parties should be able to discuss what they think could be Shipping Act violations as soon as possible, so the parties can work toward resolving them before they become violations or lead to litigation. These conversations may be limited if ‘threats’ to file a complaint are not included in the anti-retaliation provisions as shippers may hesitate to raise issues without the protection of the anti-retaliation provision.” *OJ Commerce, LLC v. Hamburg Sudamerikanische Dampfschiffahrts-Gesellschaft A/S & Co.*, Dkt No. 21-11, 6 F.M.C.2d 165, 2023 WL 3969857, at *39 (ALJ June 7, 2023) (Initial Decision).

754. The Chief ALJ applied the Statement on Retaliation to find that “[t]he statutory language, by including the phrase ‘or for any other reason’ explicitly applies this section beyond cases where the shipper has patronized another carrier or has filed a complaint . . . [to include] . . . the threat to file a complaint with the Commission. . . . It is reasonable to anticipate that threats of prohibited conduct would be encompassed under the ‘for any other reason’ language, and so finding is consistent with the Commission’s Policy Statement regarding interpreting the anti-retaliation provision broadly.” *Id.* at *38.

755. The Commission subsequently affirmed “the ALJ’s finding that [the BBY]’s notice of intention to file a case with the Commission is protected by the Commission’s prohibition on retaliation ‘for any other reason’.” *OJ Commerce, LLC*, Order Affirming Initial Decision, slip op., at 30.

1. **BBBY's October 2021 Letter and other complaints are "protected activity".**

756. BBBY's threat to file a petition with the FMC, as indicated in the October 2021 Letter, falls within the category encompassed by the "any other reason" language pursuant to 46 U.S.C. § 41104(a)(3).

757. FMC precedents and interpretations are widely in line with the federal courts, which have consistently interpreted anti-retaliation provisions across various regulatory regimes to protect informal and preliminary steps that further statutory enforcement goals, not just formal complaints. *See N. L. R. B. v. Washington Aluminum Co.*, 370 U.S. 9, 14 (1962) ("[w]e cannot agree that employees necessarily lose their right to engage in concerted activities under s 7 merely because they do not present a specific demand upon their employer to remedy a condition they find objectionable"); *Crawford v. Metropolitan Government of Nashville*, 555 U.S. 271, 279 (2009) ("[i]f it were clear law that an employee who reported discrimination in answering an employer's questions could be penalized with no remedy, prudent employees would have a good reason to keep quiet about Title VII offenses against themselves or against others."); *Rhinehimer v. U.S. Bancorp Invs., Inc.*, 787 F.3d 797, 805 (6th Cir. 2015) (protected activity "includes 'any lawful act done by the employee' to provide information to a supervisor [] regarding" unlawful conduct); *Kasten v. Saint-Gobain*, 563 U.S. 1, 9–10 (2011); ("[f]ilings may more often be made in writing... [b]ut we are interested in the filing of 'any complaint.' So even if the word 'filed', considered alone, might suggest a narrow interpretation limited to writings, the phrase 'any complaint' suggests a broad interpretation that would include an oral complaint.").

758. Regulatory anti-retaliation provisions are consistently interpreted to protect the full range of activities that could lead to formal enforcement, not just the filing of formal complaints.

759. This common interpretation protects preliminary steps that may ultimately lead to formal action, thereby furthering the statutory scheme's enforcement goals.

760. The Commission's interpretation of § 41104(a)(3)'s "any other reason" language to protect informal complaint resolution follows this well-established pattern of interpretation and furthers the congressional intent of protecting shippers.

761. The October 21 Letter explicitly mentioned challenging OOCL's detention and demurrage charges because OOCL did not satisfy the guidelines issued by the FMC. *See* Ex. 4 (October 21 Letter) at OOCL 0000224211 ([REDACTED]) [APP-2936].

762. Section 41104(a)(3) includes the words "for **any** other reason", demonstrating that Congress intended for the statute to protect a broad range of activity against which carriers might retaliate. *See Am. Civil Liberties Union Immigrants' Rights Project v. United States*, 58 F.4th 643, 657 (2d Cir. 2023) ("More to the point, **the statutory use of the word 'any' has long signaled Congress's intent to sweep broadly** to reach all varieties of the item referenced") (emphasis added);

Republic of Iraq v. Beaty, 556 U.S. 848, 856 (2009) (“the word ‘any’ . . . has an expansive meaning, giving us no warrant to limit the class...”).

2. OOCL’s employees interpreted BBY’s October 2021 Letter as a threat to file a complaint with the FMC.

763. OOCL’s employees interpreted BBY’s letters as a threat to file a complaint with the FMC.

C. Count IV, Element 3: OOCL is an ocean common carrier.

764. OOCL is an ocean common carrier. *Supra* ¶ 11.

D. Count IV, Element 4: OOCL engaged in prohibited conduct.

765. During the 2020-21 and 2021-22 contract years, OOCL refused or threatened to refuse cargo space accommodations when available and resorted to other unfair or unjustly discriminatory methods after BBY’s protected activity of challenging of the OOCL D&D Charges. *See* FMC Probes Shipping Lines’ Compliance with Anti-Retaliation Rules, The Maritime Executive (Dec. 15, 2022), <https://maritime-executive.com/article/fmc-probes-shipping-lines-compliance-with-anti-retaliation-rules> (December 15, 2022) [APP-5023-5028].

766. “[Spot premium carriage and service contract carriage] are qualitatively different products”. *See OJ Commerce, LLC*, Order Affirming Initial Decision, slip op. at 20.

766.1. “The Commission’s definition makes clear that a service contract is a reciprocal commitment between shipper and carrier that ensures the carrier receives a minimum volume of cargo and the shipper receives commitments to assured space or rates. 46 U.S.C. § 40102(23). In contrast, spot market rates can, and did, fluctuate wildly over a one-year period. . . . A carrier has no obligation to accept cargo pursuant to the spot market. And when a shipper may need guaranteed space the most, ***for instance during periods of peak demand or supply chain congestion, the spot market offers neither certainty the cargo will ship nor certainty the price will be palatable.*** . . . service contracts provide certainty for a company trying to create business plans for the next year by locking in rates for shipping and regular space for containers.” *See OJ Commerce, LLC*, Order Affirming Initial Decision, slip op. at 27 (emphasis added).

766.2. By “refusing to sign a service contract that guarantees cargo space and rates,” OOCL “[refused] cargo space accommodations.” *See OJ Commerce, LLC*, Order Affirming Initial Decision, slip op. at 26.

766.3. BBY’s recourse to spot market shipping does not ameliorate OOCL’s refusal, because “the spot market offers neither certainty the cargo will ship nor certainty the price will be palatable.” *See OJ Commerce, LLC*, Order Affirming Initial Decision, slip op. at 27.

767. As a result of BBY’s protected activity, OOCL offered BBY 671 fewer FEUs for the 2022-2023 service contract than it had previously agreed. *OJ Commerce, LLC*, 2023 WL

3969857, at *54-56 (“For the period of the proposed 2021-2022 Service Contract, the average profits per container OJC would have earned based on just and reasonable estimates is \$18,983.01. The record supports the conclusion that OJC and HSDG would have agreed to an MQC of 400 FFE for this period, so the measure of the total harm done to OJC by HSDG’s actions is \$7,593,204, plus interest of \$843,102.45.”).

X. Count V (“Unreasonable refusals to deal or negotiate”): OOCL Unreasonably Refused to Deal or Negotiate with BBY in Violation of 46 U.S.C. § 41104(a)(10).

768. “A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not . . . unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier”. 46 U.S.C. § 41104(a)(10).

769. “To establish a violation of section 41104(a)(10), the Complainant must establish that (a) Respondents are common carriers, (b) Respondents refused to deal or negotiate, and (c) such refusal was unreasonable.” *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG and Hamburg Sud North America, Inc.*, Dkt. No. 21-11, 2023 WL 3969857, at *22 (Fed. Mar. Comm’n ALJ June 7, 2023).

770. “The Commission has found that a common carrier should ‘refrain from ‘shutting out’ any person for reasons having no relation to legitimate transportation-related factors.” *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG and Hamburg Sud North America, Inc.*, Dkt. No. 21-11, 2023 WL 3969857, at *22 (Fed. Mar. Comm’n ALJ June 7, 2023) (quoting *New Orleans Stevedoring Co. v. Bd. of Commissioners of the Port of New Orleans*, Docket No. 00-11, 29 S.R.R. 1066, 1070, 2002 WL 33836158 (Fed. Mar. Comm’n June 28, 2002), *aff’d sub nom. New Orleans Stevedoring Co. v. FMC*, 80 Fed. Appx. 681 (D.C. Cir. 2003)).

771. OOCL’s actions constitute unreasonable refusals to deal or negotiate with BBY, in violation of 46 U.S.C. § 41104(a)(10). *See* 1AC ¶ 25 [APP-46].

772. OOCL’s assessment of the D&D Charges or a substantial majority thereof and the acts or omissions of OOCL that led to the assessment of such D&D Charges also constitute violations of 46 U.S.C. § 41104, including in particular 46 U.S.C. Section 41104(a)(10)’s prohibition on unreasonable refusals to deal or negotiate. *See* 1AC ¶ 27 [APP-46].

773. OOCL’s actions as to coercing premium pricing from BBY by inducing BBY to enter into premium rate contracts while failing to meet its existing service commitments to BBY constitute unreasonable refusals to deal or negotiate with BBY, in violation of 46 U.S.C. § 41104(a)(10). *See* 1AC ¶ 30 [APP-46].

A. Count V, Element 1: OOCL is an ocean common carrier.

774. OOCL is an ocean common carrier. *Supra* ¶ 11.

B. Count V, Element 2: OOCL refused to deal or negotiate with BBY.**1. OOCL failed to accept bookings or make space available to fulfill its MQC service commitments to BBY.**

775. During the 2020-2022 shipping years, OOCL's actions in failing to make reasonable accommodations to provide space to BBY under the Service Contracts, failure to accurately track BBY's booking attempts, and engaging in a scheme to withhold service by refusing to make reasonable accommodations to provide space to BBY and other of its BCO customers, amount to an unlawful refusal to deal with BBY under 46 U.S.C. § 41104(a)(10). *Supra* FOF.Arg.I.D.1.

2. OOCL failed to provide contracted space to BBY without PSS or premium rates.

776. OOCL's utilization of PSS and premium rate contracts to compel BBY to pay exorbitant PSS surcharges on top of contract rates and pressure BBY to outbid others through premium contracts constitutes an unreasonable refusal to deal under 46 U.S.C. § 41104(a)(10). *Supra* FOF.Arg.I.D.2.

3. OOCL failed to assess D&D charges in a reasonable manner.

777. OOCL's assessment of the D&D Charges or a substantial majority thereof and the acts or omissions of OOCL that led to the assessment of such D&D Charges also constitutes violation of 46 U.S.C. § 41104(a)(10)'s prohibition on unreasonable refusals to deal or negotiate. *Supra* FOF.Arg.I.D.3.

4. OOCL failed to engage in negotiations for the 2022-2023 shipping year in a reasonable manner.

778. As a result of BBY's protected activity, OOCL unreasonably offered BBY 671 fewer FEUs for the 2022-2023 service contract than it had previously agreed. *OJ Commerce* p. 63 ("For the period of the proposed 2021-2022 Service Contract, the average profits per container OJC would have earned based on just and reasonable estimates is \$18,983.01. The record supports the conclusion that OJC and HSDG would have agreed to an MQC of 400 FFE for this period, so the measure of the total harm done to OJC by HSDG's actions is \$7,593,204, plus interest of \$843,102.45.").

C. Count V, Element 3: OOCL's refusals were unreasonable.

779. "Refusals to deal or negotiate are factually driven and determined on a case-by-case basis,' although the ultimate burden of persuasion remains with the complainant to show that the refusal to deal or negotiate was unreasonable. *Canaveral Port Authority*, 2003 WL 723336, at *13, *18. To establish a violation of section 41104(a)(10), the Complainant must establish that **(a) Respondents are common carriers, (b) Respondents refused to deal or negotiate, and (c) such refusal was unreasonable.**" *OJ Commerce, LLC v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG and Hamburg Sud North America, Inc.*, Dkt. No. 21-11, 2023 WL 3969857, at *22 (Fed. Mar. Comm'n ALJ June 7, 2023) (emphasis added).

780. “[I]n determining reasonableness, [the Commission] will look to whether a marine terminal operator gave actual consideration to an entity’s efforts at negotiation.” *Canaveral Port Auth.-Possible Violations of Section 10(B)(10), Unreasonable Refusal to Deal or Negotiate*, Dkt No. 02-02, 2003 WL 723336, at *18 (Fed. Mar. Comm’n Feb. 24, 2003). In *Canaveral Port Authority*, the FMC found an unreasonable refusal to deal where a marine terminal operator, without good cause, expressly refused to conduct a mandatory hearing. To discuss and consider an application by a tug company for a tug and towing franchise at the port. *Id.*

781. “[Spot premium carriage and service contract carriage] are qualitatively different products” and “finding a refusal to deal does not require finding a carrier shut out a shipper from both types of products.” *OJ Commerce, LLC*, Order Affirming Initial Decision,, slip op., at 20. ; *see also id.* at 18-19 (Fed. Mar. Comm’n Aug. 27, 2024) (finding a refusal to deal despite the carrier’s argument that it did not refuse to deal, as emails from the carrier’s employees revealed that sufficient space was available during this period to meet the MQC).

XI. Reparations

A. Count I (“Unjust and unreasonable failure to meet service commitments under the Service Contracts”)

782. As to Count I, BBY is entitled to reparations from OOCL in the amount of \$36,442,620.79.

783. “[T]he proper measure of damages is not reduced to one simple formula, but must be evaluated on the individual facts of the case and calculated in order to make the injured party whole.” *Kobel v. Hapag-Lloyd A.G.*, Dkt No. 10-06, 2014 WL 5316331, at *14 (ALJ July 30, 2014) (Remand Initial Decision), *aff’d* 2015 WL 3465821 (Fed. Mar. Comm’n May 26, 2015).

784. “Reparations claims that come before the Commission generally involve lost or damaged cargo, and the Commission bases reparations either on the cargo market price or the invoice price paid by the complainant. The method chosen depends on the evidence available and which calculation more accurately measures the actual loss.” *Mavl Capital Inc. v. Marine Transport Logistics, Inc.*, 2022 WL 2209421, at *3 (Fed. Mar. Comm’n Jun. 10, 2022) (quoting *Cal. Shipping Line, Inc. v. Yangming Marine Transport Corp.*, Dkt. No. 88-15, 25 S.R.R. 1213, 1990 WL 427466, at *23 (Fed. Mar. Comm’n Oct. 19, 1990)).

785. Appendices A-1 through A-5 apply the MCS methodology to OOCL’s shortfalls on its 2020 service contract. *See* Ex. 381 (McCown Report) ¶ 175 (“Appendices A-1 through A-5 apply the MCS methodology to OOCL’s shortfalls on its 2020 service contract. As summarized in Appendix A-5, BBY was forced to incur additional incremental expenses of \$3,146,072.00 as a result of OOCL’s shortfall during the 2020 service contract year.”) [APP-3791]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; *MCS Industries v. Mediterranean Shipping Company*, Docket No. 21-05, 2024 WL 3514613, at *14-20 (FMC July 16, 2022) (Order Affirming Initial Decision on Remand).

786. As summarized in Appendix A-5 to the McCown Report, BBY was forced to incur additional incremental expenses of \$3,146,072.00 as a result of OOCL’s shortfall during the

2020 service contract year. *See* Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; Ex. 381 (McCown Report) ¶ 175 [APP-3791].

787. Appendices B-1 through B-5 apply the *MCS* methodology to OOCL’s shortfalls on its 2021 Service Contract. *See* Ex. 381 (McCown Report) ¶ 176 (“Appendices B-1 through B-5 apply the same methodology to OOCL’s shortfalls on its 2021 service contract. As summarized by Appendix B-5, BBY was forced to incur additional incremental expenses of \$19,563,799.79 as a result of OOCL’s shortfall during the 2021 service contract year.”) [APP-3791]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358]; *MCS Industries v. Mediterranean Shipping Company*, Docket No. 21-05, 2024 WL 3514613, at *14-20 (FMC July 16, 2022) (Order Affirming Initial Decision on Remand).

788. As summarized by Appendix B-5, BBY was forced to incur additional incremental expenses of \$19,563,799.79 as a result of OOCL’s shortfall during the 2021 service contract year. *See* Ex. 381 (McCown Report) ¶ 176 (“Appendices B-1 through B-5 apply the same methodology to OOCL’s shortfalls on its 2021 service contract. As summarized by Appendix B-5, BBY was forced to incur additional incremental expenses of \$19,563,799.79 as a result of OOCL’s shortfall during the 2021 service contract year.”) [APP-3791]; Ex. 328 [APP-3357]; Ex. 329 [APP-3358].

789. OOCL’s imposition of PSS, other surcharges, and demand for premium contracts damaged BBY by \$7,109,296.00 under the 2020 Service Contract and \$6,623,453.00 under the 2021 Service Contract. *See* Ex. 381 (McCown Report) ¶ 177 (“As alleged in the Complaint, OOCL’s imposition of PSS, other surcharges, and demand for premium contracts damaged BBY by \$7,109,296.00 under the 2020 Service Contract and \$6,623,453.00 under the 2021 Service Contract.”) [APP-3792]; Ex. 330 [APP-3359].

790. OOCL’s strategic shift to demanding high PSS and premium rates, while deliberately failing to meet its service commitments, was the result of an unreasonable practice designed to maximize OOCL’s profitability at its customers’ expense. *See* Ex. 381 (McCown Report) ¶ 178 (“As discussed above, OOCL’s strategic shift to demanding high PSS and premium rates, while deliberately failing to meet its service commitments, was the result of an unreasonable practice designed to maximize OOCL’s profitability at its customers’ expense.”) [APP-3792].

791. OOCL’s actions were designed to, and did, frustrate the purpose of a fixed-rate service contract by forcing fixed-rate BCO customers to essentially pay spot market rates, through the use of enormous PSS and premium charges. *See* Ex. 381 (McCown Report) ¶ 179 (“OOCL’s actions were designed to, and did, frustrate the purpose of a fixed-rate service contract by forcing fixed-rate BCO customers to essentially pay spot market rates, through the use of enormous PSS and premium charges.”) [APP-3792].

792. If OOCL had honored its service commitments instead of ratcheting up rates to achieve spot-level returns, BBY would not have been subject to the \$13.7 million in PSS and premium charges. *See* Ex. 381 (McCown Report) ¶ 180 (“If OOCL had honored its service commitments instead of ratcheting up rates to achieve spot-level returns, BBY would not have been subject to the \$13.7 million in PSS and premium charges.”) [APP-3792].

B. Count II (“Unjust and unreasonable assessment of Detention and Demurrage Charges”)

793. As to Count II, BBY is entitled to reparations from OOCL in the amount of \$7,820,777.83.

794. During the 2020 and 2021 Shipping Years, supply chain disruptions prevented the normal application of the incentive principle. *See* Ex. 381 (McCown Report) ¶ 181 (“As discussed above, during the service contract years at issue here, supply chain disruptions prevented the normal application of the incentive principle.”) [APP-3792].

795. BBY went to extensive efforts to move containers, but conditions and actions of others beyond BBY’s control caused BBY to incur excessive detention and demurrage charges. *See* Ex. 381 (McCown Report) ¶ 182 (“BBY went to extensive efforts to move containers, but conditions and actions of others beyond BBY’s control caused BBY to incur excessive detention and demurrage charges.”) [APP-3792].

796. OOCL’s per diem rates are extremely high, both as compared to OOCL’s actual carrying cost (approximately 1% of OOCL rates) and to comparable rates by carriers such as Trailer Bridge (approximately 21% of OOCL rates). *See* Ex. 381 (McCown Report) ¶ 183 (“Moreover, OOCL’s per diem rates are extremely high, both as compared to OOCL’s actual carrying cost (approximately 1% of OOCL rates) and to comparable rates by carriers such as Trailer Bridge (approximately 21% of OOCL rates).”) [APP-3792].

797. Because OOCL was able to run its carriers full on transpacific routes throughout the relevant time period, there was no opportunity cost associated with any delays in moving or returning freight. *See* Ex. 381 (McCown Report) ¶ 184 (“Furthermore, because OOCL was able to run its carriers full on transpacific routes throughout the relevant time period, there was no opportunity cost associated with any delays in moving or returning freight.”) [APP-3792].

798. The \$1,784,164.88 in demurrage charges and \$6,036,612.95 in detention charges assessed by OOCL against BBY during the 2020 and 2021 Shipping Years were unreasonable in light of the circumstances. *See* Ex. 381 (McCown Report) ¶ 185 (“Accordingly, it is my opinion that the \$1,784,164.88 in demurrage charges and \$6,036,612.95 in detention charges referenced in the Complaint were unreasonable in light of the circumstances.”) [APP-3792].

C. Count III (“Conduct not in accordance with Service Contracts”): OOCL’s Provision of Service to BBY under the Service Contracts was not in Accordance with the Rates, Charges, Classifications, Rules, and Practices Contained in the Service Contracts and Constitutes a Violation of 46 U.S.C. § 41104(a)(2).

799. As to Count III, BBY is entitled to reparations from OOCL in the amount of \$44,263,398.62.

799.1. Count III provides an alternative basis for the same reparations BBY claims under Counts I and II.

D. Count IV (“Retaliation”)

800. As to Count IV, BBY is entitled to reparations from OOCL in the amount of [X].

801. At the time of OOCL’s violations under Counts I-III and V of the Shipping Act, the Shipping Act’s prohibition on retaliatory conduct was subject to double reparations under 46 U.S.C. § 41305(c). *See OJ Commerce, LLC*, Order Affirming Initial Decision, slip op. at 45 (citing 46 U.S.C. § 41305(c) (2021)).

802. The Commission has the authority to award such double damages pursuant to its civil penalties authority under 46 C.F.R. § 502.603(b). *See id* at 45-47.

803. Under 46 C.F.R. § 502.603(b), OOCL is liable for double damages because it’s conduct resulting in harm to BBY was “knowing and willful” and OOCL acted with “reckless disregard or plain indifference to the Shipping Act, or purposeful or obstinate behavior akin to gross negligence.” *Id.* at 45 (quoting *Rose Int’l Inc. v. Overseas Moving Network Int’l*, Docket No. 96-05, 29 S.R.R. 119, 2001 WL 865708, at *47 (Fed. Mar. Comm’n Jun. 1, 2001)).

804. Under the “knowing and willful” standard, the Presiding Officer must consider OOCL’s “degree of culpability,” “history of prior offenses,” and “ability to pay.” *Id.* at 45 (quoting 46 C.F.R. § 502.603(b)).

805. OOCL’s conduct demonstrates that OOCL acted with a high degree of culpability. *Supra* FOF.Arg.IV.D.

806. As to OOCL’s history of prior offenses, OOCL is currently the respondent in two other cases before the FMC based *inter alia* on violations of 46 U.S.C. §§ 41102(c) (as to improper detention and demurrage charges), 41104(a)(10), and 41104(a)(3). *See TZ SSE Buyer, LLC v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, Verified Complaint, FMC 24-08, Dkt. No. 1 (February 14, 2024); *Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited*, Verified Complaint, FMC 24-17, Dkt. No. 1 (March 28, 2024).

807. There is no evidence supporting a contention that OOCL would be unable to pay a reward of double damages.

808. BBY is entitled to a doubling of the reparations due to it under Count I as to shortfalls (\$19,563,799.79, *supra* ¶¶ 104, 787-788) and PSS/premium charges (\$6,623,453.00, *supra* ¶ 789) for the 2021 Service Year and all D&D Charges post-dating October 18, 2021 (\$5,093,099.34, *see* Ex. 381 (McCown Report, Appendix C) at 25-84, amounting to a total of \$31,280,352.13 in additional reparations.

809. Additionally, under Count V, BBY is entitled to a doubling of its lost profits reparations under Count V as to such unreasonable refusal to deal in the additional amount of \$44,906,060.97. *See OJ Commerce*, at 63 (doubling the lost profits calculations based on respondent’s retaliatory decision to withhold MQC from complainant).

E. Count V (“Unreasonable refusals to deal or negotiate”)

810. As to Count V, BBY is entitled to reparations from OOCL in the amount of \$89,169,459.59.

811. OOCL’s unreasonable refusals to deal or negotiate with BBY in violation of 46 U.S.C. § 41104(a)(10) provides an alternative basis for reparations under Counts I-II in the amount of \$44,263,398.62.

812. Based on OOCL’s knowingly improper decision to rescind, during negotiations, MQC for the 2022-2023 shipping year in the amount of 671 FEUs following protected conduct by BBY, OOCL caused BBY losses of \$44,906,060.97 to which BBY is entitled in lost profit damages.

812.1. Because these losses were incurred as part of OOCL’s retaliatory conduct, these \$44,906,060.97 in lost profit damages are entitled to doubling pursuant to 46 U.S.C. § 41104(a)(3)

F. Lost Profits

813. During the 2020 and 2021 Shipping Years, OOCL’s failure to honor service commitments resulted in a shortfall of 1987.41 FEUs, causing BBY to suffer potential losses totaling \$133,055,566, based on an average profit per container of \$66,924.07. *See* Dep. Ex. 401 (Tab “Container Summary”, column Q, row 10) [APP-4008]; 1AC ¶¶ 180-82 [APP-51].

813.1. If in the alternative BBY’s average profits per container during the relevant time period are used as the measure of BBY’s injury for purposes of calculating reparations, BBY \$133,055,566 figure.

814. OOCL’s retaliatory and unreasonable refusal to deal related to the 2022-23 shipping year by rescinding the Parties’ prior agreement regarding MQC to the tune of 671 FEUs further caused BBY to suffer additional losses of \$44,906,060.97, by multiplying this rescinded MQC by the per-container profits during the relevant time period, which as discussed above, should further be doubled. *Supra* ¶ 526-28; Dep. Ex. 401 (Tab “Container Summary”, column Q, row 10) [APP-4008].

815. The Supreme Court has affirmed that lost profits derived from being “unjustly and illegally denied shipping space” is a loss that “is real and it is certainly compensable under the Shipping Act.” *Consolo v. FMC*, 383 U.S. 607, 626 (1966) (holding it was error on the part of the Court of Appeals to reverse the Commission’s award of reparations).

816. For BBY to show actual damages “does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained.” *MAVL Capital*, 2022 WL 2209421, at *3; see also *Tractors & Farm Equipment Ltd. v. Cosmos Shipping Co., Inc.*, 26 S.R.R. at 798-99 (ALJ Nov. 23, 1992) (“the amount [of damages] can be based on something less than precision but something based on a **reasonable approximation** supported by evidence and by reasonable inferences.”) (emphasis added).

817. “Regarding claims for lost profits, there must be ***reasonable certainty*** so that the court can be satisfied that the wrongful act caused the loss of profits.” *Tractors & Farm*, 26 S.R.R. at 798-99 (emphasis added).

818. As recently recognized by the FMC’s Chief ALJ and affirmed by the Commission in *OJ Commerce, LLC*, lost profits can be determined by calculating the average profits per container of the shipper’s cargo actually carried in the relevant time period multiplied by the shortfall of containers that the carrier failed to carry. *See OJ Commerce, LLC*, Order Affirming Initial Decision, *slip op.* at 63 (approving damages calculation on basis of detailed spreadsheet submitted by Complainant reflecting actual shipments).

819. BBBY’s calculations of average revenue and profit per container are established with reasonable certainty. *See Tractors & Farm Equipment Ltd. v. Cosmos Shipping Co.*, Docket No. 81-57, 26 S.R.R. 788, 798-99 (ALJ Nov. 23, 1992), admin. final, Dec. 31, 1992 (“Regarding claims for lost profits, there must be ***reasonable certainty*** so that the court can be satisfied that the wrongful act caused the loss of profits.”) (emphasis added).

820. BBBY has provided sufficient evidence to reasonably infer the actual lost profits losses it sustained as a result of OOCL’s conduct. *See MAVL Capital*, 2022 WL 2209421, at *3 (a showing of actual damages “does not require absolute precision but does require evidence sufficient to reasonably infer the actual loss sustained.”).

Dated: December 13, 2024

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Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited by emailing copies of the document to their counsel of record listed below:

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